START HERE

CFA Level I: Ethical and Professional Standards

The 2026 Level I Ethics syllabus as swipeable cards: the Code, all seven Standards and their sub-standards with cases, recommended procedures, GIPS, and exam-style questions at the end of each chapter.

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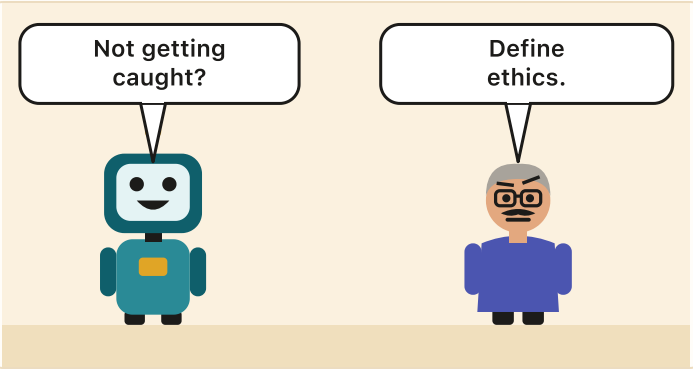
BEFORE YOU START

The cast, and words this chapter uses

A Mumbai investment firm. Sharma ji trusts nothing without data ("Data dikhao"); Pinky is sure of everything, especially when wrong.

- **CFA Institute:** the global body that runs the CFA Program and sets its Code of Ethics.
- **Member and candidate:** a CFA Institute member, or someone enrolled in the CFA Program. Sharma ji is a charterholder, Chintu a Level I candidate, Pinky neither.
- **Client:** a person or institution whose money or interests a professional looks after.
- **Compliance:** the in-house team that checks staff follow laws and firm rules.
- **Conflict of interest:** when what is good for you or your firm is not good for the person you serve.
- **Cost of capital:** the return investors demand before they invest.

So: You can start this chapter cold. Everything it needs is on this card.



STORY

Sharma ji's one-word interview question

Chintu's first week at a Mumbai investment firm. He is a CFA Level I candidate. Sharma ji, the CIO and a CFA charterholder, asks him to define ethics. Chintu tries a joke. Sharma ji does not laugh.

Ethics is a set of moral principles and rules of conduct that guide behaviour: what is good or bad, right or wrong, and what we ought to do. **Ethical conduct** is behaviour that follows those principles and balances your own interest against the effects of your actions on other people, direct and indirect.

Not getting caught measures luck, not ethics.

So: Ethics is about what you ought to do, especially when your interest and someone else's pull in different directions.



BUILDING BLOCKS

Ethical principles: the beliefs under the rules

Ethical principles are beliefs about what is good and acceptable behaviour. Families, religions and cultures word them differently, but in finance the same few keep returning: honesty, fairness, diligence (doing the work properly), respect for the rights of others, loyalty and transparency.

A principle does not tell you exactly what to do on a Tuesday afternoon. It tells you what to weigh. When two principles clash (loyalty to a friend versus honesty to a client), you need judgment, and often more specific rules.

So: Principles are broad beliefs about right conduct; they guide judgment but do not script every action.





KNOW THE DIFFERENCE

Code of ethics versus standards of conduct

	Code of ethics	Standards of conduct
What	written principles a group commits to	minimum behaviours required of members
Detail	broad, the values	specific, what you must and must not do
Example	act with integrity	do not act on inside information

The code states what a profession values. Standards turn those values into rules that can be checked, taught and enforced. Most professional bodies have both, and they work together.

So: Code = the principles; standards of conduct = the minimum specific behaviour that puts the principles into practice.



A code nobody enforces is a poster on the wall.

Enforcement is what makes the chain hold.

WHY BOTHER

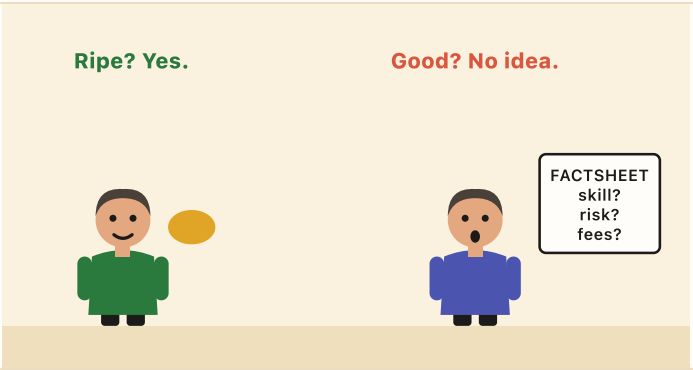
Why a profession writes a code at all

A written code does five jobs:

1. **Communicates** the group's values to members and to the public.
2. **Guides** members in grey areas where the law is silent.
3. **Sets a minimum** level of conduct everyone must meet.
4. **Gives a basis to discipline** those who break it.
5. **Signals trust:** clients can rely on a member without checking everything themselves.

The last job only works if the first four are real.

So: A code earns trust for a whole profession only when members follow it and someone enforces it.



STORY

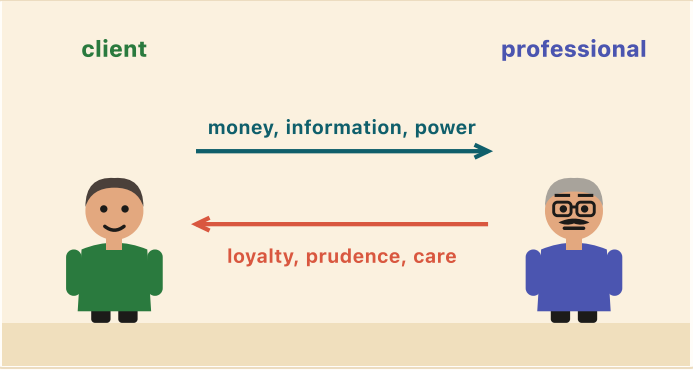
You can squeeze a mango, not a fund manager

At the Crawford Market fruit stall Chintu's mother squeezes a mango and knows if it is ripe. She can judge the product herself.

A client cannot do that with investment advice. The professional knows far more about risk, fees, skill and the products themselves. This gap is called **information asymmetry**. Results arrive years later and mix skill with luck, so even a bad adviser can look good for a while.

So the client has to **trust**. Ethics is what makes that trust safe.

So: Clients cannot easily check the quality of investment services, so the industry runs on trust, and trust needs ethics.



KEY IDEA

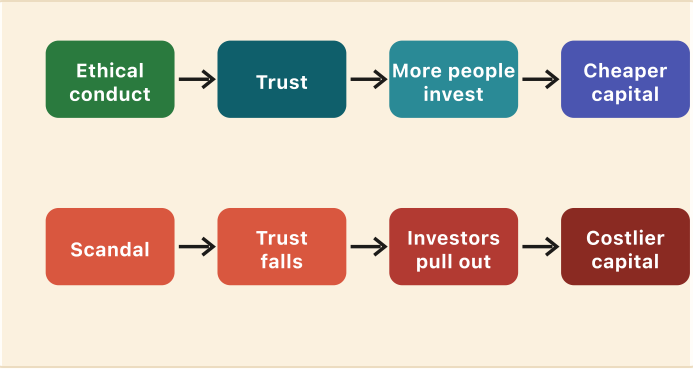
Fiduciary: holding someone else's money

A **fiduciary** is someone trusted to act in another person's best interest, usually while controlling their money or decisions. Portfolio managers, trustees and many advisers are in this position.

The client hands over money, information and power. In return the professional owes **loyalty** (client first), **prudence** (sensible decisions) and **care** (doing the work properly).

Whether a role is a legal fiduciary depends on the country and the job. Ethically the direction of the duty is the same: towards the client.

So: A fiduciary controls someone else's money and must put that person's interests first.



PICTURE IT

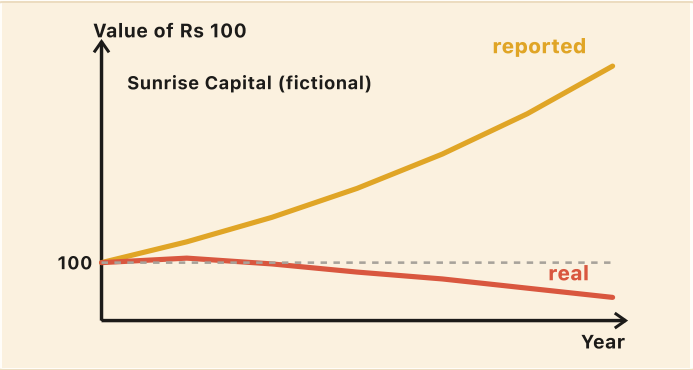
Trust is the real product

When investors trust professionals and markets, more of them take part. Markets get more liquid, prices become fairer, and companies raise money more cheaply.

When a scandal breaks that trust, investors leave or demand a higher return to compensate for the risk of being cheated. The **cost of capital rises for everyone**, including honest firms that did nothing wrong.

That is why ethics is not charity. Over the long run it is good business for firms, markets and the whole economy.

So: Ethical conduct builds trust, which brings in investors and lowers the cost of capital; broken trust does the reverse.



STORY

The 18% fund that never was

Sunrise Capital, a fictional Pune fund, reported 18% returns every single year, smooth as malai. Rs 100 "grew" to Rs 270 in six years.

In reality it was losing money. New investors' cash paid the old ones: a Ponzi scheme. When new money slowed, it collapsed. Real value: Rs 70 per Rs 100.

Damage: 4,000 families lost savings. Staff lost jobs. The regulator tightened rules for every fund. Honest managers now face clients asking "are you a Sunrise too?"

Returns that look too smooth to be true usually are.

So: One fraud harms clients first, then the firm, then every honest firm and the market's reputation.



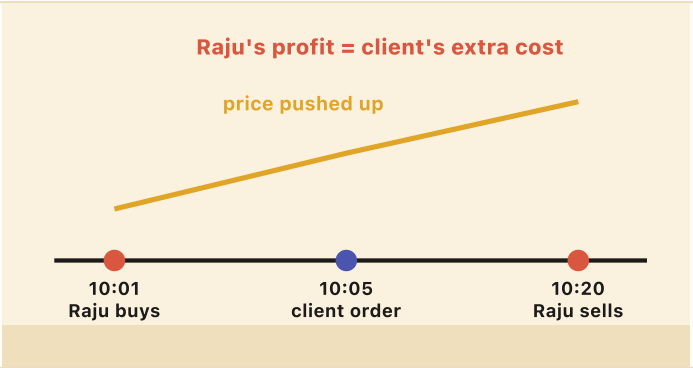
WHO GETS HURT

One cheat, four victims

Who	How they are harmed
Clients	lose money and stop investing
Firm	fines, legal costs, lost clients, damaged brand
Markets	distorted prices, fewer investors, less liquidity, higher cost of capital
Profession	public trust falls, regulation and costs rise for everyone

The cheat usually pays too: job, career, fines, sometimes jail. But the bill is shared by many people who never broke a rule.

So: Unethical behaviour harms clients, the firm, the market and the whole profession, not only the person caught.



STORY

The front-runner of Dalal Street

Raju, a fictional dealer at a Mumbai broker, sees a pension fund's order to buy 5,00,000 shares of Kesar Foods. Before placing it, he buys the same stock for his wife's account. The big order lifts the price; he sells 15 minutes later.

The pension fund paid about Rs 0.50 more per share: 5,00,000 x 0.50 = **Rs 2.5 lakh** extra, money taken from retirees.

Other traders bought at a distorted price. The broker was fined and Raju was banned. It looked like "just a small trade".

So: Front running takes money from clients and distorts prices, so it harms clients and the market at once.



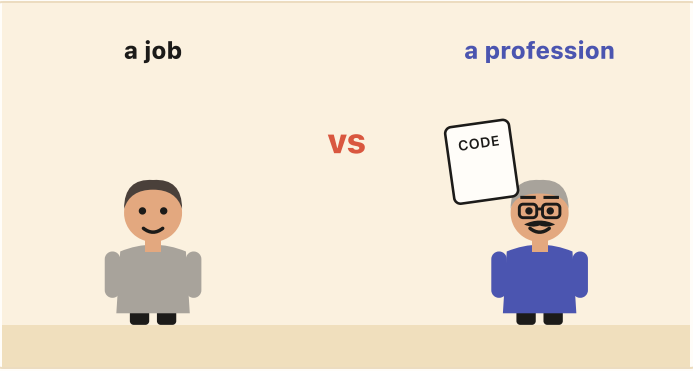
KEY IDEA

What makes a profession

A **profession** is an occupation that serves others using specialised expertise and is trusted to police itself. Common features:

- **Specialised knowledge** and skills built through long study.
- **High entry standards:** exams, qualifications, experience.
- **A code of ethics** and standards of conduct.
- **Monitoring and enforcement:** breaking the code has consequences.
- **Commitment to clients' interests** above the professional's own.
- **Continuing education** to stay competent as knowledge changes.

So: A profession = expert knowledge + entry standards + a code that is enforced + client first + lifelong learning.



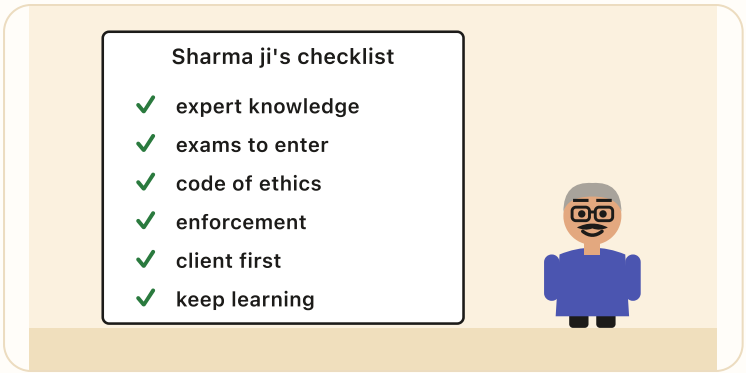
COMPARE

A job versus a profession

	Job	Profession
First duty	to the employer and the task	to clients and the public, then the employer
Entry	set by each employer	common standards and exams
Rules	company rules	a code enforced by peers, plus company rules
Learning	optional	expected for life

Doctors and chartered accountants are classic professions. A profession also earns privileges, such as self-regulation, because society trusts it to put clients first.

So: A profession differs from a job in putting clients first and in having shared entry standards and an enforced code.



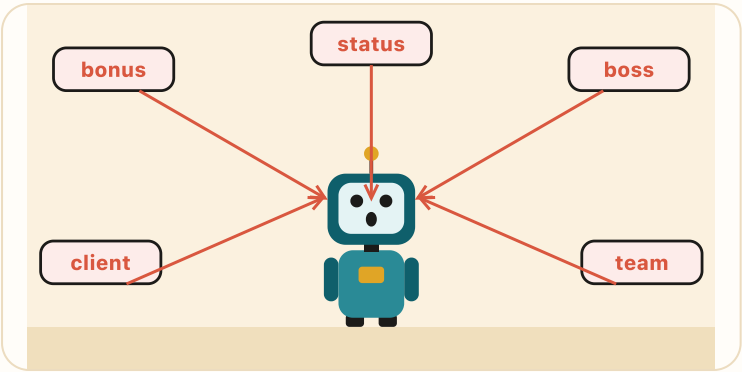
APPLY IT

Is investment management a profession?

Run the checklist. Investment management has **specialised knowledge** (valuation, risk, markets); **entry standards** such as the CFA Program and regulators' exams for some roles; a **code of ethics** such as CFA Institute's; **enforcement** by professional bodies and regulators; a duty to put **clients first**; and an expectation of **continuing education**.

The catch: there is no single global licence, and many people in the industry belong to no professional body. So trust has to be earned firm by firm and person by person.

So: Investment management has the features of a profession, and bodies like CFA Institute exist to strengthen them.



CHALLENGE 1

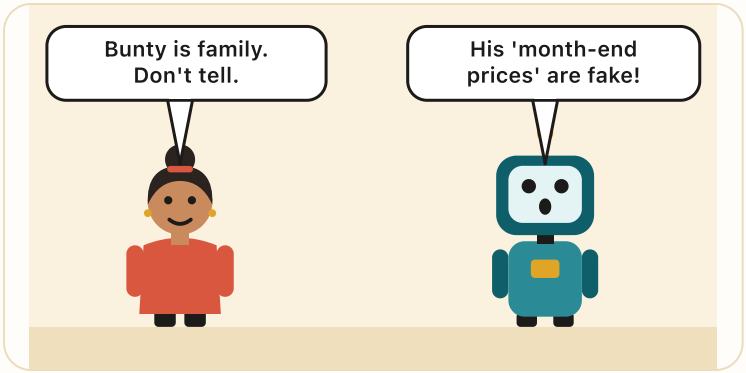
Situational influences: the pull of the moment

Situational influences are outside factors in the moment that shape what we think and do. In finance the usual ones are:

- **Money and prestige:** bonuses, promotion, rankings, being seen as a star.
- **Loyalty** to the employer or to colleagues.
- **Pressure** from bosses or from important clients.
- **The firm's culture:** what everyone around you treats as normal.

People tend to **underestimate** how strongly the situation pushes them and **overestimate** the role of their own good character.

So: Situational influences (money, prestige, loyalty, pressure) bend decisions more than people expect.



STORY

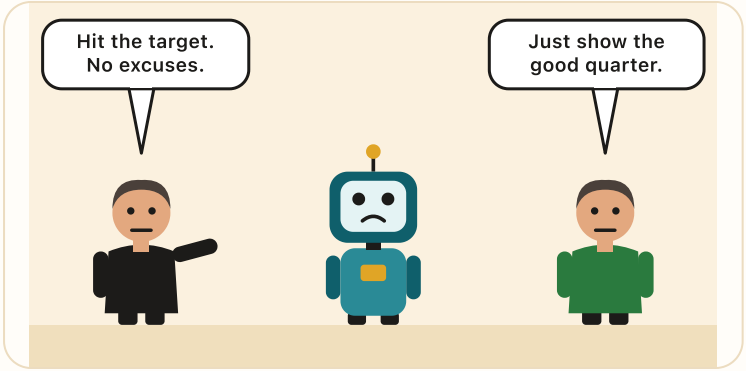
Pinky and the loyal cover-up

Month end. Bunty, a fictional trader on Pinky's desk, marks his bond positions at friendly prices to hide a loss. Clients' statements will show values that are not real. Pinky tells Chintu to stay quiet: "Bunty covered for me last year. Desk loyalty."

Loyalty to colleagues feels like a virtue, and here it is the trap. The people who pay are clients who see false values and the firm that will face the regulator.

Loyalty to colleagues or the employer never means helping them deceive clients. Chintu should take it to his supervisor or compliance.

So: Loyalty is a powerful situational influence; it never justifies hiding misconduct that harms clients.



STORY

Pressure from above and from outside

Mehta sir, a fictional head of sales, wants this quarter's fund sales up 30%. A big client, Mr Bajaj, wants his board report to show only the one good quarter. Chintu sits in the middle.

Pressure from bosses and from clients is a classic situational influence. It rarely arrives as "please commit fraud". It arrives as "be a team player" or "keep the client happy".

A fair report shows all periods. Chintu can offer to explain the bad quarters, but he must not hide them.

So: Pressure from bosses and clients is real but does not change what is right: report fairly and push back.



CHALLENGE 2

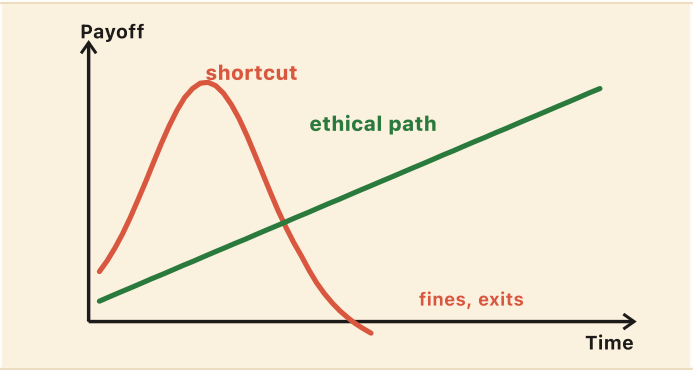
Overconfidence: "I would never..."

Pinky is sure she is more ethical than her colleagues. Most people are sure of that. It cannot be true for everyone.

Overconfidence bias in ethics means believing "I am a good person, so whatever I decide is ethical." It makes people skip the checks, ignore warning signs, and blame others' lapses on bad character while blaming their own on circumstances.

The fix is humility: assume you can be influenced, slow down, and use a framework or ask someone before a hard decision.

So: Overconfidence in your own ethics is a danger sign; it stops you from questioning your decisions.



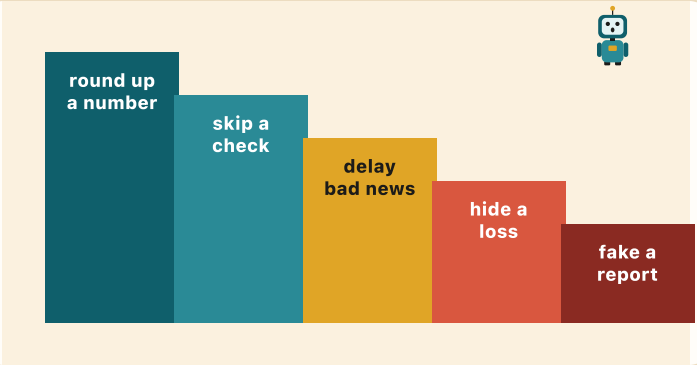
CHALLENGE 3

Short-term focus

Quarterly results, monthly fund rankings and annual bonuses reward what happens **now**. That tempts people to grab short-term gains whose costs come later: pushing unsuitable products, hiding a loss until next quarter, trading too much to earn commissions.

The shortcut looks great on this quarter's chart. Later come complaints, fines, lost clients and a lost career. Ethical choices tend to pay slowly but keep paying, because trust compounds.

So: A short-term focus hides the long-term costs of unethical choices; good decisions look at consequences over time.



CHALLENGE 4

Why good people make bad decisions

Most scandals are not run by cartoon villains. They are run by normal people who took one small step, then another.

- **Small steps:** each step feels only a little worse than the last.
- **Framing:** it feels like a "business decision", so the ethical side fades from view.
- **Excuses:** "everyone does it", "no one is hurt", "I will fix it next month".
- **Situational pressure, overconfidence and a short-term focus** push in the same direction.

So: **Bad decisions usually come from small steps, pressure and excuses, not from bad people; spot the first step.**

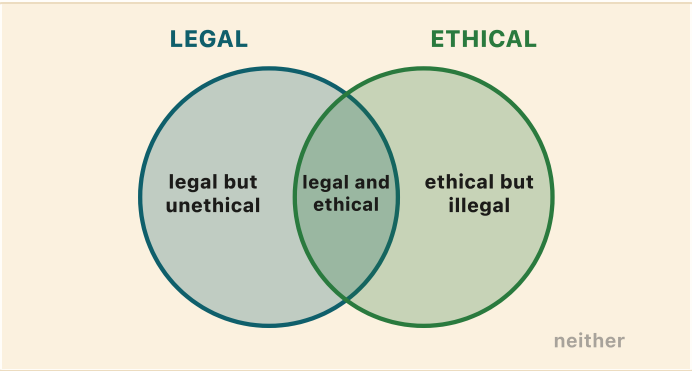


EXAM TRAP

Challenges: what the exam checks

- People **underestimate** situational influences and **overestimate** their own character. Answers that say "a good person will always act well" are wrong.
- Money and prestige, loyalty to employer or colleagues, and pressure from bosses or clients are the named situational influences.
- **Overconfidence** and a **short-term focus** are separate challenges; know which one a case shows.
- Loyalty to the employer does **not** mean following an unethical instruction.
- A culture that only asks "is it legal?" (a compliance-only culture) is weaker than one that asks "is it right?".

So: **When a case blames "pressure", "loyalty" or "the bonus", the answer is a situational influence.**



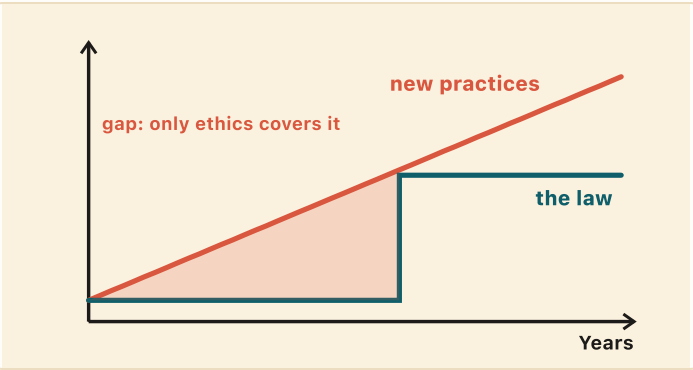
PICTURE IT

Legal and ethical are two different circles

Law and ethics overlap a lot, but not completely.

- **Legal and ethical:** most daily work. Honest research, fair fees.
- **Legal but unethical:** selling a high-fee product the law allows to a retiree who does not understand it.
- **Ethical but illegal:** rare; for example, breaking an unjust secrecy law to expose a fraud that is hurting thousands of people.
- **Neither:** trading on leaked results in most countries.

So: **Legal does not mean ethical; ethics usually asks for more than the law.**



KEY IDEA

Why the law is not enough

- **Laws lag practice.** New products and tools appear first; rules come years later after something goes wrong. In the gap, only ethics protects clients.
- **Laws differ across countries.** What is banned in one market may be allowed next door, and investors cross borders.
- **Laws set a minimum.** They describe what society will punish, not the best conduct.
- **Laws have loopholes** and can sometimes be unjust.

So professionals cannot outsource their conscience to the rule book.

So: Law is a slow, local minimum; ethics fills the gaps where law lags, differs or stops short.



SORT THEM

Four cases, four regions

Place each case in a region before you open it.

▼ Answers

1. **Paying for your chai:** legal and ethical.
2. **High-fee fund sold to a retiree who does not understand it:** often legal, but unethical; it serves the seller, not the client.
3. **Exposing a large fraud by breaking an unjust secrecy law:** can be ethical but illegal.
4. **Trading on leaked results:** illegal in most countries and unethical everywhere.

So: **Ask two separate questions: is it legal, and is it right? The answers can differ.**

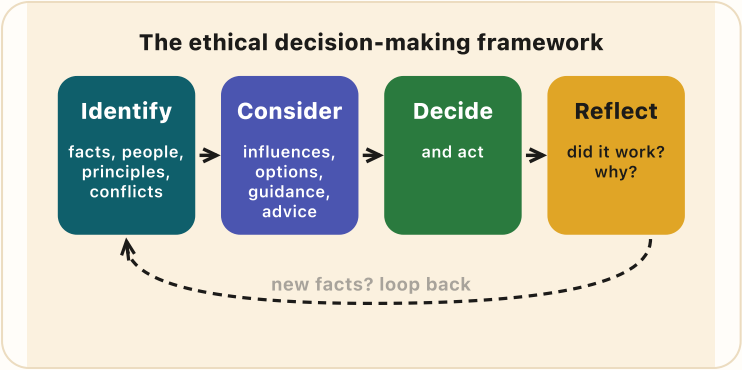


EXAM TRAP

Ethics versus law: the wording tricks

- "The action was legal, so it was ethical" is a classic wrong answer.
- "Laws are the same everywhere" is wrong; they differ across countries.
- "Laws adapt as fast as markets" is wrong; laws usually **lag**.
- Ethical standards are generally **higher** than legal ones. But a law can be stricter than a code on a specific point, so do not assume the code always demands more.
- "Ethical but illegal" exists but is rare. Exam answers rarely reward breaking the law.

So: Treat "legal" and "ethical" as two tests; passing the legal test alone is never enough.



THE TOOL

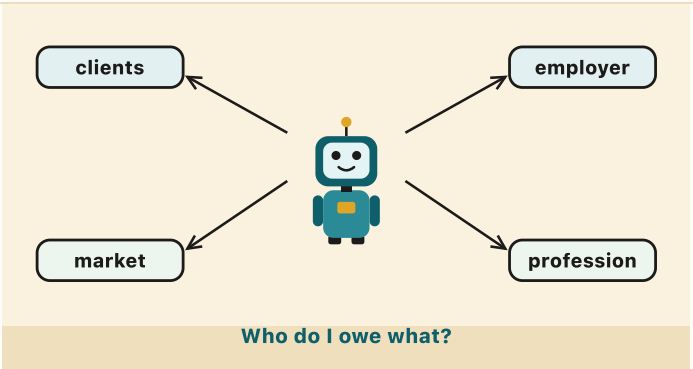
The ethical decision-making framework

When a choice is hard, use four steps:

1. **Identify:** the relevant facts, the stakeholders and the duties you owe them, the ethical principles involved, and any conflicts of interest.
2. **Consider:** situational influences, alternative actions, additional guidance (policies, codes, laws) and advice from others.
3. **Decide and act.**
4. **Reflect:** was the outcome what you expected? Why or why not?

It is a loop, not a straight line. New facts send you back to the start.

So: Identify, consider, decide and act, reflect: learn the order and what goes in each step.



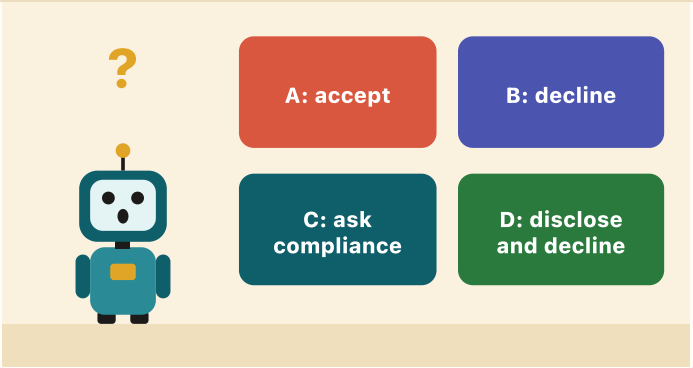
STEP 1

Identify: facts, people, principles, conflicts

- **Facts:** what exactly happened, and what do I not know yet?
- **Stakeholders and duties:** who is affected, and what do I owe each one? Clients, employer, colleagues, the market, the profession.
- **Ethical principles:** which ones are in play (honesty, fairness, loyalty, independence)?
- **Conflicts of interest:** where does my interest, or my firm's, differ from the client's?

Most bad decisions skip this step and jump straight to "what do I want?".

So: Identify = facts, stakeholders and duties owed, ethical principles, conflicts of interest.

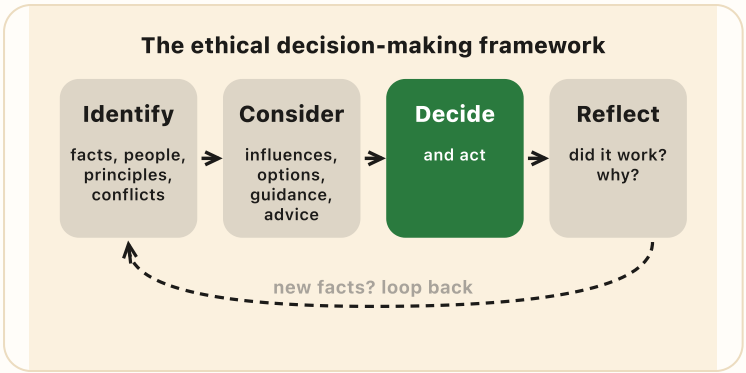


STEP 2

Consider: pressures, options, guidance, advice

- **Situational influences:** is a bonus, a boss, a client or loyalty pushing me? Would I decide the same if nobody were watching or paying?
- **Alternative actions:** there are usually more than two. Accept, decline, delay, disclose, escalate.
- **Additional guidance:** firm policies, the law, professional codes and standards.
- **Seek advice:** compliance, legal, a supervisor or a trusted mentor. Asking is a strength, not a weakness.

So: Consider = situational influences, alternative actions, additional guidance and advice before you decide.



STEPS 3 AND 4

Decide and act, then reflect

Decide and act: pick the action that best meets your duties after weighing the options, and then actually do it. A good decision that never gets carried out helps nobody.

Reflect: afterwards ask: was the outcome what I expected? Why or why not? What would I do differently? Reflection turns one case into better judgment for the next one, and may show that you need to loop back because new facts have appeared.

So: Reflect asks whether the outcome matched what you expected, and why; it feeds the next decision.



CASE 1, PART 1

The broker's free Goa trip: identify and consider

Speedy Securities (fictional) invites Chintu on a free four-day Goa trip. Chintu helps choose which brokers get the firm's trades, and clients pay those commissions.

Identify. Facts: valuable gift, from a broker he helps pick. Stakeholders: clients (want the best trade execution at a fair cost), his employer, the broker, Chintu. Principles: independence, loyalty to clients. Conflict: the trip could tilt future trades towards Speedy.

Consider. Influences: it is free, fun, "everyone goes". Options: accept, decline, pay his own way, ask first. Guidance: the firm's gift policy. Advice: compliance.

So: A gift from someone whose business you control is a conflict of interest, whatever its label.



CASE 1, PART 2

The broker's free Goa trip: decide, act, reflect

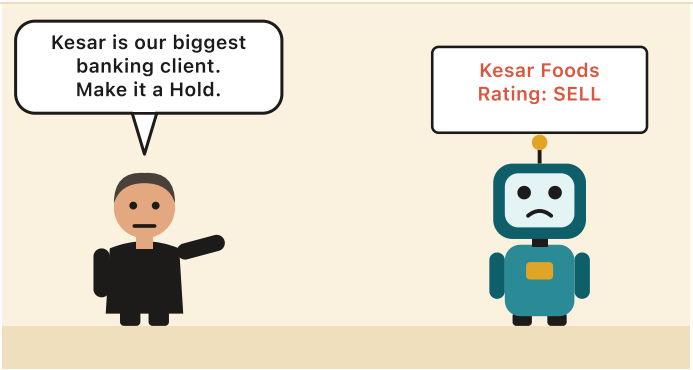
Decide and act. Chintu tells his supervisor and compliance about the offer, as the gift policy requires, and declines the trip. If the firm says it may attend a real business event, it pays his travel itself.

Reflect. Two months later Speedy's execution quality slips. Chintu moves the trades to a better broker with no guilty feeling and nothing to explain. Outcome as expected: his judgment stayed independent.

▼ Verdict

Asking first and declining keeps him clean. Quietly accepting a lavish trip from a broker he helps select would put his independence, and the clients' interests, at risk.

So: When in doubt about a gift: disclose, ask, and let the client's interest decide.



CASE 2, PART 1

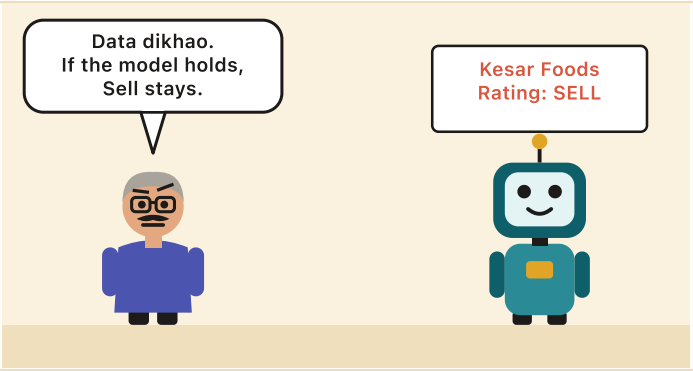
"Make it a Hold": identify and consider

Chintu's model says Kesar Foods (fictional) is overpriced: **Sell**. Mehta sir, a fictional head of sales, says Kesar pays big banking fees: "Make it a Hold."

Identify. Facts: the analysis says Sell; the pressure is commercial, not analytical. Stakeholders: investors who rely on the report, the firm's clients, the firm, Kesar, Chintu. Principles: honesty, independence, objectivity. Conflict: banking fees versus honest research.

Consider. Influences: pressure from a boss, fear for his job. Options: change it, refuse, ask Sharma ji to review the model, go to compliance. Guidance: the firm's research policy.

So: Pressure to change a rating for business reasons is a conflict between the firm's fees and the readers' interests.



CASE 2, PART 2

"Make it a Hold": decide, act, reflect

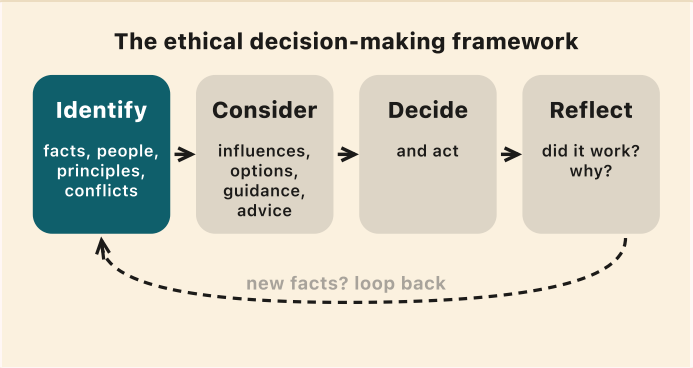
Decide and act. Chintu asks Sharma ji to check the model. It holds up. The rating stays **Sell**, the reasons are documented, and Chintu reports the pressure to compliance. Had the firm forced the change, he should refuse to sign a report he does not believe.

Reflect. Kesar's banking team is annoyed. Compliance adds a rule: sales and banking staff cannot see draft ratings. The outcome was harder than Chintu hoped, but he expected that and still finds it right.

▼ Verdict

Changing the rating to please a banking client would be dishonest to every reader. Keeping the supported rating and escalating is right.

So: Research must say what the analysis supports; escalate pressure instead of bending to it.

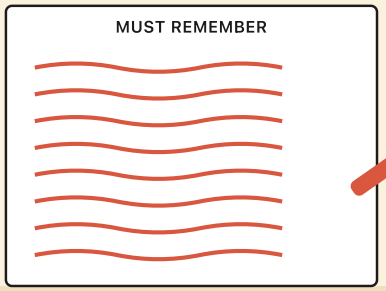


EXAM TRAP

Framework: what the exam checks

- **Order:** identify, consider, decide and act, reflect.
- **Conflicts of interest, stakeholders and duties owed** are found in **identify**.
- **Situational influences, alternative actions, additional guidance and seeking advice** belong to **consider**.
- "Was the outcome as I expected, and why or why not?" is **reflect**.
- The framework is **iterative**: new facts send you back. It is not a one-time checklist.
- It does not hand you one right answer; it helps you reach a better decision and explain it.

So: **Match each item to its step: conflicts in identify, influences and advice in consider, outcome review in reflect.**

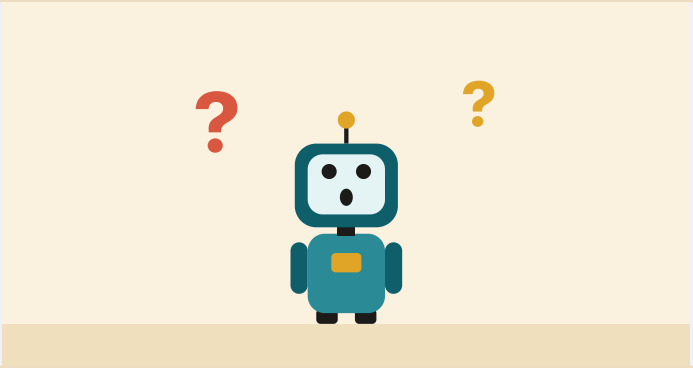


SHARMA JI'S RED PEN

8 things to remember

1. Ethics = moral principles that guide conduct; ethical conduct weighs self-interest against effects on others.
2. Code = broad principles; standards = specific minimum conduct.
3. Clients cannot easily judge advice (information asymmetry), so the industry runs on trust.
4. Unethical acts hurt clients, the firm, markets (higher cost of capital) and the profession.
5. Profession: expertise, entry standards, enforced code, clients first, lifelong learning.
6. Challenges: situational influences, overconfidence, short-term focus.
7. Legal is not ethical: laws lag, differ by country, set only a minimum.
8. Framework: identify, consider, decide and act, reflect.

So: **Scribbled by Sharma ji on the ethics and trust chapter.**



EXAM QUESTION 1 OF 10

Ethics matters more in investment management than in many other businesses most likely because:

A. clients often cannot easily judge the quality of the service they receive

B. investment returns are guaranteed by regulators once a firm is licensed

C. investment laws are the same in every country

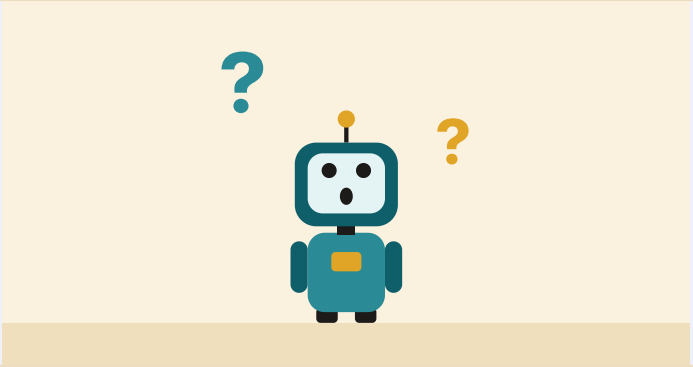
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Ethics matters more in investment management than in many other businesses most likely because:

Answer: A. A is right: information asymmetry (the professional knows far more, and results mix skill with luck) forces clients to rely on trust. B is wrong: regulators do not guarantee returns. C is wrong: laws differ widely across countries.



EXAM QUESTION 2 OF 10

Which statement best distinguishes a code of ethics from standards of conduct?

A. A code of ethics is enforced by law; standards of conduct are voluntary.

B. A code of ethics states broad principles; standards of conduct set specific minimum behaviours.

C. A code of ethics applies to firms; standards of conduct apply only to regulators.

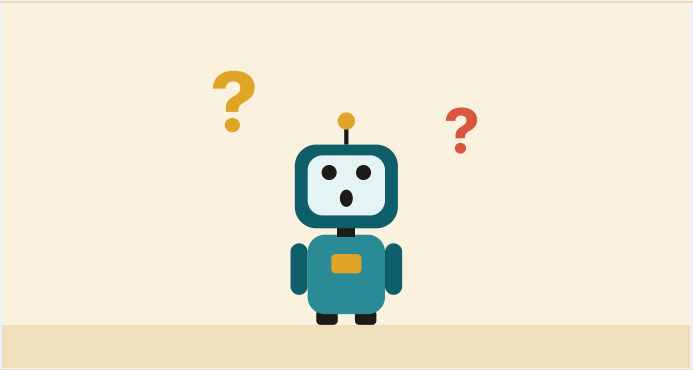
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

Which statement best distinguishes a code of ethics from standards of conduct?

Answer: B. B is right: the code states values and principles, and standards turn them into specific required conduct. A is wrong: a professional code is enforced by the professional body, not by law, and standards are not voluntary for members. C is wrong: both apply to the members of the group.



EXAM QUESTION 3 OF 10

Which is least likely a common feature of a profession?

A. A code of ethics that is monitored and enforced

B. High standards of entry such as exams

C. A guaranteed minimum income for every practitioner

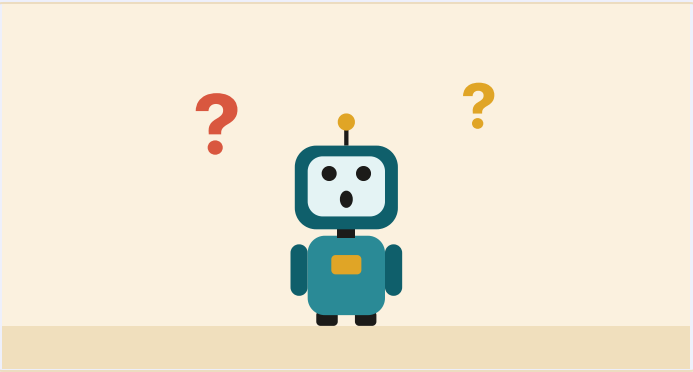
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which is least likely a common feature of a profession?

Answer: C. C is right: professions do not guarantee income; it is not a defining feature. A and B are both classic features of a profession, along with specialised knowledge, client focus and continuing education.



EXAM QUESTION 4 OF 10

After a large fund manager is exposed for faking returns, investors across the market demand higher returns before investing. This is most likely an example of how unethical behaviour:

A. raises the cost of capital, including for honest firms

B. harms only the clients of the firm involved

C. improves market efficiency by removing a bad firm

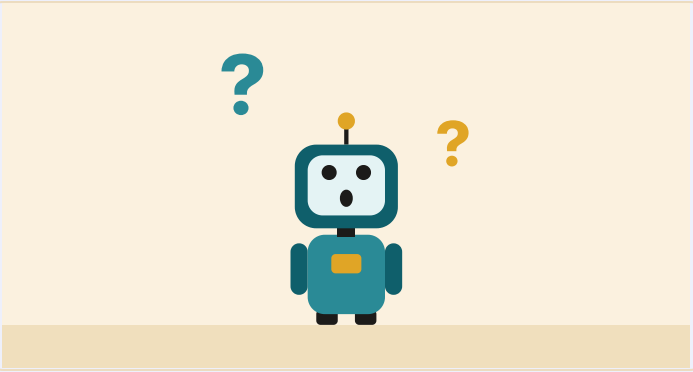
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

After a large fund manager is exposed for faking returns, investors across the market demand higher returns before investing. This is most likely an example of how unethical behaviour:

Answer: A. A is right: lost trust makes investors demand compensation for the risk of being cheated, so capital costs rise for everyone. B is wrong: the effect here spreads well beyond the firm's own clients. C is wrong: removing one firm does not offset the market-wide damage to trust.



EXAM QUESTION 5 OF 10

Pinky says, "I have never done anything unethical, so I do not need to check my decisions with compliance." Her statement most likely shows:

A. a short-term focus

B. loyalty to colleagues

C. overconfidence in her own ethics

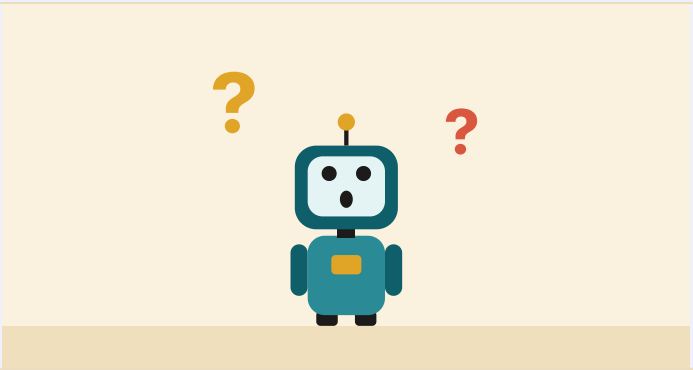
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

Pinky says, "I have never done anything unethical, so I do not need to check my decisions with compliance." Her statement most likely shows:

Answer: C. C is right: believing that being a good person makes every decision ethical is overconfidence bias. A is wrong: nothing here is about trading future costs for present gains. B is wrong: she is not protecting a colleague.



EXAM QUESTION 6 OF 10

Chintu stays silent about a teammate's misleading client report because the teammate helped him last year. The challenge to ethical behaviour that most likely explains this is:

A. a situational influence

B. information asymmetry

C. a fiduciary duty

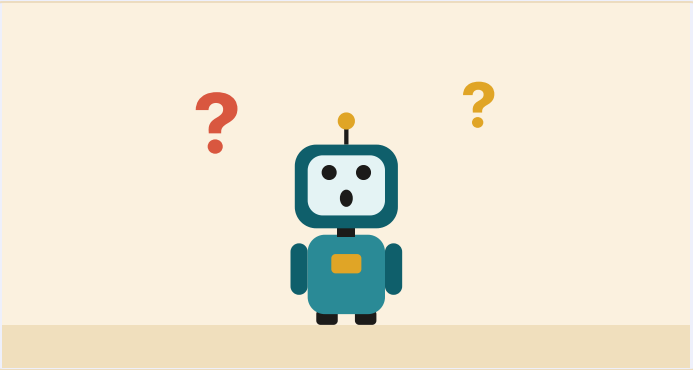
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

Chintu stays silent about a teammate's misleading client report because the teammate helped him last year. The challenge to ethical behaviour that most likely explains this is:

Answer: A. A is right: loyalty to colleagues is a named situational influence. B is wrong: information asymmetry describes the knowledge gap between professional and client, not Chintu's motive. C is wrong: a fiduciary duty would push him to protect clients, not to stay silent.



EXAM QUESTION 7 OF 10

Which statement about ethics and the law is most accurate?

A. Conduct that is legal is also ethical.

B. Laws often lag behind new market practices and products.

C. Ethical standards never require more than the law.

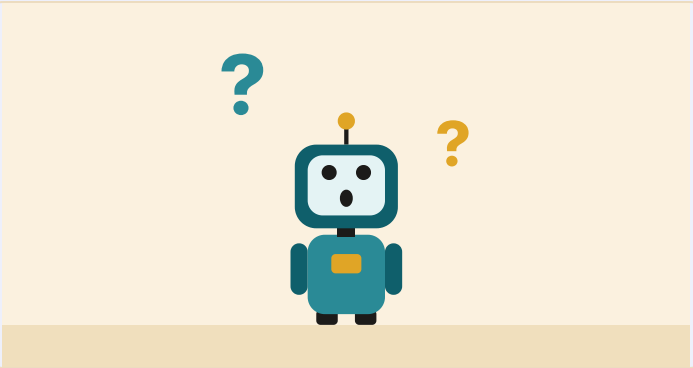
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which statement about ethics and the law is most accurate?

Answer: B. B is right: laws usually arrive after new practices create problems, leaving a gap that only ethics covers. A is wrong: many actions are legal but unethical. C is wrong: ethical standards usually ask for more than the legal minimum.



EXAM QUESTION 8 OF 10

A fund sells a legal but very high-fee product to elderly clients who clearly do not understand it. The conduct is most likely:

A. legal and ethical

B. ethical but illegal

C. legal but unethical

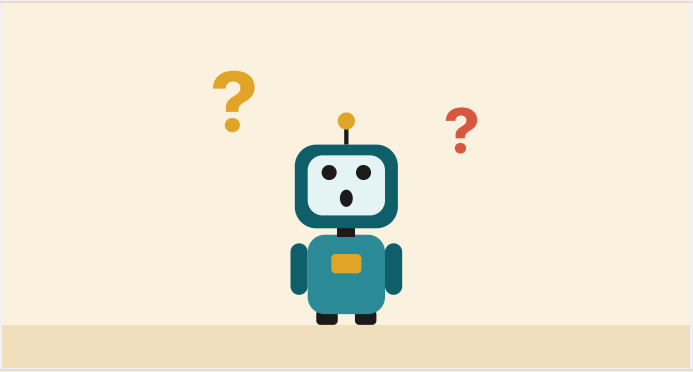
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

A fund sells a legal but very high-fee product to elderly clients who clearly do not understand it. The conduct is most likely:

Answer: C. C is right: the law allows the sale, but it serves the seller at the expense of clients who cannot judge it. A is wrong: being legal does not make it ethical. B is wrong: nothing here breaks the law.



EXAM QUESTION 9 OF 10

In the ethical decision-making framework, identifying the duties owed to each stakeholder and any conflicts of interest happens in which step?

A. Consider

B. Identify

C. Reflect

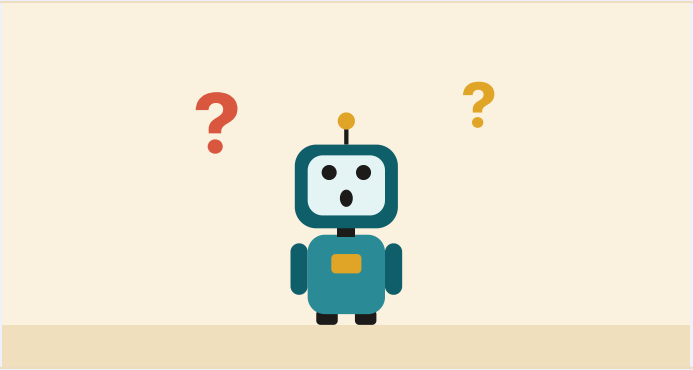
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

In the ethical decision-making framework, identifying the duties owed to each stakeholder and any conflicts of interest happens in which step?

Answer: B. B is right: identify covers the facts, stakeholders and duties owed, ethical principles and conflicts of interest. A is wrong: consider covers situational influences, alternative actions, guidance and advice. C is wrong: reflect reviews the outcome after acting.



EXAM QUESTION 10 OF 10

A broker offers Chintu, who helps choose the firm's brokers, an expensive free holiday. Using the framework, his most appropriate next action is to:

A. consider the firm's gift policy and seek advice from compliance before deciding

B. accept, because the gift is legal in his country

C. accept, and decide later whether the gift affected his choice of brokers

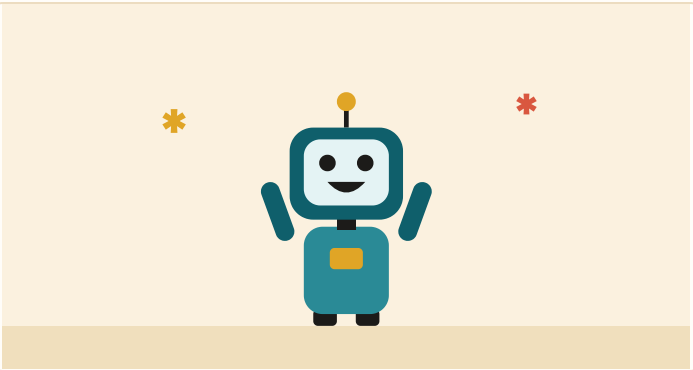
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

A broker offers Chintu, who helps choose the firm's brokers, an expensive free holiday. Using the framework, his most appropriate next action is to:

Answer: A. A is right: in the consider step he weighs additional guidance and seeks advice before acting. B is wrong: legal does not settle whether it is ethical, and his independence is at stake. C is wrong: once the conflict exists, judging its effect afterwards is too late; reflection does not replace consideration.



CHAPTER 1 DONE

Ethics and trust: done

You can now define ethics and the difference between a code and standards, explain why trust is the product in finance, list the features of a profession, name the forces that push good people into bad choices, separate legal from ethical, and walk any dilemma through identify, consider, decide and act, reflect.

So: **Swipe on, or jump to another chapter from the Menu.**



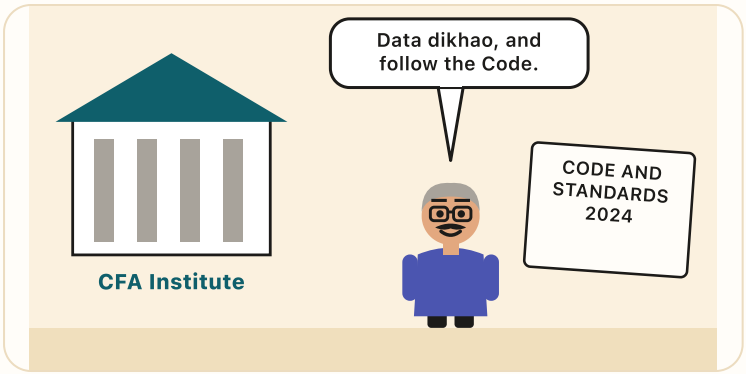
BEFORE YOU START

The cast, and words this chapter uses

A Mumbai investment firm. Sharma ji trusts nothing without data ("Data dikhao"); Pinky is sure of everything, especially when wrong.

- **CFA charterholder:** has passed all three exams and met the work rules. Sharma ji is one.
- **Candidate:** a person enrolled in the CFA Program, e.g. registered for Level I. Chintu is one.
- **Non-member:** no CFA Institute membership or candidacy. Pinky is one.
- **Material nonpublic information:** important news about an investment the market does not have yet.
- **Jurisdiction:** a country or region whose laws apply to you or your business.

So: You can start this chapter cold. Everything it needs is on this card.



STORY

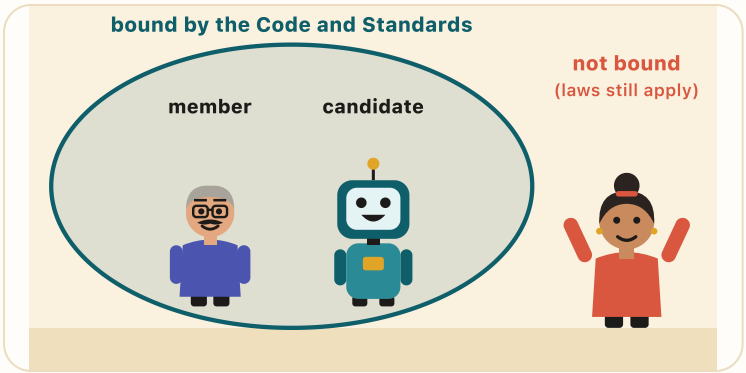
Who referees the referees?

Chintu asks Sharma ji who makes the rules for CFA charterholders. "Same people who set your exam," says Sharma ji.

CFA Institute is a global, not-for-profit association of investment professionals. It runs the CFA Program, writes the **Code of Ethics and Standards of Professional Conduct**, and enforces them through its **Professional Conduct Program**. Its stated mission is to lead the profession by promoting the highest standards of ethics, education and professional excellence for the ultimate benefit of society.

It is a professional body, not a government regulator.

So: CFA Institute writes the Code and Standards and enforces them on its own members and candidates.



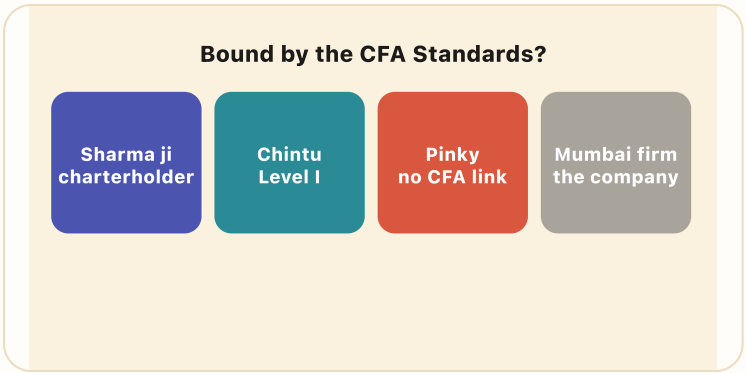
KEY IDEA

Who must follow the Code and Standards

- **Members** of CFA Institute, including CFA charterholders: Sharma ji.
- **Candidates** enrolled in the CFA Program, at any level: Chintu, even before he passes anything.
- **Not bound:** non-members such as Pinky, and firms. CFA Institute disciplines individuals, not companies.

Pinky still has to obey the law and her firm's rules. CFA Institute just has no power over her. Members and candidates are also encouraged to tell their employer that they are bound by the Code.

So: The Code and Standards bind CFA Institute members and candidates only, not non-members and not firms.



QUICK CASES

Who is bound? Four people, one rumour

A takeover rumour from a friend inside the target company goes round the office. Who can CFA Institute act against if they trade on it?

▼ Verdict

1. **Sharma ji:** yes, he is a member.
2. **Chintu:** yes, a candidate is bound from enrolment, not from passing.
3. **Pinky:** no. The regulator and her employer can act; CFA Institute cannot.
4. **The firm:** no. CFA Institute sanctions people, not companies.

If Chintu helps Pinky trade, Chintu still breaks the Standards.

So: **First question in every ethics case: is this person a member or candidate?**



THE DOCUMENTS

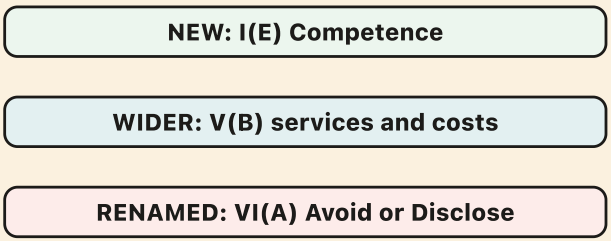
The rulebook and its user guide

Two documents matter:

- The **Code of Ethics and Standards of Professional Conduct**, in force from **1 January 2024**. Short: six Code lines, seven Standards. CFA Institute, Code and Standards
- The **Standards of Practice Handbook, 12th edition (2024)**. Long: it explains each Standard, gives guidance, recommended procedures for compliance and worked examples.

The exam tests the handbook's interpretation, not your own idea of fairness. If your notes are older than 2024, check the titles below.

So: Learn the 2024 Code and Standards and read them the way the 12th edition handbook does.



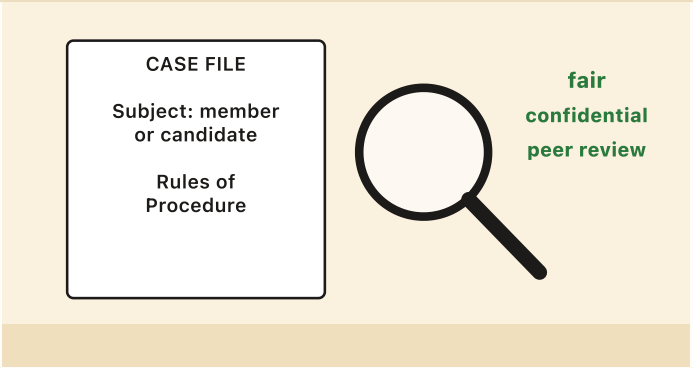
WHAT CHANGED

The 2024 update in three lines

Standard	2024 change
I(E) Competence	new: have and keep the competence your job needs
V(B) Communication with Clients and Prospective Clients	adds: disclose the nature of the services and their costs to the client
VI(A) Avoid or Disclose Conflicts	was "Disclosure of Conflicts": now avoid a conflict or disclose it; disclosures must be prominent and in plain language

Some web pages and older books still use the old VI(A) title. Same Standard. CFA Institute blog, Jan 2024

So: 2024: I(E) Competence added, V(B) now covers services and costs, VI(A) now says avoid or disclose.



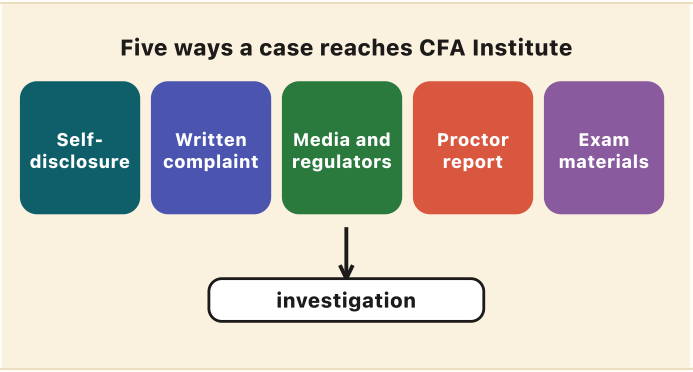
ENFORCEMENT

The Professional Conduct Program

The **Professional Conduct Program** is how CFA Institute enforces the Code and Standards. It runs under the CFA Institute Bylaws and its Rules of Procedure, which aim for a fair process: the person is told about the matter and can respond, and investigations are kept confidential.

Professional Conduct staff investigate. A **Disciplinary Review Committee** of volunteer members hears cases the person disputes and decides sanctions. It is peer review: professionals judging professionals.

So: Professional Conduct staff investigate; volunteer peers on the Disciplinary Review Committee decide disputed cases.

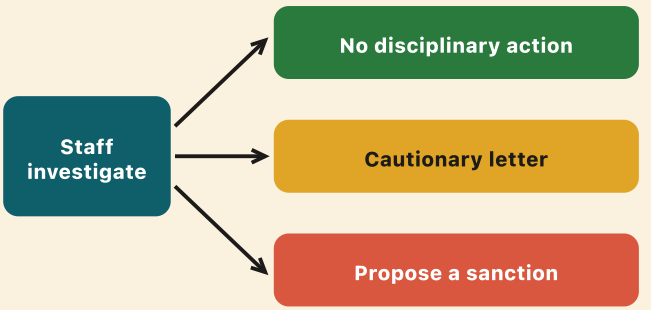


ENFORCEMENT

How an inquiry starts: five doors

1. **Self-disclosure:** on the annual Professional Conduct Statement, a member or candidate reports a complaint, lawsuit, regulatory action or criminal matter about their professional conduct.
2. **Written complaints** from clients, colleagues or anyone else.
3. **Public sources:** news reports and regulators' published actions.
4. **Exam proctor reports** of conduct in the exam room.
5. **Analysis of exam materials**, and monitoring such as social media posts about exam content.

So: Inquiries start from self-disclosure, complaints, public sources, proctors, or analysis of exam materials.



ENFORCEMENT

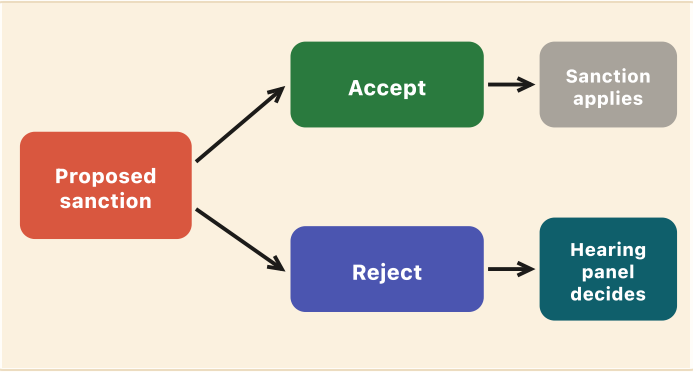
The investigation and its three outcomes

Professional Conduct staff gather facts. They can ask the member or candidate for a **written explanation**, **interview** the person, the complainant and other third parties, and **collect documents and records**.

Then the staff decide:

1. **No disciplinary action** is needed.
2. Issue a **cautionary letter**: a warning, not a sanction.
3. **Discipline:** find a violation and propose a sanction.

So: After investigating, staff close the case, send a cautionary letter, or propose a sanction.



ENFORCEMENT

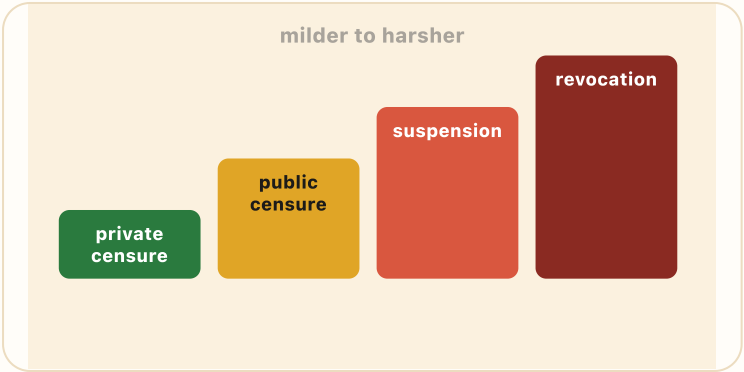
Accept the sanction or ask for a hearing

If staff propose a sanction, the member or candidate chooses:

- **Accept** it, and the matter ends with that sanction.
- **Reject** it. The case then goes to a **hearing panel** drawn from the Disciplinary Review Committee, which hears both sides and decides whether there was a violation and what sanction fits.

So no one is sanctioned only on staff's word if they choose to contest it.

So: A person who rejects a proposed sanction gets a hearing before a panel of Disciplinary Review Committee members.

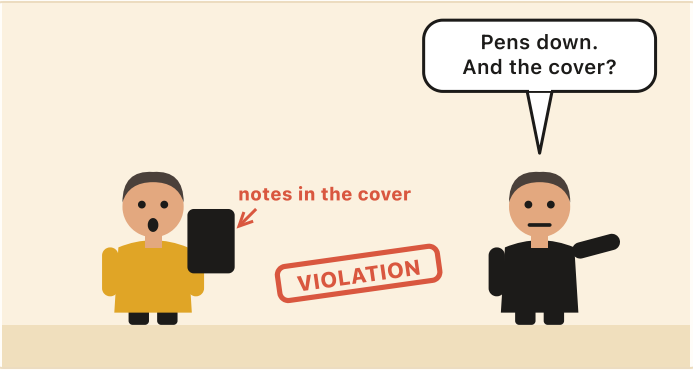


ENFORCEMENT

Sanctions in plain words

Who	Sanction	What it means
Member	Private censure	written rebuke, not published
Member	Public censure	published rebuke
Member	Suspension	lose membership and the right to use the CFA designation for a period
Member	Revocation	lose membership and the designation, permanently or indefinitely
Candidate	Suspension or prohibition, voided results	barred from the CFA Program for a period or for good; exam results cancelled

So: **Members: censure (private or public), suspension, revocation. Candidates: suspension or ban from the program, voided results.**



CASE

Bablu's well-dressed calculator

Bablu, a fictional Level I candidate, slips formula notes inside his calculator cover. The proctor spots them and files a report.

Who: a candidate, so bound. **Door:** a proctor report. **Standard:** VII(A) Conduct as Participants in CFA Institute Programs.

▼ Verdict

Violation. Staff investigate and propose a sanction. Likely outcome: his exam result is voided and he is suspended from the CFA Program for a period. Had he passed the exam without the notes ever being found, it would still be a violation; getting away with it changes nothing.

So: Exam misconduct by a candidate goes through the same conduct process and can void results and suspend candidacy.



EXAM TRAP

Enforcement: what the exam checks

- A **cautionary letter** is a warning, not a sanction.
- CFA Institute is **not a regulator**: it cannot fine, jail or ban anyone from the industry. Its power is over membership, the designation and the CFA Program.
- **Firms** and **non-members** are outside its reach.
- A member who disputes a proposed sanction gets a **hearing**; the case is not closed automatically.
- Self-disclosure on the annual Professional Conduct Statement is one of the ways an inquiry starts.
- Candidate sanctions are about the program: suspension, prohibition, voided results.

So: **Enforcement answers turn on three facts: who is bound, what the outcomes are, and what CFA Institute cannot do.**



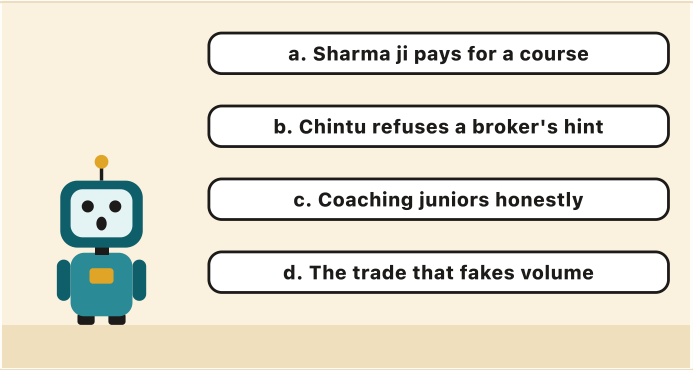
THE CODE

The Code of Ethics in six lines

Members and candidates must:

1. Act with **integrity, competence, diligence and respect**, ethically, towards the public, clients, employers, colleagues and other market participants.
2. Put the **profession's integrity and clients' interests above their own**.
3. Use **reasonable care and independent professional judgment**.
4. **Practise professionally and ethically, and encourage others to.**
5. **Promote the integrity and viability of global capital markets** for the ultimate benefit of society.
6. **Maintain and improve their competence**, and help others improve theirs.

So: Six Code lines: integrity, clients first, care and independent judgment, professionalism, healthy markets, competence.



PRACTISE IT

Which Code line? Four office moments

a. Sharma ji pays for a course on credit derivatives because his fund now buys them.

b. Chintu keeps his own rating after a broker hints he should raise it.

c. A charterholder coaches juniors on how to handle client complaints honestly.

d. A member refuses to trade back and forth with a friend just to make a stock look busy.

▼ Answers

a: line 6, competence. b: line 3, independent judgment. c: line 4, encourage others to practise ethically (and line 6). d: line 5, integrity of capital markets.

So: Each Code line has a recognisable everyday form; learn to spot it.



THE MAP

The seven Standards on one page

The Code is six broad principles. The **Standards of Professional Conduct** turn them into seven groups of specific rules, 23 sub-standards in all:

I. Professionalism (5)

II. Integrity of Capital Markets (2)

III. Duties to Clients (5)

IV. Duties to Employers (3)

V. Investment Analysis, Recommendations, and Actions (3)

VI. Conflicts of Interest (3)

VII. Responsibilities as a CFA Institute Member or CFA Candidate (2)

Memory hook: **P**inky **C**an't **C**heat **E**very **I**nvestor, **C**FA **R**ules. CFA Institute

So: Seven Standards: Professionalism, Capital markets, Clients, Employers, Investment analysis, Conflicts, Responsibilities as member or candidate.



THE MAP, STANDARD I

Standard I: Professionalism

Sub-standard	In plain words
I(A) Knowledge of the Law	know and obey all laws and rules that apply, follow the stricter one, and dissociate from violations
I(B) Independence and Objectivity	do not give, ask for or accept gifts or pressure that could bend your own or someone else's judgment
I(C) Misrepresentation	do not knowingly say anything false or misleading about your work, analysis or qualifications
I(D) Misconduct	no dishonesty, fraud or deceit, and nothing that damages your professional reputation, integrity or competence
I(E) Competence	have and keep the skills your job needs (new in 2024)

So: Standard I: obey the stricter law, stay independent, do not mislead, do not cheat, stay competent.



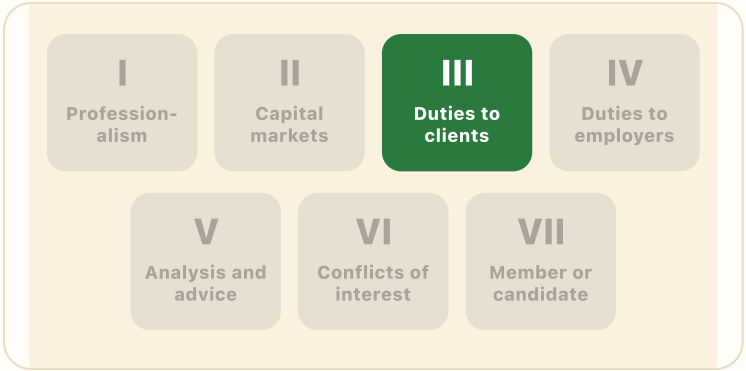
THE MAP, STANDARD II

Standard II: Integrity of Capital Markets

Sub-standard	In plain words
II(A) Material Nonpublic Information	if you have important news the market does not, do not trade on it or cause others to
II(B) Market Manipulation	do not distort prices or fake trading volume to mislead other investors

Both protect everyone who trades, not only your own clients. Pinky's favourite "bit of buzz" trade usually lands in II(B).

So: Standard II protects the market itself: no trading on inside news, no rigging prices or volume.



THE MAP, STANDARD III

Standard III: Duties to Clients

Sub-standard	In plain words
III(A) Loyalty, Prudence, and Care	clients' interests come before your employer's and your own; act with care
III(B) Fair Dealing	treat all clients fairly when giving advice or acting on it
III(C) Suitability	know the client's goals and limits; recommend only what fits them or the fund's mandate
III(D) Performance Presentation	show results fairly, accurately and completely
III(E) Preservation of Confidentiality	keep client information secret, unless it concerns illegal acts, the law requires it, or the client agrees

So: **Standard III: loyal, fair, suitable, honest about performance, and confidential.**

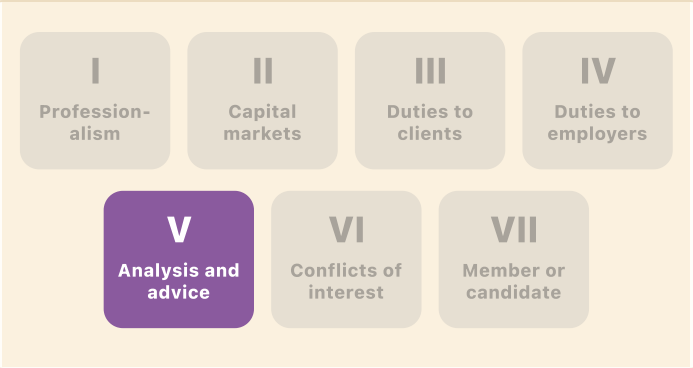


THE MAP, STANDARD IV

Standard IV: Duties to Employers

Sub-standard	In plain words
IV(A) Loyalty	work for your employer's benefit; do not take its clients, secrets or work, or harm it
IV(B) Additional Compensation Arrangements	no outside pay or benefits that compete or conflict with your employer's interest without written consent from all parties
IV(C) Responsibilities of Supervisors	make reasonable efforts so people you supervise follow the law and the Standards

So: **Standard IV: loyal to the employer, no conflicting side income without written consent, supervise properly.**



THE MAP, STANDARD V

Standard V: Investment Analysis, Recommendations, and Actions

Sub-standard	In plain words
V(A) Diligence and Reasonable Basis	do the homework; every recommendation needs a researched, reasonable basis
V(B) Communication with Clients and Prospective Clients	explain services and costs, your process, its risks and limits, the key factors, and separate fact from opinion
V(C) Record Retention	keep records that support your analysis, advice, actions and client communications

So: Standard V: do the work, explain it honestly, keep the evidence.

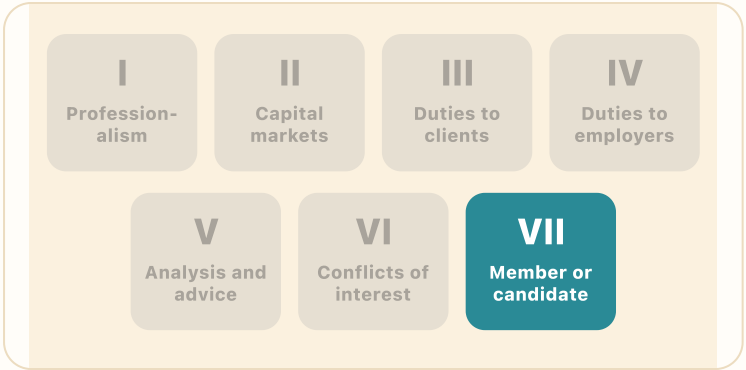


THE MAP, STANDARD VI

Standard VI: Conflicts of Interest

Sub-standard	In plain words
VI(A) Avoid or Disclose Conflicts	avoid conflicts, or disclose them fully, prominently and in plain language
VI(B) Priority of Transactions	clients' and your employer's trades go before trades you benefit from
VI(C) Referral Fees	tell your employer and clients about any payment or benefit for recommending products or services

So: **Standard VI: avoid or disclose conflicts, clients trade first, disclose referral fees.**



THE MAP, STANDARD VII

Standard VII: Responsibilities as a CFA Institute Member or CFA Candidate

Sub-standard	In plain words
VII(A) Conduct as Participants in CFA Institute Programs	no cheating, no leaking exam content, nothing that damages the integrity of CFA Institute or its programs
VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program	do not misrepresent or exaggerate what membership, the charter or candidacy means

"I passed Level I, so I will beat the market" is a VII(B) problem.

So: Standard VII: protect the exam and do not oversell the CFA name.

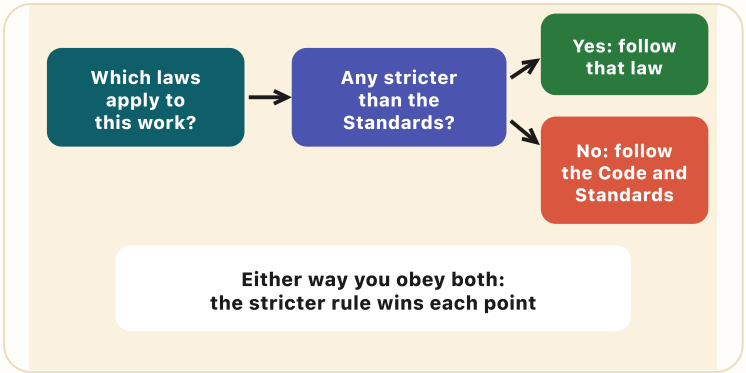


EXAM TRAP

Look-alike titles

Looks like	Real difference
III(A) vs IV(A)	loyalty to **clients** vs loyalty to the **employer**
I(B) vs VI(A)	gifts or pressure that bend judgment vs any conflict to avoid or disclose
III(E) vs IV(A)	**client** secrets vs the **employer's** confidential information
I(C) vs VII(B)	misleading about work or yourself vs exaggerating the CFA charter or candidacy
I(C) vs III(D)	any misstatement vs presenting performance results

So: When two titles sound alike, ask who is protected: clients, the employer, the market or CFA Institute.



KEY RULE

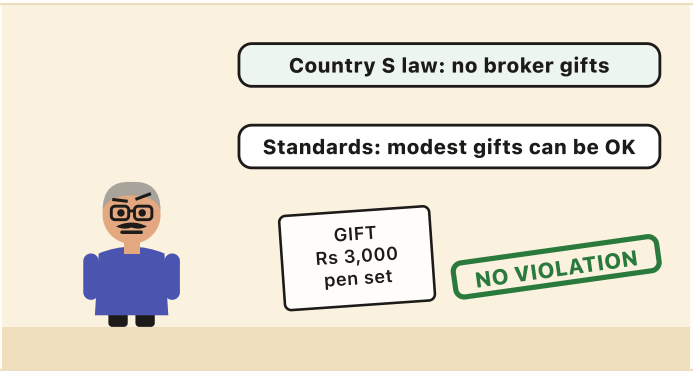
Follow the stricter of the law and the Standards

Standard **I(A) Knowledge of the Law**: understand and obey all applicable laws, rules and regulations, including the Code and Standards. Where they conflict, follow the **more strict** one.

- Find **every law that applies**: where you live, where you do business, where the client is.
- Law stricter than the Standards: follow the law.
- Standards stricter, or no relevant law: follow the Standards.

The Standards never permit breaking a law, and a law never excuses breaking a stricter Standard.

So: Always apply the stricter of the applicable law and the Code and Standards, point by point.



WORKED EXAMPLE

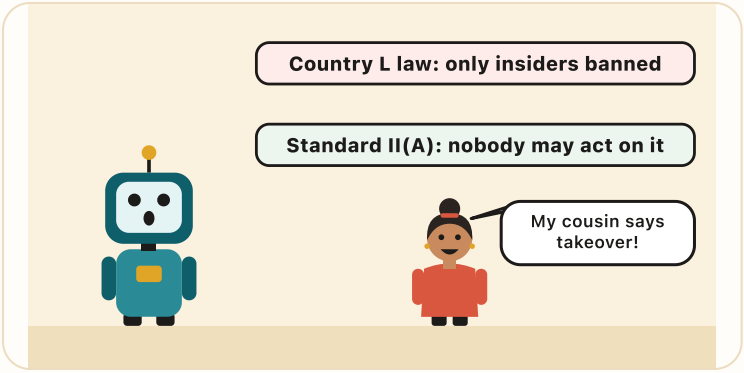
Case A: the local law is stricter

Sharma ji works in Country S, whose law bans fund managers from accepting *any* gift from brokers. A broker sends a Rs 3,000 pen set. Under the Standards alone, a modest gift that could not reasonably affect his judgment might be acceptable.

1. Applicable rules: Country S law and the Standards.
2. Which is stricter on gifts? The law: it bans all of them.
3. So the law wins on this point.

Sharma ji must return the pen set. Following the Standards does not excuse breaking a stricter local law.

So: **When local law is stricter than the Standards, follow the law.**



WORKED EXAMPLE

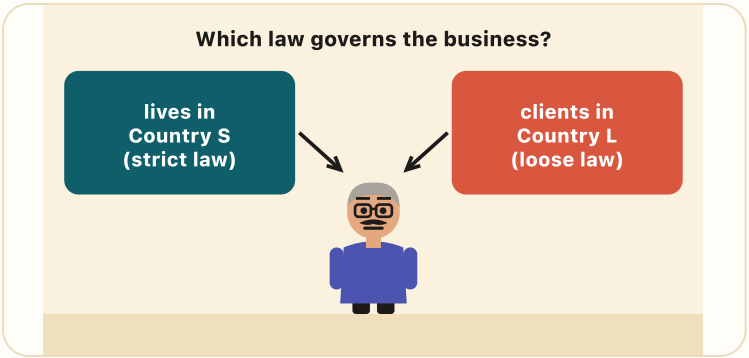
Case B: the local law is less strict

Chintu works in Country L, where only company insiders are banned from trading on inside news. Pinky's cousin at Kesar Foods leaks an unannounced takeover; Pinky passes it to Chintu.

1. Who: Chintu is a candidate, so the Standards apply. Pinky is not.
2. Country L law: Chintu is not an insider, so trading is legal there.
3. Standard II(A): anyone with material nonpublic information must not act on it. Stricter.
4. So the Standard wins.

Chintu must not trade or pass the tip on. Pinky is outside the Standards; whether she can trade depends only on Country L law.

So: **When the Standards are stricter than local law, follow the Standards.**



WORKED EXAMPLE

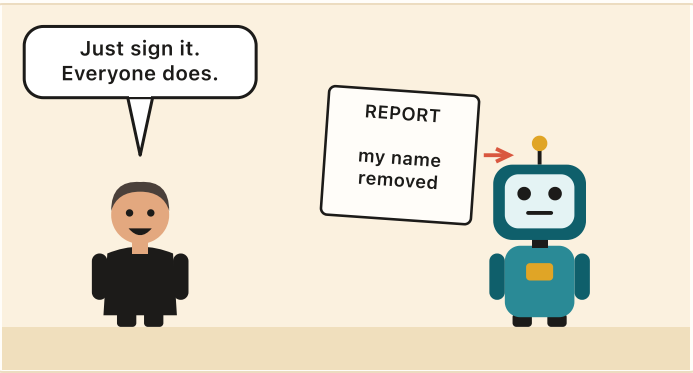
Case C: where you live versus where you work

Sharma ji lives in Country S (strict law) but runs money for clients in Country L (loose law, looser than the Standards).

1. If only Country L law governs this business: L is less strict than the Standards, so follow the **Standards**.
2. If Country S law also governs him (it applies to its residents wherever they work) and it is stricter than the Standards: follow **Country S law**.
3. If neither country has a relevant law: follow the **Standards**.

Work out which laws actually apply, then follow the strictest of those laws and the Standards. A looser law in the place of business never lowers the bar.

So: Residence versus place of business only decides which laws apply; the stricter-rule test is the same.



RELATED RULE

When others break the law: dissociate

I(A) also says: do not **knowingly participate in or assist** a violation, and **dissociate** from it. Staying silent while knowing can count as assisting.

How to dissociate: raise it with your supervisor or compliance first; refuse to work on it; take your name off the report or product; in extreme cases, resign.

The Standards do **not** require you to report the matter to a government regulator unless the law requires it, though doing so may be wise. Reporting a member's violation to CFA Institute is encouraged, not required.

So: Faced with a violation, dissociate: escalate internally, refuse to take part, and remove your name.

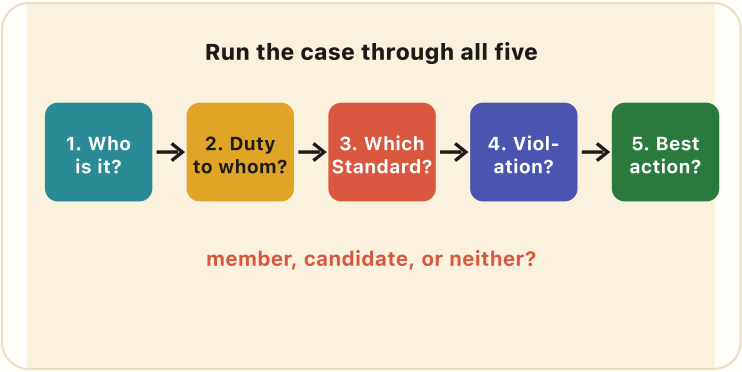


EXAM TRAP

Law and the Standards: the wording tricks

- "Follow local law because you work there": wrong if the Standards are stricter.
- "Follow the Standards even though local law is stricter": wrong; the stricter law wins.
- "Must report the violation to the regulator": not required by the Standards, unless the law requires it.
- "Must resign immediately": rarely the first step; dissociate first.
- "The Standards override the law": no, they stack on top of it.

So: **The right answer is nearly always "the stricter of the two", plus dissociation if others are breaking the rule.**

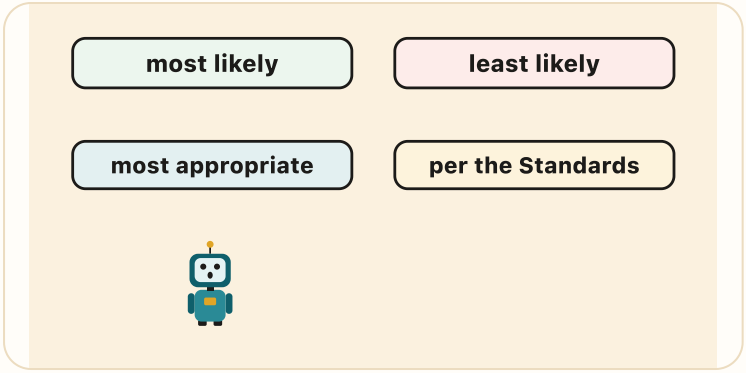


EXAM METHOD

Five questions for any ethics case

1. **Who is it?** Member, candidate or neither. Neither means the Standards do not apply to that person.
2. **What duty, to whom?** Clients, employer, the market, CFA Institute.
3. **Which Standard?** Name the sub-standard, using the look-alike checks.
4. **Is there a violation?** Compare what happened with what the Standard requires, not with what feels fair.
5. **What is the most appropriate action?** The step the handbook recommends, usually disclose, get consent, escalate or dissociate.

So: Who, duty, Standard, violation, action: answer all five before reading the options.



EXAM METHOD

Reading the question stem

- **"Most likely"**: pick the best fit, even if another option is partly true.
- **"Least likely"** or **"does not"**: you are looking for the false statement or the action that complies. Circle the word before reading options.
- **"Most appropriate action"**: the best of the three; it can be imperfect.
- **"According to the Standards"**: use the Standards, not local law or the firm's policy.
- **"Required"** versus **"recommended"**: recommended procedures are good practice, not rules. Skipping one is not automatically a violation.

So: Underline the stem's key word (most, least, required, recommended) before you look at the options.



EXAM TRAP

Distractor patterns

- **Right verdict, wrong reason:** "Violation, because he made a loss." The reason must match a Standard.
- **Extreme action:** resign at once, sue, call the regulator. Usually the right first step is to disclose, ask, escalate or dissociate.
- **"It was legal"** or **"firm policy allows it"**: not a defence if the Standards are stricter.
- **Non-member "violates":** the Standards do not bind them.
- **"Disclosure fixes everything":** some conflicts must be avoided, and some things need written consent.

So: Eliminate options with the wrong reason, the wrong person, or an extreme action; the survivor is usually right.



WORKED EXAMPLE

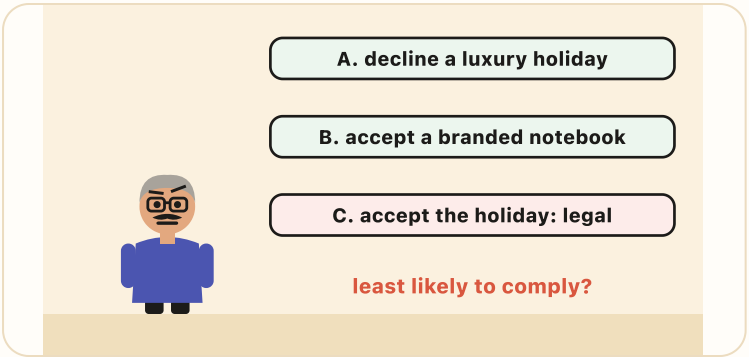
Walkthrough 1: a "most likely" question

Pinky (not a member or candidate) tells Chintu (a Level I candidate) about an unannounced takeover of Kesar Foods. Chintu buys 500 shares for himself. Who **most likely** violated the CFA Standards? A. Pinky only. B. Chintu only. C. Both.

1. Who: Pinky is neither, so she cannot violate the Standards. Chintu is a candidate.
2. Duty: to the integrity of the market.
3. Standard: II(A) Material Nonpublic Information.
4. Violation: Chintu acted on material nonpublic information. Yes.

B. Chintu only. Pinky may still be breaking the law, but that is not a CFA Standards question.

So: **Check who the person is before judging what they did.**



WORKED EXAMPLE

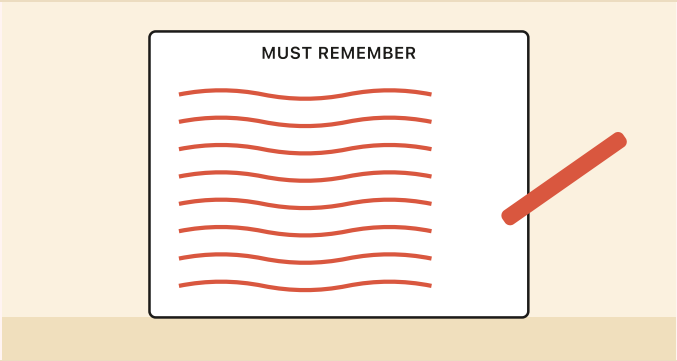
Walkthrough 2: a "least likely" question

Sharma ji's country allows managers to accept any gift from brokers. Which action is **least likely** to comply with the Standards?

1. Who: Sharma ji is a member, so the Standards apply.
2. Stricter rule: local law allows all gifts, so I(B) Independence and Objectivity is stricter.
3. A complies: declining is always allowed. B complies: a modest token cannot reasonably sway judgment.
4. C fails: a luxury holiday could reasonably compromise independence; "it was legal" is not a defence.

C. Least likely means find the action that breaks the Standards.

So: **In a "least likely to comply" question, the answer is the one violation hiding among compliant actions.**

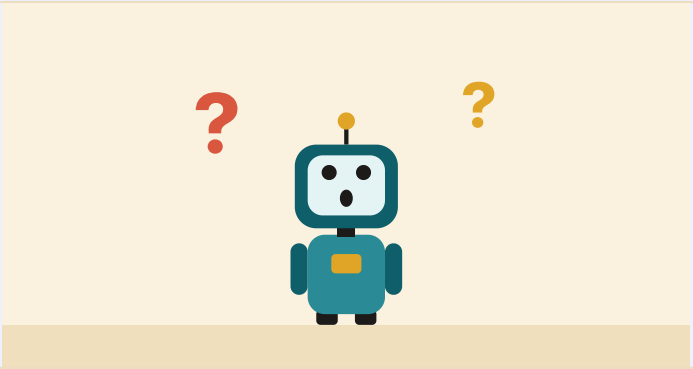


SHARMA JI'S RED PEN

8 things to remember

1. Bound: members and candidates. Not bound: non-members, firms.
2. 2024 Code; handbook 12th edition. New I(E); VI(A) Avoid or Disclose Conflicts.
3. Inquiries: self-disclosure, complaints, media, proctors, exam materials.
4. Outcomes: no action, cautionary letter, or sanction (reject it: hearing).
5. Members: censure, suspension, revocation. Candidates: suspension, voided results.
6. Code: integrity, clients first, care, professionalism, markets, competence.
7. 7 Standards, 23 sub-standards: know titles and who each protects.
8. Follow the stricter of law and Standards; dissociate from violations.

So: **Scribbled by Sharma ji on the Code and enforcement chapter.**



EXAM QUESTION 1 OF 10

The CFA Institute Code of Ethics and Standards of Professional Conduct apply to:

A. every employee of a firm that employs at least one CFA charterholder

B. CFA Institute members and CFA Program candidates

C. anyone who works in the investment industry

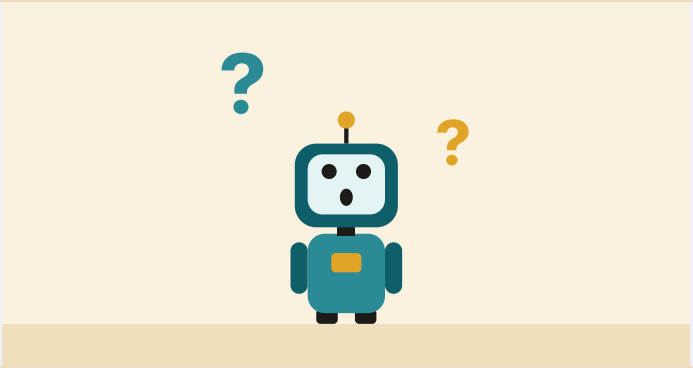
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

The CFA Institute Code of Ethics and Standards of Professional Conduct apply to:

Answer: B. B is right: the Code and Standards bind members (including charterholders) and candidates. A is wrong: firms and their other staff are not bound just because they employ a charterholder. C is wrong: non-members are outside CFA Institute's reach.



EXAM QUESTION 2 OF 10

Which is least likely a way a Professional Conduct Program inquiry begins?

A. A member discloses a pending lawsuit on her Professional Conduct Statement

B. An exam proctor reports a candidate's behaviour

C. A member's portfolio underperforms its benchmark for a year

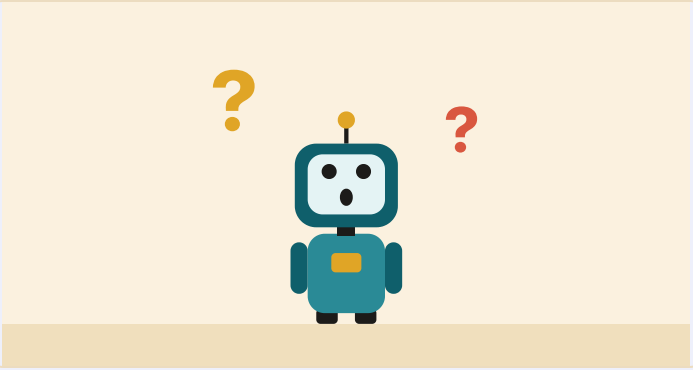
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which is least likely a way a Professional Conduct Program inquiry begins?

Answer: C. C is right: poor performance is not misconduct and is not an inquiry source. A is wrong: self-disclosure on the annual statement is a listed source. B is wrong: proctor reports are a listed source.



EXAM QUESTION 3 OF 10

After investigating a member, Professional Conduct staff are least likely able to:

A. issue a cautionary letter

B. fine the member's employer

C. conclude that no disciplinary action is needed

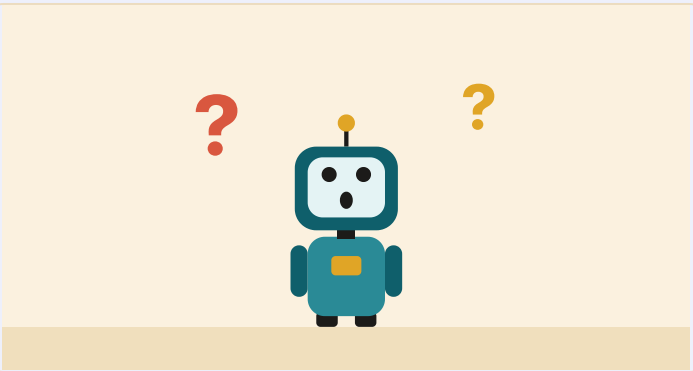
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

After investigating a member, Professional Conduct staff are least likely able to:

Answer: B. B is right: CFA Institute is not a regulator and has no power over firms, so it cannot fine an employer. A and C are wrong because both are standard outcomes of an investigation, along with proposing a sanction.



EXAM QUESTION 4 OF 10

A member rejects the sanction proposed by Professional Conduct staff. What most likely happens next?

A. A hearing panel of Disciplinary Review Committee members hears the case

B. The case is closed with no sanction

C. The national securities regulator decides the case

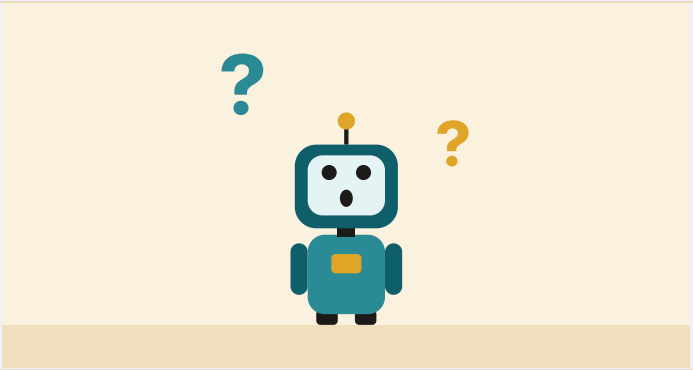
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

A member rejects the sanction proposed by Professional Conduct staff. What most likely happens next?

Answer: A. A is right: rejecting a proposed sanction sends the matter to a hearing panel drawn from the Disciplinary Review Committee. B is wrong: rejection does not end the case. C is wrong: CFA Institute's process is internal peer review, not a regulator's decision.



EXAM QUESTION 5 OF 10

A Level I candidate is found to have brought notes into the exam room. Which sanction is most likely available?

A. Revocation of his CFA charter

B. Public censure of his employer

C. Voiding his exam result and suspending him from the CFA Program

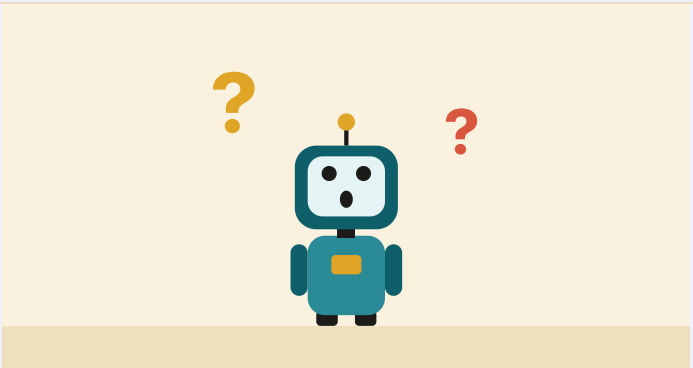
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

A Level I candidate is found to have brought notes into the exam room. Which sanction is most likely available?

Answer: C. C is right: candidate sanctions are about the program: voided results and suspension or prohibition. A is wrong: he has no charter to revoke. B is wrong: CFA Institute does not sanction employers.



EXAM QUESTION 6 OF 10

Which of the following is least likely part of the CFA Institute Code of Ethics?

A. Promote the integrity and viability of the global capital markets for the ultimate benefit of society

B. Maximise clients' returns relative to their benchmarks

C. Maintain and improve professional competence

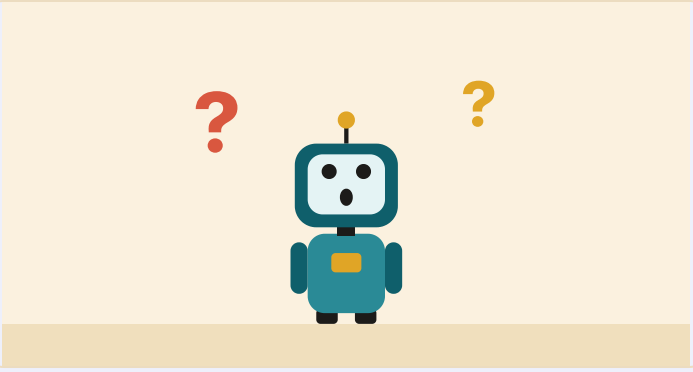
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which of the following is least likely part of the CFA Institute Code of Ethics?

Answer: B. B is right: the Code says nothing about beating benchmarks; it is about integrity, client interests, care, professionalism, markets and competence. A and C are wrong because both are lines of the Code.



EXAM QUESTION 7 OF 10

"Preservation of Confidentiality" is a sub-standard under which Standard?

A. III Duties to Clients

B. IV Duties to Employers

C. VII Responsibilities as a CFA Institute Member or CFA Candidate

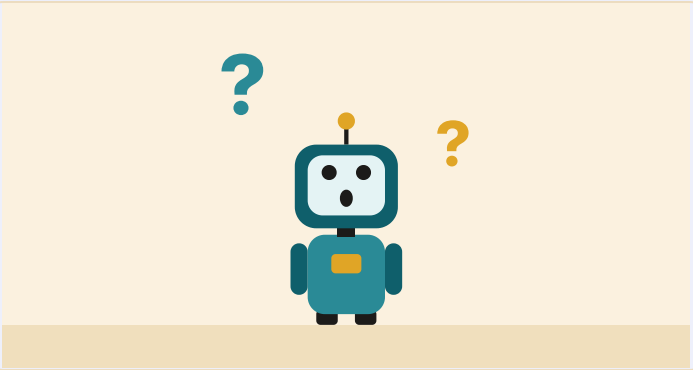
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

"Preservation of Confidentiality" is a sub-standard under which Standard?

Answer: A. A is right: III(E) Preservation of Confidentiality protects current, former and prospective clients' information. B is wrong: the employer's confidential information falls under IV(A) Loyalty. C is wrong: Standard VII covers the CFA Program and references to the designation.



EXAM QUESTION 8 OF 10

A charterholder works in a country whose securities law is stricter than the Code and Standards on a point. She should most likely:

A. follow the Code and Standards, because they apply worldwide

B. follow the local law

C. follow whichever rule her employer prefers

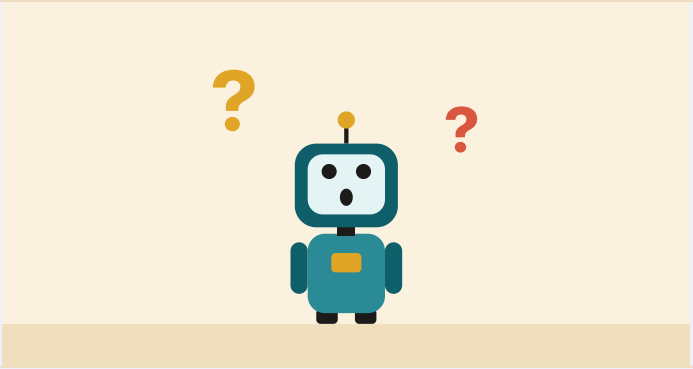
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

A charterholder works in a country whose securities law is stricter than the Code and Standards on a point. She should most likely:

Answer: B. B is right: Standard I(A) requires following the stricter of the applicable law and the Standards, here the law. A is wrong: the Standards never permit breaking a stricter law. C is wrong: employer preference is not the test.



EXAM QUESTION 9 OF 10

A member lives in a country with no securities laws and serves clients in a country whose less strict law governs that business. She should most likely follow:

A. the Code and Standards

B. the law of the country where her clients are

C. no particular rule, since neither country is strict

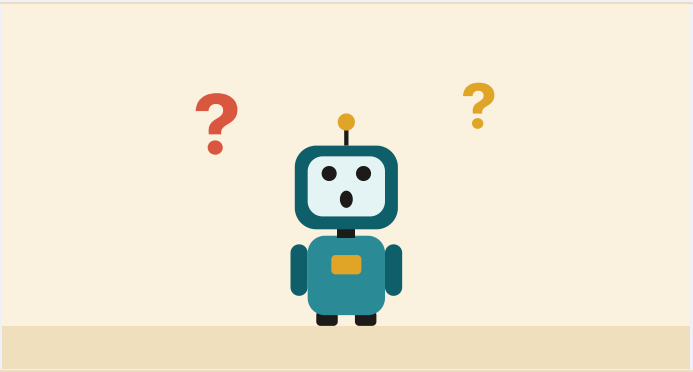
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

A member lives in a country with no securities laws and serves clients in a country whose less strict law governs that business. She should most likely follow:

Answer: A. A is right: the only applicable law is less strict than the Standards, so the stricter rule is the Code and Standards. B is wrong: following the looser law would let her breach the Standards. C is wrong: the Standards always apply to a member.



EXAM QUESTION 10 OF 10

Chintu, a candidate, discovers his team is helping a client break securities law. According to the Standards, he is required to:

A. report the matter to the securities regulator at once

B. do nothing, as long as he does not personally take part

C. dissociate from the activity, for example by raising it with compliance and refusing to take part

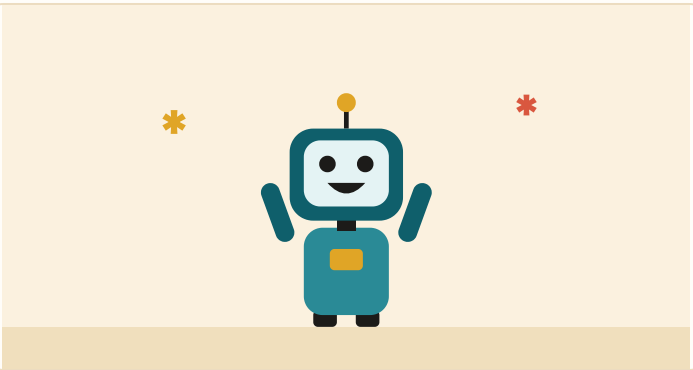
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Chintu, a candidate, discovers his team is helping a client break securities law. According to the Standards, he is required to:

Answer: C. C is right: Standard I(A) requires him not to participate or assist and to dissociate from the violation. A is wrong: the Standards do not require reporting to regulators unless the law does. B is wrong: knowingly staying involved or silent can amount to assisting.



CHAPTER 2 DONE

The Code and its enforcement: done

You now know who the Code and Standards bind, how a case starts and ends in the Professional Conduct Program, the sanctions, the six Code lines, the seven Standards and their 23 sub-standards by exact title, the stricter-rule test across countries, and a five-question method for any ethics question.

So: Swipe on, or jump to another chapter from the Menu.



BEFORE YOU START

The cast, and words this chapter uses

A Mumbai investment firm. Sharma ji trusts nothing without data ("Data dikhao"); Pinky is sure of everything, especially when wrong.

- **Candidate:** anyone enrolled in the CFA Program; bound by the Standards from enrolment.
- **Compliance:** the team inside a firm that checks staff follow laws and firm rules.
- **Issuer:** the company whose shares or bonds are analysed or sold.
- **Sell side, buy side:** brokers who publish research; fund managers who buy securities.
- **Investment banking:** the bank unit that raises money for companies, for fees.

So: **You can start this chapter cold. Everything it needs is on this card.**



STORY

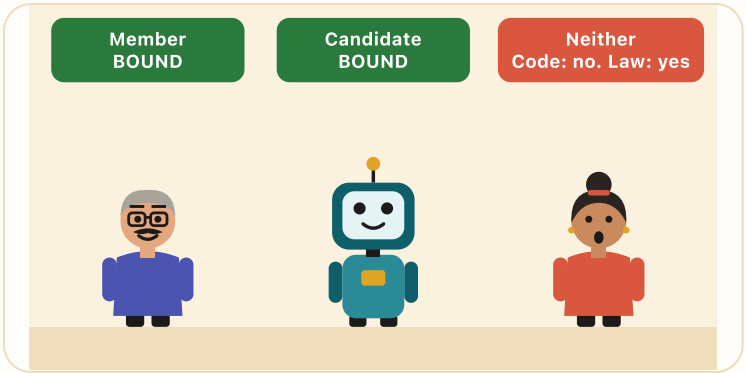
Five temptations before lunch

9:05 am at a Mumbai fund house. Chintu, a Level I candidate, finds five things waiting: a request to skip a compliance check "just this once", a broker's Diwali hamper, a pitch deck promising "guaranteed 18%", a colleague's family dinner filed as client entertainment, and a derivatives mandate nobody on the team understands.

Sharma ji: "Five problems, one Standard. Professionalism. Data dikhao: which part is which?"

Standard I of the CFA Institute Code of Ethics and Standards of Professional Conduct (updated effective 1 January 2024) has five parts: **I(A) Knowledge of the Law, I(B) Independence and Objectivity, I(C) Misrepresentation, I(D) Misconduct, I(E) Competence**.

So: **Standard I asks five things of a professional: obey the rules, stay unbiased, tell the truth, behave honestly, and be able to do the job.**



PICTURE IT

Who the Standards bind

The Code and Standards bind CFA Institute **members** and **candidates**. A candidate is bound from enrolling in the CFA Program, so Chintu is covered before he passes anything.

Pinky is a trader but neither a member nor a candidate. The Standards do not apply to her. Laws and her firm's rules still do.

Employers are not bound by the Standards, though many adopt the Code. A member answers for his or her own conduct whatever the firm does.

Exam habit: before asking "which Standard?", ask "is this person a member or candidate?"

So: No member or candidate, no Standards violation, though a legal problem may remain.



I(A) KNOWLEDGE OF THE LAW

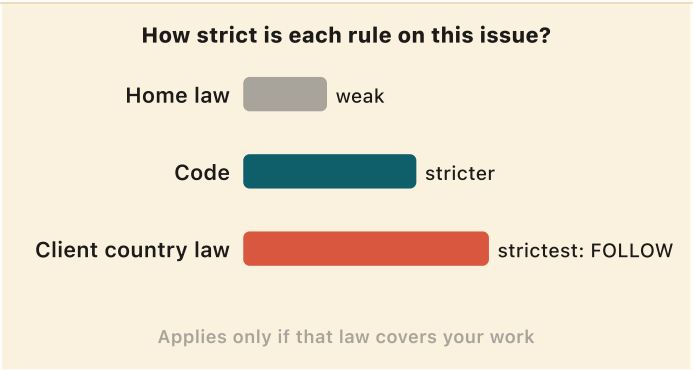
I(A) Knowledge of the Law, in plain words

Understand and comply with every law, rule and regulation that governs your professional work. That includes governments, regulators, licensing bodies, professional bodies, and the Code and Standards themselves.

- Where the law and the Code differ, follow the **stricter**.
- Do not **knowingly** take part in or assist any violation.
- **Dissociate** from any violation you know about.

You need not be a lawyer. You must know the rules of your own job and ask compliance or legal counsel when unsure.

So: Know the rules of your job, follow the stricter of law and Code, never knowingly help a breach, and dissociate from one.



I(A) KNOWLEDGE OF THE LAW

Stricter rule wins, even across borders

List every rule that governs the activity: your home law, and the law where you do business if that law says it applies to you. Then compare each with the Code and follow the **stricter**.

Situation	Follow
No relevant law	Code
Law weaker than the Code	Code
Law stricter than the Code	Law
Weak home law, but a stricter client country law applies to you	Client country law

Compare issue by issue: a law can be stricter on disclosure while the Code is stricter on gifts.

So: Find every rule that applies, then obey the strictest one; weak local law is never an excuse.



I(A) KNOWLEDGE OF THE LAW

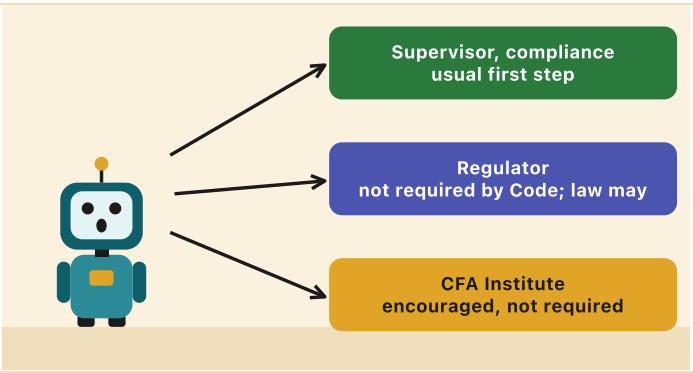
Dissociate: what it means in practice

Dissociating means separating yourself from the wrongdoing. Keeping quiet while carrying on is not enough.

- Raise it with your supervisor or the compliance department. Confronting the person directly can also help.
- Refuse to work on the matter: take your name off the report, step off the account or project.
- Keep a record of what you saw and did.
- If the violation continues and the firm will not act, resigning may be the only way out.

Inaction plus continued involvement can be read as knowing participation.

So: **Escalate, step away, write it down; resign only if the breach goes on.**



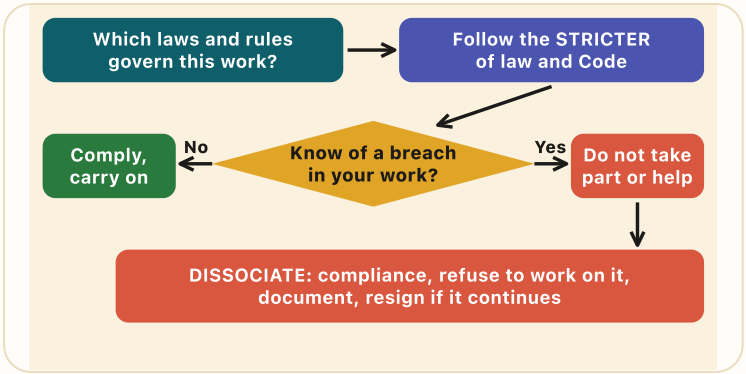
I(A) KNOWLEDGE OF THE LAW

Whistleblowing: what is required and what is not

Tell	Required by the Standards?
Supervisor or compliance	The usual first step of dissociating
Regulator or other authority	No. It may be appropriate, and some laws require it
CFA Institute Professional Conduct Program (it investigates breaches)	No, but strongly encouraged for breaches by members or candidates

Acting against an employer's interests to protect clients or the integrity of the market, and not for personal gain, does not breach the duty of loyalty to the employer.

So: The Standards require dissociation, not a report to the regulator; the law may require more.



I(A) KNOWLEDGE OF THE LAW

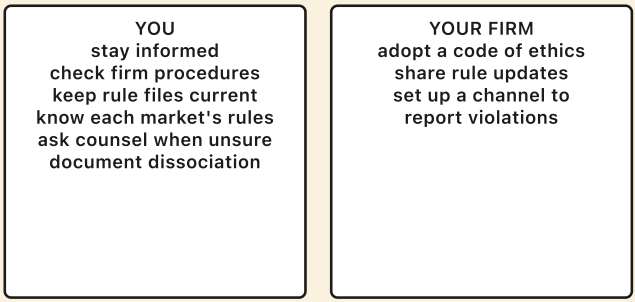
I(A) decision flowchart

Use it on any I(A) question:

1. Which rules govern the activity? Include the Code.
2. Which is stricter on this issue? Follow that.
3. Is someone, you included, breaking a rule? If you know it, you must not take part or assist.
4. Dissociate: escalate, step away, document, and resign only if it continues.

The exam usually asks for the **most appropriate first action**. That is almost always going to the supervisor or compliance, not the regulator or the exit.

So: **Rules first, stricter rule second, then dissociate from any breach you know about.**

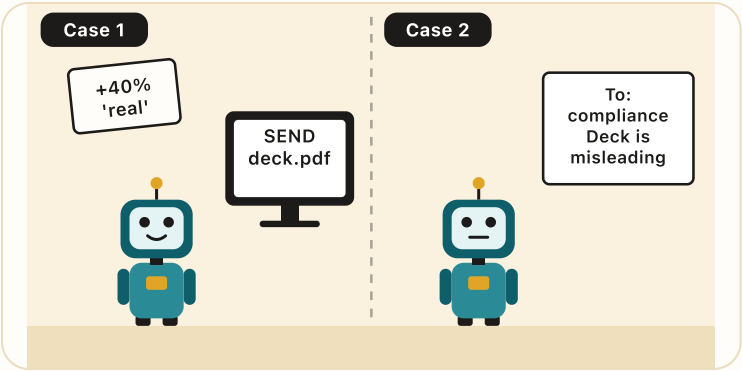


I(A) KNOWLEDGE OF THE LAW

I(A) recommended procedures

Who	What to do
Member or candidate	Stay informed on rules and changes; check the firm's compliance procedures are adequate; keep reference files on applicable laws current; know the rules in each country where you sell; seek compliance or legal advice when unsure; document any dissociation
Firm	Develop or adopt a code of ethics; give staff information on applicable laws; set up procedures for reporting violations

So: **Members keep up and escalate; firms write the code, share the rules and build a reporting channel.**



I(A) CASE PAIR

The juiced-up pitch deck

Case 1. Chintu finds the firm's pitch deck shows returns from before the fund existed as if they were real. He tells Kapoor, the sales head, who shrugs. Chintu keeps emailing the deck to prospects: "Sales owns it."

▼ **Verdict 1**

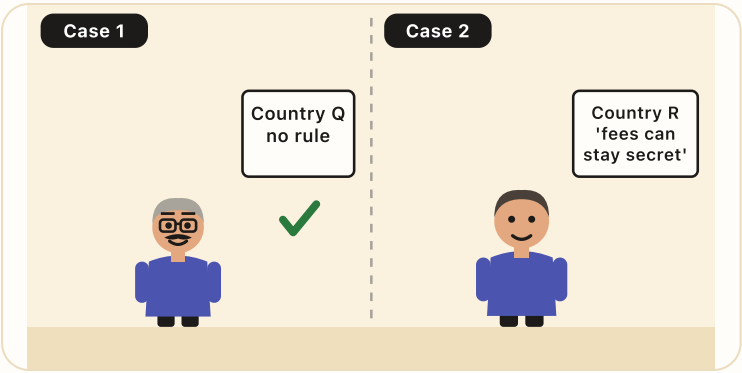
Violation of I(A). The deck breaches the Code. He knows it and keeps helping spread it. He had to stop and escalate.

Case 2. Same discovery. Chintu stops sending the deck, writes to compliance with details, asks to be taken off the mailing, and keeps a copy of his note.

▼ **Verdict 2**

No violation. Dissociation done right. No report to the regulator was required.

So: Knowing about a breach and continuing to help is participation; stopping, escalating and documenting is the fix.



I(A) CASE PAIR

No law there, so anything goes?

Case 1. Sharma ji runs a fund from Mumbai for clients in Country Q, which has no rules on disclosing conflicts. A colleague says: "No law there, so no disclosure." Sharma ji discloses the conflicts anyway, as the Code requires.

▼ **Verdict 1**

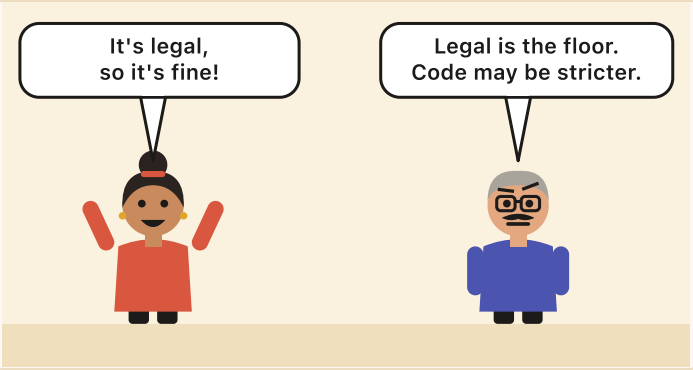
No violation. With no stricter law, the Code is the standard to meet.

Case 2. Country R's law lets advisers keep referral fees secret. Ravi, a charterholder there, takes fees for sending clients to a broker and tells no one. The Code requires disclosing referral fees to clients.

▼ **Verdict 2**

Violation. The Code is stricter, so it governs. Local permission is no defence.

So: When the Code asks more than the law, the Code wins.

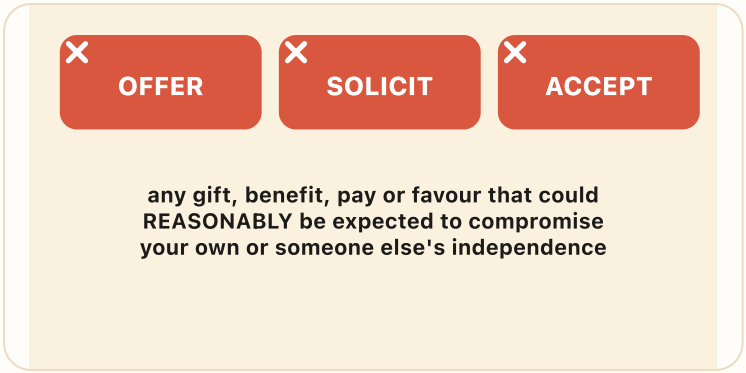


EXAM TRAP

I(A) traps

- "Legal" is not the finish line. If the Code is stricter, legal conduct can still violate I(A).
- Options saying you **must** report to the regulator are usually wrong. The Standards do not require it; a specific law might.
- Resigning is the last step of dissociating, not the first.
- Silence is not neutral when you keep working on the matter.
- "Knowingly": unknowingly helping someone else's breach is not participation, but ignorance of your own job's rules is no excuse.
- Pinky is not a member or candidate. Her breach is a legal problem, not a Standards violation.

So: Stricter rule, knowing participation, dissociation before resignation, and no duty to report to regulators: the four I(A) pivots.



I(B) INDEPENDENCE AND OBJECTIVITY

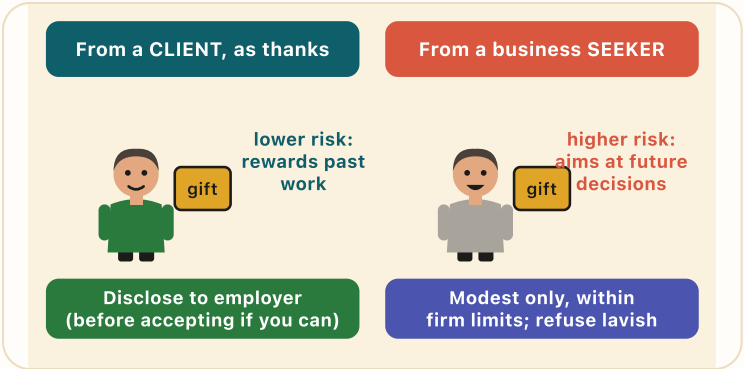
I(B) Independence and Objectivity, in plain words

Use reasonable care and judgment to **achieve and maintain** independence and objectivity in your professional work.

Do not **offer, solicit or accept** any gift, benefit, compensation or consideration that could reasonably be expected to compromise your own or someone else's independence and objectivity.

The test is how it reasonably looks, not whether you felt swayed. Clients need advice driven by facts, not by who paid for lunch.

So: Giving, asking and taking are all covered; the test is whether it could reasonably compromise judgment.



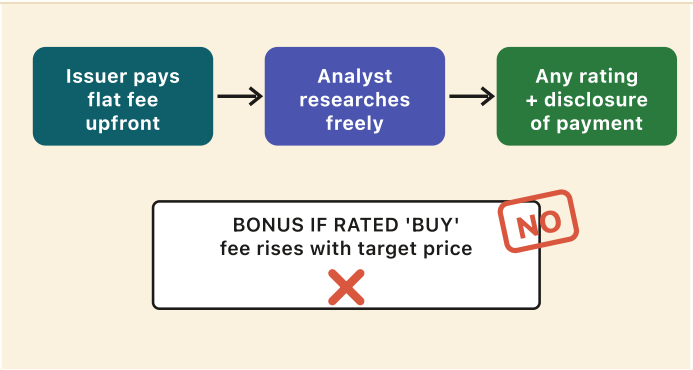
I(B) INDEPENDENCE AND OBJECTIVITY

Gifts: who is giving changes the rule

From	Risk	Rule
Client, as thanks	Lower: rewards past work	Disclose to employer, before accepting where possible, otherwise after
Broker, issuer or manager seeking business	Higher: aims at future decisions	Only modest gifts and entertainment within firm limits

The Standard sets no money limit; firms set one. Sweets at Diwali or a business dinner is usually modest. A family holiday is not. A client bonus tied to **future** performance needs the employer's written consent under IV(B) Additional Compensation Arrangements.

So: Client thank-yous: disclose. Gifts from people who want something: modest or refuse.



I(B) INDEPENDENCE AND OBJECTIVITY

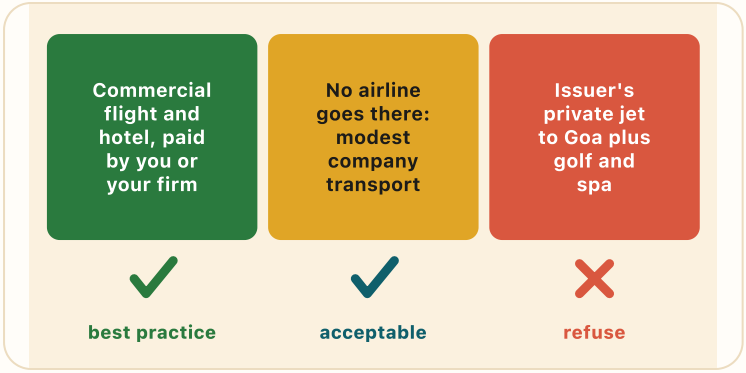
Issuer-paid research

Small companies often pay for research to get noticed. That is allowed, with guardrails:

- a **flat fee**, agreed before the work starts;
- pay **not linked** to the conclusions or the rating;
- thorough, independent, unbiased analysis;
- the report **discloses** that the issuer paid and the nature of the payment.

A bonus for a Buy rating breaks I(B). So does a fee that grows with the target price.

So: Issuer-paid research is fine only with a flat, unconditional fee and full disclosure.



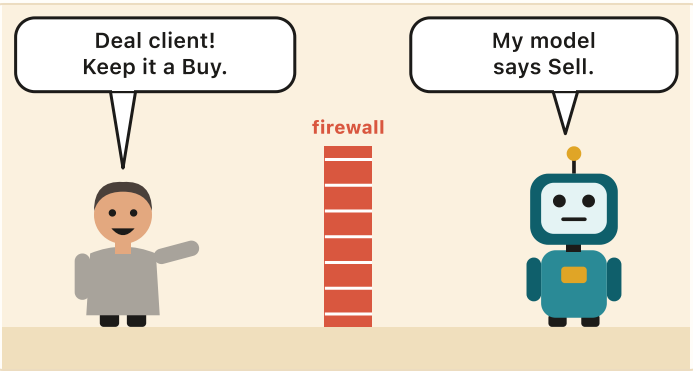
I(B) INDEPENDENCE AND OBJECTIVITY

Company visits: who pays for the trip

A company invites analysts to see its new plant. The visit is useful. Who pays is the issue.

- **Best practice:** you or your firm pay for commercial travel and hotels.
- Where commercial transport is not available, such as a remote mine, modestly arranged travel from the company is acceptable.
- Refuse lavish extras: charter jets where airlines fly, luxury resorts, golf weekends.

So: Pay your own way where you can; accept only modest help where you cannot.



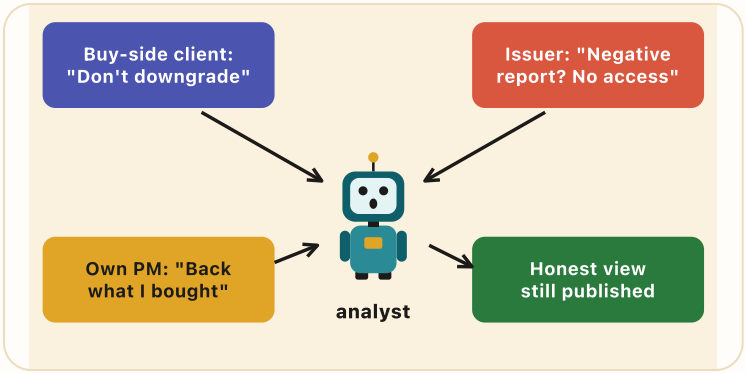
I(B) INDEPENDENCE AND OBJECTIVITY

Pressure from investment banking

Sell-side firms earn banking fees from issuers. Bankers may want a friendly rating on a deal client. The analyst must publish an honest view anyway.

- Firms separate research from banking with **firewalls**, so bankers cannot direct research.
- Analyst pay should not depend on banking deals.
- If the firm will not publish negative views on a deal client, it should put the company on a **restricted list** and publish only factual information, rather than biased research.

So: A rating reflects the analyst's honest view or it is not published; it is never bent for a banking client.



I(B) INDEPENDENCE AND OBJECTIVITY

Pressure from clients, issuers and your own firm

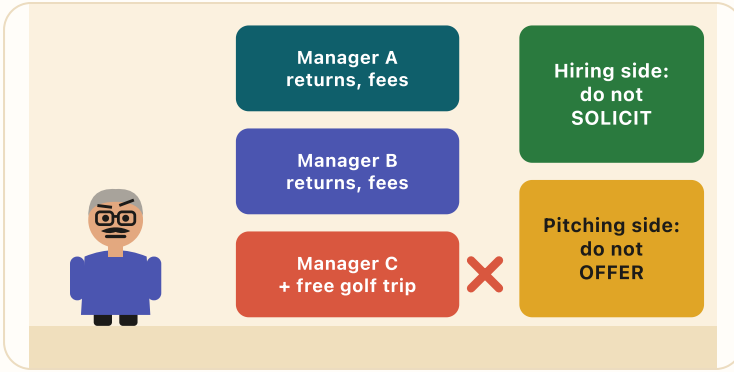
Buy-side clients: a fund manager holding a stock, perhaps a big commission payer, leans on a sell-side analyst not to downgrade it.

Issuers: a company threatens to cut an analyst out of calls and meetings after a negative report.

Your own firm: a portfolio manager whose performance depends on a holding pushes in-house analysts to stay positive.

Same answer every time: listen to anyone, but let no one write your rating.

So: Pressure from clients, companies or colleagues never changes the analysis.



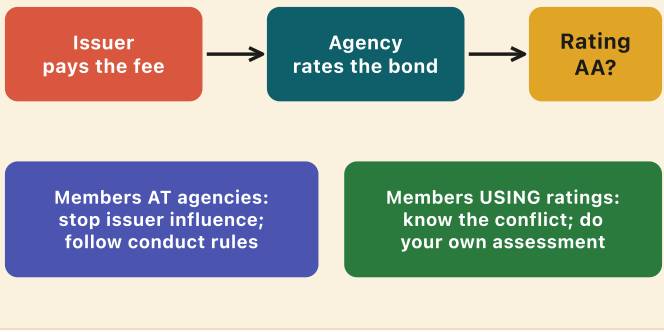
I(B) INDEPENDENCE AND OBJECTIVITY

Choosing managers and custodians

Fund manager and custodial relationships: members who hire and keep outside managers, custodians (banks that hold clients' securities) or other service providers must not accept gifts, entertainment or travel that could be seen as swaying the choice. A fund-of-funds manager wined and dined by a manager seeking money is the classic case.

Manager selection: both sides are covered. The hiring side, such as pension staff or consultants, must not solicit favours. The side pitching for the mandate must not offer anything that could reasonably sway the decision.

So: When a mandate or a custody contract is being chosen, nobody on either side trades favours.



I(B) INDEPENDENCE AND OBJECTIVITY

Credit rating agencies

Credit rating agencies grade the default risk of bonds, and are usually paid by the issuers they rate. That creates pressure to rate generously.

- **Members working at an agency** should make sure procedures stop the issuer influencing the analysis, and follow their agency's and the industry's conduct rules on analysis and report distribution.
- **Members who use ratings** should know about the conflict and consider whether an independent credit assessment is needed, instead of relying on the rating alone.

So: The issuer-pays model is a built-in conflict: raters guard their process, users check for themselves.

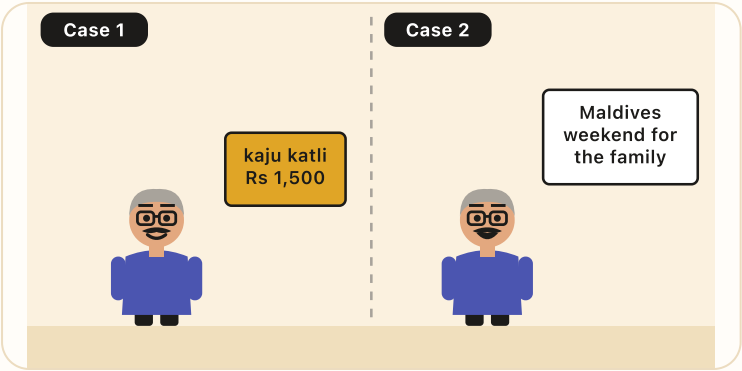


I(B) INDEPENDENCE AND OBJECTIVITY

I(B) recommended procedures

1. **Protect the integrity of opinions:** every report reflects the analyst's honest view.
2. **Restricted list** for companies the firm will not cover negatively, such as deal clients.
3. **Restrict special cost arrangements:** pay for your own travel.
4. **Limit gifts:** token items only, with a firm value limit.
5. **Restrict investments:** rules on staff buying IPOs and private placements.
6. **Review procedures:** supervise compliance with these rules.
7. **Independence policy:** a formal written policy on research independence.
8. **Appointed officer:** a senior person who oversees independence.

So: Honest opinions, restricted list, own travel, gift limits, IPO rules, supervision, written policy, an officer in charge.



I(B) CASE PAIR

Kaju katli or the Maldives?

Case 1. Before Diwali, a broker who wants more of Sharma ji's orders sends a Rs 1,500 box of kaju katli and invites the team to a working dinner. The firm's gift limit is Rs 5,000. Sharma ji accepts both and logs them.

▼ **Verdict 1**

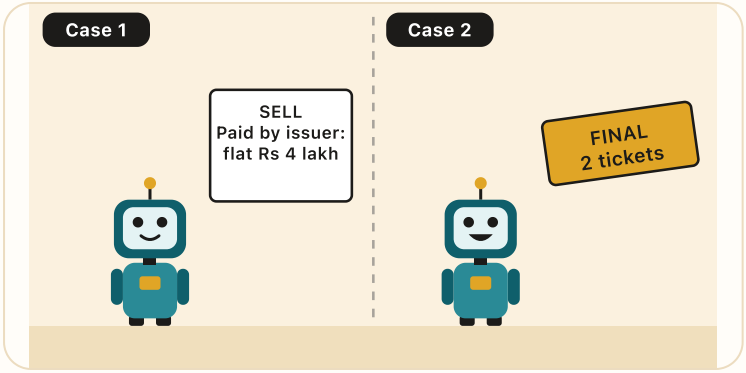
No violation. Modest, within the firm limit, recorded.

Case 2. The same broker offers Sharma ji and his family a paid weekend at a Maldives resort "to discuss research ideas". He accepts.

▼ **Verdict 2**

Violation. A lavish gift from someone seeking business could reasonably be expected to compromise where his orders go.

So: Modest and logged passes; lavish from someone who wants business fails.



I(B) CASE PAIR

Paid report and the cricket tickets

Case 1. SmallCap Pumps pays Chintu's firm a flat Rs 4 lakh, agreed upfront, for a research report. The fee is the same whatever the rating. The report says Sell and states who paid and how.

▼ **Verdict 1**

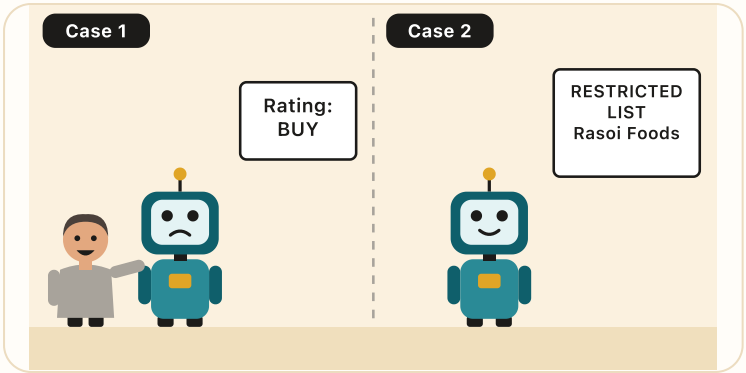
No violation. Flat fee, independent view, full disclosure.

Case 2. Mrs Mehta, a client for ten years, gives Chintu two cricket final tickets after a strong year. He accepts and never tells his firm.

▼ **Verdict 2**

Violation. Client gifts are allowed, but they must be disclosed to the employer, before accepting where possible.

So: Payment that cannot bend the view is fine; a client gift hidden from the employer is not.



I(B) CASE PAIR

The banker and the Buy rating

Case 1. Bankers working on Rasoi Foods' bond issue ask Chintu to keep his Buy. His updated model now says Sell. He changes nothing "to keep the peace".

▼ **Verdict 1**

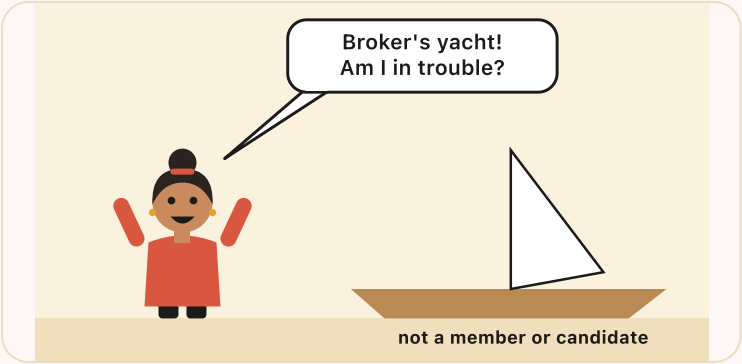
Violation. The published rating no longer reflects his honest view.

Case 2. Same pressure. Chintu tells compliance. The firm puts Rasoi on its restricted list and publishes only factual notes until the deal closes.

▼ **Verdict 2**

No violation. A restricted list avoids publishing biased research.

So: Never keep a rating you no longer believe; if the firm cannot publish honestly, it should not publish opinions at all.



EXAM TRAP

I(B) traps

- The test is "could reasonably be expected to compromise". Whether you were actually swayed is irrelevant.
- Client gifts are not banned. Undisclosed ones are the problem.
- Offering counts as much as accepting. A manager offering a lavish trip to win a mandate violates I(B).
- Issuer-paid research is allowed; pay contingent on the rating is not.
- Paying your own way is best practice; company-arranged travel should be modest and is meant for places commercial travel does not reach.
- Pinky on the yacht: not a member or candidate, so no Standards violation, though firm policy may apply.

So: Reasonable appearance, disclosure of client gifts, flat fees and modest travel are the I(B) checkpoints.



I(C) MISREPRESENTATION

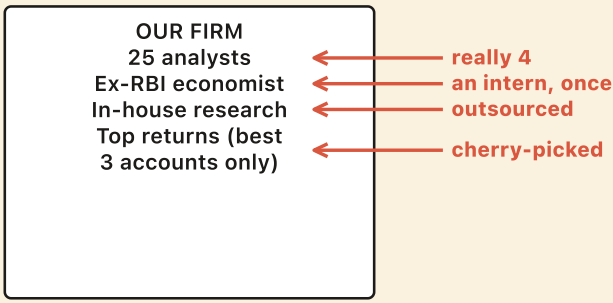
I(C) Misrepresentation, in plain words

Do not **knowingly** make any misrepresentation about investment analysis, recommendations, actions or other professional activities.

A misrepresentation is any untrue statement, any **omission** of a fact, or any statement that is otherwise false or misleading. Spoken, written, emailed, in a brochure or on social media: all count.

It covers your qualifications, your firm's services, performance records, and the risk and features of investments.

So: Anything you knowingly say, write, post or leave out that misleads is a misrepresentation.

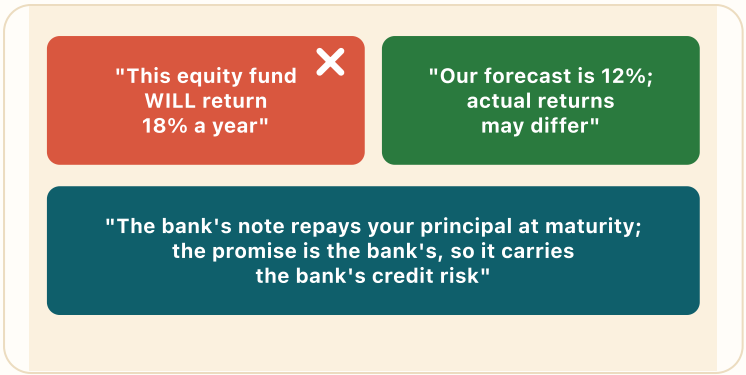


I(C) MISREPRESENTATION

Omissions, qualifications and outsourced work

- **Omissions:** a true statement can still mislead. Model returns shown without the key assumptions, or results from only the best accounts, mislead by leaving facts out.
- **Qualifications:** do not overstate degrees, experience, licences or team size.
- **Services:** do not claim the firm offers what it cannot deliver.
- **Outsourcing:** if research or management is done by outside firms, such as sub-advisers, say so. Presenting it as in-house misrepresents the service.

So: Half truths, inflated credentials and hidden outsourcing all count as misrepresentation.



I(C) MISREPRESENTATION

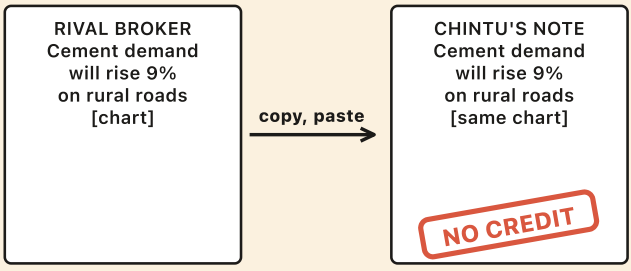
Guarantees: the most dangerous word in a pitch

You must not guarantee a specific return on investments whose value can fall, like shares or most mutual funds. Promising what markets decide is a misrepresentation.

You **may** describe a guarantee that really exists in the product, such as a structured note whose issuer promises the principal, or an insured deposit. Describe it accurately, including who stands behind it.

Forecasts are fine when presented as forecasts, not as facts.

So: **Never guarantee a market return; describe a real product guarantee accurately.**



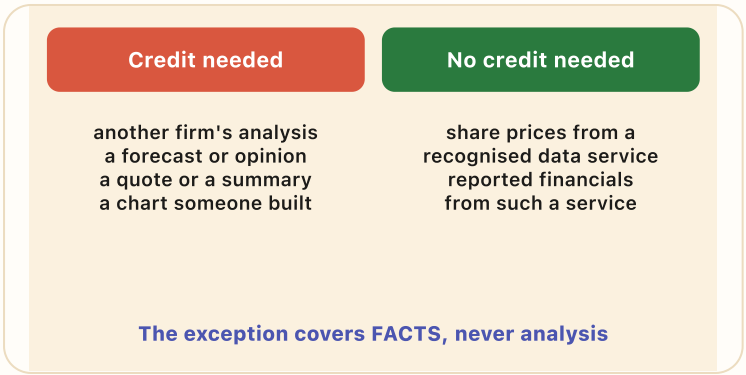
I(C) MISREPRESENTATION

Plagiarism: copying without credit

Plagiarism means copying or using, in substantially the same form, material others prepared without acknowledging the source and author. It includes:

- quoting an analyst or report without naming them;
- paraphrasing someone's analysis as your own;
- using others' charts, graphs or forecasts without saying where they came from;
- copying a proprietary spreadsheet or model without permission;
- putting your name on a third-party report.

So: Reworded or not, someone else's work without credit is a misrepresentation of whose work it is.



I(C) MISREPRESENTATION

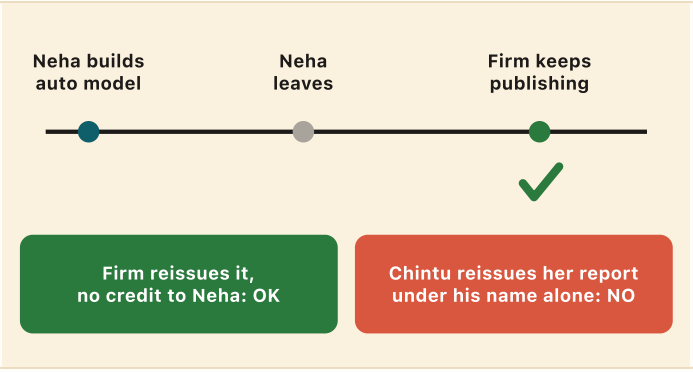
Using other people's research the right way

You may use research from outside your firm. Credit it: name the author or source when you quote, paraphrase or summarise. You still judge whether it is sound before relying on it.

The exception: factual information published by **recognised financial and statistical reporting services** or similar sources, such as prices or reported financials from an established data service, can be used without acknowledgment.

The exception is for facts, not for someone else's analysis, opinions or forecasts.

So: Credit every borrowed idea; plain facts from recognised reporting services need no footnote.



I(C) MISREPRESENTATION

Work done for your employer belongs to the firm

Research and models created while employed belong to the firm.

- The firm and colleagues can keep using a departed analyst's work, and the firm may issue later reports without crediting the original analyst.
- You cannot reissue a report someone else wrote under your name alone.
- You cannot take research or models from an old employer and use them at a new job without permission. That also breaches the duty of loyalty to the old employer.

So: The firm owns work done on its time; it may reuse it, but no individual may claim it.

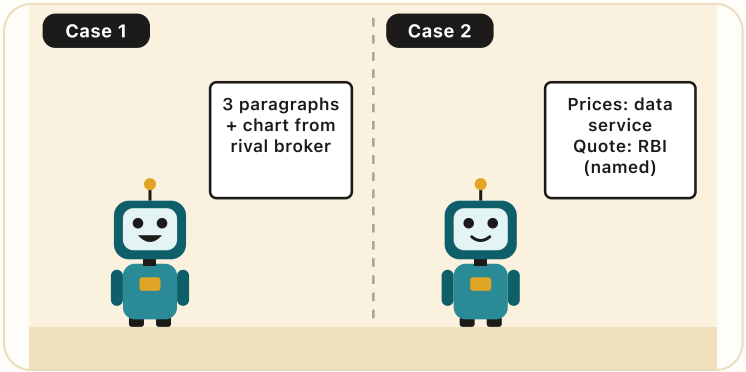


I(C) MISREPRESENTATION

I(C) recommended procedures

- **Factual presentations:** firms give staff a written list of the services the firm offers and its qualifications.
- **Qualification summary:** each member keeps an accurate summary of their own qualifications, experience and services.
- **Verify outside information:** check that third-party material you pass to clients, such as a product's marketing, is accurate.
- **Maintain webpages:** keep websites current and correct.
- **Plagiarism policy:** keep copies of sources, attribute direct quotes, attribute paraphrases and summaries.

So: **Write down what you really offer, check what others say about you, and keep your sources.**



I(C) CASE PAIR

Copied chart, cited prices

Case 1. Chintu's cement note lifts three paragraphs and a demand chart from a rival broker's report, with no credit. "The ideas were obvious anyway."

▼ **Verdict 1**

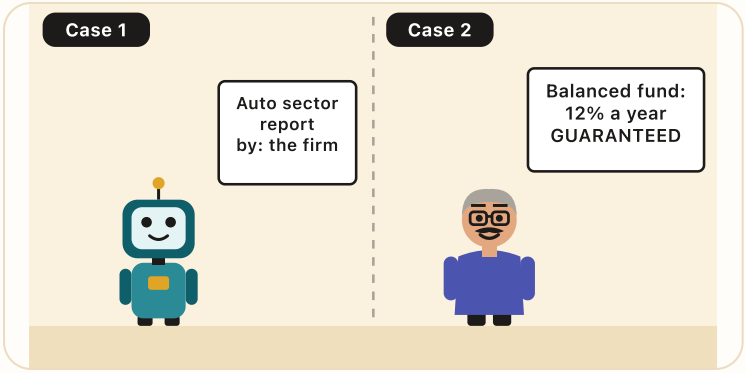
Violation. Copying others' words and chart without acknowledgment is plagiarism.

Case 2. His next note uses closing prices and quarterly sales from an established market data service without a footnote, and quotes an RBI statement with the source named.

▼ **Verdict 2**

No violation. Facts from recognised reporting services need no credit; the quote is attributed.

So: Borrowed analysis needs credit; recognised factual data does not.



I(C) CASE PAIR

Neha's model and the 12% promise

Case 1. Neha built the firm's auto sector model, then left. Chintu updates it, and the firm keeps publishing the sector report under its own name without naming Neha.

▼ **Verdict 1**

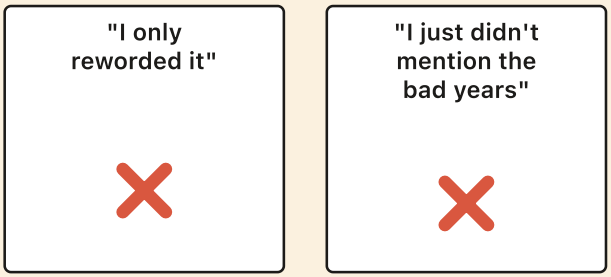
No violation. Work done for the firm is the firm's property.

Case 2. Sharma ji approves a brochure saying "Our balanced fund guarantees 12% a year." The fund holds shares and bonds.

▼ **Verdict 2**

Violation. The fund's value can fall. Guaranteeing a return misrepresents it.

So: Firm property may be reused without credit; market returns may never be guaranteed.

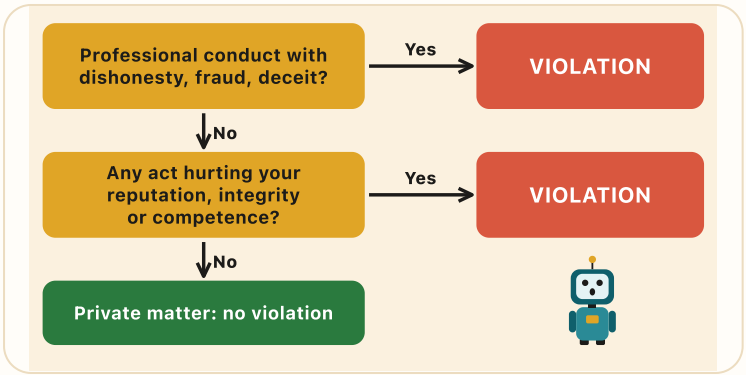


EXAM TRAP

I(C) traps

- "Knowingly": an honest error you did not know about is not a violation, but carrying on once you know makes it knowing.
- Omissions count. A misleading half truth is still a misrepresentation.
- Paraphrasing is not a loophole for plagiarism.
- Facts from recognised data services: no credit. Analysis, opinions, forecasts: credit.
- A real product guarantee may be described; a market return may not be promised.
- Misusing the CFA designation falls under VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program. Other false credentials fall under I(C).

So: Knowing, omissions count, paraphrase is still plagiarism, facts are exempt, guarantees only when real.



I(D) MISCONDUCT

I(D) Misconduct, in plain words

Do not engage in **professional conduct involving dishonesty, fraud or deceit**, and do not commit **any act that reflects adversely on your professional reputation, integrity or competence**.

The Standard does not police your private life. Personal behaviour becomes a violation when it involves dishonesty, fraud or deceit, or damages your trustworthiness or ability to do the job.

Conduct can violate I(D) without being illegal.

So: Dishonesty at work, or anything that undermines trust in you as a professional, is misconduct.



I(D) CASE PAIR

Long lunches and a peaceful protest

Case 1. Raj, a charterholder and fund manager, drinks heavily at long lunches most days and comes back to place client trades. Errors pile up.

▼ **Verdict 1**

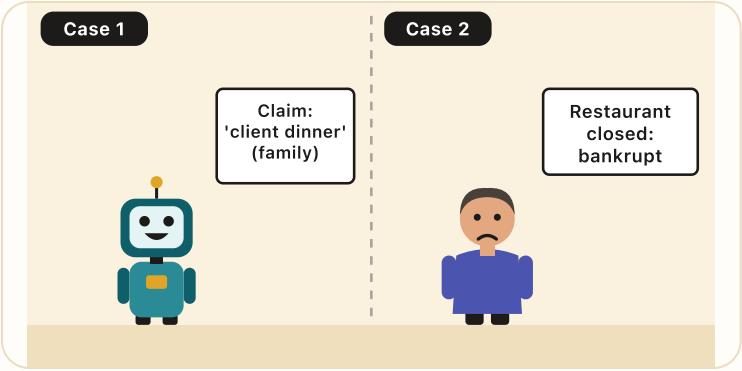
Violation. The behaviour damages his competence at work and reflects badly on his professional integrity.

Case 2. Sharma ji is arrested at a peaceful protest against cutting trees in a Mumbai forest and released the same day.

▼ **Verdict 2**

No violation. Peaceful civil disobedience involves no dishonesty and says nothing about his professional integrity or competence.

So: Ask whether the act touches honesty or fitness for the job, not whether it was embarrassing or even illegal.



I(D) CASE PAIR

The dinner bill and the failed restaurant

Case 1. Chintu files a family dinner as "client entertainment" on his expense claim.

▼ **Verdict 1**

Violation. A false expense claim is dishonesty in professional conduct, whatever the amount.

Case 2. Ravi's restaurant side business fails and he files for personal bankruptcy. He hides nothing from creditors.

▼ **Verdict 2**

No violation. Bankruptcy alone does not reflect on integrity. Hiding assets or lying to creditors would be fraud, and a violation.

So: Small lies at work are misconduct; honest money trouble is not.



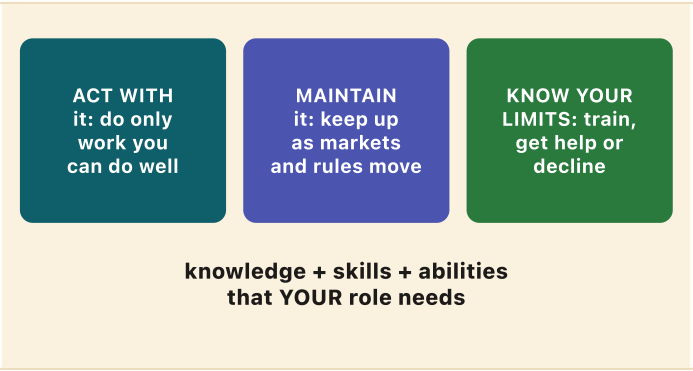
EXAM TRAP

I(D) firm procedures and traps

Firms should: adopt a code of ethics; tell staff which acts are violations and what the sanctions are; check references and backgrounds before hiring.

- Not illegal does not mean no violation: heavy drinking at work can be misconduct.
- Illegal does not always mean violation: an arrest at a peaceful protest is not.
- Small amounts do not excuse dishonesty. A Rs 2,000 padded claim is still deceit.
- Lying on a CV or job application is misconduct.
- A purely personal dispute or debt problem, with no dishonesty, is usually not misconduct.

So: Honesty and fitness for the job decide I(D), not legality or the size of the amount.



I(E) COMPETENCE

I(E) Competence, in plain words

Act with and **maintain** the competence needed to fulfil your professional responsibilities. This Standard was added in the 2024 update of the Code and Standards.

Competence means the knowledge, skills and abilities your role needs. It has two halves:

- **Act with it:** do not take on work you cannot do properly without getting what you need first.
- **Maintain it:** keep up as markets, products, rules and tools change.

The bar depends on the role: a bond trader and a wealth adviser need different skills.

So: Be able to do the job you take on, and stay able as the job changes.



I(E) COMPETENCE

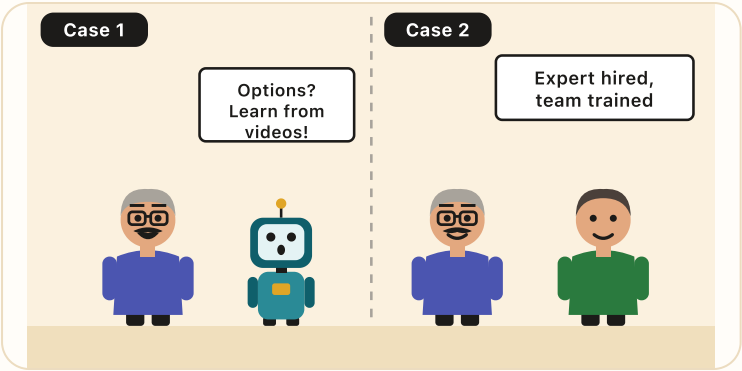
What staying competent looks like

- Honestly assess whether you can do a task before taking it on.
- If not: train first, bring in a qualified colleague or outside expert, or decline.
- Understand the models, software and data tools you rely on: what they do, their limits, when they fail.
- Keep learning through continuing education, new rules and new products.

Firms: train staff, give work to people able to do it, and supervise.

Competence differs from diligence: I(E) asks whether you have the ability; V(A) Diligence and Reasonable Basis asks whether you applied care to a particular analysis.

So: Assess, close the gap or decline, understand your tools, keep learning.



I(E) CASE PAIR

The currency options mandate

Case 1. Sharma ji's firm wins a mandate to run a currency options portfolio. Nobody on the team has traded options. Sharma ji accepts and tells Chintu to learn from online videos.

▼ **Verdict 1**

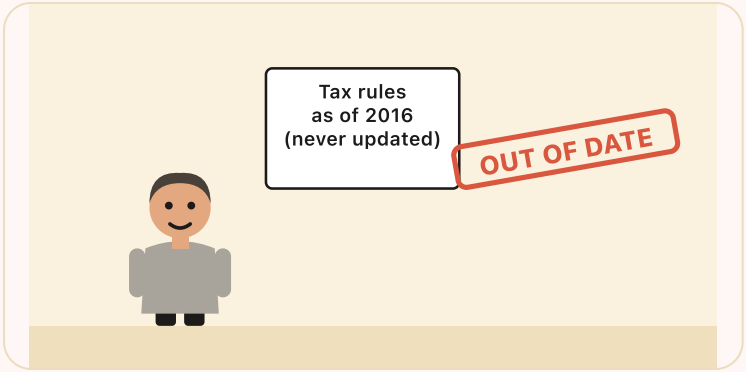
Violation. He took on responsibilities without the competence to fulfil them and did nothing to close the gap.

Case 2. Same mandate. Before trading, Sharma ji hires an experienced options manager, trains the team, and starts with tight risk limits.

▼ **Verdict 2**

No violation. He put the needed competence in place before acting.

So: Taking on work beyond your skills is a violation; closing the gap first is compliance.



EXAM TRAP

I(E) traps

- Competence is not a title. Passing exams does not settle it, and having no charter does not mean incompetence.
- "Maintain" is ongoing. An adviser still applying tax rules that changed years ago fails it.
- Getting help is compliance, not weakness: an expert, training first, or declining all satisfy I(E).
- One honest mistake by a capable person is not automatically a competence failure.
- Do not mix up I(E) with V(A): ability versus care on one analysis.

So: Competence is ability kept current, not a credential; getting help counts as meeting it.



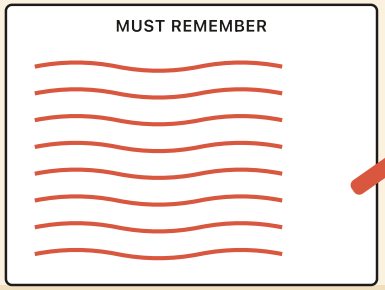
WHICH STANDARD?

Spot which part of Standard I it is

Situation	Standard
Keeps sending a deck she knows breaks the rules	I(A)
Takes a lavish trip from a broker seeking orders	I(B)
Calls a share fund "guaranteed"	I(C)
Pads an expense claim	I(D)
Accepts a mandate nobody can run	I(E)

Clue words decide most questions. Check first that the person is a member or candidate.

So: **Law and dissociation: A. Gifts and pressure: B. Untrue or copied: C. Dishonest conduct: D. Skills: E.**

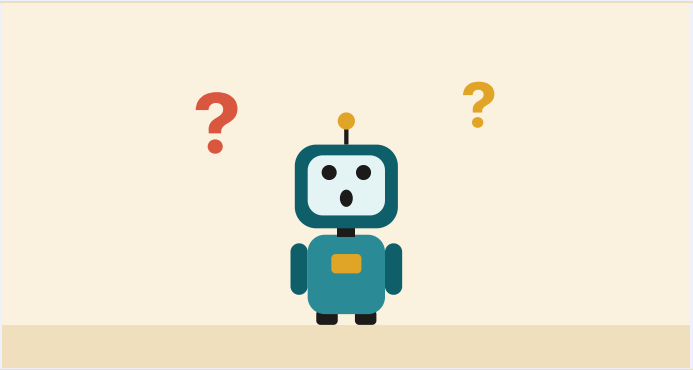


SHARMA JI'S RED PEN

8 things to remember

1. Standards bind members and candidates only. Pinky can break the law, not the Standards.
2. I(A): follow the stricter of law and Code; never knowingly help a breach.
3. Dissociate: compliance first, step away, document, resign last. No duty to tell regulators.
4. I(B): no offering, soliciting or accepting what could reasonably compromise you. Client gifts: disclose.
5. Issuer-paid research: flat fee, disclosed. Travel: pay your own way where you can.
6. I(C): no knowing lies or omissions, no guaranteed market returns, credit others' work. Data-service facts are exempt.
7. I(D): dishonesty at work or acts that damage professional integrity. Not a peaceful protest arrest.
8. I(E): be competent for the role and stay so; train, get help or decline.

So: **Scribbled by Sharma ji on the chapter summary.**



EXAM QUESTION 1 OF 10

Kavya, a CFA candidate, works where local law lets analysts accept any gift from issuers. The Code and Standards bar gifts that could reasonably compromise independence. Kavya should follow:

A. local law, because she works there.

B. her employer's policy, whatever it says.

C. the Code and Standards, because they are stricter.

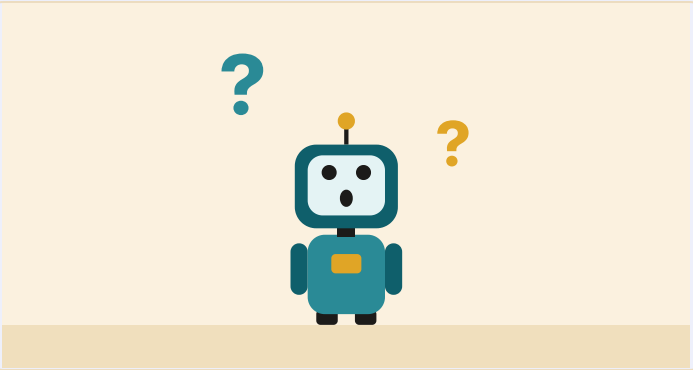
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

Kavya, a CFA candidate, works where local law lets analysts accept any gift from issuers. The Code and Standards bar gifts that could reasonably compromise independence. Kavya should follow:

Answer: C. I(A) says follow the stricter of the law and the Code; here the Code is stricter. A is wrong because a weaker local law never overrides a stricter Code. B is wrong because an employer policy weaker than the Code does not lower her obligation.



EXAM QUESTION 2 OF 10

Arjun, a charterholder, learns that a colleague is backdating trade tickets. His most appropriate first action is to:

A. report it to the securities regulator.

B. raise it with his supervisor or the compliance department.

C. resign from the firm immediately.

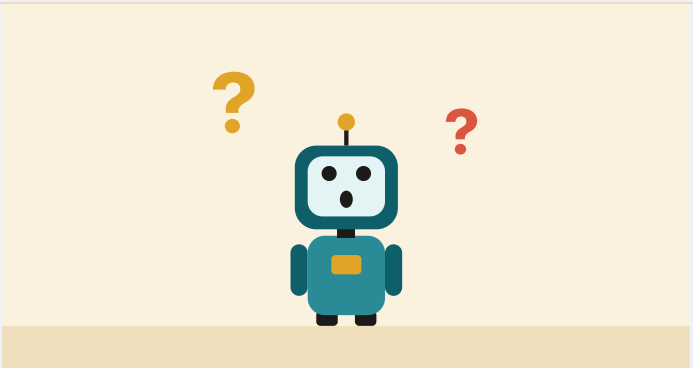
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

Arjun, a charterholder, learns that a colleague is backdating trade tickets. His most appropriate first action is to:

Answer: B. Dissociation starts with escalating inside the firm. A is not required by the Standards, though a law might require it. C skips the steps: resignation is a last resort if the violation continues.



EXAM QUESTION 3 OF 10

Which statement about reporting violations is most accurate under the Code and Standards?

A. Members are not required to report violations to regulators, though it may be appropriate or legally required.

B. Members must report every known legal violation to government authorities.

C. Members must never report outside the firm because of their duty of loyalty.

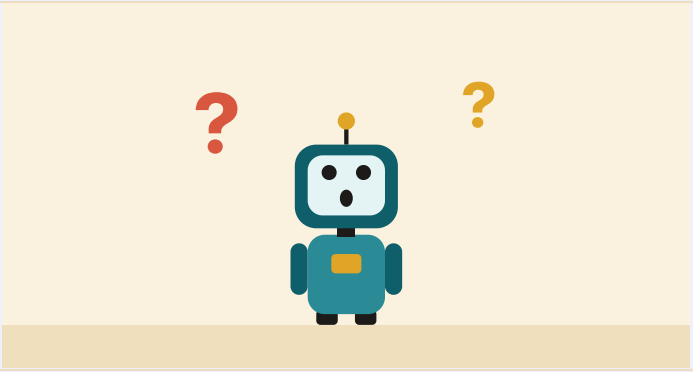
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which statement about reporting violations is most accurate under the Code and Standards?

Answer: A. A is right: the Standards require dissociation, not regulatory reporting. B overstates the duty. C is wrong because acting to protect clients or market integrity, not for personal gain, does not breach the duty of loyalty.



EXAM QUESTION 4 OF 10

An analyst is hired by a small issuer to write a research report. Which arrangement is most consistent with I(B)?

A. A fee that doubles if the rating is Buy, disclosed in the report.

B. A flat fee with no disclosure, since the analysis is independent anyway.

C. A flat fee agreed in advance, disclosed in the report.

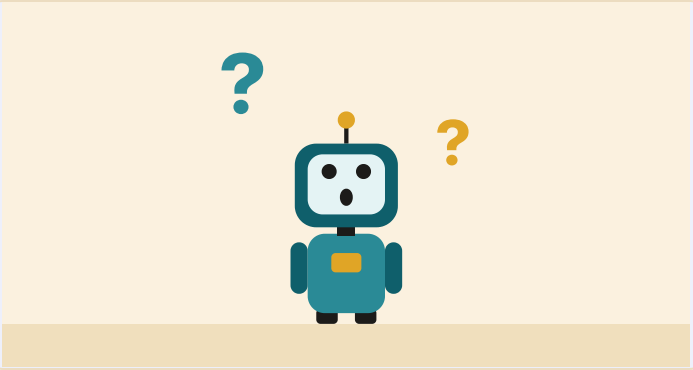
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

An analyst is hired by a small issuer to write a research report. Which arrangement is most consistent with I(B)?

Answer: C. C is right: a flat fee, not linked to conclusions, and disclosed. A links pay to the rating, which compromises independence even if disclosed. B fails because the payment must be disclosed so readers can judge the conflict.



EXAM QUESTION 5 OF 10

Rohit, a charterholder, receives concert tickets from a long-standing client after a strong year. Rohit should:

A. refuse them, because all gifts are prohibited.

B. accept and disclose them to his employer.

C. accept without telling anyone, because they reward past work.

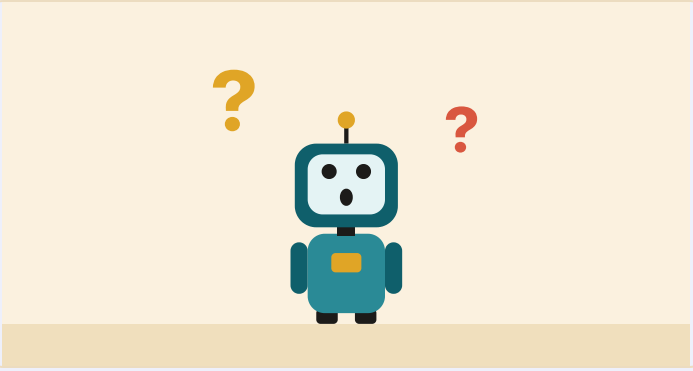
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Rohit, a charterholder, receives concert tickets from a long-standing client after a strong year. Rohit should:

Answer: B. Client gifts for past performance are allowed but must be disclosed to the employer. A is wrong: I(B) does not ban all gifts. C is wrong: past-performance gifts carry less risk, but disclosure is still required.



EXAM QUESTION 6 OF 10

Which action is least likely to violate I(C) Misrepresentation?

A. Using share prices from a recognised financial data service without citing it.

B. Including a chart from a broker's report without naming the broker.

C. Rewording another analyst's conclusions and presenting them as your own.

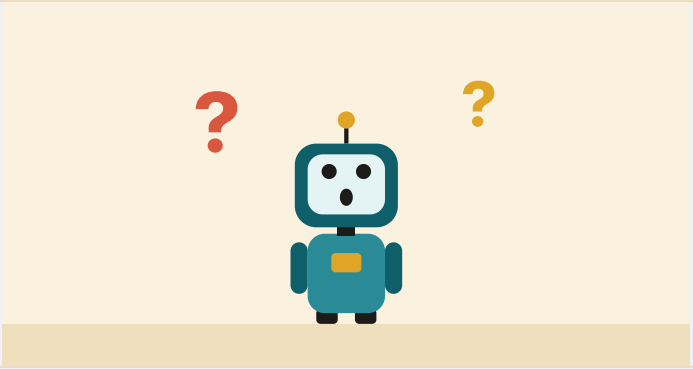
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which action is least likely to violate I(C) Misrepresentation?

Answer: A. Factual information from recognised financial and statistical reporting services may be used without acknowledgment. B and C use others' work without credit, which is plagiarism, and rewording does not cure it.



EXAM QUESTION 7 OF 10

Meera built her firm's banking sector model and then left. The firm keeps publishing reports from the model without naming her. The firm's analysts most likely:

A. violated I(C) by not crediting Meera.

B. needed Meera's written consent first.

C. did not violate the Standards, as the work belongs to the firm.

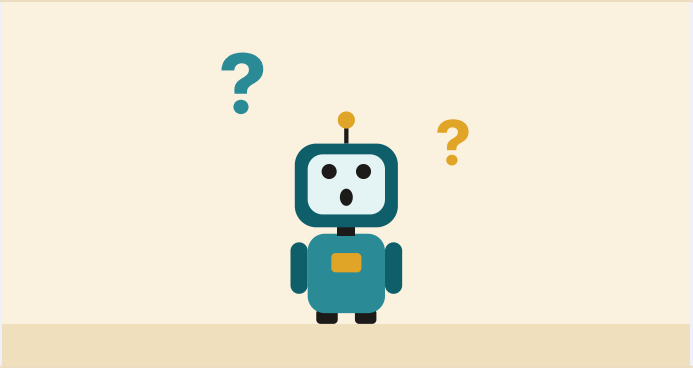
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Meera built her firm's banking sector model and then left. The firm keeps publishing reports from the model without naming her. The firm's analysts most likely:

Answer: C. Work created for an employer is the firm's property, and later reports need not credit the original analyst. A is wrong for that reason. B is wrong: the departed employee has no ownership to consent with. Reissuing her report under one person's name would be different.



EXAM QUESTION 8 OF 10

Which is most likely a violation of I(D) Misconduct?

A. Being arrested at a peaceful environmental protest.

B. Submitting a falsified hotel bill for reimbursement.

C. Filing for personal bankruptcy after a failed business, with full disclosure to creditors.

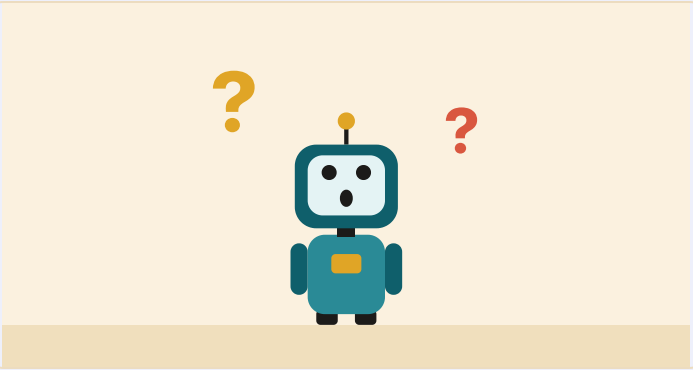
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which is most likely a violation of I(D) Misconduct?

Answer: B. A false expense claim is dishonesty in professional conduct. A is personal civil disobedience with no dishonesty, so not misconduct. C involves no fraud or deceit, so bankruptcy alone does not reflect on integrity.



EXAM QUESTION 9 OF 10

A charterholder is offered a mandate in a complex derivatives strategy her team has never used. Which action is most consistent with I(E) Competence?

A. Bring in an experienced specialist and train the team before accepting.

B. Accept, since the CFA charter covers derivatives.

C. Accept and learn on the job using client money.

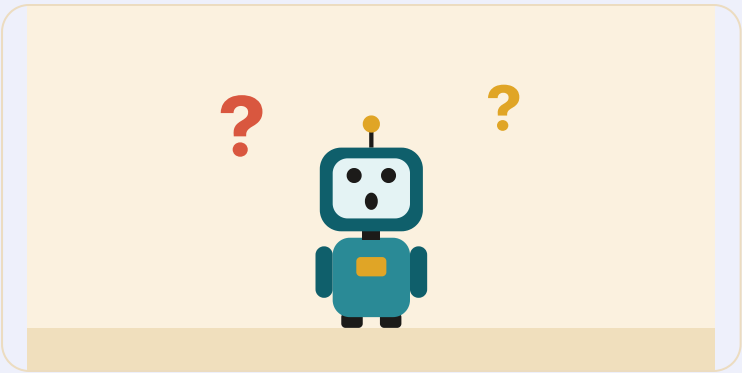
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

A charterholder is offered a mandate in a complex derivatives strategy her team has never used. Which action is most consistent with I(E) Competence?

Answer: A. A puts the needed competence in place first. B is wrong: a credential does not prove competence for a specific role. C takes on responsibilities without the competence to fulfil them.



EXAM QUESTION 10 OF 10

Pinky, a trader who is neither a CFA Institute member nor a candidate, accepts a lavish yacht trip from a broker seeking her orders. Under the Code and Standards, Pinky:

A. violated I(B) Independence and Objectivity.

B. violated I(D) Misconduct.

C. did not violate the Standards, because they do not apply to her.

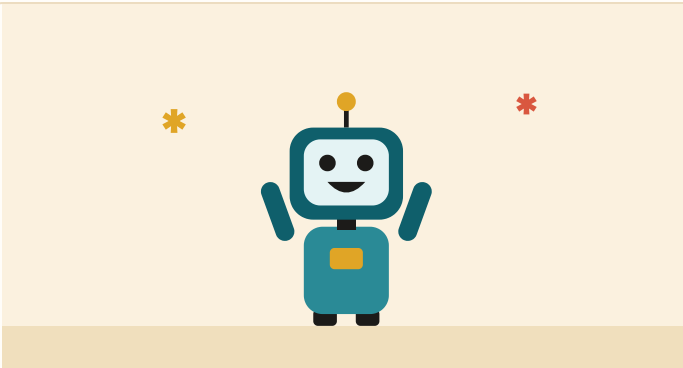
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Pinky, a trader who is neither a CFA Institute member nor a candidate, accepts a lavish yacht trip from a broker seeking her orders. Under the Code and Standards, Pinky:

Answer: C. The Standards bind only members and candidates. A and B would apply to a member or candidate, but not to Pinky. Her firm's gift policy or the law may still apply.

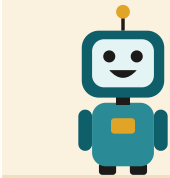


CHAPTER 3 DONE

Standard I: Professionalism, done

You can now apply all five parts of Standard I: follow the stricter rule and dissociate, keep gifts and pressure from bending judgment, never mislead or plagiarise, stay honest at work, and stay competent. Sharma ji's verdict: "Data dikhao? You just did."

So: Swipe on, or jump to another chapter from the Menu.



Chintu, junior analyst



Sharma ji, the CIO



Pinky, the trader

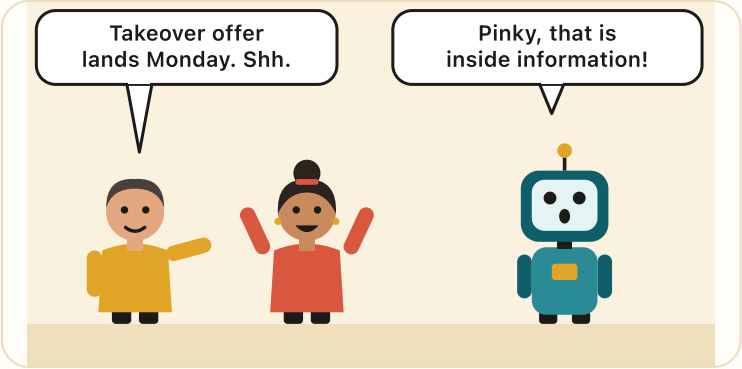
BEFORE YOU START

The cast, and words this chapter uses

A Mumbai investment firm. Sharma ji trusts nothing without data ("Data dikhao"); Pinky is sure of everything, especially when wrong.

- **Candidate:** anyone enrolled in the CFA Program; bound by the Standards from enrolment.
- **Compliance:** the team inside a firm that checks staff follow laws and firm rules.
- **Issuer:** the company whose shares or bonds trade in the market.
- **Derivative:** a contract whose value comes from another asset, like an option on a share.
- **Liquidity:** how easily something trades without moving its price.

So: **You can start this chapter cold. Everything it needs is on this card.**



STORY

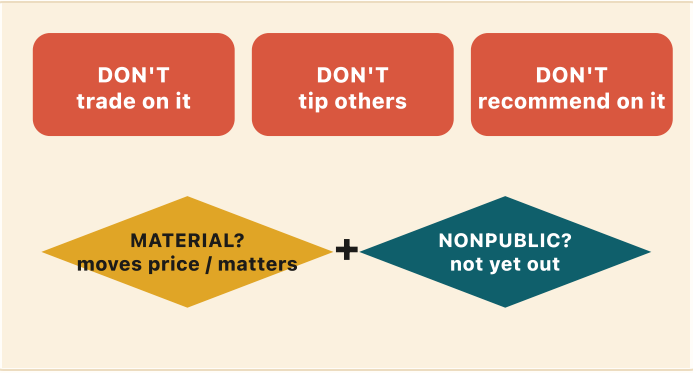
A tip at the sangeet

A sangeet in Juhu. Between dances, the bride's uncle, CFO of Rasoi Foods, whispers to Pinky: "A takeover offer lands Monday. Shh." Pinky reaches for her trading app. Chintu, a Level I candidate, nearly drops his plate.

Sharma ji, next morning: "Two Standards guard the market itself. **II(A) Material Nonpublic Information**: do not trade on secrets. **II(B) Market Manipulation**: do not fake prices or volume."

Pinky is neither a member nor a candidate, so the Standards do not bind her. Insider trading law still does.

So: Standard II protects the fairness of the market: no trading on secrets, no faking prices or volume.



II(A) MATERIAL NONPUBLIC INFORMATION

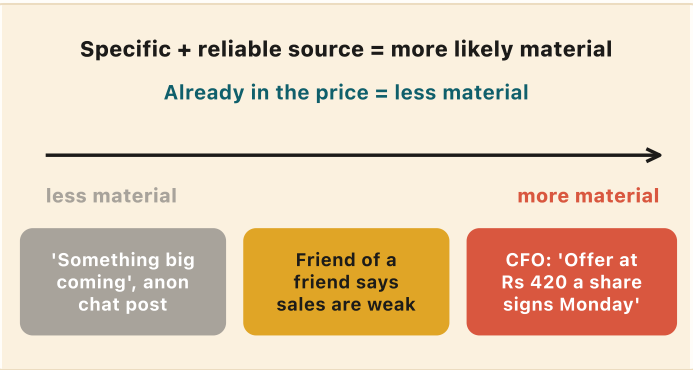
II(A) Material Nonpublic Information, in plain words

A member or candidate who has **material nonpublic information** that could affect the value of an investment must not **act** on it or **cause others to act** on it.

- Acting includes buying, selling, and trading related securities or derivatives.
- Causing others to act includes tipping friends and recommending trades.
- How you got it does not matter: at work, at a wedding, legally or not.

Both tests must be met: **material** and **nonpublic**. Fail either and II(A) does not stop you.

So: Material plus nonpublic means hands off: no trading, no tipping, no recommending.



II(A) MATERIAL NONPUBLIC INFORMATION

Test 1: is it material?

Information is **material** if its disclosure would probably affect the price of a security, or if reasonable investors would want to know it before deciding to invest.

- The more **specific** the information (amount, date, price), the more likely it is material.
- The more **reliable** the source, the more likely it is material. A CFO beats an anonymous chat post.
- Information already reflected in the price has less value to act on.

So: Would it move the price, or would a reasonable investor want it? Specific and reliable means material.

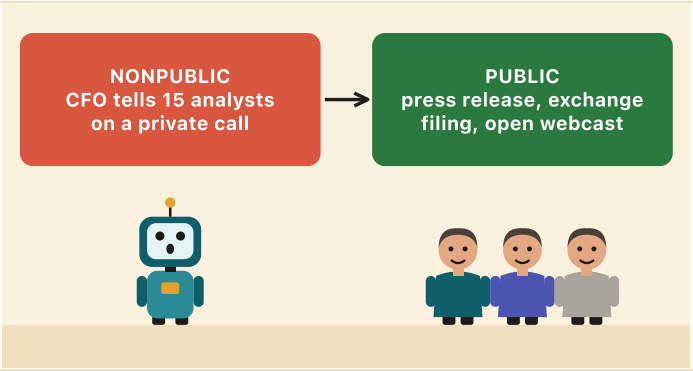


II(A) MATERIAL NONPUBLIC INFORMATION

What usually counts as material

Area	Examples
Company results	earnings; changes in assets or asset quality
Deals	mergers, acquisitions, tender offers, joint ventures
Business	new products, patents, regulatory approval or rejection, key customers or suppliers, management or auditor changes
Securities	defaults, splits, dividend changes, buybacks, new issues, credit rating changes, bankruptcy, big legal disputes
Market	unreleased government economic data; large trade orders not yet executed

So: **Earnings, deals, approvals, management, securities events, legal fights and pending big orders are the usual suspects.**



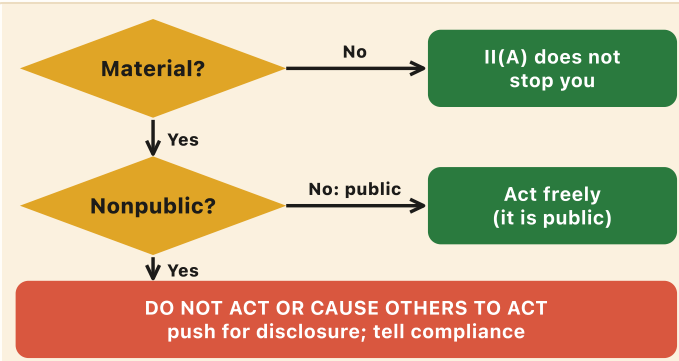
II(A) MATERIAL NONPUBLIC INFORMATION

Test 2: is it nonpublic?

Information is **nonpublic** until it has been disseminated to the marketplace in general, so ordinary investors have a fair chance to act on it.

- Telling a select group, such as a room full of analysts or a few big clients, does not make it public.
- Public channels: press releases, exchange or regulatory filings, a results call or webcast open to everyone.
- When unsure whether it is out, assume it is not and check.

So: Public means released to the whole market, not shared with a lucky few.

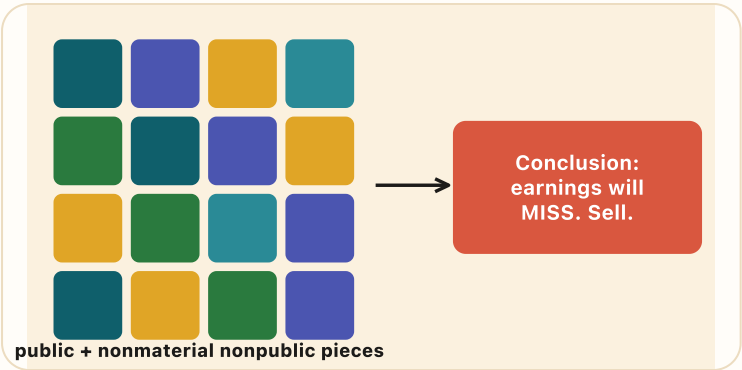


II(A) MATERIAL NONPUBLIC INFORMATION

II(A) decision flowchart

1. **Material?** Would it probably move the price, or would a reasonable investor want it? If no, II(A) does not apply. This is where the mosaic theory lives.
2. **Nonpublic?** Has it been released to the market in general? If yes, act freely.
3. If material **and** nonpublic: do not trade, tip or recommend. Encourage the company to make it public, and tell your compliance department.

So: Two yeses mean freeze; any no means II(A) is not the obstacle.



II(A) MATERIAL NONPUBLIC INFORMATION

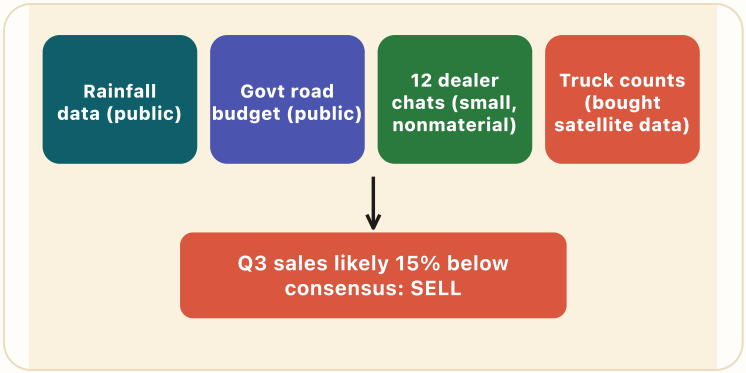
The mosaic theory

An analyst may combine **public information** with **nonmaterial nonpublic information** and act on the conclusion, even if that conclusion would have been material inside information had the company said it directly.

That is the **mosaic theory**: many small tiles, none of them a secret that moves the price alone, make a picture. The insight comes from the analyst's skill, which is exactly the job.

Keep records of the research behind the conclusion, so you can show how you reached it.

So: Public pieces plus nonmaterial private pieces make a legal mosaic; one material secret does not.



WORKED EXAMPLE

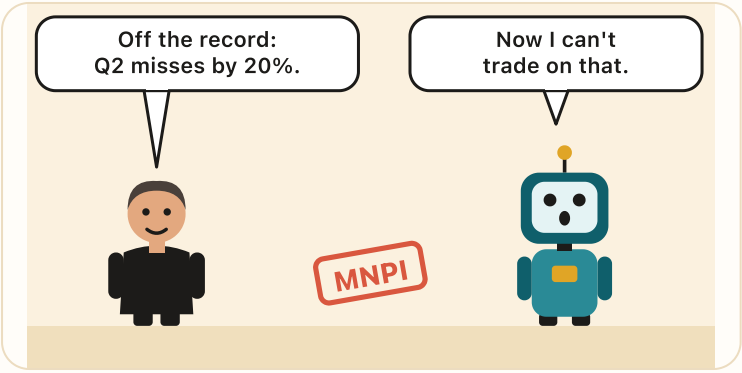
Mosaic at work: the cement call

Chintu covers a cement maker. Can he publish a Sell without breaching II(A)?

1. Public: weak monsoon rainfall data and a cut in the state road budget.
2. Nonmaterial nonpublic: chats with 12 dealers, each saying stock is moving slowly. None alone moves the price.
3. Bought data: satellite counts of trucks leaving the plant, sold to any paying client.
4. Combined: he estimates sales 15% below consensus. He files his notes and models.

Sell is fine: no violation. Had the CFO told him "Q3 is 15% short", that alone would be MNPI.

So: **The mosaic is legal because no single piece was a material secret.**



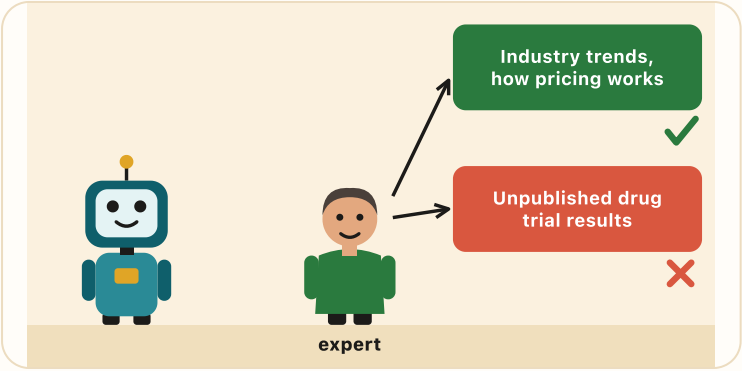
II(A) MATERIAL NONPUBLIC INFORMATION

Selective disclosure and analyst calls

Companies sometimes share news with a few analysts or big investors first. That is **selective disclosure**, and the information stays nonpublic until the market in general has it.

- A briefing to a room full of analysts does not make news public.
- Analysts should notice when they are the chosen few, and not act until it is released.
- Asking management sharp questions is fine. Acting on a material answer the market has not heard is not.

So: If you heard it before the market did, it is not public yet.



II(A) MATERIAL NONPUBLIC INFORMATION

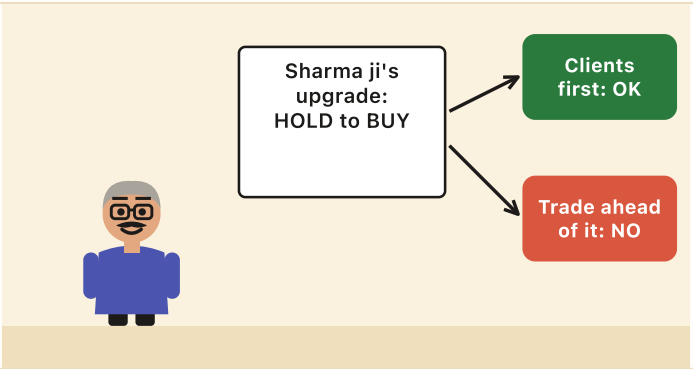
Expert networks and company insiders

Expert networks connect analysts with people who know an industry: doctors, engineers, former managers. Using them is allowed.

- You must not seek or use MNPI from them. An expert running a drug trial who reveals unpublished results has given you MNPI.
- If you receive it anyway, you cannot act on it.

Insiders include employees, directors, bankers, lawyers and consultants working for the company. Their friends and family pass on the same problem. The source being a relative changes nothing.

So: Experts for insight, never for secrets; MNPI from anyone is still MNPI.



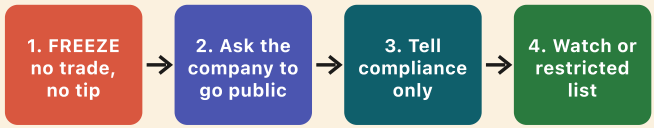
II(A) MATERIAL NONPUBLIC INFORMATION

Investment research reports

A report or rating change from a well-known analyst can move a price, so in theory it is material. It does not have to be released to the whole market at once.

- The analyst built it from public and nonmaterial information using skill that clients pay for. Clients may get it first; others can do the work or become clients.
- Trading ahead of your own firm's unreleased rating change, or ahead of a large client order, is a different problem: it abuses information clients have not yet had.

So: Distributing research to paying clients first is fine; trading ahead of it is not.



Do not discuss it with colleagues, clients or family.

Compliance decides how to restrict trading.

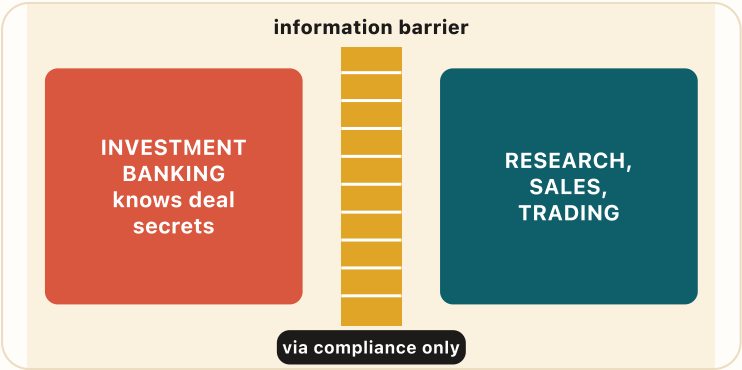
II(A) MATERIAL NONPUBLIC INFORMATION

You just received MNPI. Now what?

1. **Freeze:** do not trade, tip or recommend, for yourself, clients or the firm.
2. **Encourage public disclosure:** where appropriate, urge the company to release the information properly.
3. **Tell compliance** and no one else.
4. Compliance decides the next step, such as adding the company to the watch or restricted list.

Once the information is public, normal trading can resume.

So: Stop, push for disclosure, tell compliance, and say nothing to anyone else.



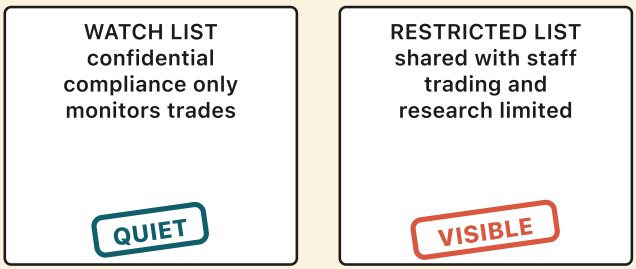
II(A) MATERIAL NONPUBLIC INFORMATION

Firewalls: keeping secrets where they belong

A **firewall** (information barrier) keeps MNPI inside the department that legitimately has it, usually investment banking. Key elements:

- Communication between departments controlled by compliance or legal.
- Physical separation of departments, and no staff working on both sides.
- Review of employee trading using watch, restricted and rumour lists.
- Written procedures, with records of how they are enforced.
- Closer review or limits on the firm's own trading while it holds MNPI.

So: Separate the people, control the messages, watch the trades, write it all down.



II(A) MATERIAL NONPUBLIC INFORMATION

Watch list, restricted list and personal trading

Tool	What it does
Watch list	Confidential list of companies the firm has MNPI about; compliance monitors trading in them
Restricted list	Shared list; staff and the firm cannot trade, and research may be limited
Personal trading limits	Restrict or ban staff trading in listed names; require reports of staff and family trades

Why keep both? Putting a stock on the restricted list can itself signal that a deal is coming, so the quiet watch list is used first.

So: Watch list: quiet monitoring. Restricted list: no trading. Staff trades: reported and limited.



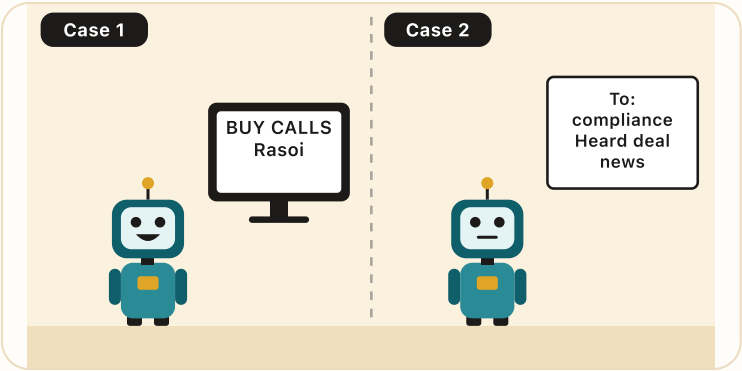
II(A) MATERIAL NONPUBLIC INFORMATION

II(A) recommended procedures

- **Achieve public dissemination:** urge the company to release MNPI properly.
- **Compliance procedures** to stop misuse, and **firewalls** that separate departments holding MNPI.
- **Issuers:** disclosure procedures and press releases that reach everyone at once.
- **Reporting system:** a named compliance person to whom staff report MNPI.
- **Personal and proprietary trading** rules, written **records**, and **training** for all staff.

A blanket ban on all firm trading while holding MNPI is not always required; a market maker may keep a passive role.

So: Release it, wall it off, report it, limit trading, record everything, train everyone.



II(A) CASE PAIR

The wedding tip, two endings

Case 1. At the sangeet, Chintu overhears the CFO tell Pinky a takeover offer for Rasoi Foods lands Monday. On Saturday he buys call options on Rasoi, not the shares: "Derivatives are different."

▼ **Verdict 1**

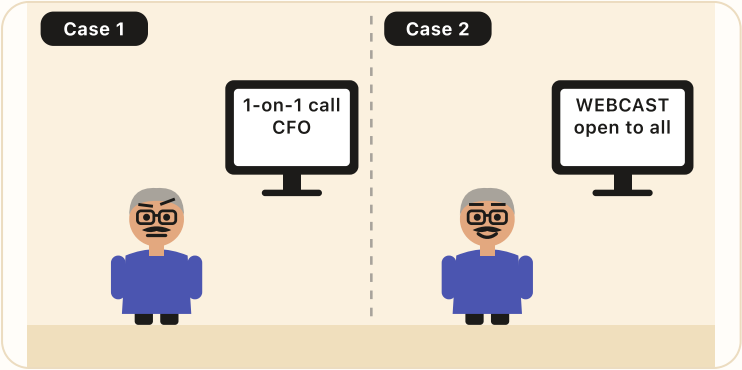
Violation. Specific news from the CFO, not yet released: material and nonpublic. Trading derivatives is still acting on it.

Case 2. Same overheard tip. Chintu trades nothing, tells no one, and on Monday morning tells his compliance officer what he heard.

▼ **Verdict 2**

No violation. He did not act or cause others to act, and he escalated.

So: MNPI blocks every way of profiting, derivatives included.



II(A) CASE PAIR

Private call versus open webcast

Case 1. On a one-to-one call, Tyre Co's CFO tells Sharma ji that a key plant will be shut for three months. Nothing is announced. Sharma ji sells the fund's holding that afternoon.

▼ **Verdict 1**

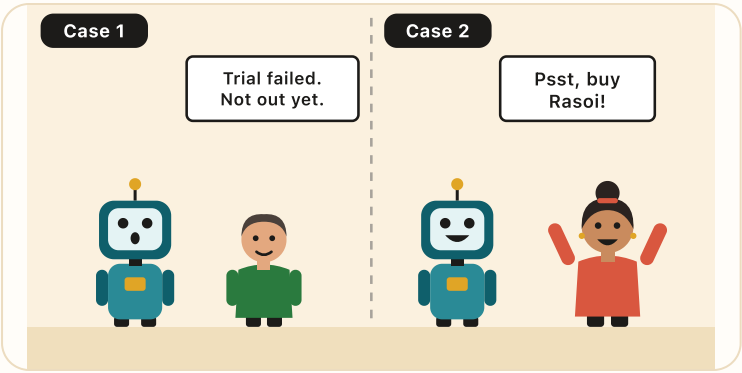
Violation. Selective disclosure of material news; still nonpublic.

Case 2. Tyre Co announces the shutdown in an exchange filing and explains it on a webcast open to all. Sharma ji sells an hour later.

▼ **Verdict 2**

No violation. The news is public. Speed after release is skill, not misconduct.

So: Same fact, different verdict: what matters is whether the market has it.



II(A) CASE PAIR

The expert and the tip passed on

Case 1. An expert network doctor tells Chintu his hospital's trial of a listed company's new drug has failed. Results are unpublished. Chintu recommends that clients sell.

▼ **Verdict 1**

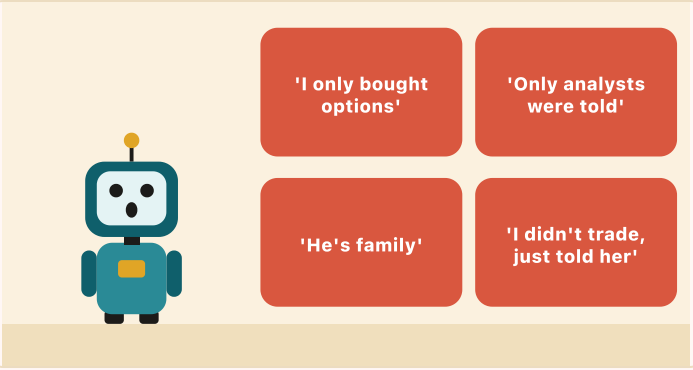
Violation. Recommending is causing others to act on MNPI.

Case 2. Chintu passes the Rasoi takeover tip to Pinky, who buys. Chintu buys nothing. Pinky is not a member or candidate.

▼ **Verdict 2**

Chintu violated II(A): he caused someone else to act. **Pinky did not violate the Standards**, which do not bind her, but she may have broken insider trading law.

So: Tipping or recommending is acting; the tippee's status does not save the tipper.

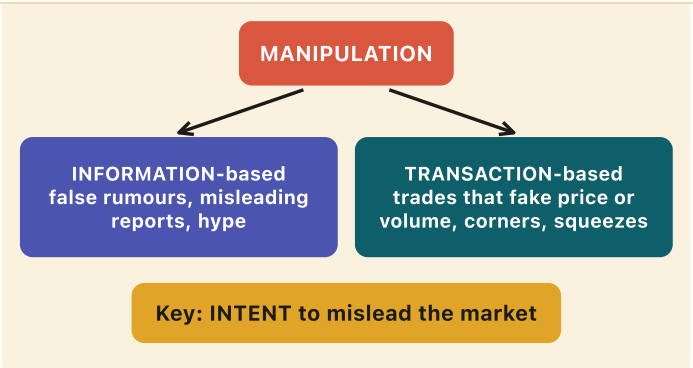


EXAM TRAP

II(A) traps

- Derivatives, related companies and other securities count. Acting is acting.
- Disclosure to a group of analysts is not public disclosure.
- Family or friend as the source changes nothing.
- Tipping or recommending is causing others to act, even with no trade of your own.
- The mosaic theory needs every private piece to be nonmaterial.
- A well-known analyst's report going to clients first is not a violation.
- First action on receiving MNPI: compliance, not the regulator and not your clients.

So: **Options, analyst-only briefings, family sources and tips are all still MNPI problems.**



II(B) MARKET MANIPULATION

II(B) Market Manipulation, in plain words

Do not engage in practices that **distort prices** or **artificially inflate trading volume** with the **intent to mislead** market participants.

- **Information-based:** spreading false rumours or misleading information to move a price.
- **Transaction-based:** trades that create a false picture of price or activity, or a dominant position used to control a price.

Intent decides. The same trade can be legitimate or manipulative depending on why it was done.

So: Faking prices or volume to fool the market is manipulation; intent is the dividing line.



II(B) MARKET MANIPULATION

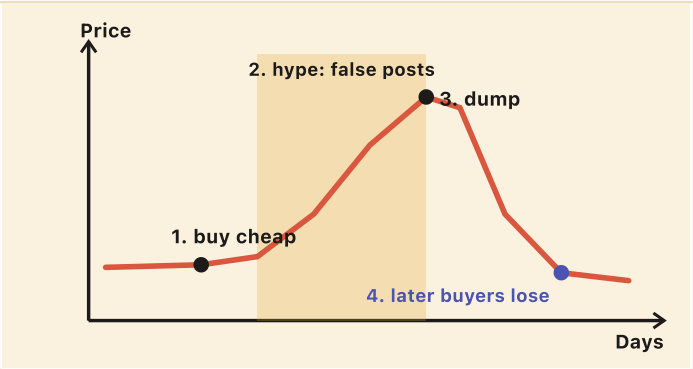
Information-based manipulation

This is manipulation through what people hear:

- spreading false rumours, online or offline, to push a price up or down;
- publishing misleading information or wildly optimistic projections to attract buyers;
- promoting a stock you are paid to promote without saying so, so investors think the view is independent.

Honest, well-researched opinions are fine, even loud ones, even when you own the stock and disclose it. The problem is information you know is false or misleading.

So: Moving a price with lies or hype is manipulation; moving it with honest research is analysis.



II(B) MARKET MANIPULATION

Pump and dump

The classic combination:

1. Quietly buy a thinly traded stock.
2. **Pump:** spread misleading positive information or over-the-top forecasts. Other investors rush in and the price climbs.
3. **Dump:** sell at the artificially high price.
4. The price collapses once the hype fades, and later buyers carry the loss.

The false information makes it information-based; the trading around it shows the intent.

So: Buy, hype with misleading claims, sell to the people you fooled: textbook II(B).



II(B) MARKET MANIPULATION

Transaction-based: fake volume and fake prices

- **Wash trades:** buying and selling the same security with no change in who owns it, to create the look of activity.
- **Matched orders** with a friend or between accounts you control, for the same effect.
- **Marking the price:** small trades at high prices near a valuation date to lift a portfolio's reported value.
- Any trades designed to give a false impression of price or activity that departs from what a fair market would show.

Other investors see the volume or price, assume real interest, and trade on a fiction.

So: Trades with no real change of ownership or purpose, made to be seen, are manipulation.



II(B) MARKET MANIPULATION

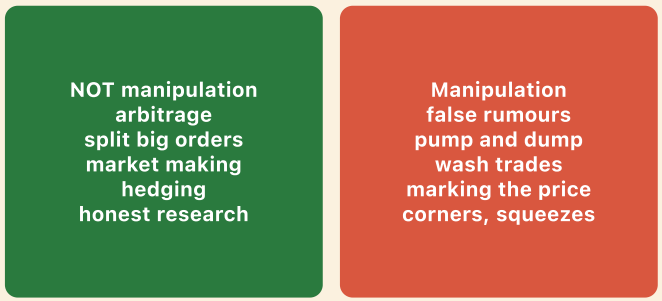
Cornering and squeezing a market

Securing a **controlling, dominant position** in a security or commodity in order to manipulate its price, or the price of a related derivative, is transaction-based manipulation.

Example: a fund quietly buys most of the warehouse stock of a metal deliverable against a futures contract. Short sellers must buy from the fund at whatever price it names. That is a **squeeze**; owning nearly all the supply is a **corner**.

Holding a big position is not itself a crime. Using it to dictate prices is.

So: Size is fine; using dominance to dictate the price is manipulation.



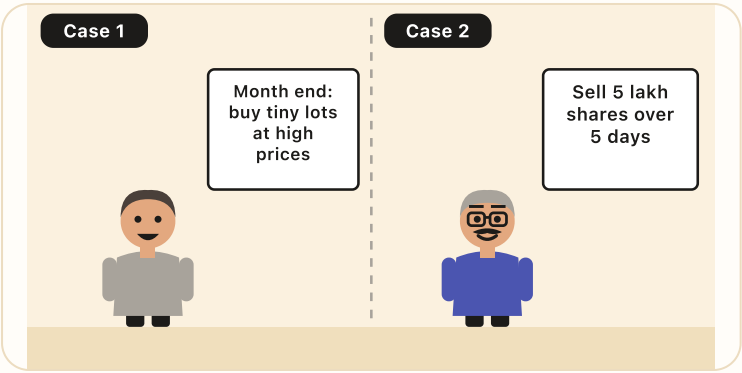
II(B) MARKET MANIPULATION

Legitimate trading that is not manipulation

II(B) does not ban trading strategies built on perceived market inefficiencies. Intent decides.

Strategy	Why it is fine
Arbitrage across markets	Exploits a real price gap; it narrows it
Splitting a block trade over days	Aims to reduce price impact, not to mislead
Market making	Genuine quotes and real trades
Big, honest research call	True information, real reasoning

So: **Real trades for real reasons are fine, even large ones; trades or words designed to deceive are not.**



II(B) CASE PAIR

Month-end bond trades and the big sell order

Case 1. Ravi, a charterholder, runs a fund holding an illiquid corporate bond. On the last day of each month he buys tiny lots at above-market prices, lifting the price used to value the fund.

▼ **Verdict 1**

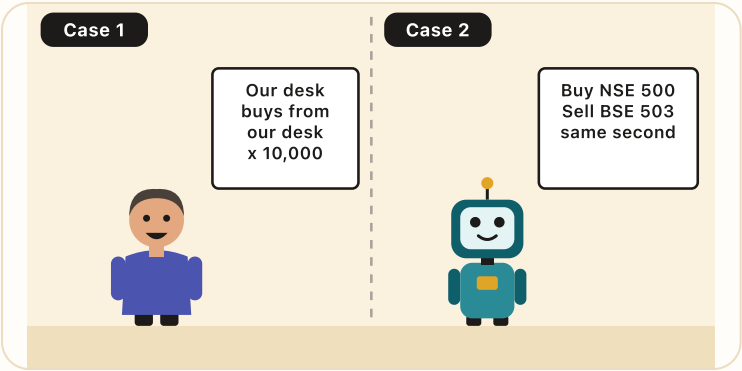
Violation. The trades exist to create an artificial price and mislead investors about the fund's value.

Case 2. Sharma ji must sell 5 lakh shares of a mid-cap. To avoid crashing the price, he splits the order over five days.

▼ **Verdict 2**

No violation. The aim is to reduce market impact, not to mislead anyone.

So: Trading to create a price is manipulation; trading carefully to avoid moving one is good execution.



II(B) CASE PAIR

Volume for a rebate, and the NSE and BSE gap

Case 1. An exchange offers lower fees to firms that reach a volume target in a new futures contract. A trading head has two of the firm's accounts trade with each other until the target is met.

▼ **Verdict 1**

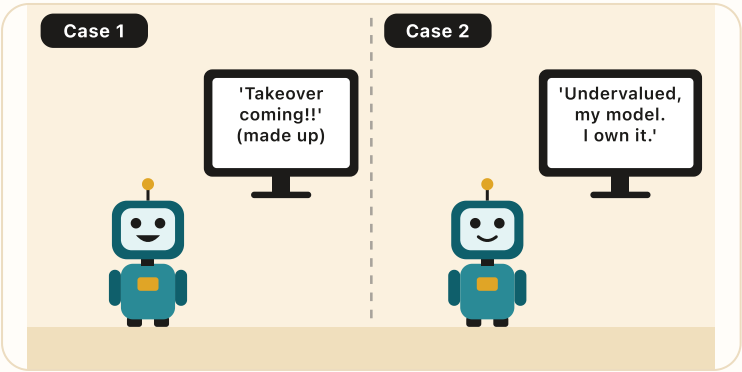
Violation. Wash trading that artificially inflates volume and misleads others about real interest.

Case 2. Chintu spots a share at Rs 500 on one exchange and Rs 503 on the other. He buys on the first and sells on the second at the same moment.

▼ **Verdict 2**

No violation. Arbitrage on a real price gap; it helps close the gap.

So: Volume that changes no ownership is fake; trades that exploit a real gap are legitimate.



II(B) CASE PAIR

The takeover rumour and the honest post

Case 1. Chintu buys a small-cap, then posts on social media that a takeover is coming. He has no source. The price jumps and he sells.

▼ **Verdict 1**

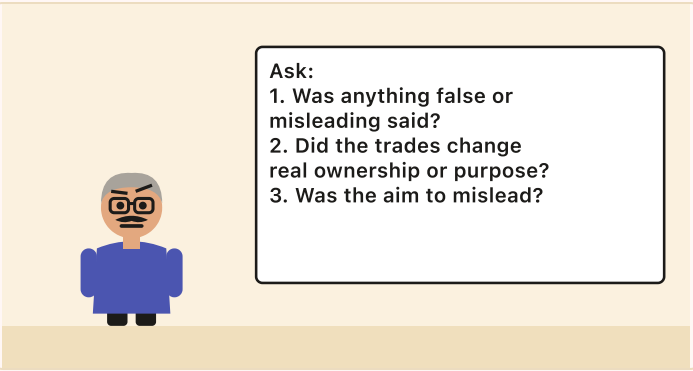
Violation. Information-based manipulation: a pump and dump on a false rumour.

Case 2. Chintu posts his researched view that a stock is undervalued, links his model, and says he owns it. The price rises.

▼ **Verdict 2**

No violation. Honest, disclosed analysis, with no intent to mislead.

So: Same stock, same rising price: lies make it manipulation, honest research does not.

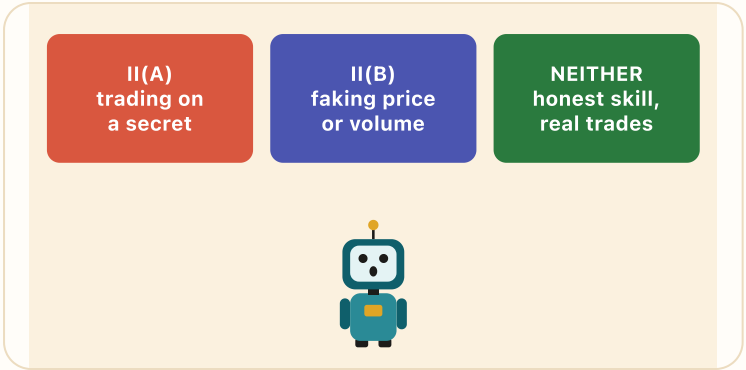


EXAM TRAP

II(B) traps

- **Intent** is required. A large trade that moves the price is not manipulation if the aim was not to mislead.
- Information-based needs no trading by you; spreading the rumour is enough.
- Wash trades are manipulation even if the price barely moves: fake volume misleads too.
- Owning a stock and praising it honestly, with disclosure, is not manipulation.
- Trading on a secret is II(A); faking prices or volume is II(B). Pick the right one.

So: No intent to mislead, no II(B); false words or fake trades with that intent, II(B).



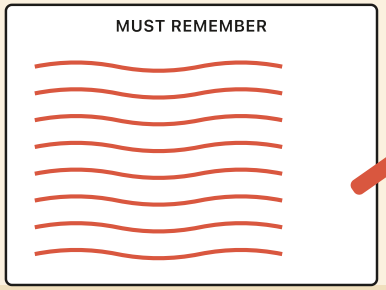
WHICH STANDARD?

II(A), II(B) or neither?

Situation	Answer
Sells after a CFO's private hint of a miss	II(A)
Posts a made-up takeover rumour	II(B)
Two own accounts trade to inflate volume	II(B)
Sells on a mosaic of public and nonmaterial data	Neither
Splits a large order over days	Neither

Check first that the person is a member or candidate.

So: **Secrets: II(A). Fakery: II(B). Skill and honest trades: neither.**

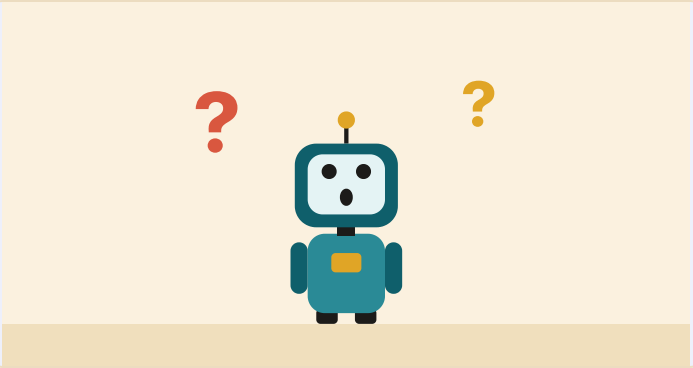


SHARMA JI'S RED PEN

8 things to remember

1. II(A): material and nonpublic means no trading, tipping or recommending, derivatives included.
2. Material: would probably move the price, or a reasonable investor would want it. Specific and reliable means more material.
3. Nonpublic until released to the market in general. A briefing to analysts is not public.
4. Mosaic: public plus nonmaterial nonpublic pieces may be combined and acted on. Keep records.
5. On getting MNPI: freeze, encourage public disclosure, tell compliance only.
6. Firewalls, a quiet watch list, a restricted list and staff trading limits keep MNPI contained.
7. II(B): distorting prices or inflating volume with intent to mislead. Information-based or transaction-based.
8. Not manipulation: arbitrage, splitting big orders, honest disclosed research.

So: **Scribbled by Sharma ji on the chapter summary.**



EXAM QUESTION 1 OF 10

Which information is most likely material?

A. A CFO's statement that a takeover offer at a stated price will be signed on Monday.

B. An anonymous chat post saying "something big is coming".

C. A rumour that is already fully reflected in the share price.

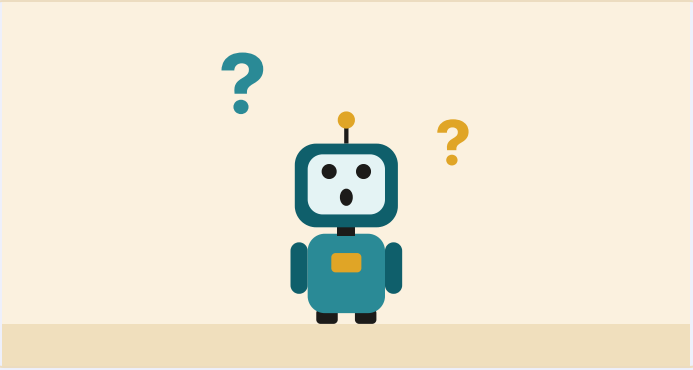
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which information is most likely material?

Answer: A. A is specific and from a reliable source, so it would probably move the price. B is vague and unreliable, so less likely material. C has little value because the market has already priced it.



EXAM QUESTION 2 OF 10

On a private call, a CFO tells 20 analysts that quarterly sales will fall sharply. Nothing has been announced. The information is most likely:

A. public, because 20 analysts heard it.

B. nonpublic, because it has not been released to the market in general.

C. public as soon as any analyst publishes a note.

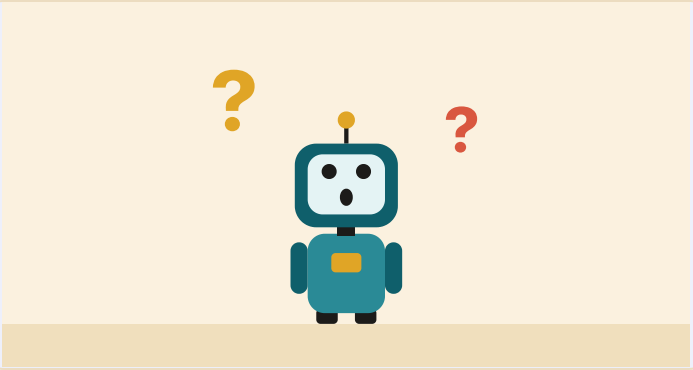
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

On a private call, a CFO tells 20 analysts that quarterly sales will fall sharply. Nothing has been announced. The information is most likely:

Answer: B. Selective disclosure to a group does not make information public. A is wrong: a room of analysts is not the market. C is wrong: one analyst's note to clients is not general release.



EXAM QUESTION 3 OF 10

An analyst combines public reports, satellite truck counts sold to any buyer, and chats with dealers that each reveal little, and concludes earnings will miss. She issues a Sell. She most likely:

A. violated II(A), because her conclusion is material.

B. violated II(A), because the dealer chats were nonpublic.

C. did not violate II(A), under the mosaic theory.

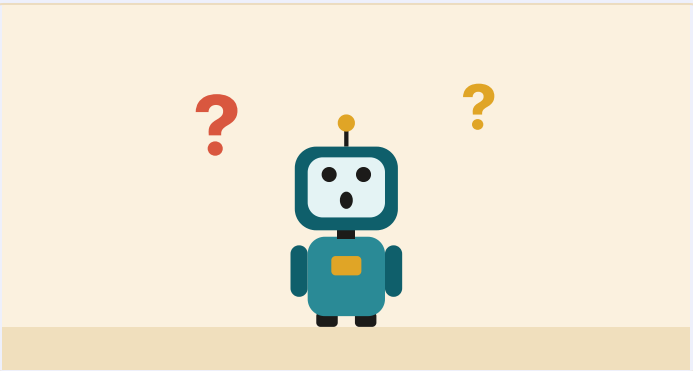
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

An analyst combines public reports, satellite truck counts sold to any buyer, and chats with dealers that each reveal little, and concludes earnings will miss. She issues a Sell. She most likely:

Answer: C. The mosaic theory allows acting on conclusions built from public and nonmaterial nonpublic information. A is wrong: a material conclusion is fine if no input was MNPI. B is wrong: the dealer chats were nonpublic but nonmaterial.



EXAM QUESTION 4 OF 10

A candidate overhears material nonpublic information about a merger. His most appropriate first action is to:

A. buy options instead of shares, to limit his exposure.

B. not act on it and inform his compliance department.

C. tell his clients, so they are treated fairly.

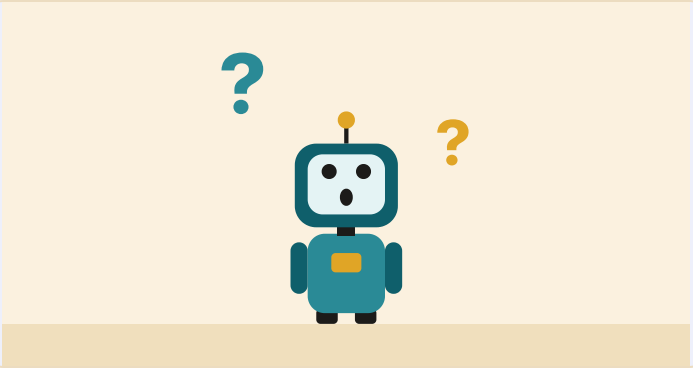
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

A candidate overhears material nonpublic information about a merger. His most appropriate first action is to:

Answer: B. He must not act or cause others to act, and should escalate to compliance. A is still acting on MNPI. C causes others to act, which II(A) forbids.



EXAM QUESTION 5 OF 10

Which is least likely an element of an effective firewall?

A. Physical separation of investment banking from research.

B. Review of employee trading using watch and restricted lists.

C. Briefing the sales team on pending deals so they can prepare clients.

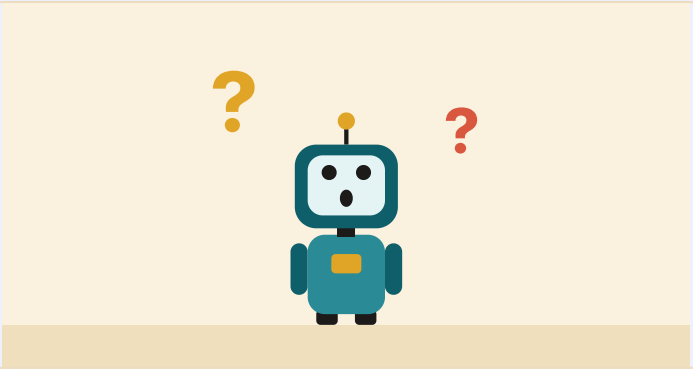
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which is least likely an element of an effective firewall?

Answer: C. C pushes MNPI across the barrier, which a firewall exists to prevent. A and B are standard firewall elements.



EXAM QUESTION 6 OF 10

Why do firms often use a confidential watch list rather than only a restricted list?

A. Adding a stock to a restricted list can itself signal that the firm holds MNPI.

B. Watch lists let staff trade freely in listed names.

C. Restricted lists are not allowed under the Standards.

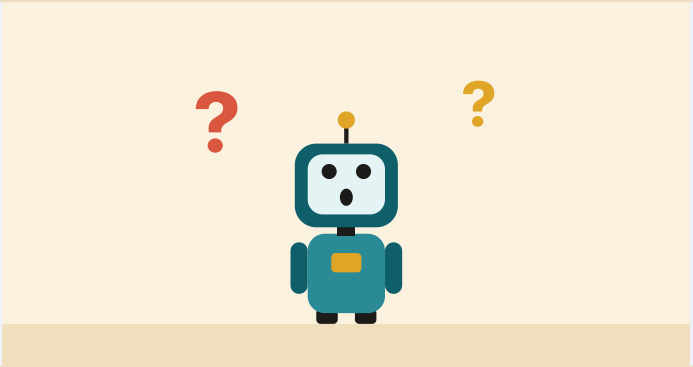
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Why do firms often use a confidential watch list rather than only a restricted list?

Answer: A. A is right: a visible restriction can tip off staff or the market, so compliance monitors quietly first. B is wrong: watched names are monitored, not freely traded. C is wrong: restricted lists are a recommended tool.



EXAM QUESTION 7 OF 10

Chintu, a CFA candidate, tells Pinky, who is neither a member nor a candidate, about an unannounced takeover. Pinky buys the shares; Chintu does not. Under the Standards:

A. only Pinky violated II(A).

B. Chintu violated II(A) by causing her to act.

C. neither violated II(A), because Chintu did not trade.

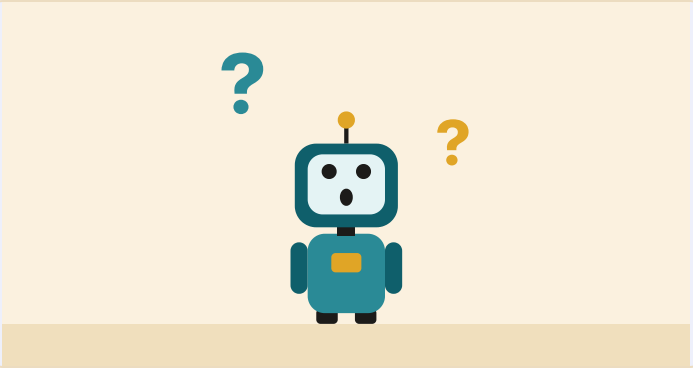
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

Chintu, a CFA candidate, tells Pinky, who is neither a member nor a candidate, about an unannounced takeover. Pinky buys the shares; Chintu does not. Under the Standards:

Answer: B. II(A) forbids causing others to act on MNPI, so Chintu violated it. A is wrong because the Standards do not bind Pinky. C is wrong because tipping is a violation even without a trade.



EXAM QUESTION 8 OF 10

Which action is most likely a violation of II(B)?

A. Splitting a large sell order over several days to limit price impact.

B. Buying small lots of an illiquid bond at month end to lift the fund's valuation.

C. Buying a share on one exchange and selling it on another to capture a price gap.

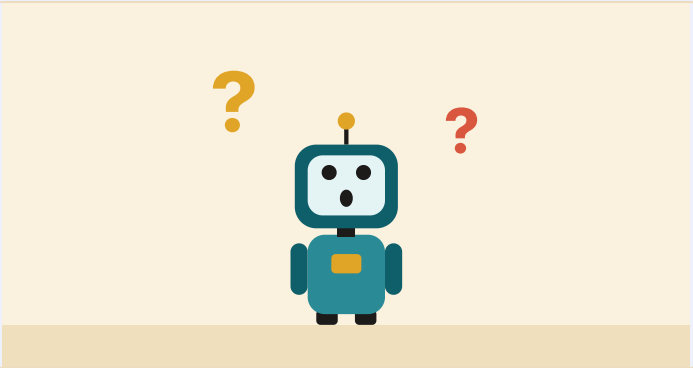
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

Which action is most likely a violation of II(B)?

Answer: B. B creates an artificial price to mislead investors about the fund's value. A aims to reduce impact, not mislead. C is arbitrage on a real price gap, a legitimate strategy.



EXAM QUESTION 9 OF 10

An analyst buys a small-cap, posts a made-up takeover rumour online, and sells after the price jumps. This is best described as:

A. no violation, if he discloses his holding.

B. transaction-based manipulation only.

C. information-based manipulation.

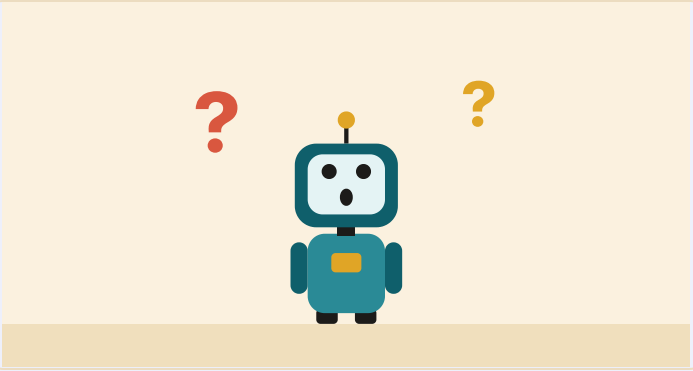
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

An analyst buys a small-cap, posts a made-up takeover rumour online, and sells after the price jumps. This is best described as:

Answer: C. Spreading false information to move a price is information-based manipulation, a pump and dump. A is wrong: disclosure does not cure a lie. B is wrong: the core of the scheme is the false information, not trades that fake price or volume.



EXAM QUESTION 10 OF 10

A trading head has two of the firm's accounts trade a new futures contract with each other to qualify for an exchange's volume-based fee discount. This most likely:

A. violates II(B), because it artificially inflates volume and can mislead others.

B. is acceptable, because the price did not change.

C. is acceptable, because the exchange created the incentive.

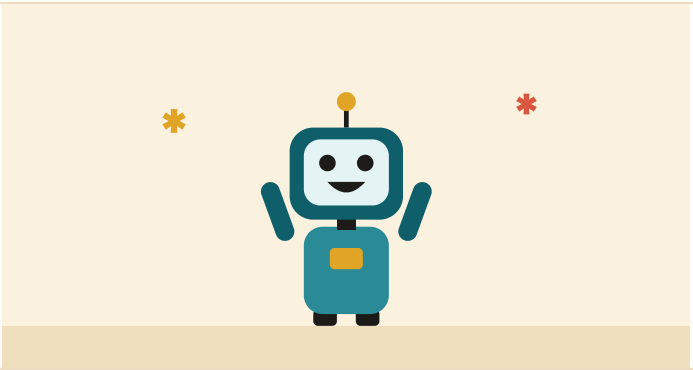
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

A trading head has two of the firm's accounts trade a new futures contract with each other to qualify for an exchange's volume-based fee discount. This most likely:

Answer: A. Wash trades inflate volume and give a false impression of interest. B is wrong: fake volume misleads even without a price change. C is wrong: an incentive does not make deceptive trading legitimate.



CHAPTER 4 DONE

Standard II: Integrity of Capital Markets, done

You can now test any information for material and nonpublic, use the mosaic theory, handle MNPI with firewalls and compliance, and tell manipulation from legitimate trading by asking about intent. Sharma ji: "The wedding tip? Enjoy the biryani, skip the trade."

So: Swipe on, or jump to another chapter from the Menu.



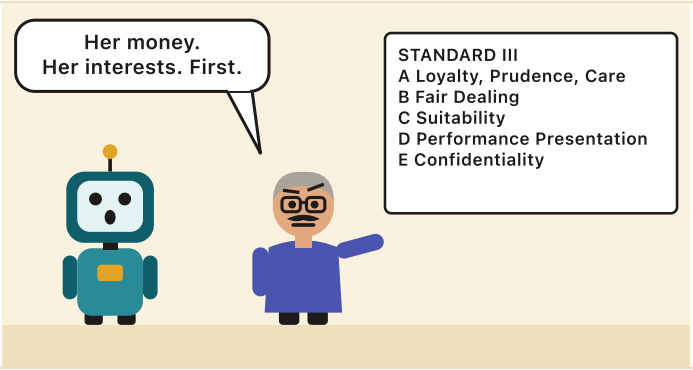
BEFORE YOU START

The cast, and words this chapter uses

A Mumbai investment firm. Sharma ji trusts nothing without data ("Data dikhao"); Pinky is sure of everything, especially when wrong.

- **Member, candidate:** a CFA Institute member, or someone registered for a CFA exam.
- **Brokerage:** the commission a broker charges to execute a trade; on a client's trade, the client pays.
- **Proxy:** a vote attached to shares, cast at a company's shareholder meeting.
- **IPO:** initial public offering: a company's first sale of shares to the public.
- **Mandate:** the written rules for what a fund may hold, e.g. 'large-cap Indian equities'.

So: You can start this chapter cold. Everything it needs is on this card.



STORY

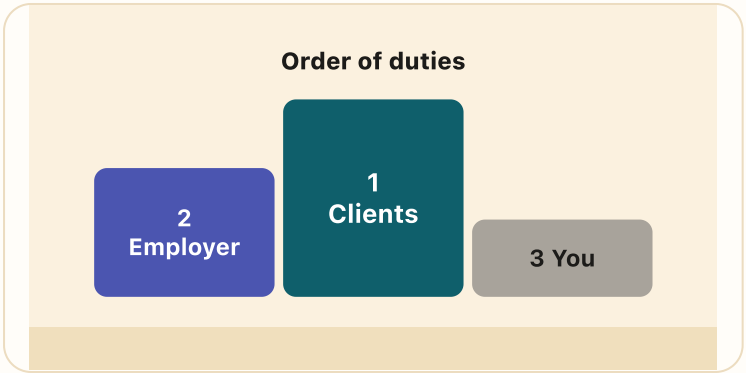
Whose money is it, anyway?

Monday, a Mumbai investment firm. Chintu, a Level I candidate, gets his first client files. Pinky, the trader, has a tip: "Trade Mrs Desai's account a bit more. Diwali bonus target, na?"

Sharma ji, CFA charterholder and CIO, shuts the file. "Her money. Her interests. Before the firm's, and long before yours." Then he writes the five parts of **Standard III: Duties to Clients**:

1. III(A) Loyalty, Prudence, and Care
2. III(B) Fair Dealing
3. III(C) Suitability
4. III(D) Performance Presentation
5. III(E) Preservation of Confidentiality

So: Standard III asks one question five ways: did the client's interest come first?



THE STANDARD

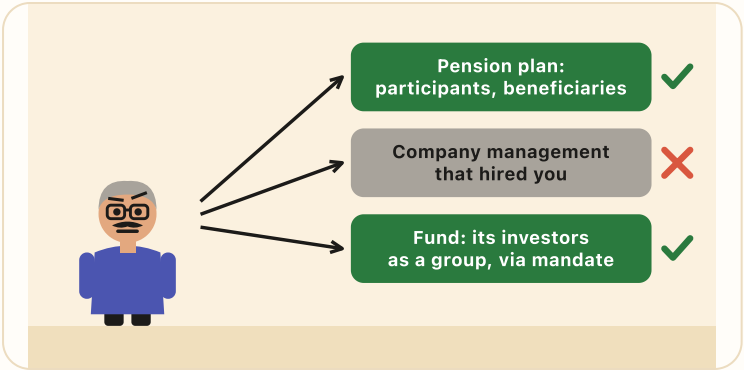
III(A) Loyalty, Prudence, and Care

In plain words: you owe clients a **duty of loyalty**, you must act with **reasonable care**, and you must use **prudent judgment**. Act for the client's benefit, and put the client's interests before your employer's and your own.

- **Loyalty**: no self-dealing, no hidden agenda.
- **Prudence**: caution and discretion, as with someone else's savings.
- **Care**: the attention a prudent professional would give in the same role.

III(A) does not make every member a legal fiduciary (someone the law requires to act in another's best interest). Where law or the role does impose fiduciary duties, meet those too.

So: Order of duties: client first, employer second, you last.



GUIDANCE

Who is the client? Know the scope

Loyalty needs a target. Identify the real client and the scope of your role.

Situation	The client is
Company pension plan	the plan's participants and beneficiaries, not the company's management
Trust	the beneficiaries
Fund run to a mandate	the fund's investors as a group: manage to the stated mandate
Individual account	that person

Scope: are you advising with discretion, or only executing orders? Know what you agreed to do, and do that with loyalty, prudence and care.

So: For a pension plan, loyalty runs to the beneficiaries, not to the company that hired you.



GUIDANCE

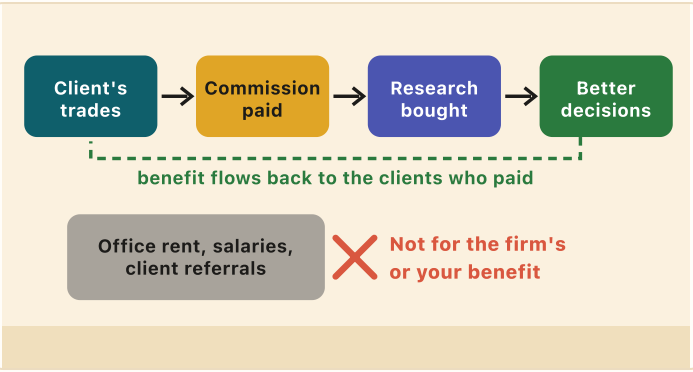
Developing the client's portfolio

Care in practice means running the portfolio the way the client's situation demands:

- Learn the client's objectives and constraints before acting, then follow them.
- Diversify to reduce risk, unless the mandate says otherwise.
- Judge each holding in the context of the whole portfolio.
- Review the account regularly.
- Never trade just to earn commissions (churning). Every trade must serve the client.

Prudence is not zero risk. A risky asset can be prudent inside a diversified portfolio that suits the client.

So: **Care means a process: know, follow, diversify, review, and trade only for the client.**



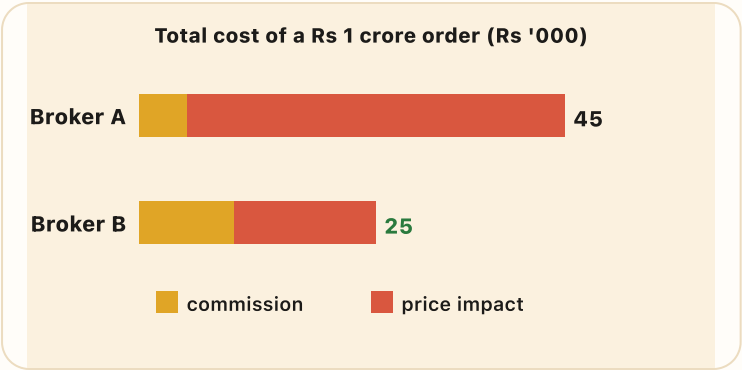
GUIDANCE

Client brokerage belongs to the client

Commissions paid on a client's trades are the client's money. Core rule: **client brokerage is the property of the client**.

- **Soft commissions** (soft dollars): the broker bundles research with execution. Allowed only if the research helps you make investment decisions for the clients whose trades paid for it.
- Not allowed: using client brokerage for things that benefit the firm or you, such as office costs or buying client referrals.
- **Directed brokerage**: a client may tell you which broker to use. Follow it, and disclose that this may cost them best execution.

So: Soft dollars must buy something that helps the clients who paid them.



WORKED EXAMPLE

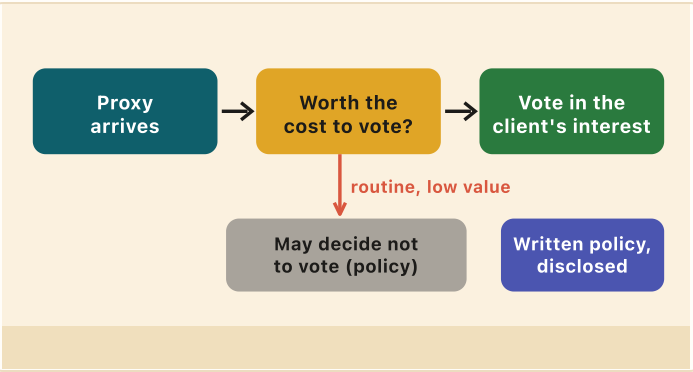
Best execution is not the cheapest commission

Best execution means the best total result for the client: price, commission, market impact, speed and certainty together. Chintu must buy Rs 1 crore of shares. Broker A charges 0.05% commission but its clumsy order handling moves the price 0.40%. Broker B charges 0.10% and moves the price 0.15%.

1. Broker A: commission Rs 5,000 + price impact Rs 40,000 = Rs 45,000.
2. Broker B: commission Rs 10,000 + price impact Rs 15,000 = Rs 25,000.
3. B costs the client Rs 20,000 less, despite double the commission.

Best execution: Broker B, total cost Rs 25,000.

So: **Seek the best total outcome for the client, not the lowest commission line.**



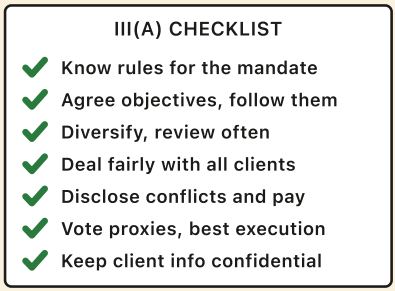
GUIDANCE

Proxy voting is part of loyalty

Shares carry votes, and votes have economic value. When you manage a client's shares, loyalty covers how you vote them.

- Vote proxies in an informed, responsible way, in the client's interest. Never to please a company that gives your firm business.
- A cost-benefit view is allowed: voting every routine proxy may not benefit the client. Votes that change value, such as mergers, takeovers or board contests, deserve real analysis.
- Have written proxy voting policies and disclose them to clients.

So: Vote proxies for the client's benefit under a disclosed policy; skipping a routine vote can be fine.



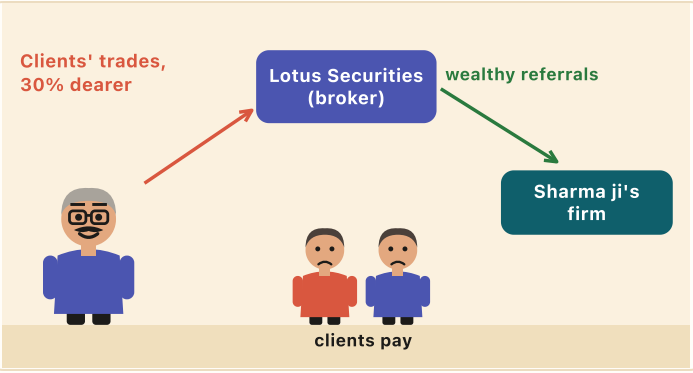
RECOMMENDED PROCEDURES

III(A): how to comply

The handbook's list for members and candidates:

- Follow the rules and policies that govern the client's mandate; know the applicable law.
- Set the investment objectives with the client, and stick to them.
- Diversify; deal fairly with all clients; review accounts regularly.
- Disclose conflicts of interest, and how you and your firm are paid.
- Vote proxies in the client's interest; seek best execution.
- Keep client information confidential.
- When in doubt, put the client's interests first.

So: III(A) procedures boil down to: know the client, follow the mandate, disclose, and put the client first.



CASE

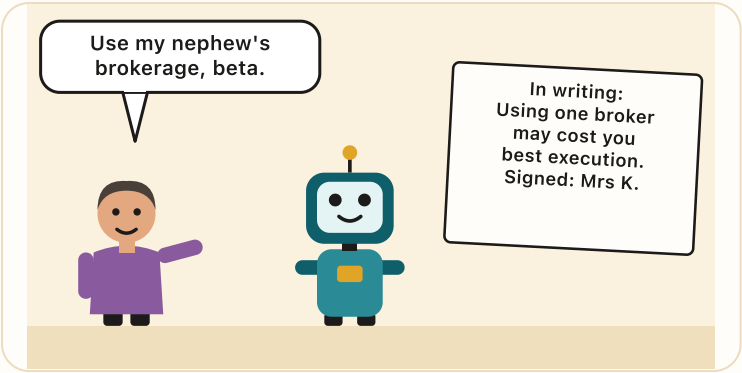
Case: the referral broker

Sharma ji routes all his clients' trades to Lotus Securities, whose commissions are 30% above the market. Lotus gives no research and no better execution, but it refers wealthy customers to Sharma ji's firm. Did Sharma ji most likely violate III(A)?

▼ **Verdict (tap to see)**

Violation. Client brokerage belongs to the clients. Sharma ji spent it to win new business for his firm, a benefit to the firm, not to the clients who paid. He also ignored best execution.

So: Paying with client commissions for the firm's marketing breaks the duty of loyalty.



CASE

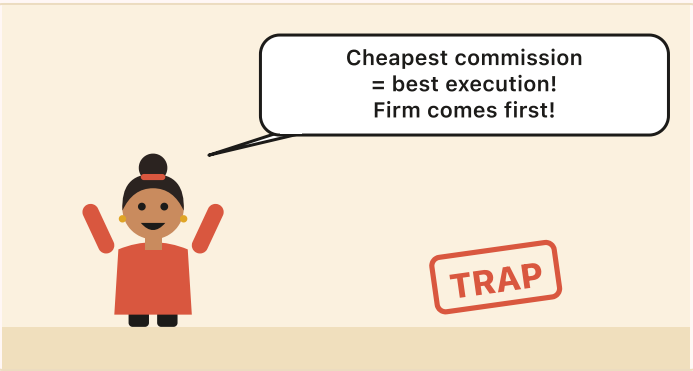
Case: the client picks the broker

Mrs Kapoor tells Chintu to send all her trades to her nephew's brokerage. Its execution is slower than the firm's usual brokers. Chintu explains, in writing, that she may not get best execution and may pay more. She confirms her instruction in writing, and Chintu follows it. Violation?

▼ **Verdict (tap to see)**

No violation. Her brokerage is her property, so she may direct it. Chintu disclosed the possible cost of the arrangement and followed the client's informed instruction. That is directed brokerage done right.

So: A client may direct her own brokerage; your job is to disclose what it may cost her.

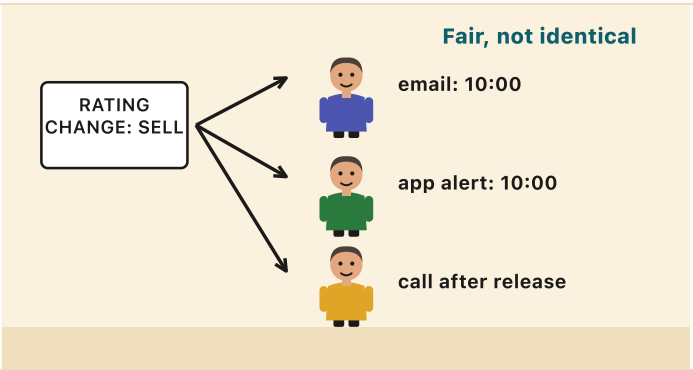


EXAM TRAP

III(A) traps

- For a pension plan, the client is the beneficiaries, not the sponsor's management or whoever hired you.
- Best execution is the best total outcome, not the lowest commission.
- Soft dollars may buy research that helps the paying clients; never rent, salaries or referrals.
- Not voting a routine proxy can be fine (cost-benefit). Voting to please a company for business is not.
- An employer's instruction never overrides the client's interests.
- Prudence is not avoiding all risk.

So: When a choice helps the firm or you at the client's cost, III(A) is in play.



THE STANDARD

III(B) Fair Dealing

In plain words: deal **fairly and objectively with all clients** when you provide investment analysis, make investment recommendations, take investment action, or do other professional work.

Fair, not necessarily equal. You cannot reach every client in the same second, and clients with different mandates hold different things. The test: no client is favoured or hurt, on purpose or through a sloppy process.

It covers two things: **investment recommendations** (the advice) and **investment actions** (the trades).

So: Fair dealing means no client gets an unfair head start, not that everyone gets the identical thing.

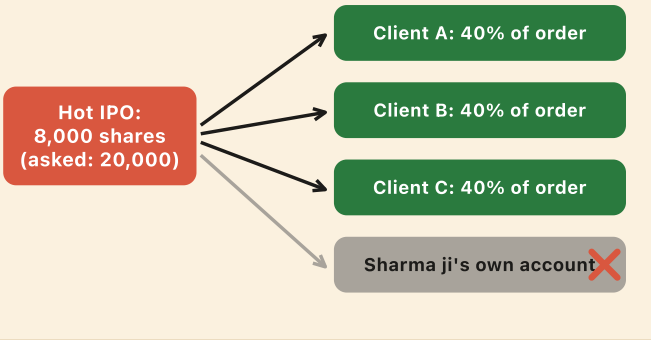
Recommendations	Investment actions
ratings, research, advice reach all interested or suitable clients fairly; changes too, especially to those who acted	trades for clients; block orders split fairly same price for all hot issues pro rata orders in time order

GUIDANCE

Recommendations, actions, and changes

- **Recommendations**: get each one to all clients who have shown interest or for whom it may be suitable, so all have a fair chance to act. Same instant by same channel is not required; a process that favours no group is.
- **Changes** to a recommendation matter as much as the original. Tell clients, especially those who acted on the earlier advice.
- If a client who has not heard the change wants to trade on the old view, tell them about the change before you accept the order.
- **Actions**: allocate block trades and new issues fairly, at the same price.

So: **A changed rating needs the same fair dissemination as the first one.**



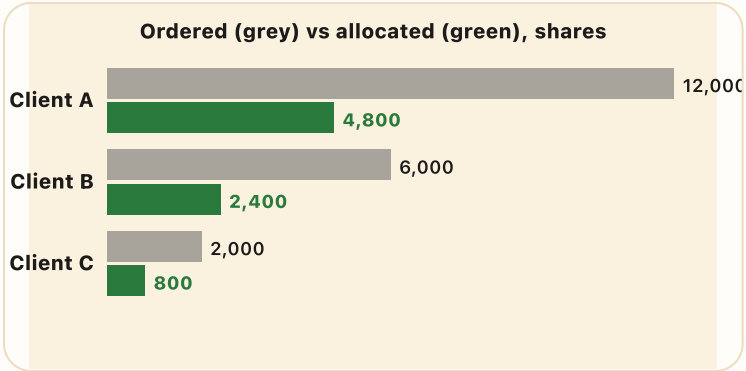
GUIDANCE

IPOs and hot issues

A **hot issue** is a new issue so popular that the firm gets fewer shares than clients want.

- Allocate it fairly among clients who asked and for whom it is suitable, usually **pro rata** to their orders.
- Do not take it for yourself, your family or the firm while client orders go unfilled.
- Do not use it to reward big clients or lure new ones.
- Family members who are fee-paying clients are treated like any other client: no extra, no less.

So: Clients first on hot issues; members' own accounts wait until client orders are filled.



WORKED EXAMPLE

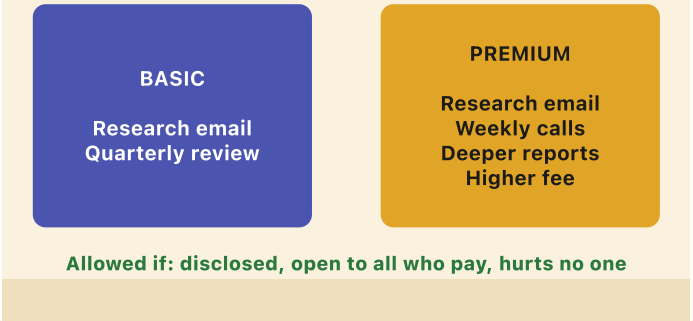
Pro rata allocation of a hot issue

Clients A, B and C order 12,000, 6,000 and 2,000 shares of a hot IPO. Chintu's firm receives only 8,000 shares. Allocate pro rata.

1. Total ordered = 12,000 + 6,000 + 2,000 = 20,000.
2. Fill ratio = 8,000 / 20,000 = 40%.
3. A: 12,000 x 40% = 4,800. B: 6,000 x 40% = 2,400. C: 2,000 x 40% = 800.
4. Check: 4,800 + 2,400 + 800 = 8,000. Every client gets the same price.

A 4,800, B 2,400, C 800: each gets 40% of the order.

So: **Pro rata means the same fill percentage for every client, at the same price.**



GUIDANCE

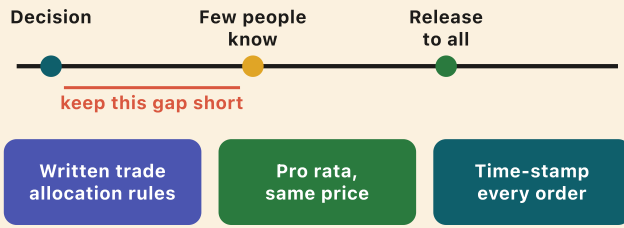
Premium service levels

Firms may sell different levels of service: a premium tier with weekly calls, deeper reports or a dedicated manager. That is fair if:

- the levels and their fees are **disclosed** to clients and prospects;
- the premium level is **available to every client** willing to pay for it;
- it does **not disadvantage** other clients. For example, premium clients must not get a rating change early enough to trade ahead of everyone else.

Charging more for more service is fair. Quietly serving some clients first is not.

So: Tiered service is fine when disclosed, open to all, and harmless to the other tiers.

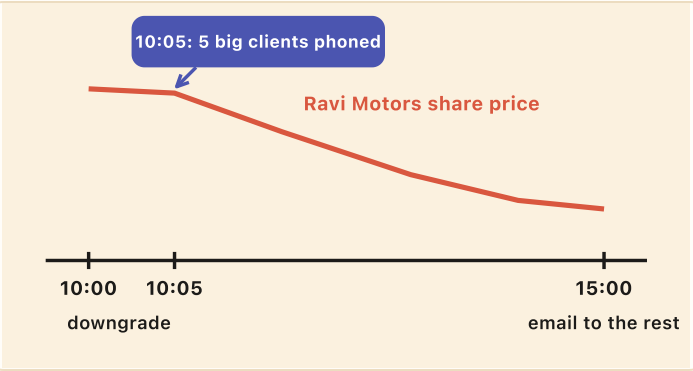


RECOMMENDED PROCEDURES

III(B): how to comply

- Limit how many people know about a recommendation before release.
- Shorten the time between the decision and its release.
- Publish guidelines for staff before release: no trading on it, no tipping.
- Release to all clients at the same time where possible.
- Keep a list of clients and holdings, so changes reach those affected.
- Write trade allocation procedures: advance indications of interest for new issues, pro rata at the same execution price, round lots, and time-stamped orders executed in the order received.
- Review accounts systematically; disclose allocation rules and service levels.

So: **Few insiders, short gap, written allocation rules, time-stamped orders.**



CASE

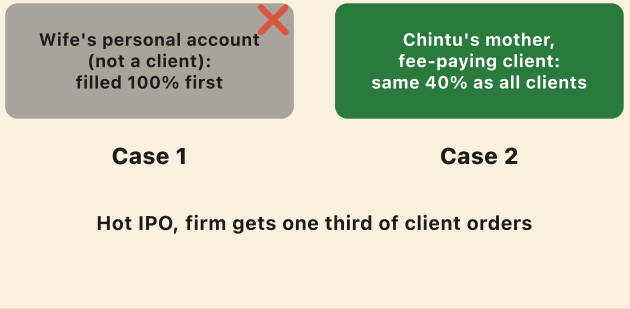
Case: big clients first

The research team downgrades Ravi Motors from buy to sell at 10:00. Sharma ji phones his five largest clients at 10:05. The email to all other clients goes out at 15:00, by which time the stock has fallen 6%. Did Sharma ji most likely violate the Standards?

▼ **Verdict (tap to see)**

Violation of III(B) Fair Dealing. Size does not buy a head start on a change in recommendation. A material change must reach all interested clients through a process that gives each a fair chance to act. The five-hour gap hurt every client who heard late.

So: A rating change is dealt fairly or not at all; big clients get no head start.



CASE

Case pair: the hot IPO and the family

A hot IPO arrives; the firm gets one third of what clients ordered.

Case 1. Sharma ji fills his wife's personal brokerage account (she is not a client) in full, then splits the rest among clients.

▼ **Verdict, case 1**

Violation. A member's family account jumped ahead of unfilled client orders. Clients come first on hot issues.

Case 2. Chintu's mother is a fee-paying client with the same mandate as others. She gets the same pro rata fill as everyone.

▼ **Verdict, case 2**

No violation. A family member who is a genuine client is treated like any other client: no extra, and no less.

So: Family accounts that are real clients are treated like every other client.

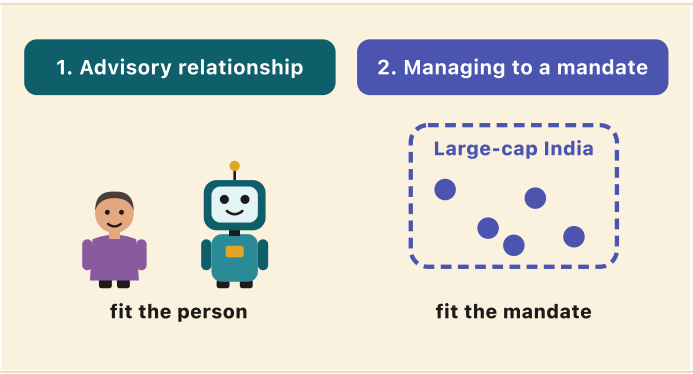


EXAM TRAP

III(B) traps

- "Fair" does not mean "equal" or "in the same second". It means no one is systematically favoured.
- Large or long-standing clients get no head start on recommendations, changes or IPOs.
- Premium service is fine only if disclosed, open to all who pay, and harmless to others.
- Members' own and family accounts wait behind clients on hot issues; family members who are real clients are treated equally.
- A client about to trade on stale advice must hear about the change first.

So: Look for a client who got there first for no fair reason: that is the III(B) violation.



THE STANDARD

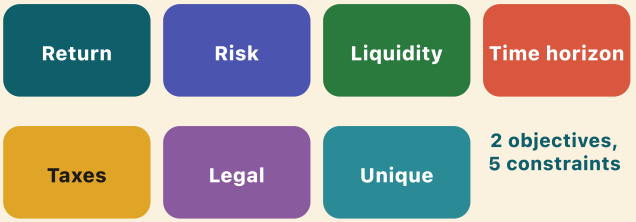
III(C) Suitability

Part 1. In an advisory relationship, you must:

- make reasonable inquiry into the client's investment experience, risk and return objectives, and financial constraints before advising or acting, and reassess this regularly;
- check that each investment suits the client's financial situation and fits their written objectives, mandates and constraints;
- judge suitability in the context of the client's **total portfolio**.

Part 2. When managing a portfolio to a stated mandate, strategy or style, only recommend or act in line with that portfolio's stated objectives and constraints.

So: Suitability: fit the person in advisory work, fit the mandate in a fund.



GUIDANCE

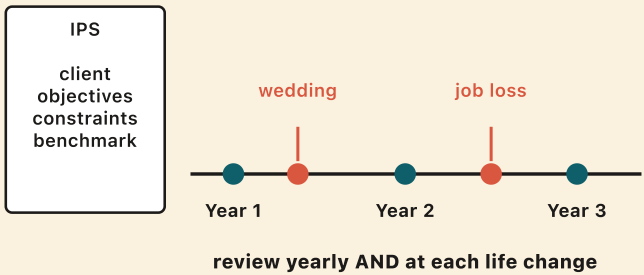
Knowing the client: objectives and constraints

Before advising, find out:

Item	Ask
Return	what return the client needs and wants
Risk	**ability** to bear risk (wealth, income, horizon) and **willingness** (attitude)
Liquidity, time horizon	cash needs soon; how long the money is invested
Taxes, legal	tax position; laws and rules on the account
Unique	anything else, e.g. no tobacco shares, a family business stake

Plus the client's investment experience. A first-time investor needs more explanation than a fund veteran.

So: **Two objectives (return, risk) and five constraints (liquidity, horizon, taxes, legal, unique).**



GUIDANCE

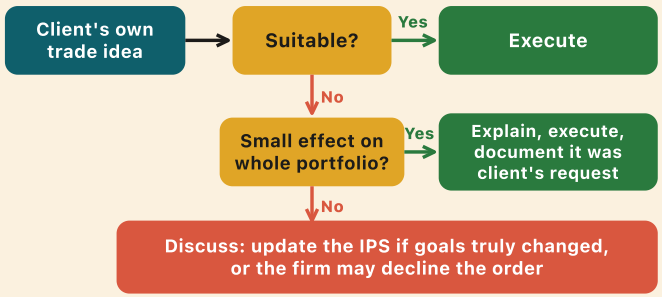
The investment policy statement, kept current

The **investment policy statement (IPS)** is the written plan agreed with the client. It usually covers:

- client identification: type and nature of the client;
- objectives: return and risk;
- constraints: liquidity, time horizon, taxes, legal, unique needs;
- the benchmark used to measure performance.

Update it at least annually, and whenever the client's circumstances change materially: marriage, a child, job loss, an inheritance, retirement. Review it before making material changes to the advice.

So: Review the IPS at least once a year and at every material change in the client's life.



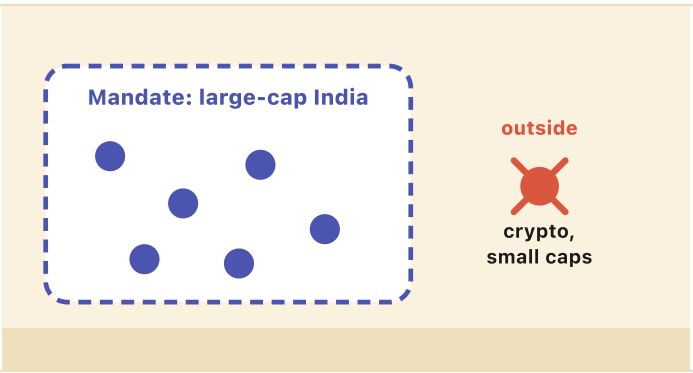
GUIDANCE

Unsolicited trades: still your problem

A client calls with her own idea: "Put Rs 20 lakh into SmallCap Space Ltd." This is an **unsolicited trade**, and suitability still applies.

- Unsuitable but a **small effect** on the whole portfolio: you may execute after explaining the concern, and document that the client asked for it.
- Unsuitable and it would **materially change** the portfolio: discuss it. If the client's goals have truly changed, update the IPS; otherwise the firm may decline the order.

So: Clients may break their own plan, but only after you have explained and documented it.



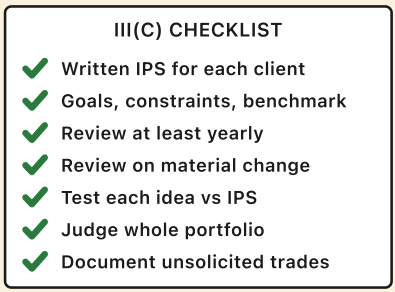
GUIDANCE

Managing a fund to its stated mandate

When you run a fund or account to a stated mandate, the mandate is the client's instruction.

- A large-cap Indian equity fund holds large-cap Indian equities. Adding small caps or crypto because they look exciting breaks the mandate, **even if they make money**.
- You are not judging whether the fund suits each investor. That is the investor's call, or their adviser's.
- If the strategy must change, tell investors in advance so they can decide whether to stay.

So: In a mandated fund, suitability means sticking to the mandate, win or lose.

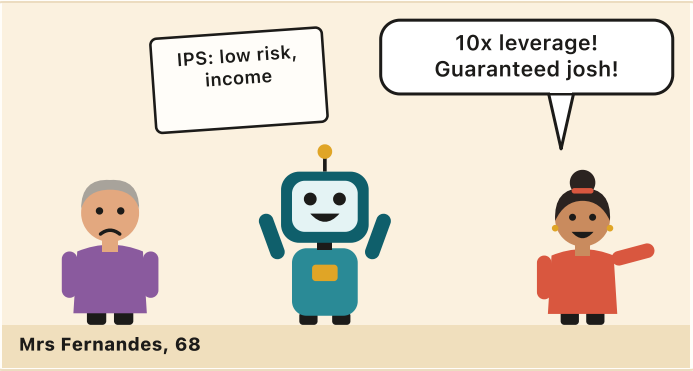


RECOMMENDED PROCEDURES

III(C): how to comply

- **Write an IPS** for every advisory client: client identification, objectives, constraints, and the performance benchmark.
- **Update it regularly**: at least annually, and before material changes to the advice. Also when the client's situation changes.
- **Suitability test policies**: check every recommendation against the IPS and the effect on the total portfolio, including risk and concentration.
- Record unsolicited trade requests and the discussion about them.
- For mandated funds: write the mandate down, monitor drift, and notify investors before any change.

So: **No IPS, no suitability: write it, test against it, update it.**



CASE

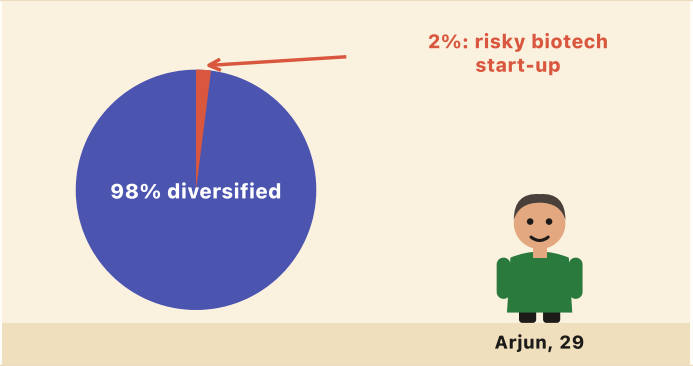
Case: the retiree and the futures

Mrs Fernandes, 68, retired, lives on her portfolio's income. Her IPS says low risk, income focus. Pinky pitches a leveraged futures strategy. Chintu, keen to impress, moves 40% of her money into it without discussing it with her. Who most likely violated III(C)?

▼ **Verdict (tap to see)**

Chintu violated III(C). As a candidate he is bound by the Standards. The trade ignores her objectives and constraints and contradicts her IPS. **Pinky did not violate the Standards**: she is not a member or candidate, so they do not bind her, though firm rules may.

So: Suitability is tested against the client's IPS; candidates are bound, non-members are not.



CASE

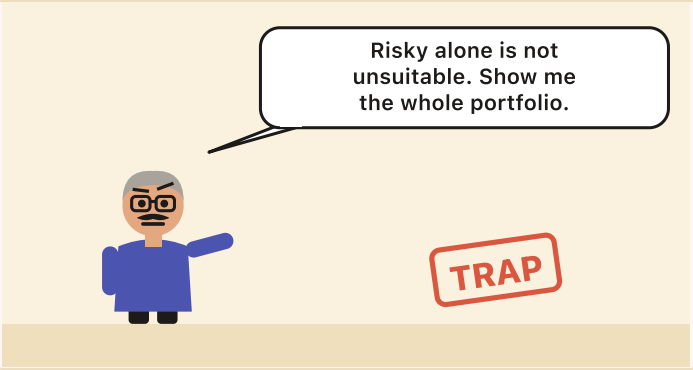
Case: a risky stock in a sturdy portfolio

Arjun, 29, software engineer, high income, 30-year horizon. His IPS: aggressive growth, diversified, high risk tolerance. Chintu buys a 2% position in a newly listed, very volatile biotech start-up. On its own the stock is far riskier than the market. Violation of III(C)?

▼ Verdict (tap to see)

No violation. Suitability is judged in the context of the **total portfolio**. A small position that fits an aggressive, diversified IPS is suitable even if the stock alone is very risky.

So: Judge a holding by what it does to the whole portfolio, not by its risk alone.

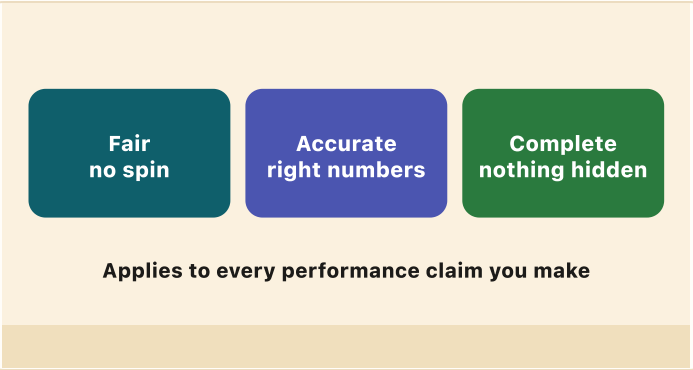


EXAM TRAP

III(C) traps

- "Risky investment = unsuitable" is wrong. Judge it in the total portfolio.
- Making money does not cure a mandate breach.
- A fund manager is not checking suitability for each investor, only sticking to the mandate.
- Update the IPS at least annually and on material change, not "every three years" or "only when asked".
- Unsolicited trades still need a suitability conversation and a record.
- Inquiry comes **before** advice or action, not after.

So: **III(C) answers hinge on three words: before, total portfolio, mandate.**



THE STANDARD

III(D) Performance Presentation

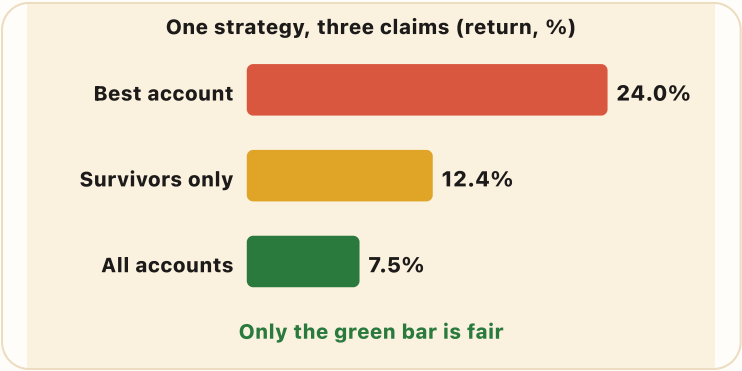
In plain words: when you communicate investment performance, make reasonable efforts to ensure it is **fair, accurate and complete**.

It covers any performance you share: pitch decks, factsheets, a WhatsApp to a prospect, a line in a speech. Your own record, your firm's, or a fund's.

The Standard does not require compliance with GIPS (the Global Investment Performance Standards), but GIPS is the recommended way to meet it.

True numbers chosen to impress can still be unfair.

So: Every performance number you share must be fair, accurate and complete, GIPS or not.



WORKED EXAMPLE

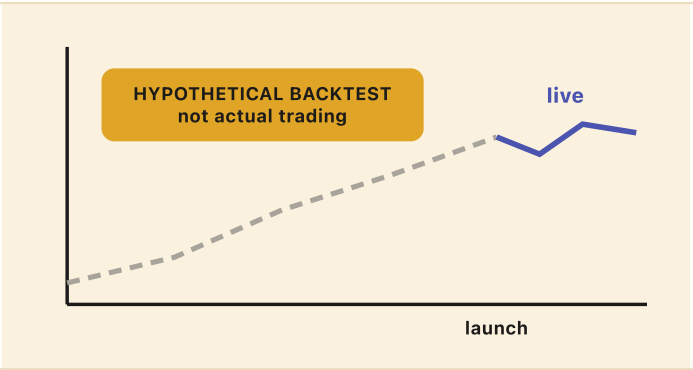
Cherry-picking and the missing account

Five accounts follow one strategy. Start values (Rs crore) and returns: A 10 at +24%, B 20 at +15%, C 30 at +11%, D 20 at +6%, E 20 at -12%. Client E left after the loss. Which number may the brochure show?

1. Best account alone: 24%. Cherry-picked.
2. Survivors A to D, weighted by value: (240 + 300 + 330 + 120) / 80 = 12.4%. Drops the loser.
3. All five: (240 + 300 + 330 + 120 - 240) / 100 = 7.5%. Includes the terminated account for the period it was managed.

Fair figure: 7.5%, from all accounts, including the one that left.

So: **Terminated accounts stay in the history; one star account is not the record.**



GUIDANCE

Simulated results, disclosures, short formats

- **Simulated, model or backtested results** may be shown only if clearly labelled as hypothetical, with the method explained. Passing a backtest off as real is a violation.
- **Disclose** what a reader needs: gross or net of fees, leverage or derivatives used, the benchmark, the period, and whether terminated accounts are excluded.
- **Brief presentations** (an ad, a tweet) are fine if they say they are limited and offer full details on request.
- Show a composite of all similar portfolios, not one "representative" account.

So: Label simulations, disclose the assumptions, and offer the full story on request.



RECOMMENDED PROCEDURES

III(D): how to comply

- **Apply GIPS.** The most direct route to fair, accurate and complete.
- Consider the **knowledge and sophistication** of the audience.
- Present the weighted composite of similar portfolios, not a single account.
- Include **terminated accounts** in historical results, and say clearly when any are excluded.
- Include **disclosures** that explain the numbers: gross or net of fees, assumptions, other relevant factors.
- **Keep the data and records** used to calculate the performance.

So: GIPS, composites, terminated accounts, disclosures, records.



CASE

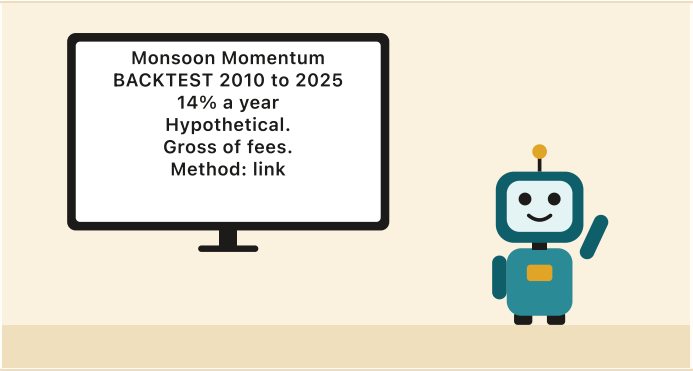
Case: the track record that moved firms

Sharma ji joins Lotus AMC, which was founded eight months ago. Its brochure says: "Lotus Growth Strategy: 19% a year for 5 years." The 19% was earned by Sharma ji's team at his previous firm. The brochure does not say so. Did Sharma ji most likely violate III(D)?

▼ **Verdict (tap to see)**

Violation. Presenting another firm's history as Lotus's own is not fair, accurate or complete. A track record earned elsewhere could be shown only if clearly described as such, with the records to support it.

So: A track record belongs to where it was earned; say so or do not show it.



CASE

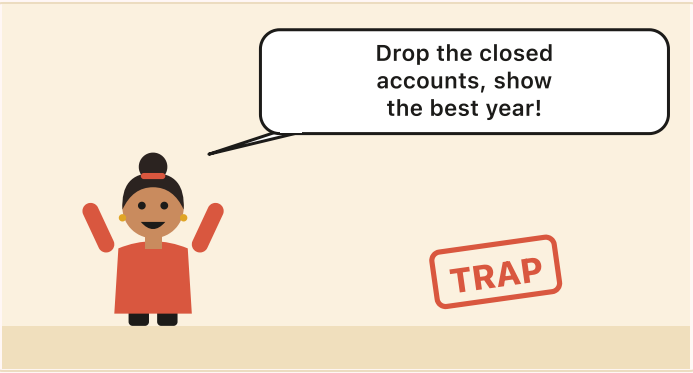
Case: the labelled backtest

Chintu builds a quant "monsoon momentum" model in 2026 and backtests it from 2010. His slide says: "Hypothetical backtested results, not actual trading. Gross of fees. Model built in 2026 using past data." His short post on social media reads: "Backtest: 14% a year. Hypothetical; full method on our site." Violation?

▼ **Verdict (tap to see)**

No violation. The simulated results are clearly labelled, with key limits disclosed. The short post flags its limited nature and points to the full information.

So: Simulated numbers are allowed when they are labelled as simulated, with details available.

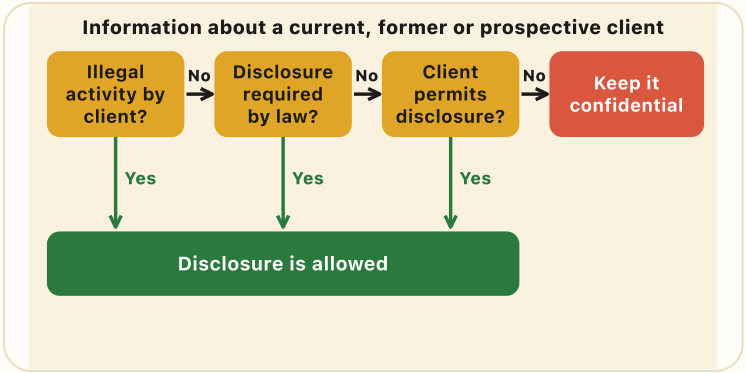


EXAM TRAP

III(D) traps

- III(D) does not require GIPS compliance. It requires fair, accurate, complete.
- Dropping terminated or losing accounts (survivorship bias) is a violation.
- Choosing the flattering period or the best account is a violation, even if every number is true.
- Backtests are fine when clearly labelled as simulated.
- A short ad is fine when it says full details are available on request.
- It applies to anyone who communicates performance, not only the marketing team.

So: **If a true number was chosen to mislead, III(D) is violated.**



THE STANDARD

III(E) Preservation of Confidentiality

In plain words: keep information about **current, former and prospective clients** confidential, unless:

1. the information concerns **illegal activities** by the client;
2. disclosure is **required by law**; or
3. the client or prospective client **permits** the disclosure.

The duty does not end when the client leaves. A prospect who never signed up is protected too.

So: Three exceptions only: illegal activity, required by law, client permission.



GUIDANCE

Law, the PCP, and data

- **Laws** may require you to report, for example suspected money laundering. Follow them, and ask compliance or legal counsel.
- **CFA Institute Professional Conduct Program (PCP)**, which investigates possible breaches: giving confidential client information to the PCP in an investigation is not a violation. The PCP keeps it confidential.
- **Electronic data**: follow your firm's rules for storing and sending client information. Take reasonable care against leaks: no client files on personal email.
- The duty covers what you learn through the client relationship.

So: Cooperating with the PCP or obeying the law is never a III(E) breach.

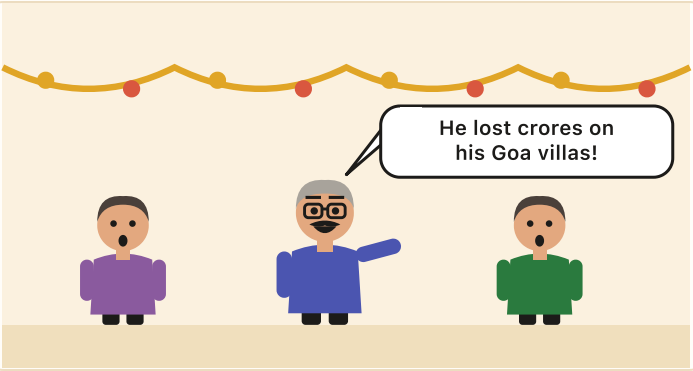


RECOMMENDED PROCEDURES

III(E): how to comply

- The simplest, safest route: do not disclose client information, except to colleagues who also work for that client.
- If you want to share something outside the relationship and no law is involved, discuss it with the client first.
- Communicate with clients through secure, approved methods, and follow the firm's procedures for electronic data.
- When unsure whether an exception applies, ask compliance or legal before speaking.

So: Default to silence; disclose only under an exception or with the client's say-so.



CASE

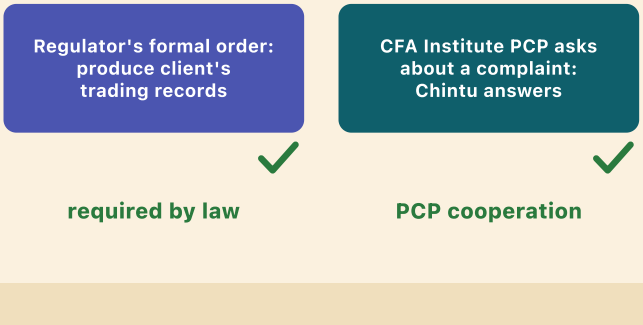
Case: wedding gossip

At a cousin's wedding in Jaipur, guests ask Sharma ji about a film star who was his client until two years ago. Sharma ji: "Lost crores on his Goa villa bets, poor man. He had to sell two." Nothing illegal is involved, and the star never agreed to this. Violation?

▼ **Verdict (tap to see)**

Violation of III(E). Former clients are protected. None of the three exceptions applies: no illegal activity, no legal requirement, no permission. Fame and juicy stories are not exceptions.

So: Former clients keep their confidentiality forever; fame is not an exception.



CASE

Case: the regulator and the PCP

The securities regulator issues a formal order requiring Chintu's firm to produce a client's trading records for an insider trading probe. The firm complies. Separately, the CFA Institute Professional Conduct Program asks Chintu about a complaint, and he shares the relevant client details. Violation?

▼ **Verdict (tap to see)**

No violation in either. The first disclosure is required by law, one of the three exceptions. The second is cooperation with the PCP, which the Standard expressly allows.

So: Disclosing because the law requires it, or to the PCP, is allowed.



CASE

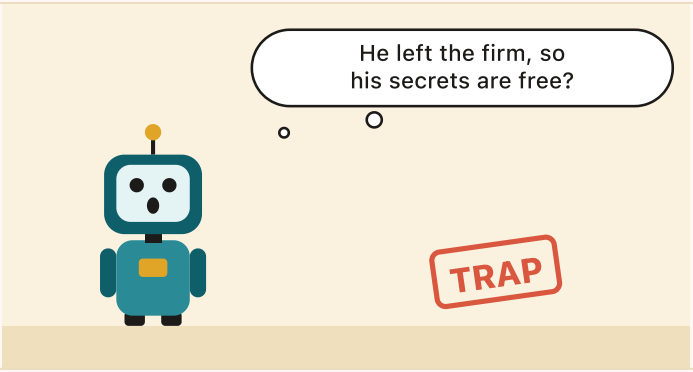
Case: Pinky's WhatsApp

Pinky posts a screenshot of a well-known client's holdings in her college WhatsApp group: "Guess whose portfolio?" Pinky is not a CFA Institute member or candidate. Sharma ji, her supervisor and a charterholder, finds out. Did Pinky violate the Code and Standards?

▼ **Verdict (tap to see)**

No, not the Code and Standards: they bind only members and candidates, and Pinky is neither. She has likely broken firm policy and perhaps the law, and the firm can discipline her. Sharma ji, who supervises her, must now act under IV(C) Responsibilities of Supervisors.

So: The Standards bind members and candidates; their supervisors answer for the rest.

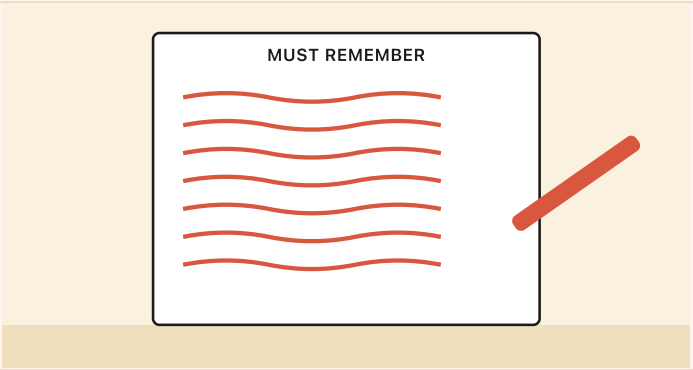


EXAM TRAP

III(E) traps

- Former and prospective clients are protected, not only current ones.
- Exactly three exceptions: illegal activity, required by law, client permission. Nothing else.
- Sharing with the CFA Institute PCP is allowed.
- Disclosing illegal activity is permitted by the Standard; local law may make it mandatory.
- Only members and candidates can violate the Standards; a non-member's leak is a supervision issue for the member.

So: Run every disclosure through the three exceptions; if none fits, it is a violation.

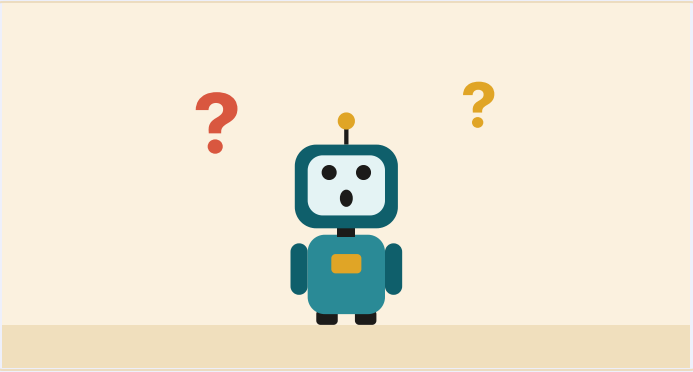


SHARMA JI'S RED PEN

7 things to remember

1. Clients, then employer, then you. Pension plan client = beneficiaries.
2. Client brokerage is the client's. Best execution = total cost.
3. Proxies: vote for the client under a disclosed policy.
4. Fair, not equal. Hot issues pro rata; members' accounts last.
5. Suitability: ask first, judge the total portfolio, obey the mandate. IPS yearly and on change.
6. Performance: fair, accurate, complete; keep terminated accounts; label simulations.
7. Confidentiality: illegal activity, required by law, or client permission. PCP is fine.

So: Scribbled by Sharma ji on the back of a client file.



EXAM QUESTION 1 OF 10

A manager runs a company's defined benefit pension plan. Under III(A), her duty of loyalty is owed primarily to:

A. the company's management, who appointed her.

B. the plan's participants and beneficiaries.

C. her own firm, which employs her.

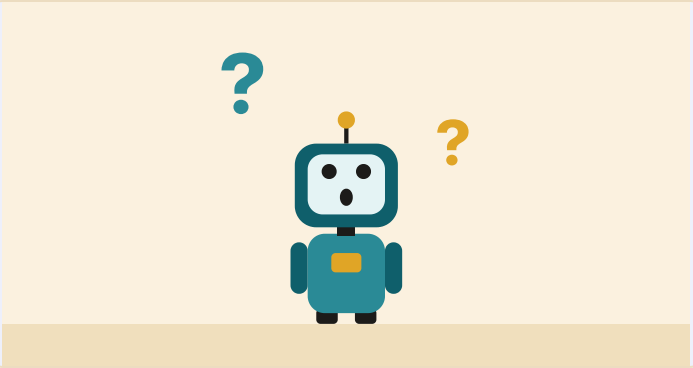
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

A manager runs a company's defined benefit pension plan. Under III(A), her duty of loyalty is owed primarily to:

Answer: B. For a pension plan, the ultimate clients are the participants and beneficiaries whose retirement money it is. A is wrong: management hires the manager but is not the client. C is wrong: the employer ranks behind clients in the order of duties.



EXAM QUESTION 2 OF 10

Which use of client brokerage is most likely consistent with the Standards?

A. Paying higher commissions to a broker who refers new clients to the firm.

B. Using commissions to pay part of the firm's office rent.

C. Using commissions to buy research that helps manage the accounts that paid them.

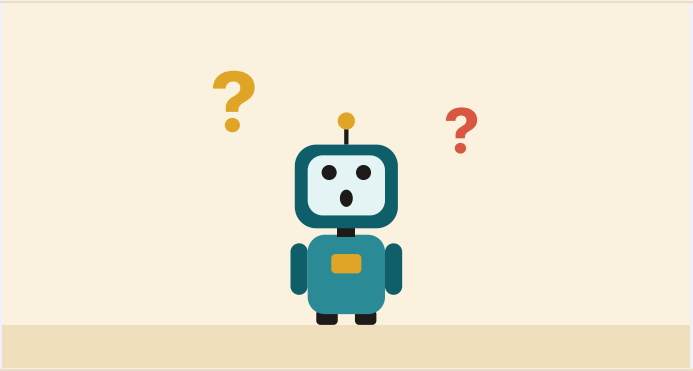
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which use of client brokerage is most likely consistent with the Standards?

Answer: C. Client brokerage belongs to the client, so it may buy research that assists investment decisions for those clients. A spends client money on the firm's marketing. B spends it on the firm's overheads. Both benefit the firm, not the clients.



EXAM QUESTION 3 OF 10

Chintu must buy Rs 2 crore of shares. Broker X charges 0.08% commission with expected price impact of 0.30%. Broker Y charges 0.15% with expected price impact of 0.12%. Which choice best reflects best execution?

A. Broker X, because its commission is lower.

B. Broker Y, total expected cost Rs 54,000.

C. Broker X, total expected cost Rs 76,000.

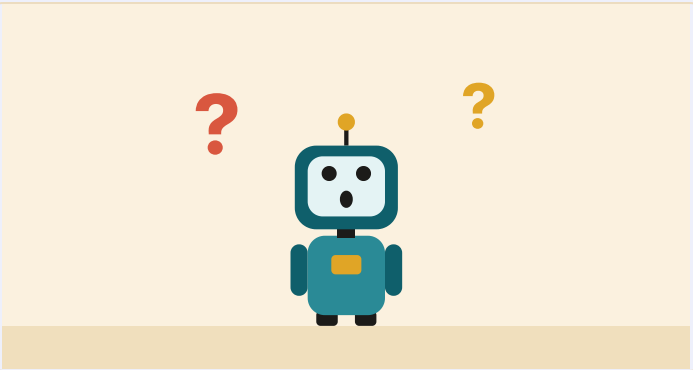
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So: Pick an answer, then turn the page.

ANSWER

Chintu must buy Rs 2 crore of shares. Broker X charges 0.08% commission with expected price impact of 0.30%. Broker Y charges 0.15% with expected price impact of 0.12%. Which choice best reflects best execution?

Answer: B. Total cost: X = 0.38% of Rs 2 crore = Rs 76,000; Y = 0.27% = Rs 54,000. Y is cheaper overall. A looks only at commission, which is not best execution. C states X's cost correctly but it is the more expensive choice.



EXAM QUESTION 4 OF 10

An analyst changes her rating on a stock from buy to sell. Which action is most consistent with III(B) Fair Dealing?

A. Release the change to all clients at the same time electronically, then call clients who hold the stock.

B. Call the firm's ten largest clients first, then email everyone else later that day.

C. Wait until the firm's own account has sold before telling clients.

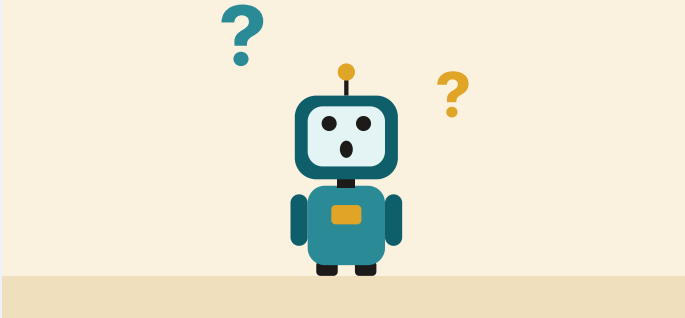
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

An analyst changes her rating on a stock from buy to sell. Which action is most consistent with III(B) Fair Dealing?

Answer: A. A gives every client a fair chance to act, then adds follow-up for the holders most affected. B gives big clients a head start, which disadvantages the rest. C puts the firm ahead of clients, which also breaks the order of duties.



EXAM QUESTION 5 OF 10

A firm receives 6,000 shares of an oversubscribed IPO. Client orders: A 10,000, B 4,000, C 1,000. Under a pro rata policy, Client B most likely receives:

A. 1,600 shares.

B. 2,000 shares.

C. 4,000 shares.

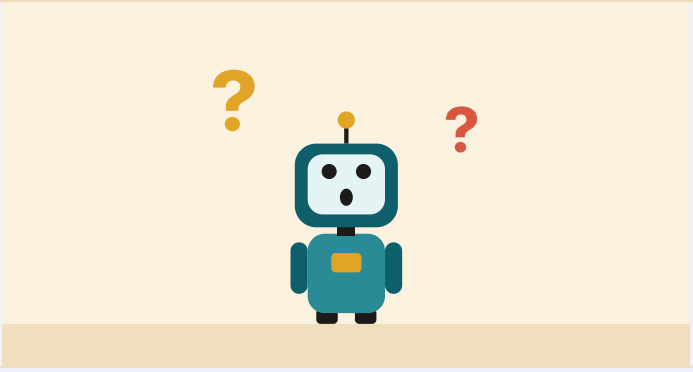
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

A firm receives 6,000 shares of an oversubscribed IPO. Client orders: A 10,000, B 4,000, C 1,000. Under a pro rata policy, Client B most likely receives:

Answer: A. Fill ratio = 6,000 / 15,000 = 40%, so B gets 4,000 x 40% = 1,600. B splits the issue equally three ways, which ignores order size. C fills B in full, which would leave too little for the others and favours B.



EXAM QUESTION 6 OF 10

Under III(C), an advisory client's investment policy statement should most likely be reviewed:

A. every three years, as a standard cycle.

B. only when the client asks for a review.

C. at least annually and when the client's circumstances change materially.

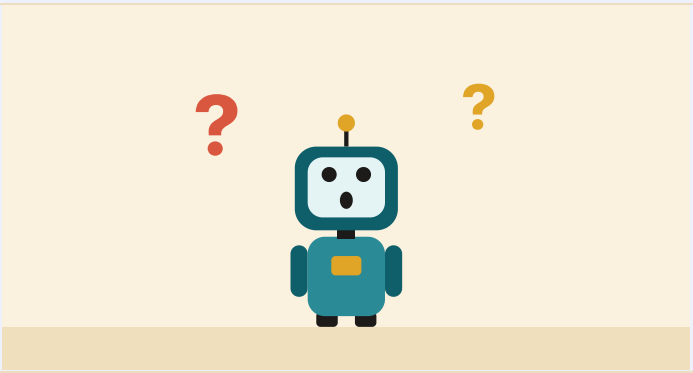
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Under III(C), an advisory client's investment policy statement should most likely be reviewed:

Answer: C. The guidance calls for regular updates, at least annually, and whenever material changes occur. A is too infrequent. B puts the burden on the client; the manager must reassess regularly.



EXAM QUESTION 7 OF 10

A portfolio manager runs a fund with a stated mandate of investment-grade bonds. She learns that one investor is 25 and wants aggressive growth. She should most likely:

A. keep managing the fund to its stated mandate.

B. add high-yield bonds and equities to suit that investor.

C. ask the investor to sell, because the fund is unsuitable for him.

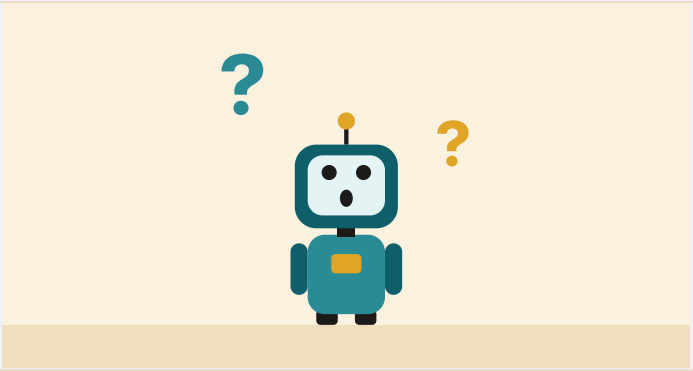
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

A portfolio manager runs a fund with a stated mandate of investment-grade bonds. She learns that one investor is 25 and wants aggressive growth. She should most likely:

Answer: A. When managing to a mandate, the duty is to stay consistent with the fund's stated objectives; suitability for each investor is the investor's or his adviser's decision. B breaks the mandate for every other investor. C is not required by the Standards.



EXAM QUESTION 8 OF 10

Three equal-sized accounts follow one strategy. Returns: +18%, +10%, and -8% for an account the client closed at year end. A brochure shows 14%. A fair, complete composite return is closest to:

A. 18.0%

B. 14.0%

C. 6.7%

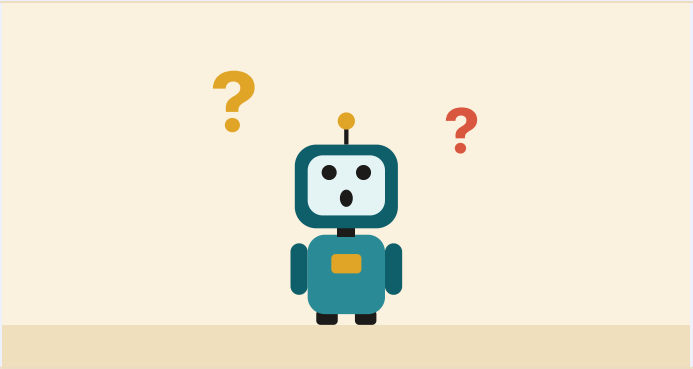
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

Three equal-sized accounts follow one strategy. Returns: +18%, +10%, and -8% for an account the client closed at year end. A brochure shows 14%. A fair, complete composite return is closest to:

Answer: C. Including all accounts: (18 + 10 - 8) / 3 = 6.7%. A is the best single account, cherry-picked. B averages only the two surviving accounts and drops the terminated loser, which is survivorship bias.



EXAM QUESTION 9 OF 10

Which of the following is least likely to violate III(D) Performance Presentation?

A. Presenting the best-performing account as "representative" of the strategy.

B. Showing backtested results clearly labelled as hypothetical, with the method disclosed.

C. Leaving closed accounts out of the historical record without saying so.

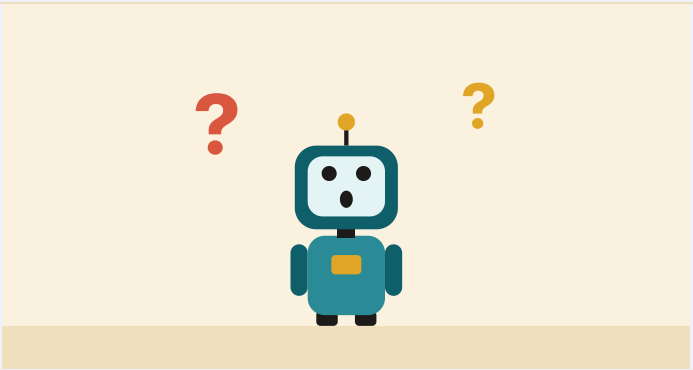
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So: **Pick an answer, then turn the page.**

ANSWER

Which of the following is least likely to violate III(D) Performance Presentation?

Answer: B. Clearly labelled simulated results with disclosed methods are allowed. A cherry-picks one account instead of a composite. C hides terminated accounts, making the record unfair and incomplete.



EXAM QUESTION 10 OF 10

Which disclosure of client information most likely violates III(E) Preservation of Confidentiality?

A. Giving client details to the CFA Institute Professional Conduct Program during an investigation.

B. Producing a client's records in response to a court order.

C. Telling friends at dinner about the portfolio of a client who left the firm last year.

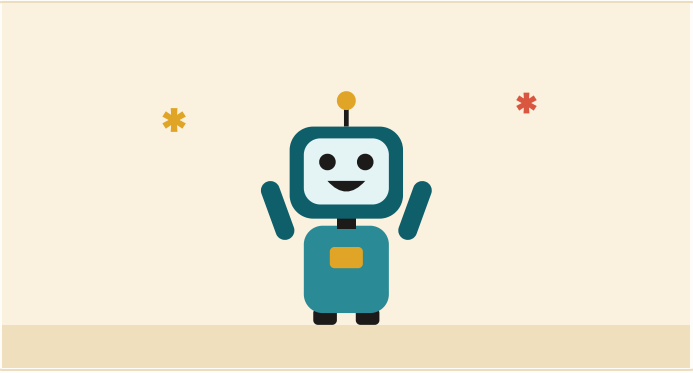
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which disclosure of client information most likely violates III(E) Preservation of Confidentiality?

Answer: C. Former clients are protected and none of the exceptions applies to dinner gossip. A is expressly allowed: cooperating with the PCP is not a violation. B is disclosure required by law, one of the three exceptions.



CHAPTER 5 DONE

Clients first, five ways

Chintu can now spot a III(A) brokerage abuse, an unfair rating release, an unsuitable trade, a cherry-picked track record and a leaky mouth at a wedding. Sharma ji handed him Mrs Desai's file and said, "Her interests. First." Chintu said it back. Sharma ji almost smiled.

So: **Swipe on, or jump to another chapter from the Menu.**



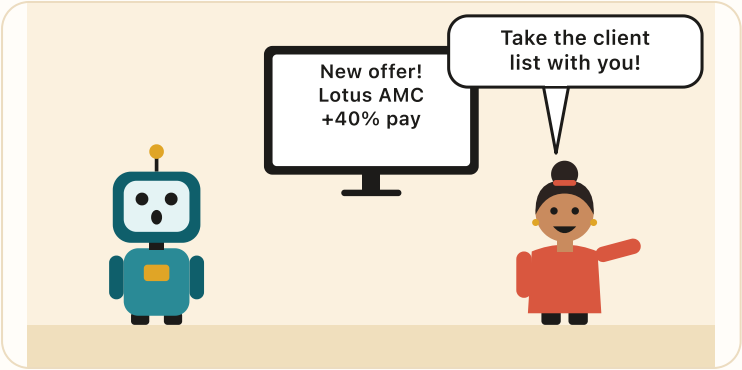
BEFORE YOU START

The cast, and words this chapter uses

A Mumbai investment firm. Sharma ji trusts nothing without data ("Data dikhao"); Pinky is sure of everything, especially when wrong.

- **Member, candidate:** a CFA Institute member, or someone registered for a CFA exam.
- **Compliance:** the team that writes and polices a firm's rules for staff.
- **Non-compete:** a contract that stops an ex-employee competing for a set time.
- **Third-party research:** analysis bought or borrowed from outside, e.g. a broker's report.
- **Front-running:** trading for yourself just ahead of a client's large order.

So: **You can start this chapter cold. Everything it needs is on this card.**



STORY

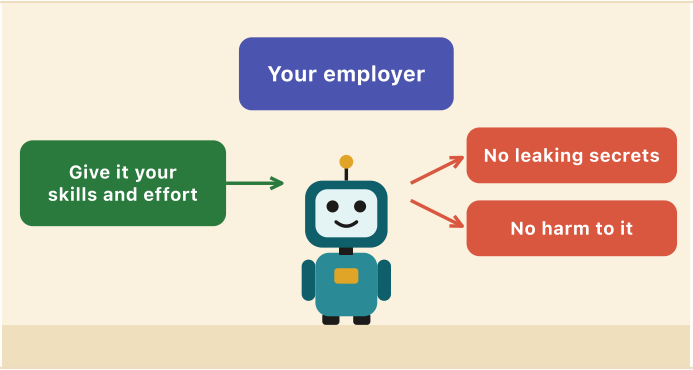
The job offer and the client list

Friday evening. Chintu, a Level I candidate, gets an offer from a rival fund: 40% more pay. Pinky, the trader, leans over: "Download the client list tonight. And copy your Excel models. Old firm will never know."

Sharma ji, CFA charterholder and CIO, overhears. "Two Standards in one sentence, Pinky. **IV: Duties to Employers**, and **V: Investment Analysis, Recommendations, and Actions**. Chintu, sit. Data dikhao, and I mean the rules."

This chapter covers IV(A), IV(B), IV(C), V(A), V(B) and V(C).

So: Standards IV and V: be loyal to the firm that pays you, and do honest, documented analysis.



THE STANDARD

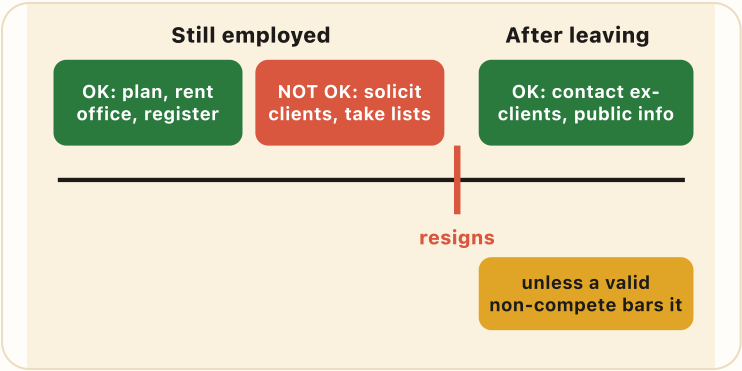
IV(A) Loyalty

In plain words: in matters related to your employment, **act for the benefit of your employer**. Do not deprive it of your skills and abilities, do not divulge its confidential information, and do not otherwise cause it harm.

Limits of the duty:

- It is not blind obedience. If the employer's interest conflicts with the Code and Standards or with clients' interests, those win.
- You need not give up important personal and family obligations for work.
- Employers should not set incentives that push staff to break the Standards.

So: Loyal to the employer, but never at the expense of clients, markets, or the Code.



GUIDANCE

Leaving an employer: prepare, do not poach

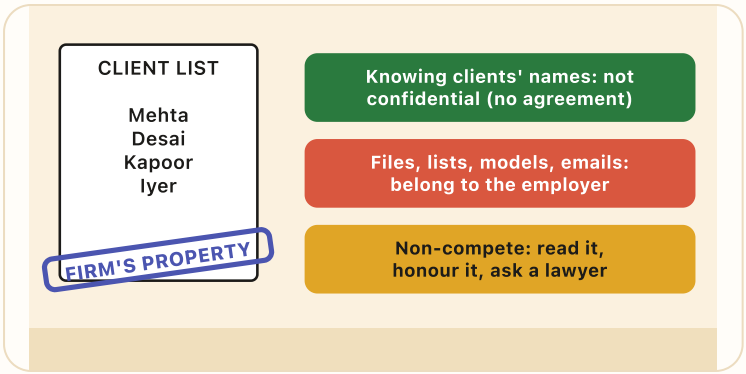
You may **prepare** to compete while still employed: write a business plan, rent an office, register a company, look for a job. Preparation must not breach your duty to the current employer.

Before you leave, you must not:

- **solicit** the employer's clients or staff to follow you;
- take client lists, records, models or other property;
- misuse confidential information or divert business to yourself.

After leaving, you may contact former clients using public sources, unless an agreement such as a non-compete forbids it.

So: Preparing to compete is allowed; soliciting before you leave is not.

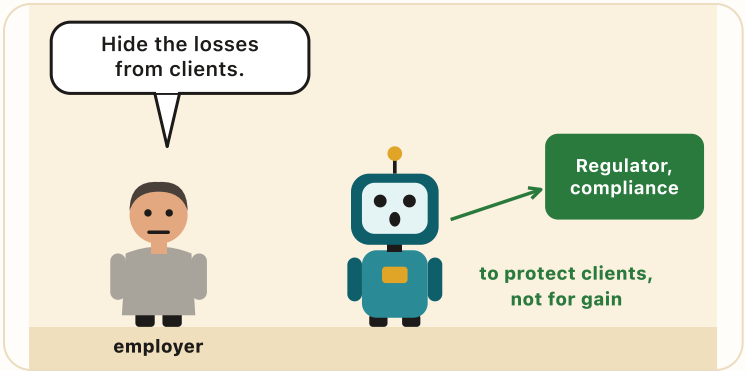


GUIDANCE

Client lists, records and non-competes

- **Records belong to the employer**: client lists, files, models, research, emails, even copies on your own phone. Take none without permission.
- Simply knowing the names of former clients is generally not confidential, unless an agreement or the law says it is.
- **Non-compete agreements**: know what you signed and abide by it. Ask a lawyer if unsure.
- **Social media**: follow the firm's policy. Accounts and contacts used for firm business may belong to the firm, and must not be used to solicit clients before you leave.

So: **The firm owns the records; you own your experience.**



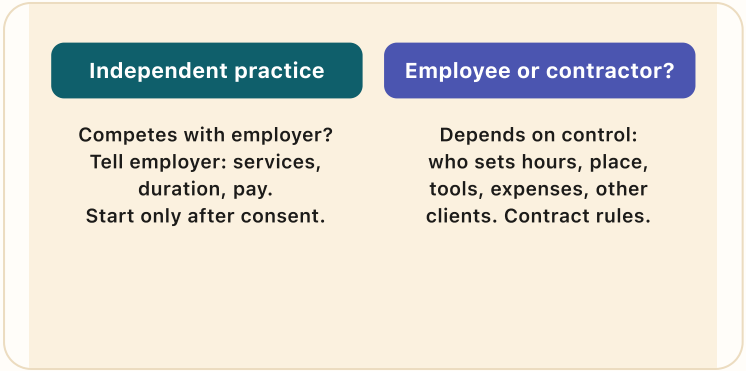
GUIDANCE

Whistleblowing

Your duty to the employer ranks below your duty to clients and to the integrity of markets.

- If the employer is engaged in illegal or unethical activity, acts that would normally breach loyalty can be justified: refusing instructions, breaking an internal policy, or copying records to preserve evidence.
- This is allowed only when the intent is clearly to **protect clients or the market**, not for personal gain.
- Usual first step: raise it with supervisors or compliance; go outside when that fails or is unsafe.

So: Whistleblowing to protect clients or markets is not disloyalty; doing it for personal gain is.



GUIDANCE

Independent practice and the nature of employment

- **Independent practice** means doing work for pay outside your job that could compete with your employer, such as advising clients privately. Before starting, tell the employer the type of services, expected duration and compensation, and wait for consent.
- **Nature of employment**: are you an employee or an independent contractor? It turns on control: who sets your hours, place and tools, pays expenses, and whether you work for others. A contractor's duties follow the agreement, so define the scope clearly. When unsure, take the conservative view.

So: Get consent before competing on the side; know whether you are an employee or a contractor.



RECOMMENDED PROCEDURES

IV(A): how to comply

The handbook suggests firms have, and staff understand:

- **Competition policy**: what outside work is restricted.
- **Termination policy**: how departures work, including records, devices and client contact.
- **Incident reporting**: how to raise suspected wrongdoing safely.
- **Employee classification**: employee or contractor, and what each owes.
- A **social media policy** covering business accounts and contacts.

For members: read these, follow them, and ask before you act.

So: Know the firm's rules on competing, leaving and reporting before you need them.



CASE

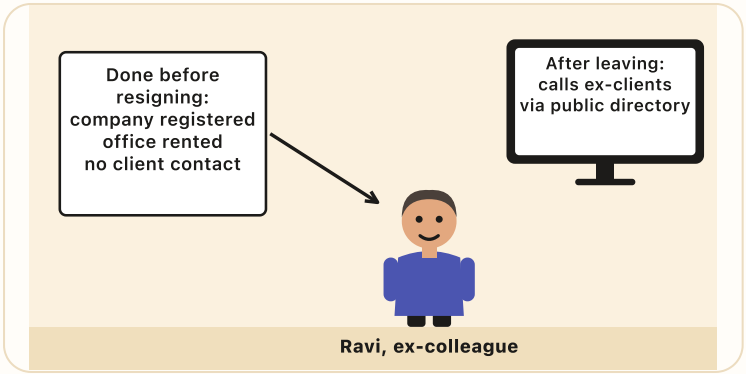
Case: the farewell email that came too early

Chintu accepts the rival's offer. Three weeks before resigning, he emails 40 of his firm's clients from a list he exported: "I am moving to Lotus AMC next month. Please move your accounts with me." Did Chintu most likely violate IV(A)?

▼ **Verdict (tap to see)**

Violation. He solicited the employer's clients while still employed, and he used the firm's client list. Both breach the duty of loyalty. He could have prepared quietly, resigned, and then contacted former clients using public information.

So: No soliciting the employer's clients until you have left, and never with its records.



CASE

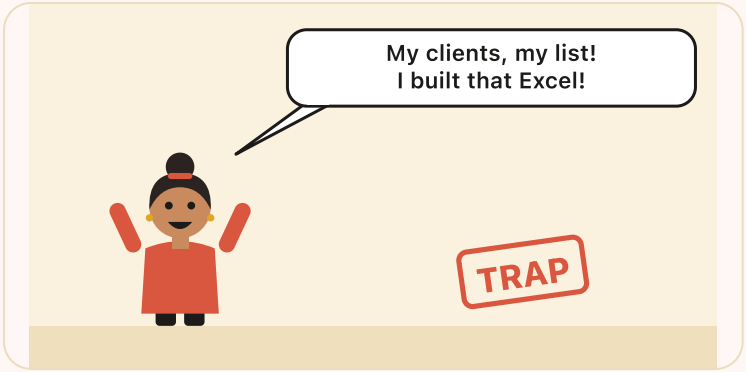
Case: preparing, then competing

Ravi, a charterholder at Sharma ji's firm, registers his own advisory company and rents an office while still employed. He contacts no clients and takes no records. He has no non-compete. After resigning, he calls former clients using numbers from a public directory. Violation of IV(A)?

▼ **Verdict (tap to see)**

No violation. Preparing to compete is allowed if it does not harm the employer. He solicited only after leaving, used public information rather than firm records, and no agreement barred him.

So: Plan while employed, compete after leaving, and use only public information.

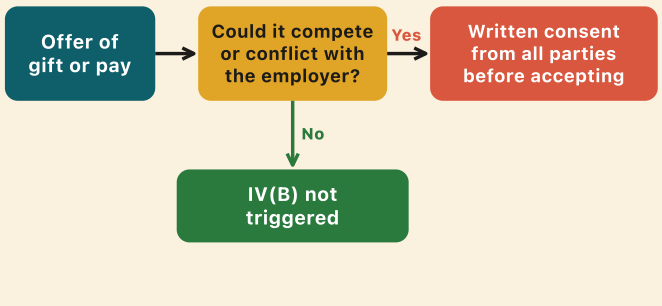


EXAM TRAP

IV(A) traps

- Preparing to compete (plans, office, company) is fine. Soliciting clients before you leave is not.
- Client lists, models and files you built at work belong to the employer.
- Knowing former clients' names is not confidential, absent an agreement or law; using the firm's records is the breach.
- Whistleblowing to protect clients or markets is not disloyalty.
- Side work that competes needs the employer's consent first.
- Pinky is not a member or candidate, so the Standards do not bind her. Chintu is a candidate, so they bind him.

So: **Ask: did they act against the employer while still paid by it, or take what the employer owns?**



THE STANDARD

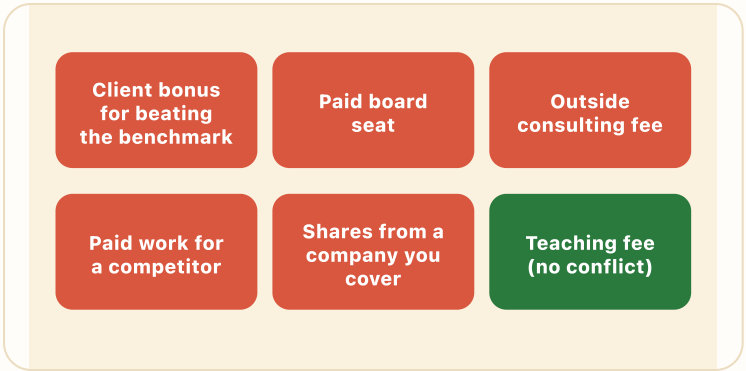
IV(B) Additional Compensation Arrangements

In plain words: do not accept **gifts, benefits, compensation or consideration** that compete with, or might reasonably be expected to create a conflict with, your employer's interest, **unless you obtain written consent from all parties involved**.

Why: extra money from someone else can pull your judgment away from the employer's clients and business. The employer has a right to know, and to say no.

Written consent includes an email. Get it **before** you accept.

So: Outside pay or perks that could conflict: written consent from all parties, before accepting.



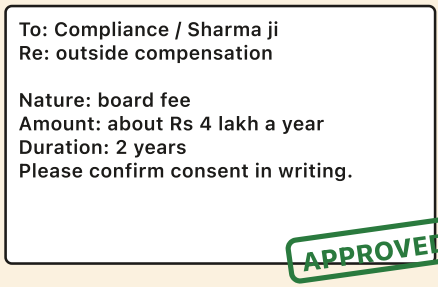
GUIDANCE

What needs written consent

Arrangement	Rule
Client offers a bonus for **future** performance	IV(B): written consent from employer (and the client) before accepting
Paid board seat, outside consulting	IV(B): written consent first
Client's gift for **past** service	Lower risk to independence; disclose it to the employer
Unpaid, unrelated hobby work	No conflict: IV(B) not triggered

The test is conflict or competition with the employer, not the size of the gift.

So: **Pay tied to future performance from someone other than your employer needs written consent.**

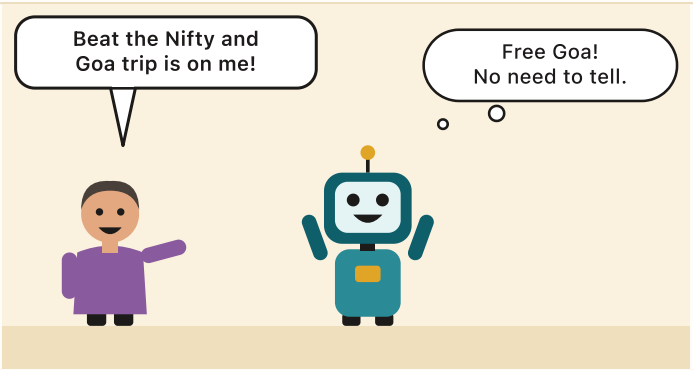


RECOMMENDED PROCEDURES

IV(B): how to comply

- Make an **immediate written report** to your employer about any proposed compensation beyond what the employer pays.
- State the terms: the **nature** of the compensation, the **approximate amount**, and the **duration**.
- Wait for **written consent** from all parties before accepting.
- Firms: have a clear process for outside activities and keep the approvals on file.

So: Report nature, amount and duration in writing; accept only after written consent.



CASE

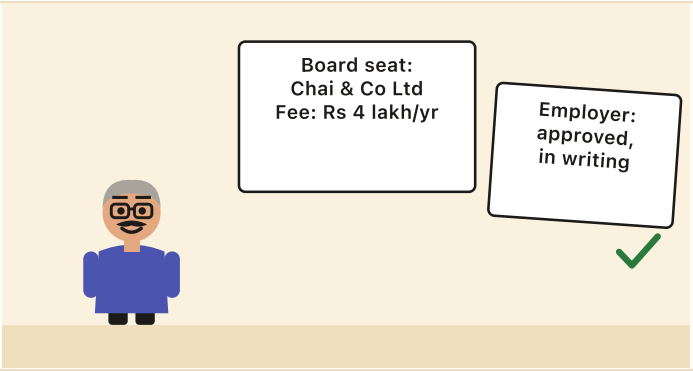
Case: the Goa bonus

A wealthy client tells Chintu: "Beat the Nifty this year and I will pay for a week in Goa for you and your family." Chintu says yes and tells no one at the firm. He beats the index and takes the trip. Did Chintu most likely violate the Standards?

▼ **Verdict (tap to see)**

Violation of IV(B). A reward from a client for future performance could make Chintu favour that client over others, a conflict with the employer's interest. He needed written consent from his employer before accepting.

So: A client's reward for future results needs the employer's written consent first.



CASE

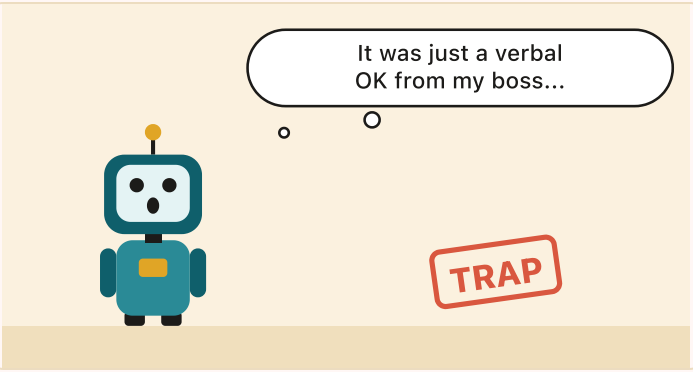
Case: the board seat

Sharma ji is invited to join the board of Chai & Co, an unlisted tea chain, for Rs 4 lakh a year. His firm does not invest in it. Before accepting, he sends the CEO a written description: role, fee and term. The CEO approves by email. He accepts. Violation?

▼ **Verdict (tap to see)**

No violation. He reported the nature, amount and duration in writing and received written consent before accepting. An email counts as written consent.

So: Written report first, written consent next, then accept.

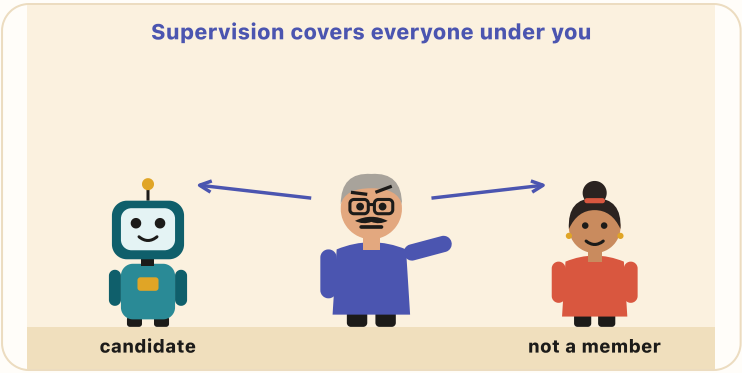


EXAM TRAP

IV(B) traps

- Verbal permission is not enough: consent must be **written** (email is fine).
- Consent must come **before** accepting, not after the trip.
- "From all parties involved": usually the employer, and the client offering the arrangement.
- Telling the client is not the same as getting the employer's consent.
- The trigger is a possible conflict or competition, not the amount.

So: In IV(B) answers, look for the words written, before, and employer.



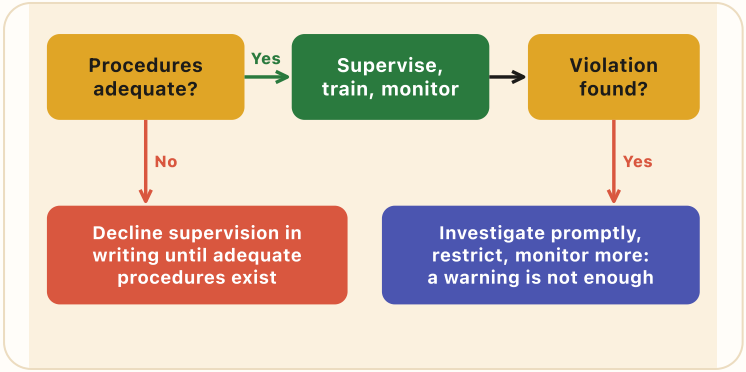
THE STANDARD

IV(C) Responsibilities of Supervisors

In plain words: make **reasonable efforts to ensure that anyone subject to your supervision or authority** complies with applicable laws, rules, regulations, and the Code and Standards.

- "Anyone" includes staff who are not CFA members or candidates.
- Reasonable efforts mean an adequate compliance system, used: rules, training, monitoring, and action when something goes wrong.
- You are not guaranteeing that no one ever breaks a rule. You are responsible for reasonable prevention and detection.

So: Supervisors must make reasonable efforts to prevent and detect violations by everyone they supervise.



GUIDANCE

Adequate procedures, and what to do when they fail

- **Inadequate procedures**: if the firm's compliance system cannot reasonably prevent and detect violations, decline in writing to accept supervisory responsibility until it adopts adequate procedures.
- **When a violation surfaces**: respond promptly, investigate the extent, and take steps so it does not recur, such as limiting the person's activities or increasing monitoring. Taking their word for it is not enough; nor is just reporting it upward.
- **Delegation**: you may delegate supervisory tasks, but you keep the supervisory responsibility.

So: **No adequate system: decline in writing. Violation found: investigate and act. Delegating never removes the duty.**



RECOMMENDED PROCEDURES

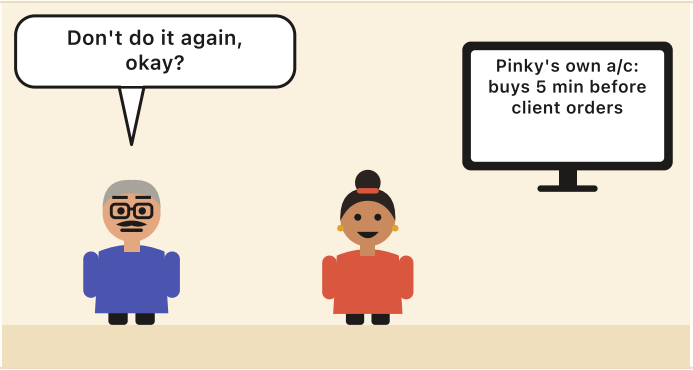
IV(C): an adequate compliance system

Compliance procedures should:

- be written, clear and easy to understand;
- name a compliance officer with real authority;
- set out the chain of supervision and each person's duties;
- describe how monitoring is done and documented;
- say how violations are reported and punished.

Supervisors should also: urge the firm to adopt a code of ethics, distribute the procedures, train staff, review them regularly, and act on breaches.

So: An adequate system is written, owned, monitored, enforced and taught.



CASE

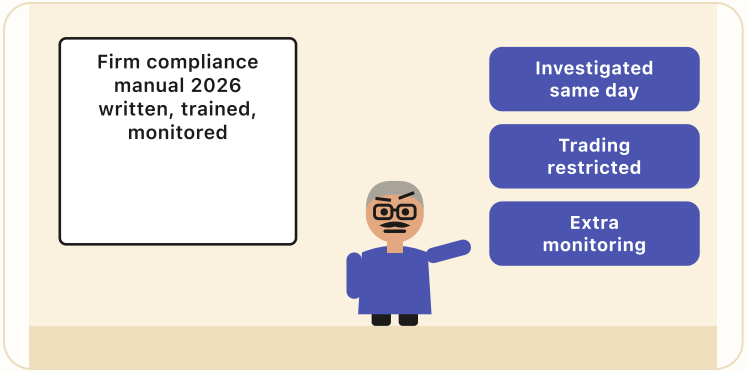
Case: the gentle warning

Compliance flags that Pinky, a trader Sharma ji supervises, buys stocks for her own account minutes before large client orders. Sharma ji tells her, "Don't do it again, okay?" He does not investigate further or change any monitoring. Pinky is not a CFA member. Who most likely violated the Standards?

▼ **Verdict (tap to see)**

Sharma ji violated IV(C). Learning of a likely violation, he had to investigate promptly and take steps such as restricting her trading and increasing monitoring. A verbal warning is not reasonable supervision. Pinky is not bound by the Standards (she may have broken the law and firm rules), but her supervisor is.

So: Supervisors who learn of misconduct must investigate and act, not just warn.



CASE

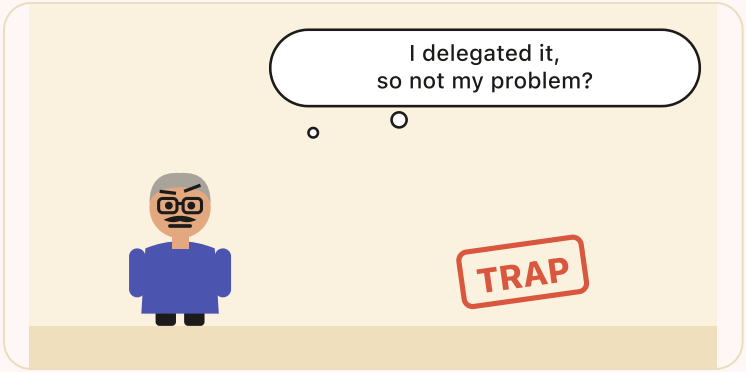
Case: a violation despite good supervision

Sharma ji's team has written procedures, training and regular monitoring. Despite them, a junior analyst secretly breaks the personal trading rules. Monitoring catches it within a week. Sharma ji investigates that day, restricts the analyst's trading and increases monitoring. Did Sharma ji violate IV(C)?

▼ **Verdict (tap to see)**

No violation. IV(C) requires reasonable efforts, not perfection. Adequate procedures existed, they detected the problem, and he responded promptly and firmly.

So: **A violation under you is not your violation if you had a reasonable system and acted on it.**



EXAM TRAP

IV(C) traps

- Delegating tasks does not delegate responsibility.
- Supervision covers non-members too, even though the Standards themselves do not bind those staff.
- A violation by a subordinate does not prove the supervisor violated IV(C). Check: adequate procedures, and a prompt response?
- Inadequate procedures: decline supervision **in writing**, do not just "do your best".
- Relying on the employee's promise, or only reporting upward, is not enough.

So: IV(C) asks two things: was there a reasonable system, and did the supervisor act when it fired?



THE STANDARD

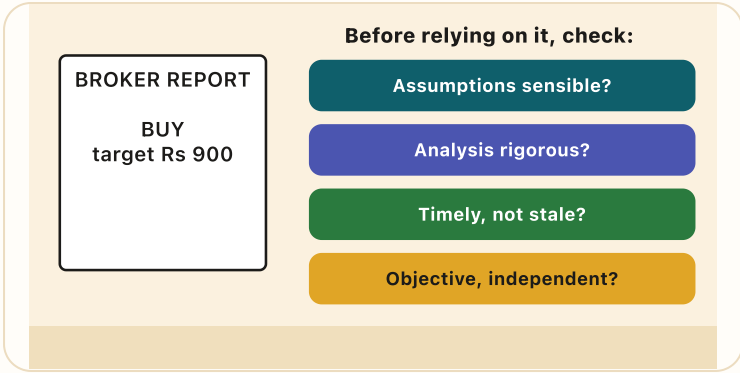
V(A) Diligence and Reasonable Basis

In plain words, two duties:

1. Exercise **diligence, independence and thoroughness** when you analyse investments, make recommendations and take investment actions.
2. Have a **reasonable and adequate basis**, supported by appropriate research and investigation, for every analysis, recommendation or action.

How much work is enough depends on the investment and your role. A complex structured product needs more digging than a large, well-covered stock. Research can be your own, the firm's, or a third party's.

So: Do the homework the decision deserves, and be able to show it.



GUIDANCE

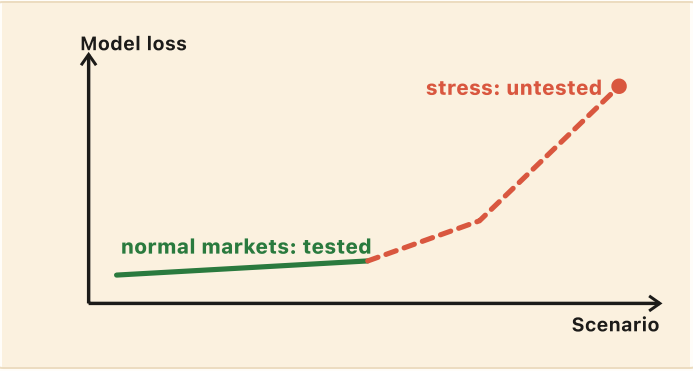
Using third-party research

You may rely on research from others (brokers, data vendors, a colleague) if you made reasonable efforts to confirm it has a sound basis. Check:

- the **assumptions** used;
- the **rigour** of the analysis;
- whether it is **timely**;
- whether it is **objective and independent**.

Review research providers periodically. If you have reason to doubt a report, you may not lean on it.

So: Third-party research is usable only after you have checked it is sound.

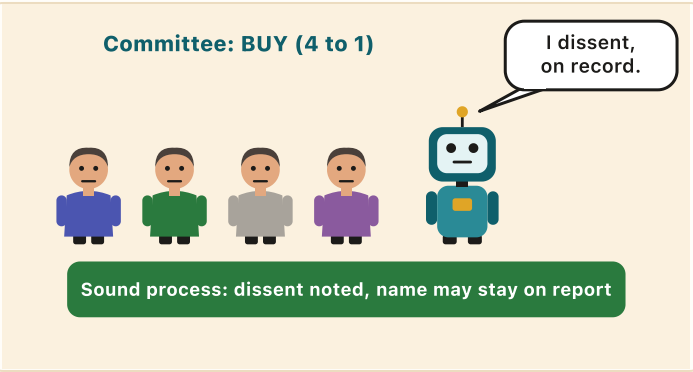


GUIDANCE

Quantitative models, external advisers

- **Quant models**: understand the assumptions and limits of the models you use or build. Test them across a range of scenarios, **including extreme ones**, not only normal markets. A housing model that assumes prices never fall has no reasonable basis.
- **External advisers and sub-advisers**: before hiring, and regularly after, review their investment process, adherence to stated strategy, compliance and internal controls, quality of returns, and operations.

So: A model is only as reasonable as the worst scenario you tested it on.



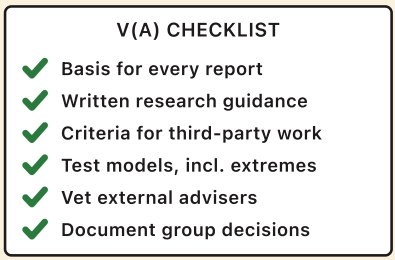
GUIDANCE

Group research decisions

Many recommendations come from a committee. What if you disagree?

- You may **document your dissent**.
- If you believe the process was sound, and the consensus has a reasonable and adequate basis and is independent and objective, you **need not** remove your name from the report.
- If the process itself lacked a reasonable basis, that is a different problem: raise it, and do not put your name to it.

So: Disagreeing with a sound group decision does not require you to disassociate from it.



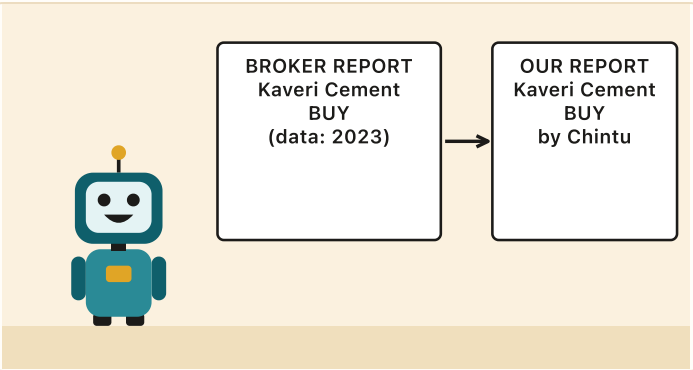
RECOMMENDED PROCEDURES

V(A): how to comply

Firms should:

- require that research reports, credit ratings and recommendations have a basis that can be shown to be reasonable and adequate;
- give analysts detailed written guidance on proper research and supervision;
- set measurable criteria for judging third-party research and providers;
- write guidance for testing quantitative models, including stress scenarios;
- set criteria and review procedures for external advisers;
- document how group research decisions are made.

So: Firms make diligence routine: written standards, criteria, tests and records.



CASE

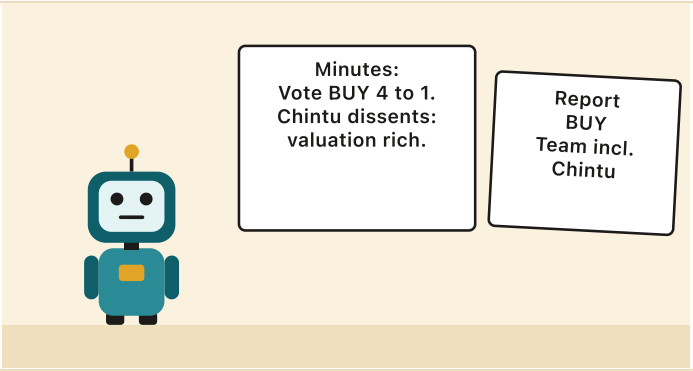
Case: copy, paste, publish

Short of time, Chintu copies a broker's buy recommendation on Kaveri Cement into his own report. He does not check its assumptions. The broker's model still uses 2023 cement prices, before a sharp cost increase. Did Chintu most likely violate V(A)?

▼ **Verdict (tap to see)**

Violation. He relied on third-party research without assessing its assumptions or timeliness, so his recommendation lacked a reasonable and adequate basis. Being busy is not an exception.

So: Borrowed research must be checked before it becomes your recommendation.



CASE

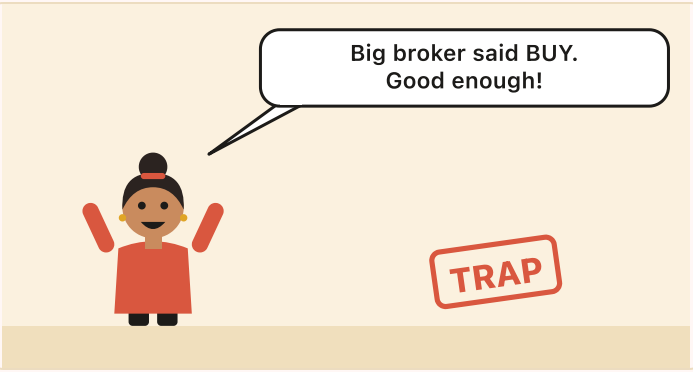
Case: outvoted, still named

The research committee reviews a full model, management meetings and scenario tests, then votes 4 to 1 to rate Monsoon Motors a buy. Chintu thinks the valuation is rich and his dissent is minuted. The report goes out with Chintu listed on the team. He believes the process was thorough. Violation?

▼ **Verdict (tap to see)**

No violation. The group process was sound and the consensus had a reasonable and adequate basis. Chintu may record his dissent without removing his name.

So: A minority view on a sound process is recorded, not a reason to quit the report.



EXAM TRAP

V(A) traps

- A famous source is not a reasonable basis. Check assumptions, rigour, timeliness, objectivity.
- Dissenting from a sound group decision does not require removing your name.
- Model tests must include extreme scenarios, not only normal markets.
- Due diligence on external advisers continues after hiring them.
- The required depth of research varies with the product and your role.

So: **V(A) answers turn on one question: was there a reasonable and adequate basis?**



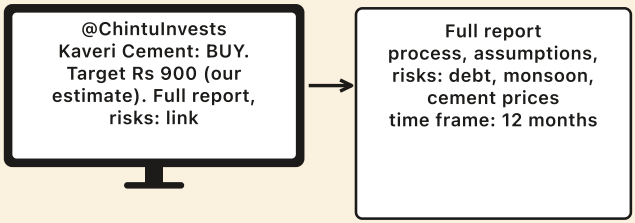
THE STANDARD

V(B) Communication with Clients and Prospective Clients

In plain words, four duties to clients and prospects:

1. Disclose the **basic format and general principles** of the investment process you use to analyse investments, select securities and build portfolios, and promptly disclose **changes** that might materially affect it.
2. Disclose **significant limitations and risks** of the investment process.
3. Use reasonable judgment to identify the **important factors** and include them in your communications.
4. **Distinguish between fact and opinion** in your analysis and recommendations.

So: **Tell clients how you invest, what can go wrong, what matters, and which bits are opinion.**

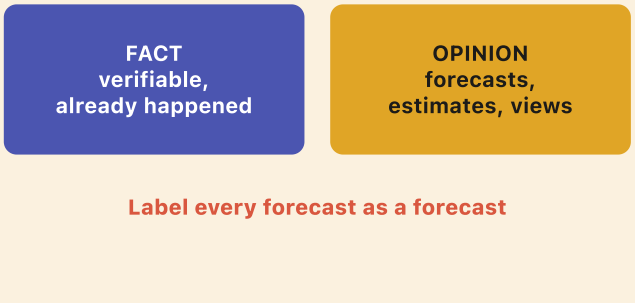


GUIDANCE

Process changes, risks and short formats

- **Process changes**: switching from fundamental research to a quant model, adding a new data source, or hiring a sub-adviser are changes clients must hear about promptly.
- **Risks and limits**: for example leverage, derivatives, liquidity, counterparty risk, and model limits. You need not predict every outcome, only disclose the significant risks.
- **Short formats** (social posts, text messages) cannot say everything. Point clients to the fuller report with the details.
- Keep records of what you communicated.

So: Short messages are fine if the full story, risks included, is one click away.



GUIDANCE

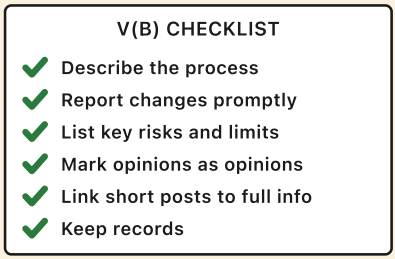
Fact or opinion?

Cover the right column, then check yourself:

Statement	Label
"Kaveri's revenue grew 12% last year."	Fact
"EPS will be Rs 50 next year."	Opinion (a forecast)
"The dividend yield is 2%."	Fact (today)
"The stock is cheap."	Opinion
"The bond will never default."	Opinion, and a dangerous one

Writing a forecast as if it were certain ("will be", "never") is a V(B) violation. Say "we estimate", "we expect", "in our opinion".

So: Forecasts are opinions; present them as estimates, never as facts.



RECOMMENDED PROCEDURES

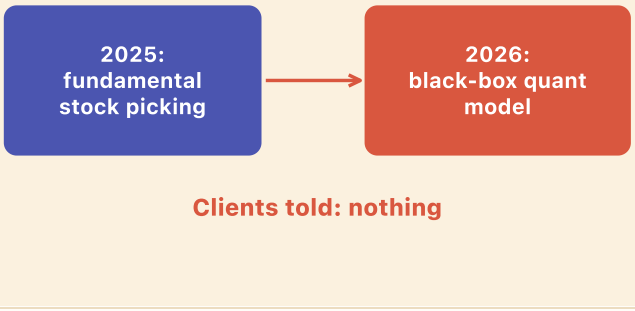
V(B): how to comply

In research and client reports, include the basics:

- a summary of the investment process and how securities were selected;
- the key factors, assumptions and expected time frame;
- the significant risks and limitations;
- clear labels on opinions and estimates.

Then: tell clients promptly about material process changes, and keep records of the communications.

So: Process, factors, risks, labels, and a record of what you said.



CASE

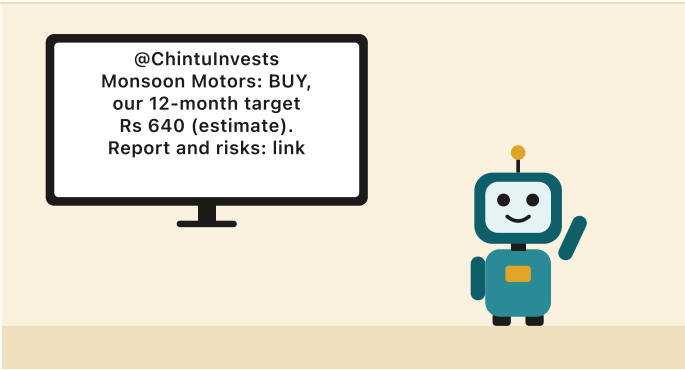
Case: the silent switch

Sharma ji's flagship fund has always picked stocks by fundamental research. In 2026 he quietly moves the whole fund to a quantitative model bought from a vendor, which trades far more often. The marketing material and client letters still describe fundamental stock picking. Violation?

▼ **Verdict (tap to see)**

Violation of V(B). A material change to the investment process must be promptly disclosed to clients and prospects, along with the new process's significant risks and limits. (Using a model without understanding it also raises V(A).)

So: Change the process, tell the clients, promptly.



CASE

Case: the short post

Chintu posts on social media: "Monsoon Motors: BUY, our 12-month target Rs 640 (estimate). Full report and risks: link." The linked report explains the process, assumptions and main risks, and was sent to all clients at the same time. Violation of V(B)?

▼ **Verdict (tap to see)**

No violation. The target is labelled as an estimate, and the short format points to a full report with the process and risks.

So: A brief message is fine when it labels opinions and points to the full report.

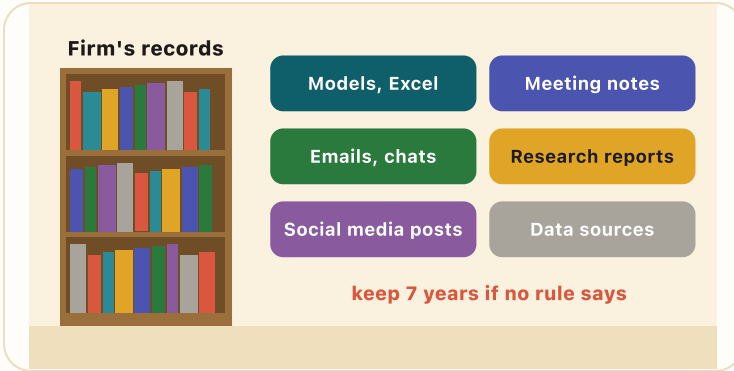


EXAM TRAP

V(B) traps

- Forecasts and price targets are opinions. Presenting them as facts is a violation.
- Material changes to the process (new model, new data, new sub-adviser) must be disclosed promptly.
- You must disclose significant risks, not every conceivable one.
- Short formats are fine with a pointer to full information.
- V(B) covers prospective clients too.

So: In V(B) questions, hunt for a hidden change, a hidden risk, or an opinion dressed as fact.



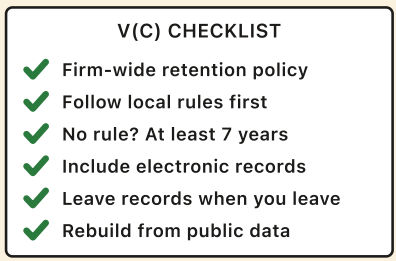
THE STANDARD

V(C) Record Retention

In plain words: **develop and maintain appropriate records** to support your investment analyses, recommendations, actions, and other investment-related communications with clients and prospects.

- Records include models, spreadsheets, notes from company meetings, emails, research, data used, and social media communications.
- **Records belong to the firm**, not to you.
- Local law or regulation sets how long to keep them. Where **no requirement** applies, the Standards recommend **at least seven years**.

So: Keep the evidence behind every recommendation; it belongs to the firm; seven years if no rule says otherwise.

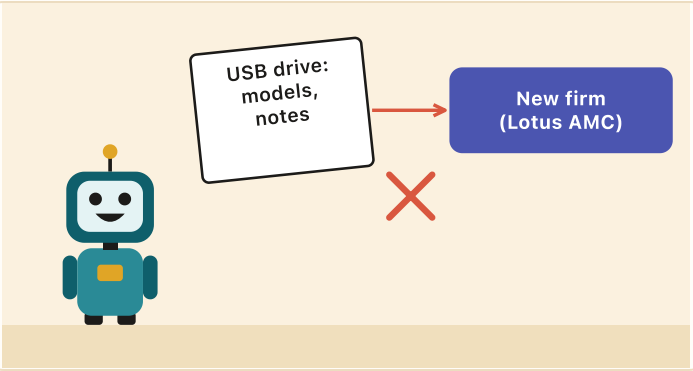


RECOMMENDED PROCEDURES

V(C): how to comply

- The firm usually owns the retention system. Members should follow it, and make sure their own work is captured.
- Follow local regulatory retention periods; with none, keep records at least seven years.
- Include electronic and social media records.
- When you change firms, leave the records behind. At the new firm, **recreate** the support for any recommendation from public information or the company itself, not from memory or the old firm's files.

So: New firm, new records: rebuild the support from public sources.



CASE

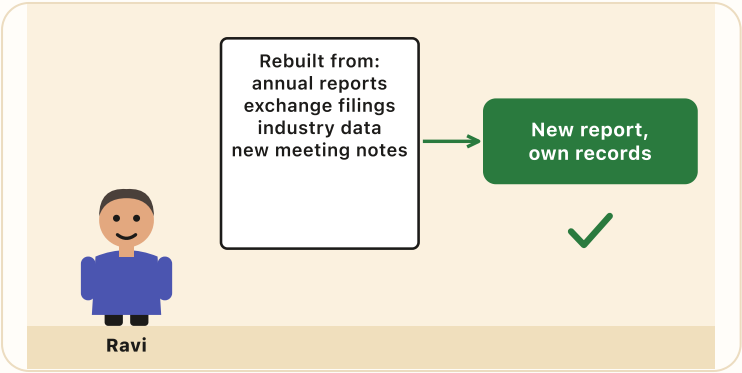
Case: the USB drive

On his last day, Chintu copies his cement sector models and company meeting notes to a USB drive. "I built them," he says. At Lotus AMC he uses them to support his first report. Did Chintu most likely violate the Standards?

▼ **Verdict (tap to see)**

Violation. The models and notes are the old firm's records (V(C)) and taking them breaches loyalty (IV(A)). His new report rests on records he had no right to use.

So: Work you built at a firm is the firm's record; it stays when you leave.



CASE

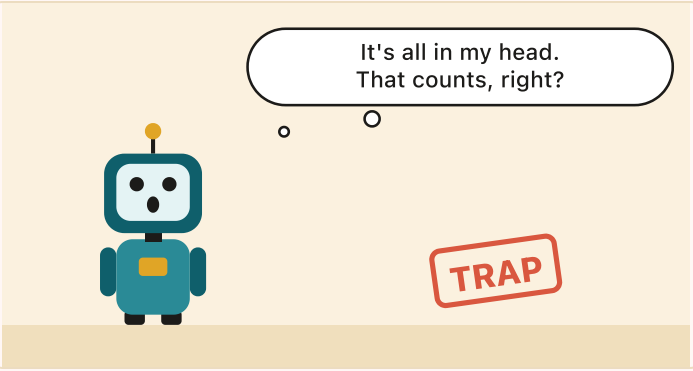
Case: rebuilding the file

Ravi joins a new firm and wants to keep covering cement stocks. He takes nothing from his old firm. He rebuilds his models from annual reports, exchange filings and industry data, holds fresh meetings with company management, and files all of it before publishing. Violation?

▼ **Verdict (tap to see)**

No violation. He recreated the support from public information and the companies themselves, and kept records at the new firm. His experience and skill go with him; the old firm's records do not.

So: Your skills move with you; your records must be rebuilt.

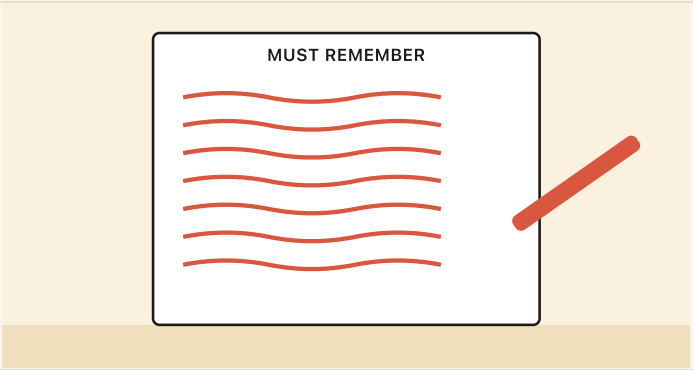


EXAM TRAP

V(C) traps

- Records belong to the firm, even ones you created.
- Seven years is the Standards' recommendation **only when no regulation applies**. Local rules come first.
- Memory is not a record. Rebuild support from public sources at a new firm.
- Emails, chats and social media posts are records too.
- Taking files when leaving is a V(C) and IV(A) problem at once.

So: No regulation: seven years. Leaving: records stay. New firm: rebuild.

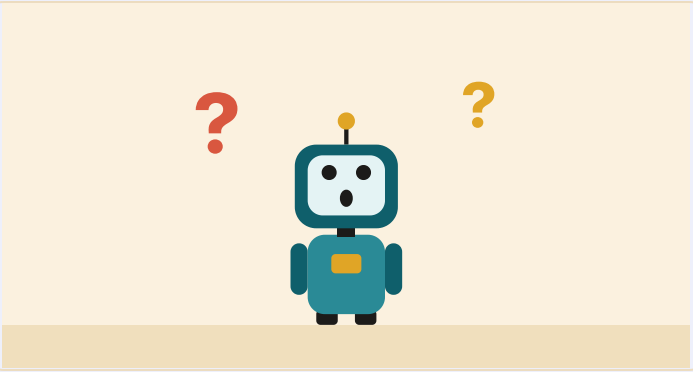


SHARMA JI'S RED PEN

7 things to remember

1. IV(A): prepare to compete, but no soliciting or records before you leave.
2. Whistleblowing for clients or markets is allowed; for personal gain, no.
3. IV(B): conflicting outside pay needs written consent from all parties, first.
4. IV(C): reasonable system plus prompt action. Inadequate system: decline in writing.
5. V(A): check third-party research; stress-test models; dissent need not mean leaving the report.
6. V(B): disclose process, changes and risks; label opinions.
7. V(C): records are the firm's; seven years if no rule; rebuild at a new firm.

So: Scribbled by Sharma ji on the back of a resignation letter.



EXAM QUESTION 1 OF 10

Rohan, a charterholder, plans to start his own advisory firm. Before resigning, which action most likely violates IV(A) Loyalty?

A. Renting an office and registering his new company.

B. Phoning his employer's clients to ask them to move with him.

C. Telling his employer he is resigning in two weeks.

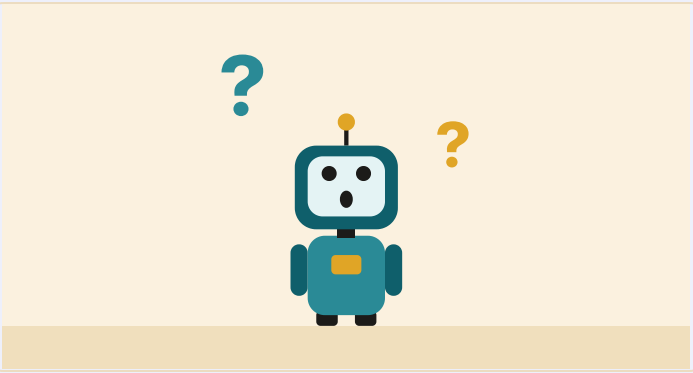
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Rohan, a charterholder, plans to start his own advisory firm. Before resigning, which action most likely violates IV(A) Loyalty?

Answer: B. Soliciting the employer's clients while still employed breaches the duty of loyalty. A is permitted preparation that does not harm the employer. C is ordinary notice and harms no one.



EXAM QUESTION 2 OF 10

An analyst wants to prepare tax returns for private clients for a fee on weekends, which competes with a service her employer sells. Under IV(A), she should most likely:

A. tell her employer the type of services, expected duration and pay, and start only after consent.

B. go ahead, because the work is outside office hours.

C. tell the private clients about her employer, but not her employer about the clients.

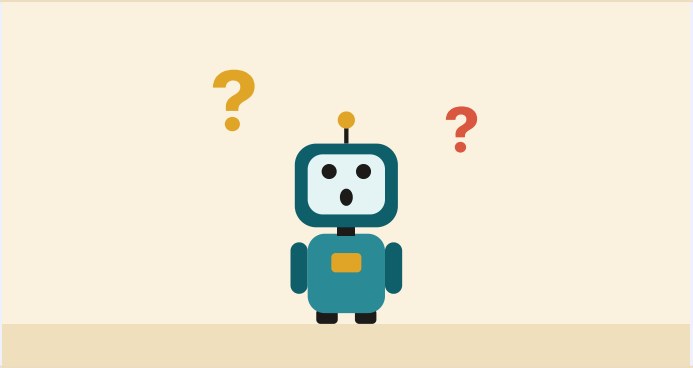
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

An analyst wants to prepare tax returns for private clients for a fee on weekends, which competes with a service her employer sells. Under IV(A), she should most likely:

Answer: A. Independent practice that competes with the employer needs notice of the services, duration and compensation, and the employer's consent before starting. B is wrong: competition does not depend on the hour. C reverses who must be told.



EXAM QUESTION 3 OF 10

Which action is least likely to violate IV(A) Loyalty?

A. Taking the client list to a new employer.

B. Using the old firm's valuation model at a new job.

C. Copying employer records to give a regulator evidence of fraud against clients, with no personal gain.

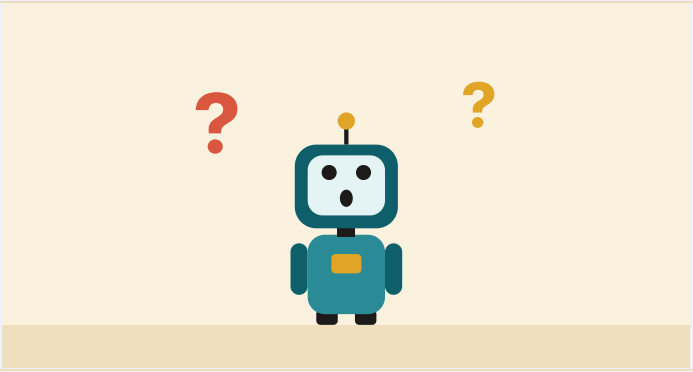
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which action is least likely to violate IV(A) Loyalty?

Answer: C. Acts that normally breach loyalty can be justified when the clear intent is to protect clients or market integrity, not personal gain. A and B take the employer's property, which breaches loyalty (and V(C) for records).



EXAM QUESTION 4 OF 10

A client offers an analyst a bonus if the client's portfolio beats its benchmark this year. To comply with IV(B), the analyst must:

A. tell the client that the bonus will be shared with the team.

B. get written consent from her employer before accepting.

C. decline, because all outside compensation is banned.

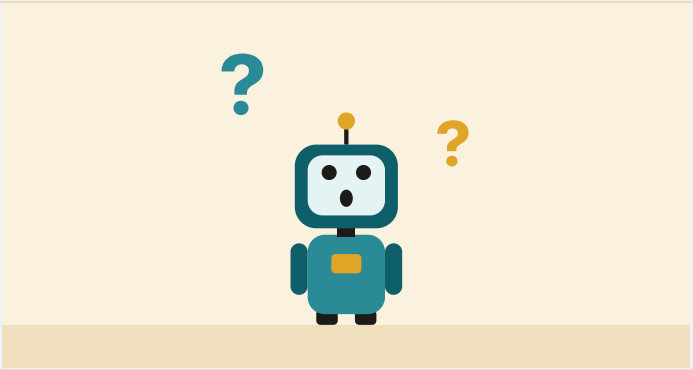
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

A client offers an analyst a bonus if the client's portfolio beats its benchmark this year. To comply with IV(B), the analyst must:

Answer: B. IV(B) allows such arrangements only with written consent from all parties involved, obtained before accepting. A does not involve the employer at all. C overstates the rule: consent, not a ban, is required.



EXAM QUESTION 5 OF 10

A supervisor learns that a trader he supervises may have front-run client orders. Which response best meets IV(C)?

A. Report it to his own manager and accept the trader's promise not to repeat it.

B. Fire the trader at once without looking into the facts.

C. Promptly investigate, restrict the trader's activities and increase monitoring.

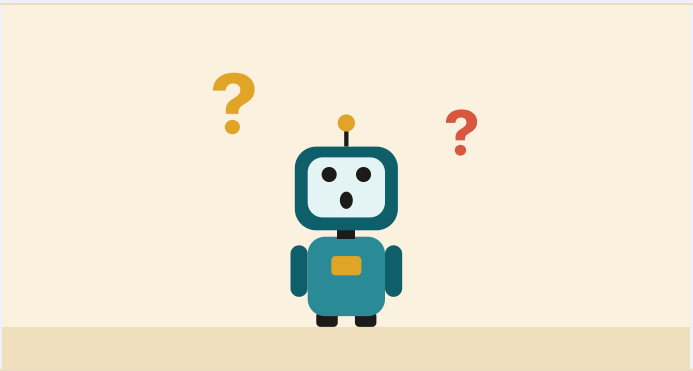
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

A supervisor learns that a trader he supervises may have front-run client orders. Which response best meets IV(C)?

Answer: C. IV(C) requires a prompt investigation and steps to stop recurrence, such as limits and closer monitoring. A relies on reporting upward and a promise, which is not enough. B skips the investigation and does not test whether the firm's procedures need fixing.



EXAM QUESTION 6 OF 10

A newly hired head of trading, a charterholder, finds that her firm has no written compliance procedures for trading staff. She should most likely:

A. decline in writing to accept supervisory responsibility until adequate procedures are adopted.

B. accept the role and supervise as best she can.

C. accept the role, since the firm, not she, is responsible for procedures.

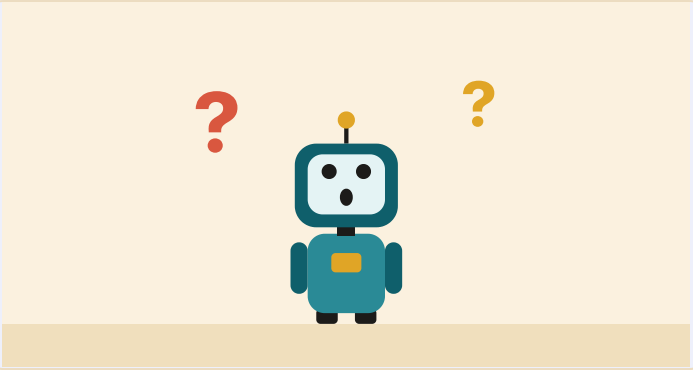
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

A newly hired head of trading, a charterholder, finds that her firm has no written compliance procedures for trading staff. She should most likely:

Answer: A. With inadequate procedures she cannot make reasonable efforts to prevent and detect violations, so she should decline supervisory responsibility in writing until adequate procedures exist. B and C leave her exposed under IV(C).



EXAM QUESTION 7 OF 10

An analyst on a research committee disagrees with its buy rating. The committee's process was thorough and its conclusion has a reasonable basis. Under V(A), she:

A. must have her name removed from the report.

B. may document her dissent and remain named on the report.

C. must publish her own contrary report to clients.

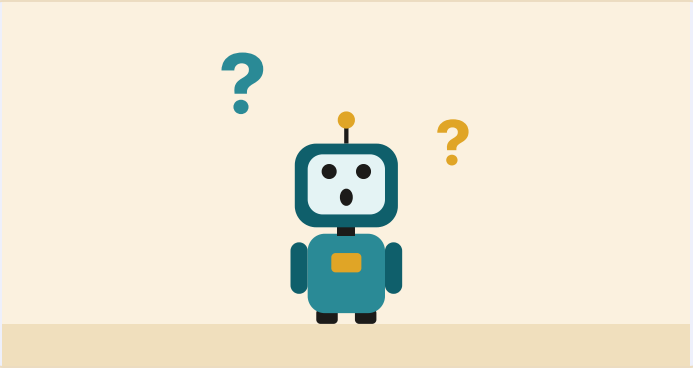
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

An analyst on a research committee disagrees with its buy rating. The committee's process was thorough and its conclusion has a reasonable basis. Under V(A), she:

Answer: B. When the group process is sound and the consensus has a reasonable and adequate basis, a dissenting member need not disassociate. A is not required. C could confuse clients and is not required by the Standards.



EXAM QUESTION 8 OF 10

Which practice best meets V(A) for a firm's quantitative risk model?

A. Understanding its assumptions and testing it under extreme as well as normal scenarios.

B. Testing it on the last three calm years of data, which match current conditions.

C. Relying on the vendor's assurance that the model is accurate.

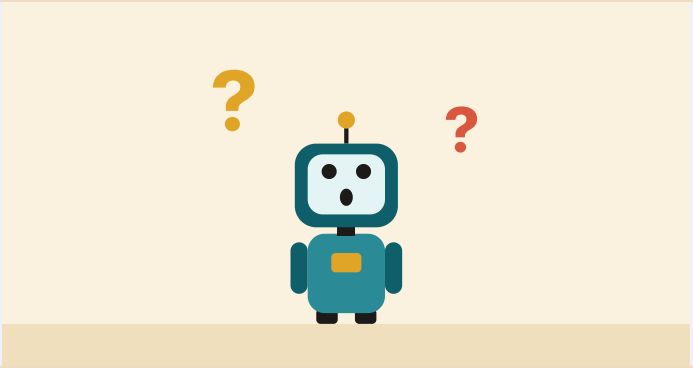
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which practice best meets V(A) for a firm's quantitative risk model?

Answer: A. V(A) expects users to understand a model's assumptions and limits and to test it across scenarios, including stress. B ignores extreme outcomes. C replaces diligence with trust.



EXAM QUESTION 9 OF 10

Which action most likely violates V(B) Communication with Clients and Prospective Clients?

A. A short social post with a buy rating, an estimated target, and a link to the full report.

B. Switching a fund to a new quant model without telling its clients.

C. Labelling an earnings forecast as "our estimate" in a report.

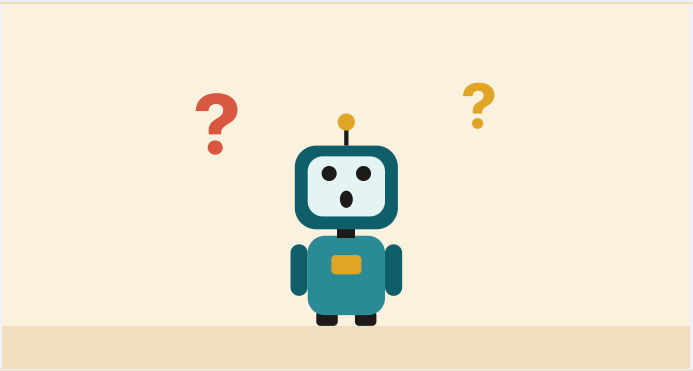
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which action most likely violates V(B) Communication with Clients and Prospective Clients?

Answer: B. A material change to the investment process must be disclosed promptly. A is fine: brief formats can point to full information. C correctly separates opinion from fact.



EXAM QUESTION 10 OF 10

Where no regulatory requirement applies, the Standards recommend keeping records that support investment recommendations for at least:

A. three years.

B. five years.

C. seven years.

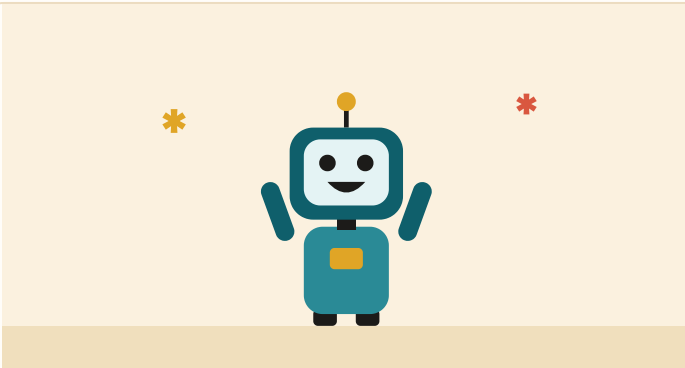
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

Where no regulatory requirement applies, the Standards recommend keeping records that support investment recommendations for at least:

Answer: C. The recommended minimum is seven years where no regulatory requirement applies; local regulations take precedence when they exist. A and B are shorter than the Standards' recommendation.

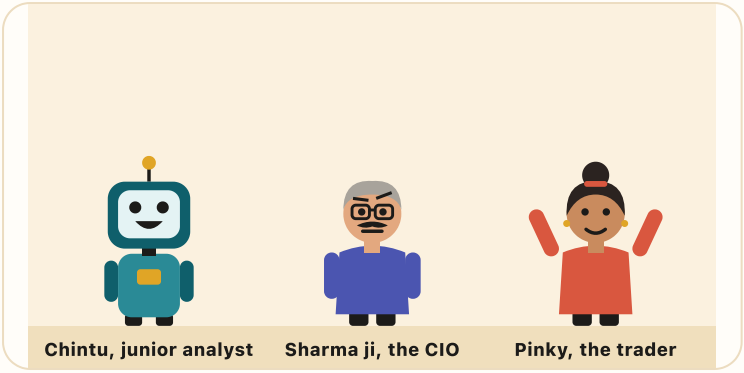


CHAPTER 6 DONE

Loyal, careful, documented

Chintu resigned on Monday, took nothing but his skills, and told no client until he had left. At the new desk he rebuilt his cement models from annual reports. Sharma ji sent a one-line email: "Good. Data dikhao, always." Chintu framed it.

So: **Swipe on, or jump to another chapter from the Menu.**



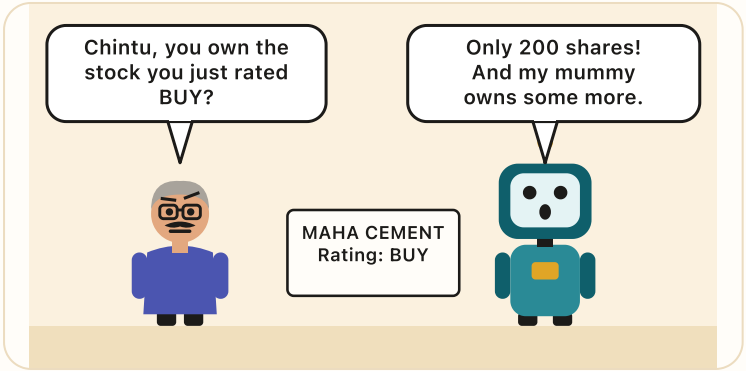
BEFORE YOU START

The cast, and words this chapter uses

A Mumbai investment firm. Sharma ji trusts nothing without data ("Data dikhao"); Pinky is sure of everything, especially when wrong.

- **CFA Institute:** runs the CFA Program and owns the Code of Ethics and Standards of Professional Conduct.
- **Member:** a CFA Institute member; charterholders are members allowed to use the CFA designation.
- **IPO:** initial public offering: a company's first sale of shares to the public.
- **IPS:** investment policy statement: a client's written objectives and limits.
- **Underwriter:** the investment bank that sells a company's new securities for a fee.

So: You can start this chapter cold. Everything it needs is on this card.



STORY

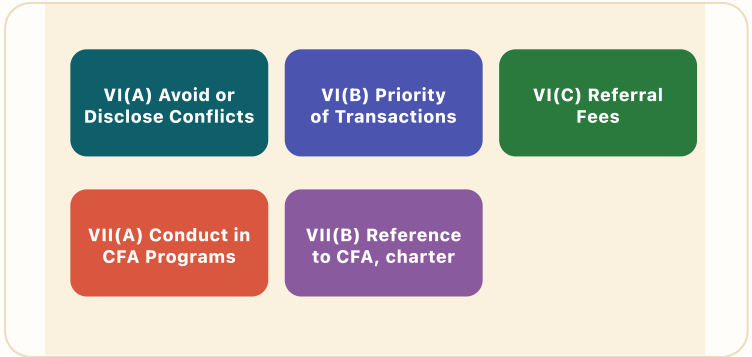
Two hats, one head

Chintu, a Level I candidate at a Mumbai investment firm, writes a glowing report on Maha Cement. Sharma ji, the CIO and a CFA charterholder, spots Chintu's name in the shareholder list.

Is Chintu a crook? Not necessarily. Owning a stock you cover is common and often legal. The problem is that clients reading the report **cannot judge his bias** if they do not know.

Standard VI is about exactly this: **conflicts of interest**. Standard VII is about how members and candidates behave toward CFA Institute and its exam, and how they describe the charter.

So: A conflict is not a crime by itself; hiding it, or letting it hurt clients, is the violation.

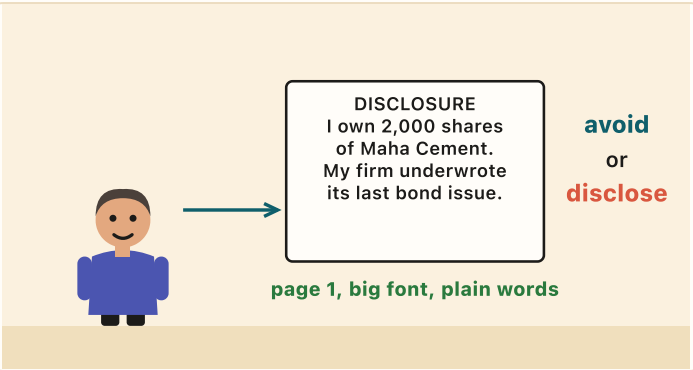


MAP

Five sub-standards in this chapter

Standard	One-line meaning
VI(A) Avoid or Disclose Conflicts	Avoid conflicts, or disclose them fully, prominently, in plain words
VI(B) Priority of Transactions	Clients first, employer second, your own account last
VI(C) Referral Fees	Disclose any benefit paid or received for a referral
VII(A) Conduct as Participants in CFA Institute Programs	No cheating, no leaking exam content
VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program	No exaggerating what the charter or candidacy means

So: Standard VI is titled Conflicts of Interest; Standard VII is Responsibilities as a CFA Institute Member or CFA Candidate.



VI(A), THE STANDARD

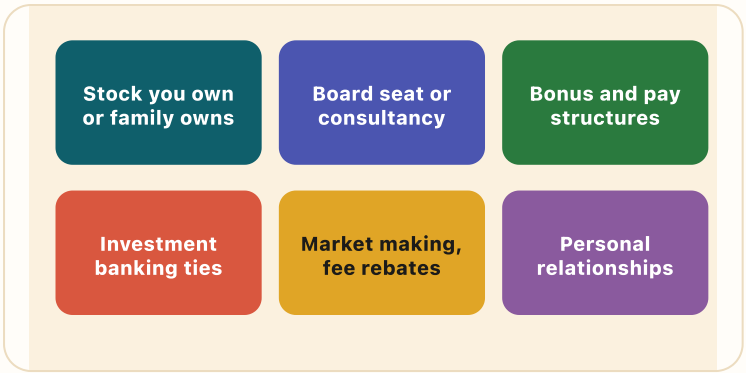
VI(A) Avoid or Disclose Conflicts, in plain words

Members and candidates must **avoid, or make full and fair disclosure of**, every matter that could **reasonably be expected** to impair their independence and objectivity, or interfere with their duties to **clients, prospective clients and the employer**.

Disclosures must be **prominent**, in **plain language**, and actually communicate the point.

New in 2024: the Standard now says **avoid** first. Older material calls it "Disclosure of Conflicts" and only required disclosure. Today: avoid the conflict when you reasonably can; when you cannot, disclose it fully and clearly.

So: VI(A) Avoid or Disclose Conflicts: avoid the conflict if reasonable; if not, disclose it clearly to everyone it could affect.



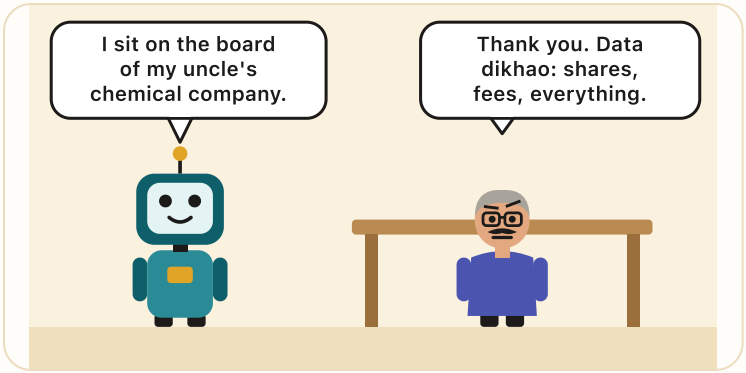
VI(A), GUIDANCE 1

Where conflicts come from

A **conflict of interest** is anything that could reasonably be expected to impair independence and objectivity, or make people ask whether your judgement is free from bias.

- **Stock ownership** in companies you recommend or clients hold: the most common one.
- **Directorships and consultancies** with an issuer.
- **Compensation:** bonuses that reward short-term results, commissions, payments from issuers.
- **Firm ties:** investment banking, underwriting, market making, fund fee rebates, unusual fee or subadvisory deals.

So: Ownership, board seats, pay structures and banking relationships are the classic conflicts to avoid or disclose.



VI(A), GUIDANCE 2

Telling your employer

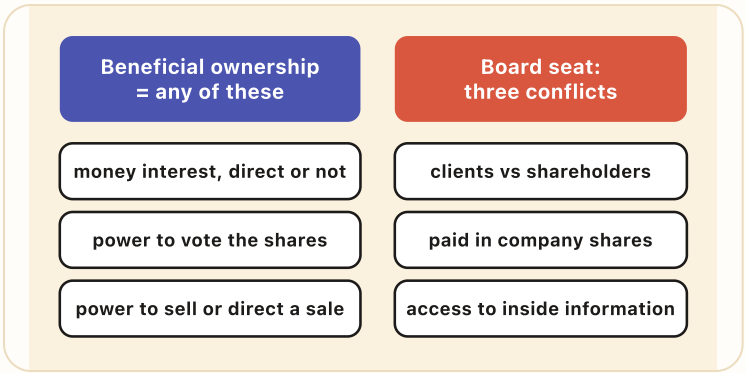
The same things you would tell clients must also be **reported to the employer promptly**: stock you own in covered companies, outside board seats, and financial or other pressures on your decisions.

Give enough detail for the employer to **judge the impact** and decide how to resolve it.

Employers may **ban** some activities outright (personal trading in covered stocks, outside boards) to avoid even the appearance of a conflict. Members must follow those rules.

A conflict with the **employer's own business**, one that could stop you giving full commitment to the job, should be avoided, or else reported.

So: Employers need the same conflict information as clients, early enough to act on it.



VI(A), GUIDANCE 3

Telling clients, and the board seat problem

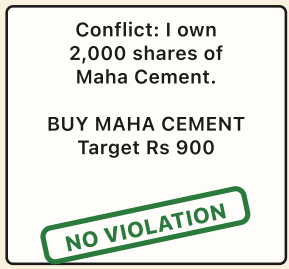
Always avoid or disclose to clients any relationship between an **issuer** and you or your firm: directorship, consultancy, underwriting, market making, material **beneficial ownership**.

Take reasonable steps to find your **firm's** conflicts too, such as fee rebates from fund houses, and disclose them.

A member who serves as a **director** faces three conflicts (right panel). The fix: keep the director behind a **firewall**, away from the people making investment decisions.

So: Beneficial ownership is about economic interest or control, not whose name is on the share certificate.





VI(A), GUIDANCE 4

Prominent, plain, and kept up to date

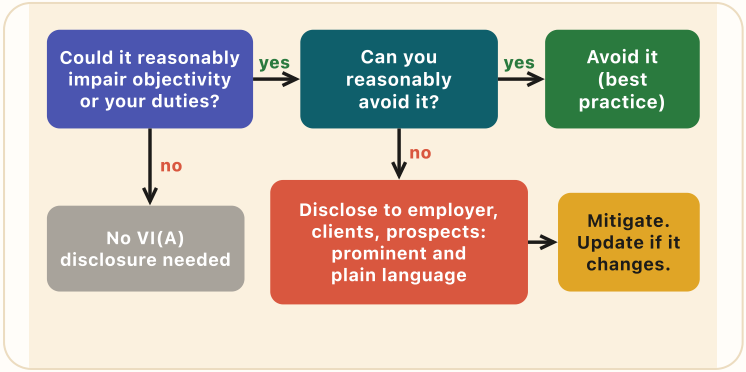
Prominent means placed where the reader will see it: not in tiny font, not hidden in a footnote or appendix. **Plain language** means common words, no jargon.

You decide how often and how to disclose, but **err on the side of caution**.

Best practice: **update the disclosure** when a conflict changes materially. Example: the firm switches bonuses from annual profits to **quarterly** profits, which raises the pressure for short-term results.

Also try to **mitigate** the conflict and tell people how you did it.

So: A disclosure nobody can find or understand is not full and fair disclosure.



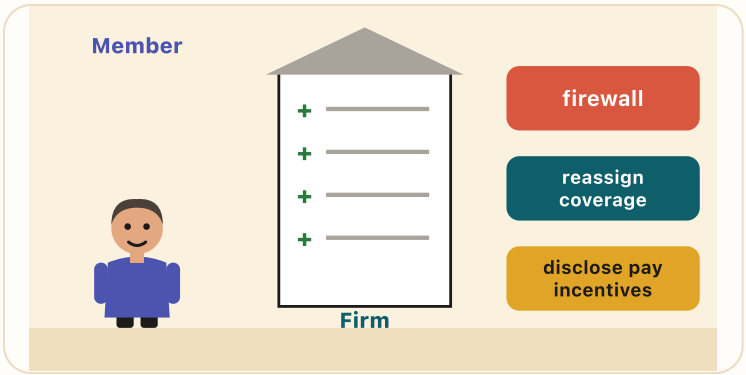
VI(A), DECISION PATH

Avoid or disclose? Run the flowchart

Run the chart in this order:

1. Could the matter **reasonably be expected** to affect your objectivity or your duties? If not, there is nothing to disclose.
2. If yes, can you **reasonably avoid** it? Sell the shares, decline the board seat, hand the report to a colleague.
3. If you cannot, **disclose** it to everyone affected, prominently and in plain words. Then mitigate it and update the disclosure if it changes.

So: Order of preference: avoid, then disclose and mitigate. Silence is never an option.

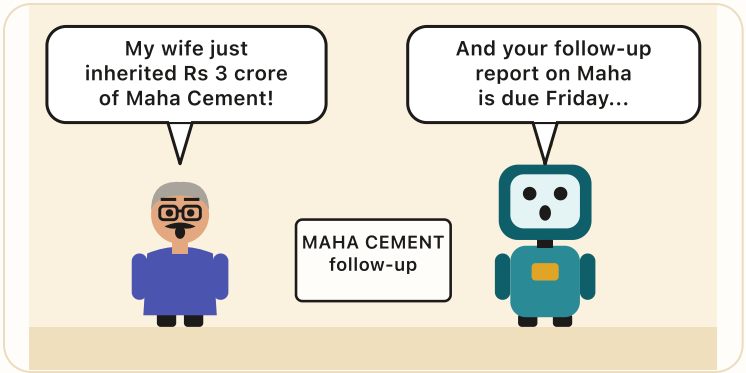


VI(A), COMPLIANCE

What good practice looks like

Who	Practice
Member	Avoid where reasonable; otherwise disclose, mitigate, and update when the conflict changes
Member	Report ownership, board seats and outside pressures to the employer promptly
Member	Ask to hand off coverage when a personal stake is large
Firm	Restrict personal trading and outside boards; firewall directors from investment decisions
Firm	Disclose firm conflicts: banking ties, market making, fee rebates, pay incentives

So: **The member owns the disclosure; the firm builds walls and rules that make conflicts rarer.**



CASE: VI(A)

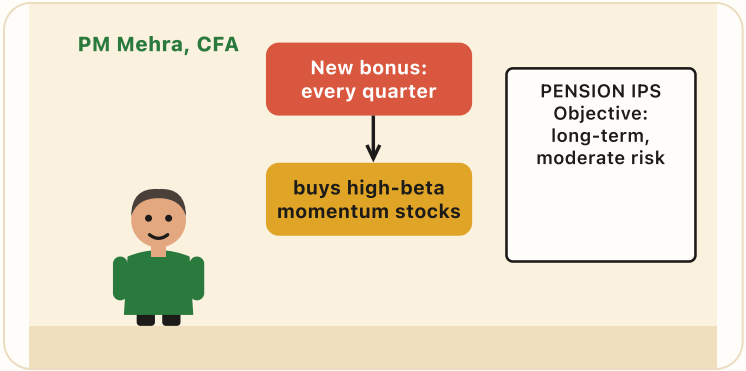
The inherited cement shares

Sharma ji has rated Maha Cement a buy for a year. His wife then inherits Rs 3 crore of Maha shares. His employer asks him for a follow-up report. He writes it, keeps the buy rating (he honestly still likes the stock), and mentions the inheritance to nobody.

▼ **Verdict** (tap)

Violation of VI(A). His wife's holding makes him a beneficial owner through his immediate family, and it could reasonably affect his objectivity. At minimum he must tell his employer and disclose the holding in the report. Best practice: ask for another analyst to write it. His honest belief in the rating does not cure the missing disclosure.

So: Family holdings count. Disclose them to the employer and in the report, or hand the report to someone else.



CASE: VI(A)

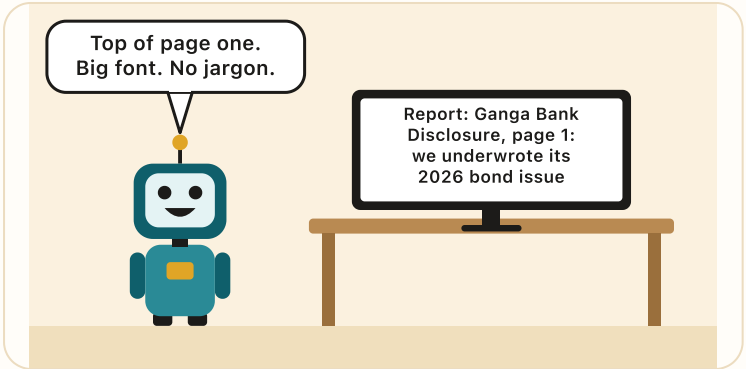
Quarterly bonus, long-term clients

Mehra, a CFA charterholder, runs long-horizon pension accounts. Her firm introduces a bonus based on **quarterly** performance against peers. To win it, she fills the accounts with high-beta stocks that sit uneasily with the clients' IPS. She tells clients nothing about the new bonus and recommends no change to their objectives.

▼ **Verdict** (tap)

Violation of VI(A). The new pay plan conflicts with the clients' long-term objectives, so she had to disclose it. Firms may pay for performance, but short-term pressure cannot override actions consistent with the IPS.

So: A pay structure that pulls against client objectives is a conflict to disclose.



CASE: VI(A)

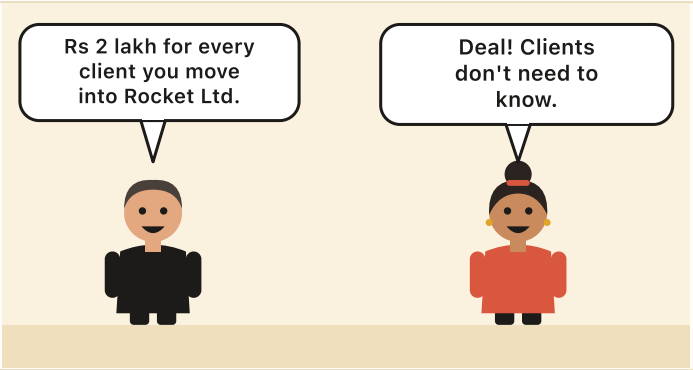
The banker's research, done right

Chintu's firm underwrote Ganga Bank's latest bond issue and hopes to win its next deal. Chintu writes a report on Ganga Bank. The first page says, in normal type: "Our firm was underwriter for Ganga Bank's 2026 bond issue and may seek more business from it." His employer already knows. His analysis is sound and his rating is his own.

▼ **Verdict** (tap)

No violation. An investment banking relationship is a classic conflict, but here it is disclosed fully, prominently and in plain language, and the analysis stays independent. VI(A) does not ban the relationship; it bans hiding it.

So: A disclosed, prominent, plain-language conflict with independent analysis satisfies VI(A).



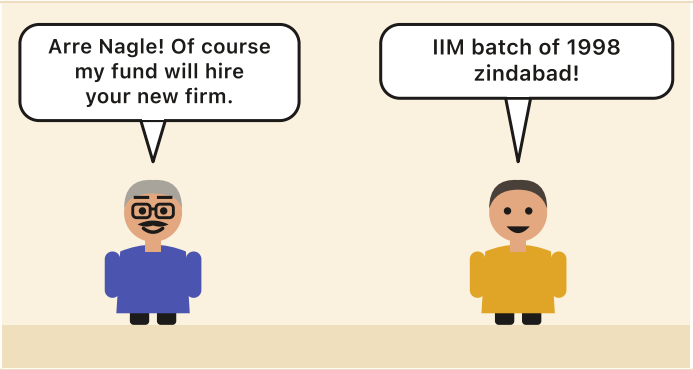
CASE: VI(A)

Pinky's secret bonus

A promoter of Rocket Ltd pays Pinky, a trader, for every client she moves into Rocket shares. She tells neither her clients nor her employer. Pinky is **not** a CFA Institute member and **not** a candidate. Next month, Chintu, a Level I candidate, accepts the same deal.

▼ **Verdict** (tap)
Pinky: no violation of the CFA Institute Standards, because they bind only members and candidates. She may still break the law and her firm's rules. **Chintu: violation of VI(A)**, because he hid compensation that could bias his advice. Best practice was to refuse the offer. Candidates are bound from the day they enrol.

So: The Standards apply to members and candidates only; for them, secret pay for pushing a product is a VI(A) violation.



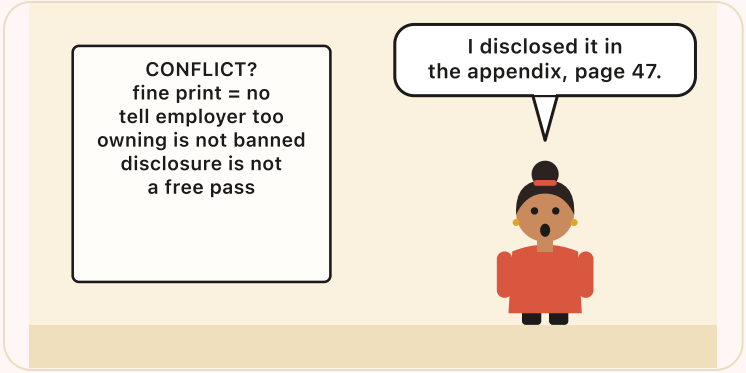
CASE: VI(A)

The CIO's old classmate

Sharma ji also advises a trust's retirement fund. His IIM classmate Nagle starts a real estate firm and asks for business. The fund's real estate returns had matched the benchmark. Sharma ji moves the whole allocation to Nagle's firm, partly to help a friend. The only trace is a new name in next year's list of external managers.

▼ **Verdict** (tap)
Violation of VI(A). He did not disclose the personal relationship to his employer. Telling them would let them judge whether friendship impaired his independence in switching managers. The friend's firm may even do well; that does not fix the missing disclosure.

So: Personal relationships that could sway a decision must be disclosed, even if the outcome turns out fine.

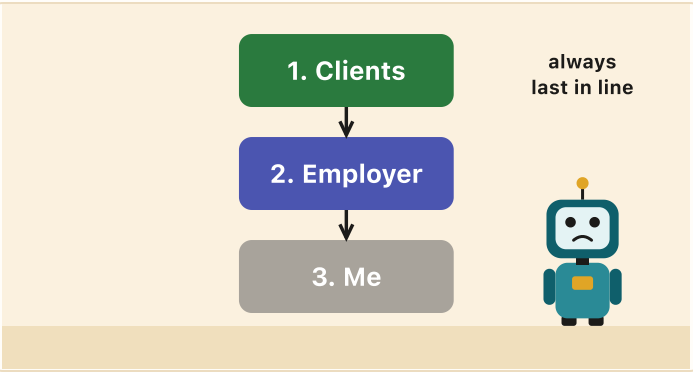


EXAM TRAP

VI(A) traps examiners love

- **Owning shares is not banned**; failing to disclose them is the violation. A firm may still ban it by policy.
- **Footnotes and appendices** are not prominent disclosure.
- Disclosure goes to **clients, prospects and the employer**. Telling only one group is incomplete.
- **Family** holdings make you a beneficial owner.
- Disclosure does not make an **unsuitable** trade suitable; that is a separate duty.
- "Best practice" in an answer (decline, reassign) is better than the minimum (disclose), but the minimum is what avoids a violation.

So: Ask three things: was it a real conflict, was it avoided or disclosed, and was the disclosure prominent and complete?



VI(B), THE STANDARD

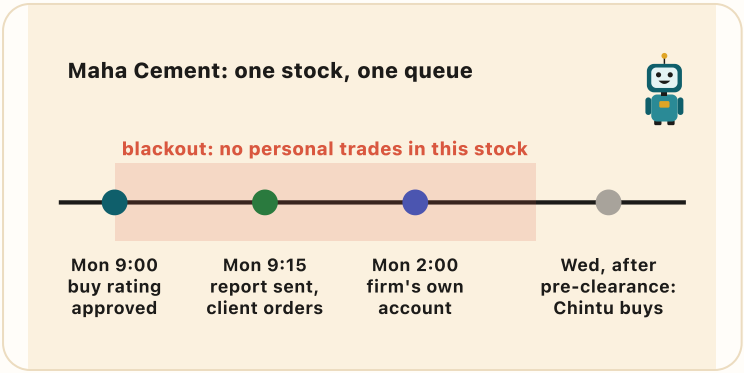
VI(B) Priority of Transactions, in plain words

Investment transactions for **clients and employers** must have priority over transactions in which the member or candidate is the **beneficial owner**.

Beneficial owner: you ultimately own, control, can direct, or have a material interest in the investment. That covers your own account, your **immediate family's** accounts and any account in which you have a direct or indirect financial interest.

You must not **benefit from, or pass on, knowledge of pending client trades**. Clients and the employer get an adequate chance to act on a recommendation before you do.

So: Clients first, employer next, your own beneficially owned accounts last.



VI(B), TIMELINE

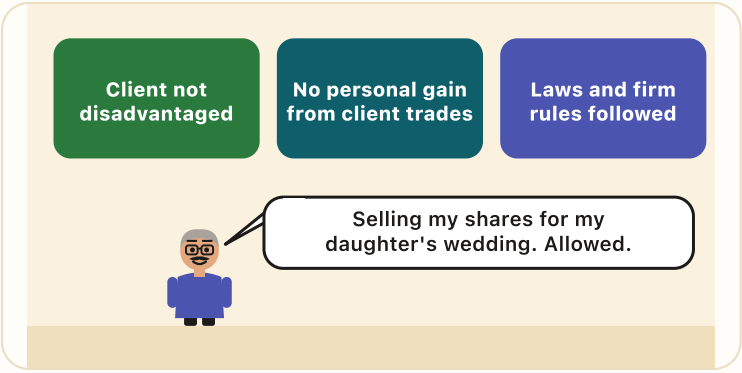
Who trades when: the queue on a clock

Follow one recommendation through the day:

1. The research team approves a buy rating on Maha Cement.
2. The report goes out and **clients** get a fair chance to trade on it.
3. The **firm's own account** trades only after clients.
4. Chintu, who knew the rating was coming, waits out the **blackout period**, gets **pre-clearance**, and only then buys for himself.

Buying before step 2 is **front-running**: trading ahead of clients on what you know about their coming orders.

So: Personal trades wait until clients, and then the employer, have had an adequate opportunity to act.



VI(B), GUIDANCE 1

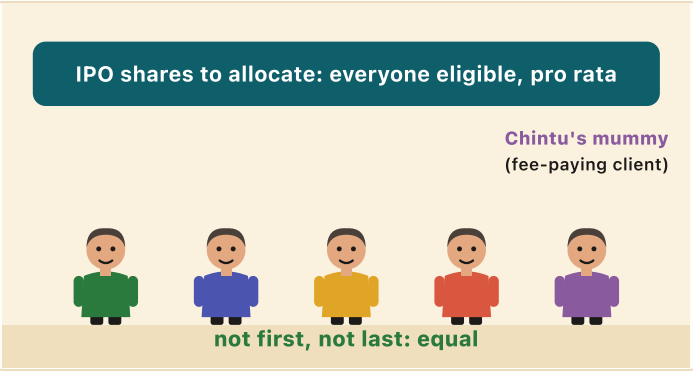
Personal investing is allowed

Nothing is unethical about investment professionals making money from their own investments, as long as:

1. the **client is not disadvantaged** by the trade,
2. the member does not **benefit personally from trades made for clients**, and
3. the member follows applicable **regulations** (and the firm's policies).

Holding the same positions as clients is not automatically a conflict; some clients want aligned interests. You may even **sell against your own recommendation** for genuine personal reasons, such as paying for a wedding or a flat.

So: VI(B) does not ban personal trading; it bans personal trading that puts you ahead of clients or the employer.



VI(B), GUIDANCE 2

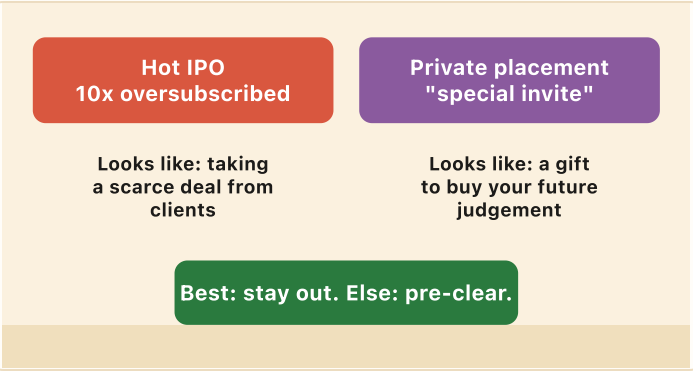
Family accounts: same queue, same place

A family member's account that is a **client account** is treated like any other client account. It must not get special treatment, and it must **not be disadvantaged** either.

So if Chintu's mother pays the firm fees and a suitable IPO comes along, she gets her fair share alongside other suitable clients. Putting her last "to look clean" breaches his duty to her as a client.

If Chintu is a beneficial owner of that account, the firm may still require him to **pre-clear and report** its trades.

So: Family client accounts are neither favoured nor penalised; they join the normal allocation.



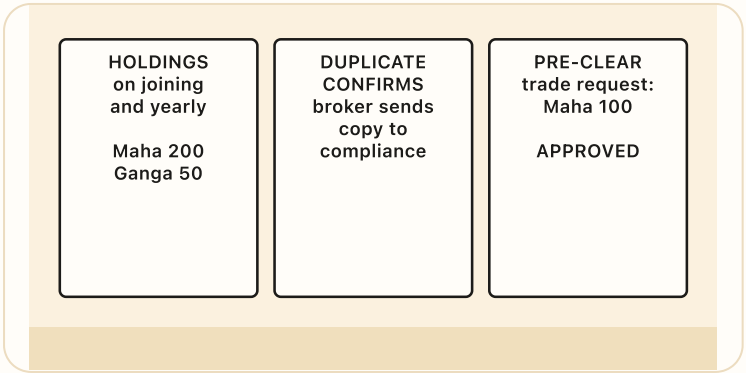
VI(B), GUIDANCE 3

IPOs and private placements

Equity IPOs: hot issues are scarce. If you take shares personally, it can look like you took an attractive opportunity **away from clients**, or that someone handed it to you as an **incentive** for future business. The cleanest fix: don't participate. If firm policy allows it, **pre-clear** every IPO purchase, even when there seems to be no conflict.

Private placements (shares sold privately to a few chosen investors): firms may limit them strictly. Avoid any deal that could look like a favour or gift meant to influence future judgement or reward past business.

So: Hot IPOs and private placements: abstain if you can, pre-clear if your firm allows them.



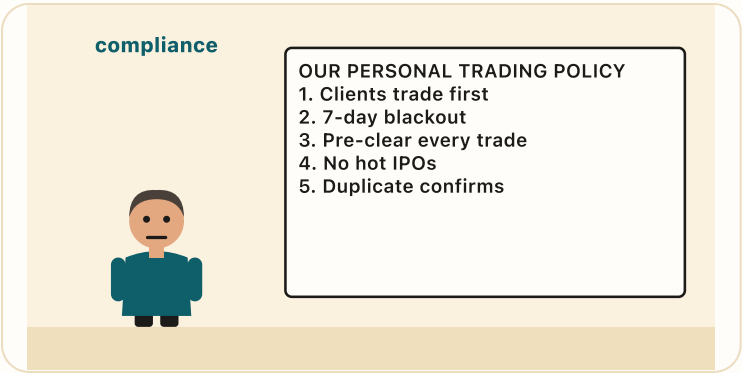
VI(B), GUIDANCE 4

Blackouts, reporting and pre-clearance

Common firm procedures that members must follow:

- **Blackout or restricted periods:** people involved in investment decisions may not trade around client trades, which blocks front-running.
- **Disclosure of holdings** you beneficially own, when you join and periodically after.
- **Duplicate confirmations**: your broker sends copies of your trades and statements to the firm. It signals independent checking and shows the flow of trades, not just holdings.
- **Pre-clearance** of planned personal trades, to catch conflicts before they happen.

So: Blackouts stop front-running; holdings reports, duplicate confirms and pre-clearance let the firm check.



VI(B), COMPLIANCE

Recommended procedures, in one table

Procedure	Purpose
Limit IPO participation; pre-clear	No taking scarce deals from clients
Restrict private placements	No favours that buy judgement
Blackout periods	Stop front-running
Holdings reports, duplicate confirms, pre-clearance	Let the firm verify
Disclose the policy to clients on request	Real detail, not boilerplate

"Staff are subject to trading policies" is boilerplate. A useful disclosure says what the rules actually are.

So: Members must follow the employer's personal trading rules and should be able to explain them to clients.



CASE: VI(B)

Chintu jumps the queue

Chintu finds that Vayu Airlines is cheap. Instead of sending his buy recommendation to the investment committee now, he sits on it for a week while he buys shares in his own account. Then he submits the report, the committee approves it, and the firm's clients buy.

▼ **Verdict** (tap)

Violation of VI(B). He used his knowledge of the stock's value for himself before his employer and its clients could benefit. The order is clients, then employer, then Chintu. Being a Level I candidate gives no exemption.

So: Delaying a recommendation so you can trade first is a textbook VI(B) violation.



CASE: VI(B)

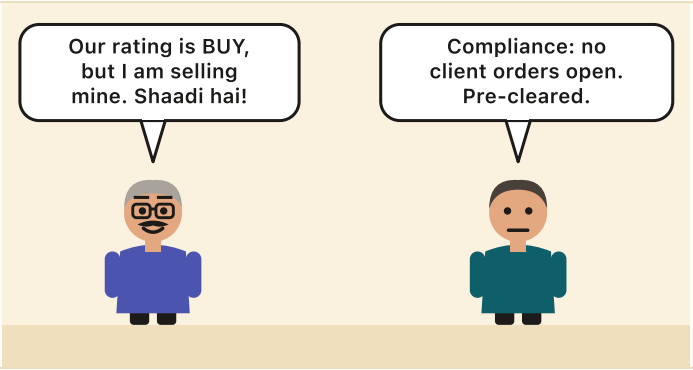
Mummy gets the leftovers

Rao, a CFA charterholder and portfolio manager, runs her parents' retirement account, which pays the firm normal fees. Whenever a suitable IPO arrives, she allocates to every other client first and gives her parents only what is left, "so nobody can say I favour family".

▼ **Verdict** (tap)

Violation of VI(B). Her parents are fee-paying clients and deserve equal treatment. Disadvantaging them because they are family breaches her duty to them. If she is a beneficial owner of the account, she may also need to pre-clear and report its trades.

So: Bending over backwards against family is still unequal treatment.



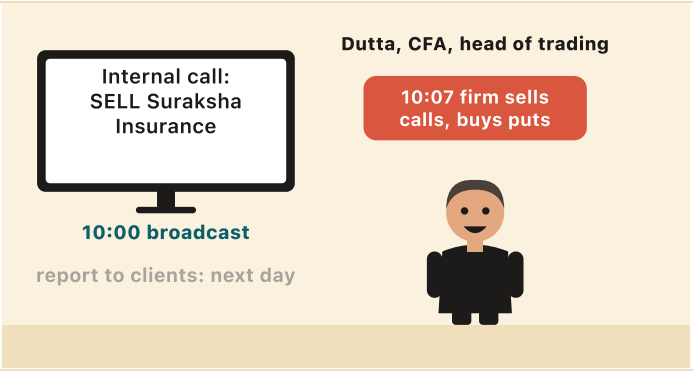
CASE: VI(B)

Selling for a wedding

Sharma ji's firm rates Maha Cement a buy. He needs cash for his daughter's wedding and sells his own Maha shares. No client orders in Maha are pending, there is no blackout, and he pre-clears the trade under firm policy.

▼ **Verdict** (tap)
No violation. A member may act against current advice for genuine personal financial reasons. Clients are not disadvantaged, he gains nothing from client trades, and he followed the firm's procedures.

So: Selling against your own rating for personal reasons is allowed if clients are not harmed and firm rules are followed.



CASE: VI(B)

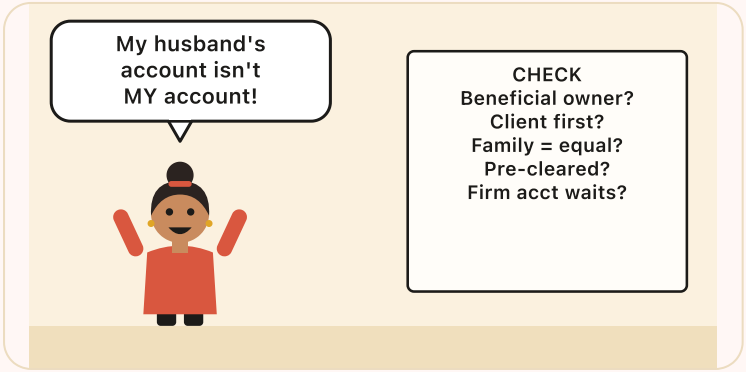
Seven minutes after the call

At 10:00 an analyst tells the firm's branches in an internal video call that Suraksha Insurance is a sell. The written report reaches clients the next day. At 10:07, Dutta, a CFA charterholder who heads trading, closes the firm's long calls in Suraksha and buys puts. He says he was "preparing for client selling".

▼ **Verdict** (tap)

Violation of VI(B). The firm's own account traded before clients had any chance to receive and act on the recommendation, which may have moved option prices against them. He should have waited until clients had the report and time to use it.

So: **The firm's account also waits behind clients; trading on a call before clients see it breaks VI(B).**

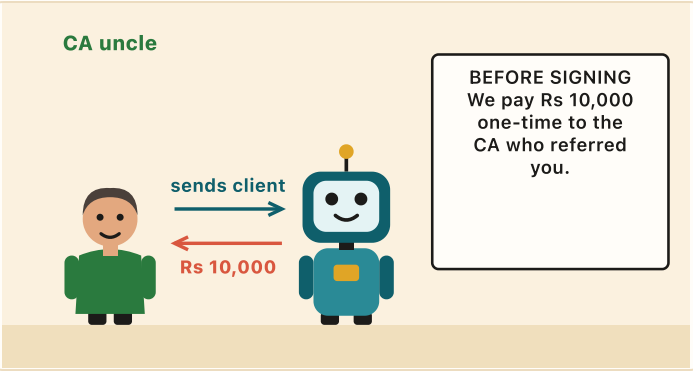


EXAM TRAP

VI(B) traps examiners love

- A spouse's or child's account is usually **beneficially owned** by you. Changing the name on the account changes nothing.
- Family accounts that are **clients** are treated **equally**, not first and not last.
- The **employer's own account** also comes after clients.
- Personal trading is **not banned**; trading ahead of clients is.
- Pre-clearing IPOs is recommended **even with no apparent conflict**.
- Pinky is not a member or candidate, so she cannot violate the Standards, though her firm's rules still bind her.

So: **Ask: who owns it economically, who traded first, and was everyone treated equally?**



VI(C), THE STANDARD

VI(C) Referral Fees, in plain words

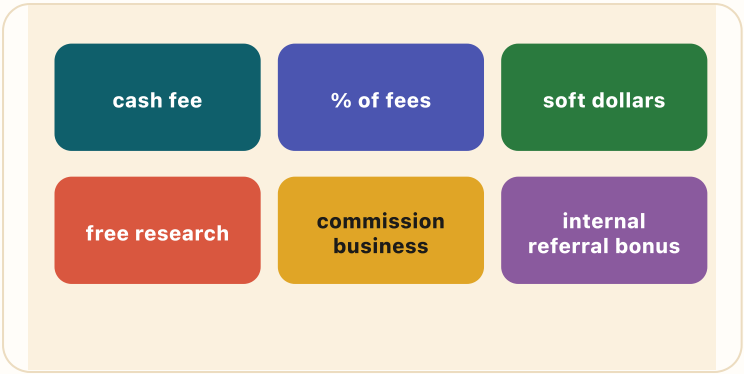
Members and candidates must disclose to their **employer, clients and prospective clients**, as appropriate, any **compensation, consideration or benefit received from or paid to** others for recommending products or services.

Timing: before the client or prospect enters any formal agreement for services.

Content: the **nature** of the benefit and its **estimated value**.

Why: so clients can judge whether the recommendation is partial, and see the **full cost** of the service.

So: VI(C): disclose referral benefits in both directions, before the agreement, with nature and estimated value.

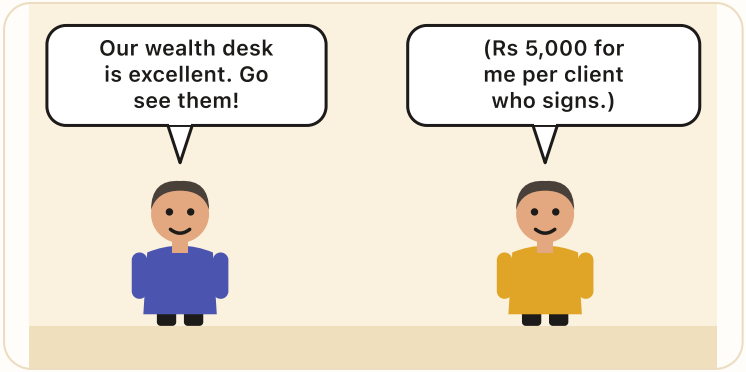


VI(C), GUIDANCE

What counts, what to say, what firms do

Question	Answer
What counts?	Any fee: cash, soft dollars (paid via client commissions) or in kind
Nature?	Flat or %, one-time or ongoing, performance-based, research, other non-cash
Inside the firm?	Yes: bonuses for internal referrals count
Firm practice	Ban referral fees, or require approval
Member practice	Report referral income to the employer at least quarterly

So: **Referral benefits include non-cash and internal ones; members in approved programmes update the employer at least quarterly.**



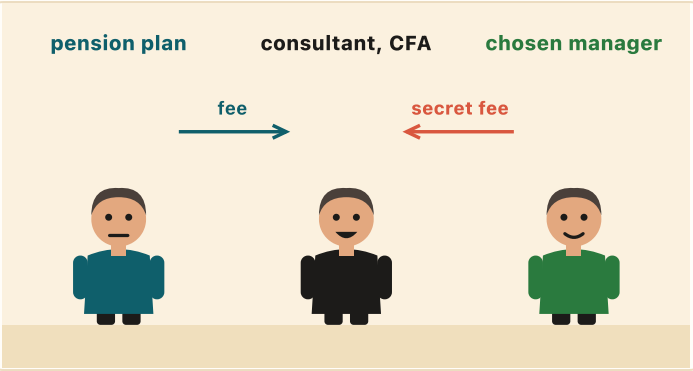
CASE: VI(C)

The trust department's hidden bonus

Joshi, a CFA charterholder in a bank's trust department, gets Rs 5,000 from his own bank for every client he refers to the bank's wealth management desk who signs up. He refers several clients and never mentions the payment.

▼ **Verdict** (tap)
Violation of VI(C). The Standard makes no distinction between fees from outside parties and internal payments for steering business to another department. At the time of referral, he had to disclose the arrangement, including its nature and value.

So: **Internal referral bonuses count as referral fees.**



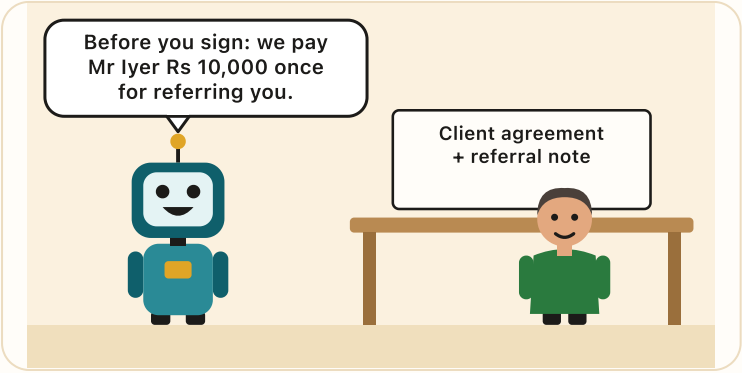
CASE: VI(C)

The consultant paid twice

A state pension plan hires Arora, a CFA charterholder, to pick an emerging markets manager. He recommends Overseas Investments, which is hired. A year later the plan learns that Arora charges managers a fee when his recommendation wins them a mandate. An independent review finds his choice was objective and suitable.

▼ **Verdict** (tap)
Violation of VI(C). He did not disclose the fee from Overseas. A good outcome does not cure non-disclosure, because the hidden payment implies a possible lack of objectivity.

So: A good recommendation does not excuse an undisclosed referral payment.



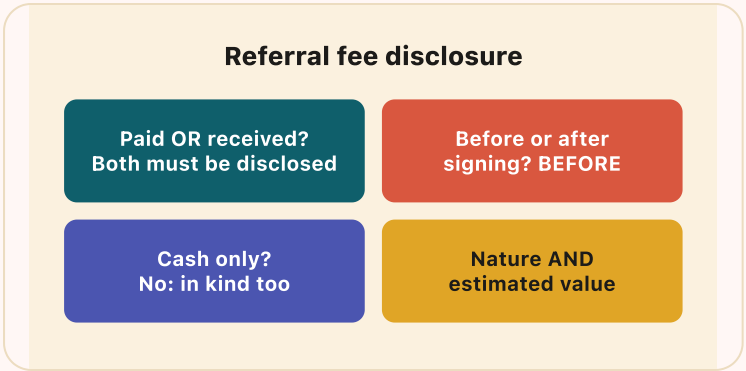
CASE: VI(C)

The CA uncle, done right

Chintu's firm has an approved arrangement: it pays a chartered accountant, Mr Iyer, a one-time Rs 10,000 for each client he refers. Before a new client signs, Chintu hands her a note in plain words stating the payment, that it is one-time, and its amount. His employer approved the programme and gets quarterly reports.

▼ **Verdict** (tap)
No violation. The benefit paid is disclosed to the employer and to the prospect before any formal agreement, with its nature and value. That is exactly what VI(C) asks.

So: Paying or receiving referral fees is allowed when disclosed in time, with nature and value.

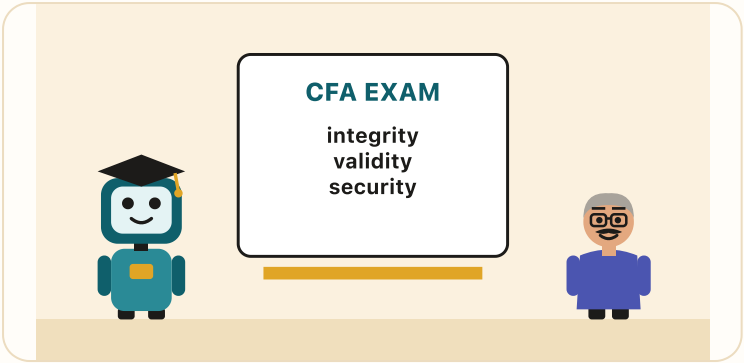


EXAM TRAP

VI(C) traps examiners love

- Disclosure covers fees **paid to others** for sending you clients, not only fees you receive.
- **Before** the formal agreement. Telling the client after signing is too late.
- "We have referral arrangements" is not enough: state the **nature** and **estimated value**.
- Free research, commission business and soft dollars are **benefits** too.
- A **good recommendation** still violates VI(C) if the fee was hidden.
- A hidden referral fee is also a conflict, but VI(C) is the Standard written for it, so it is usually the best answer.

So: **Referral fee questions turn on three words: before, nature, value.**



VII(A), THE STANDARD

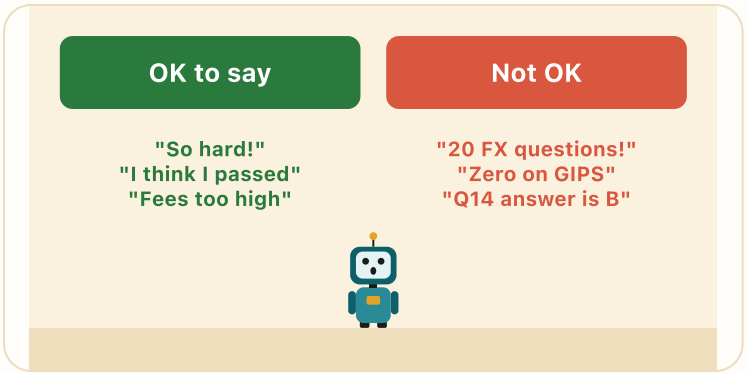
VII(A) Conduct as Participants in CFA Institute Programs

Members and candidates must not engage in any conduct that compromises the **reputation or integrity** of CFA Institute or the CFA designation, or the **integrity, validity or security** of CFA Institute programs.

Prohibited conduct includes:

- cheating, giving or receiving help in an exam;
- breaking exam rules and testing policies;
- sharing **confidential** exam or program information;
- getting around exam security;
- **improperly using** an association with CFA Institute for personal or business gain;
- misrepresenting information to CFA Institute.

So: VII(A) protects the exam and the CFA Institute name; it applies to members and candidates in any CFA Institute program.



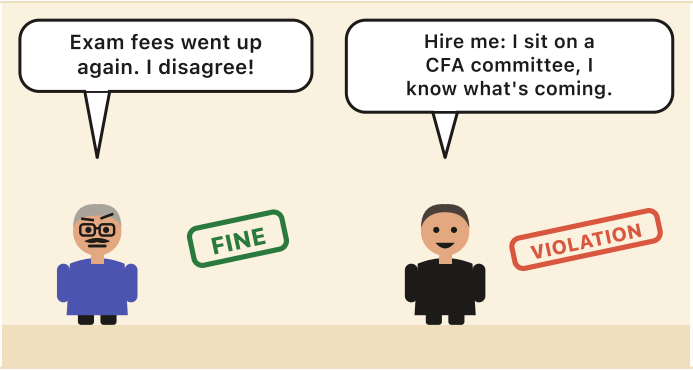
VII(A), GUIDANCE

After the exam: what you may say

Allowed	Not allowed
How hard it felt; how you think you did	Specific questions, or details of them
Studying non-confidential material in a study group	Broad topics or formulas tested or **not** tested
Criticising CFA Institute's policies or fees	Working out answers to exam questions online
Saying you volunteer for CFA Institute	Graders or writers sharing questions, deliberations or scoring

All exam content stays confidential until CFA Institute itself releases it.

So: Feelings and opinions are fine; anything about what was or was not on the exam is confidential.



VII(A), GUIDANCE 2

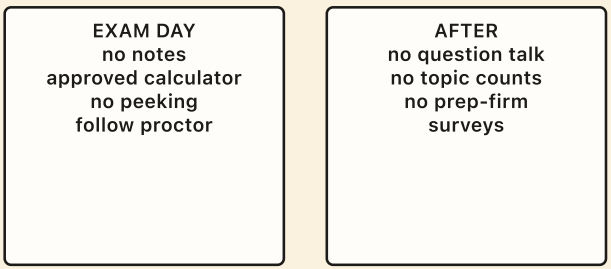
Opinions, volunteers and misusing the name

Opinions are free. Members and candidates may disagree with CFA Institute's policies, procedures or advocacy positions, publicly. They still may not reveal exam content while doing so.

Volunteers (question writers, graders, committee members) must not share confidential material: questions, deliberations, scoring information.

Misuse: using a CFA Institute role to gain business is a violation. A member may **factually state** that she serves on a committee, but must not imply that it gives her clients a special advantage.

So: Criticise all you like; just never leak confidential content or sell your CFA Institute role.

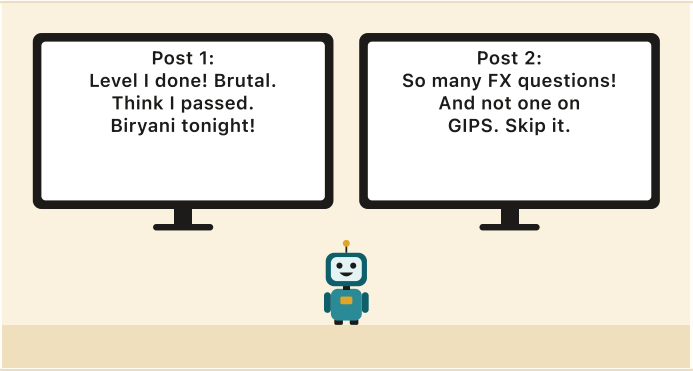


VII(A), COMPLIANCE

Staying safe as a candidate

When	Do this
Before	Read the CFA Program testing policies; breaking any of them is a VII(A) violation
Exam day	No written material, no looking at other screens, cooperate with security
Deferrals	Tell the truth in any request to CFA Institute
After	Share feelings, not content; ignore prep-provider requests for questions
Anytime	Report suspected leaks to CFA Institute

So: Every testing policy breach is a VII(A) breach, including lies on a deferral request.



CASE: VII(A)

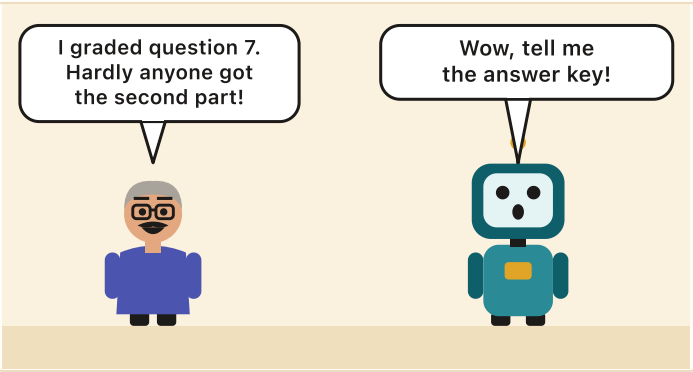
Chintu's two posts

The evening after his Level I exam, Chintu posts twice in a candidates' group. **Post 1:** "Level I done! Brutal, but I think I passed. Biryani tonight!" **Post 2:** "So many FX questions. And not one on GIPS, so skip it next time."

▼ **Verdict** (tap)

Post 1: no violation. Saying how hard it felt and how he thinks he did reveals no exam content. **Post 2: violation of VII(A).** Revealing which topics were heavily tested, and which were not tested at all, is confidential exam information and could help candidates still to sit the exam.

So: How you felt is yours to share; what was or was not on the exam is not.



CASE: VII(A)

The grader who talked

Sharma ji volunteers as a grader and agreed to discuss exam material only with CFA Institute staff and other graders. Weeks after grading ends, he tells Chintu and other candidates which question he graded, describes the guideline answer, and says few candidates scored well.

▼ **Verdict** (tap)

Violation of VII(A). He disclosed confidential information about a specific question and its scoring. The time that has passed does not matter: content stays confidential until CFA Institute releases it.

So: Volunteers carry the same confidentiality duty as candidates, and more.



CASE: VII(A)

The fee-hike rant

Chintu writes a sharp public blog post arguing that CFA Institute's exam fees are too high for Indian candidates and that its policies on deferrals are unfair. He mentions nothing about exam content.

▼ **Verdict** (tap)

No violation. VII(A) does not cover expressing opinions about CFA Institute or its programs. Members and candidates are free to disagree publicly, as long as no confidential exam information is revealed.

So: Criticising CFA Institute is allowed; leaking its exam is not.

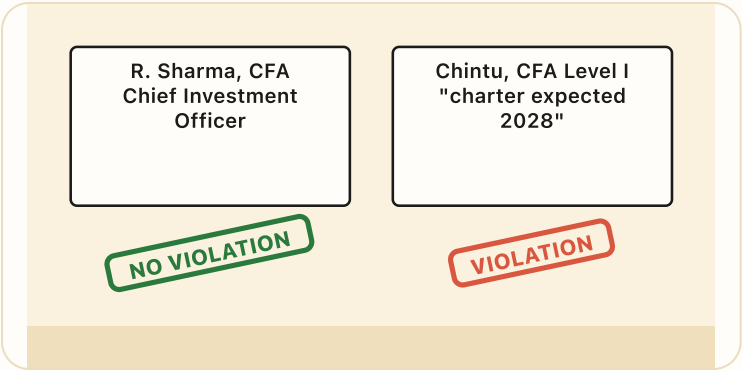


EXAM TRAP

VII(A) traps examiners love

- **Topics not tested** are confidential too, not just questions.
- Confidentiality has **no expiry date** until CFA Institute releases the material.
- Answering a **prep provider's survey** with questions is a violation; employees who solicit them violate too if they are members or candidates.
- A false **deferral** request violates VII(A) (and I(C) Misrepresentation).
- **Opinions** about CFA Institute are not violations.
- If Pinky is not a candidate she cannot violate the Standards, but a candidate who sells her questions can.

So: If it hints at exam content, cheats a rule, or trades on the CFA Institute name, it is VII(A).



VII(B), THE STANDARD

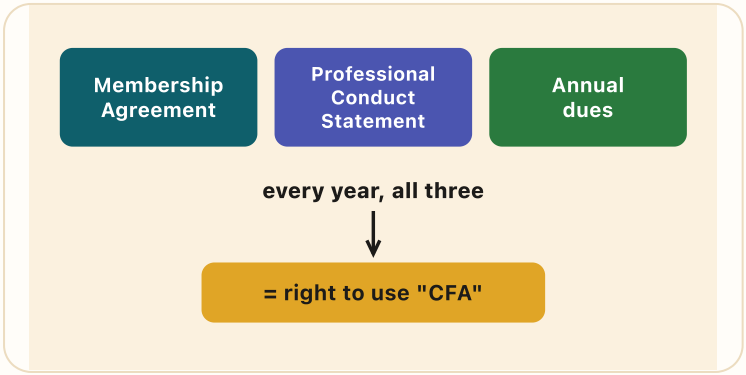
VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program

When referring to CFA Institute, membership, the CFA designation, or candidacy in the CFA Program, members and candidates must not **misrepresent or exaggerate** what membership, the designation or candidacy means.

It covers every form of communication: business cards, letterhead, LinkedIn pages, email signatures, websites, CVs, ads and things said out loud.

Allowed: factual statements about the program's rigour and charterholders' commitment to ethics, and opinions stated as opinions. **Not allowed:** promising competence or performance because of the charter.

So: VII(B) is about honest labelling: no exaggeration of what the charter, membership or candidacy means.



VII(B), GUIDANCE 1

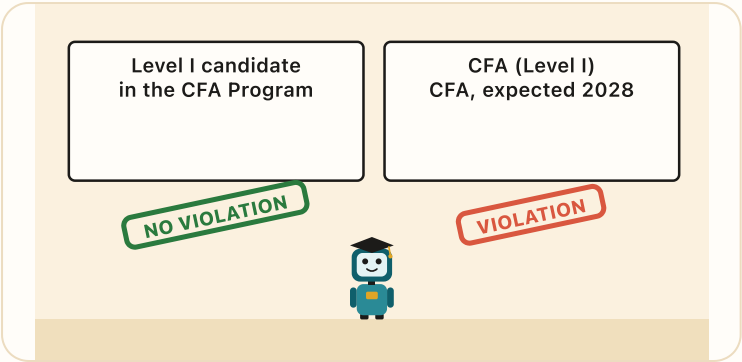
Who may write CFA after their name

Earning the charter is not enough on its own. To keep using the designation, a charterholder must be a **member in good standing**, which each year means: completing the Membership Agreement, submitting the **Professional Conduct Statement**, and paying **dues**.

Miss any of these and membership lapses: no "CFA" on cards, emails or LinkedIn until reinstated. A former member may say "CFA charterholder, 2008 to 2020".

Retiring? CFA Institute has a **retired** status with lower dues; you must apply for it.

So: The right to use CFA after your name is renewed every year through the PCS, dues and the membership agreement.



VII(B), GUIDANCE 2

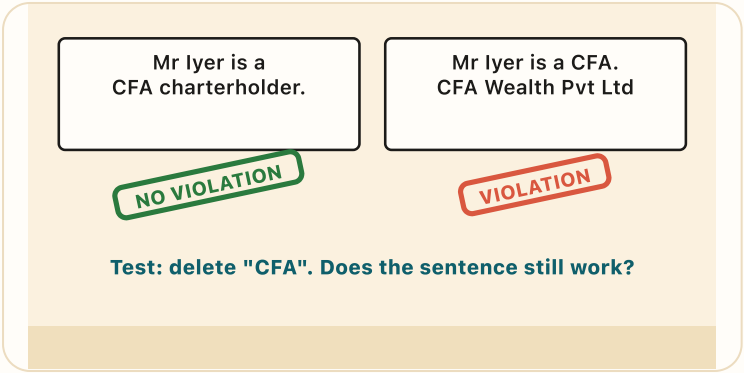
How a candidate may describe candidacy

Proper	Improper
Level I candidate in the CFA Program	CFA Level I; CFA (Level I)
Passed Level II of the CFA Program	CFA, Level II
Passed all three levels; eligible for the charter after the work experience	CFA, expected 2028; Charter pending

You are a **candidate** once accepted and enrolled for an exam, or while awaiting results. Skip enrolling and candidacy pauses until you enrol again.

No partial designation exists, and no expected charter date may be claimed: the award needs work experience and Board approval.

So: Say exactly what is true: candidate for, or passed, a level of the CFA Program. Never a partial CFA.



VII(B), GUIDANCE 3

Using the mark: adjective, never noun

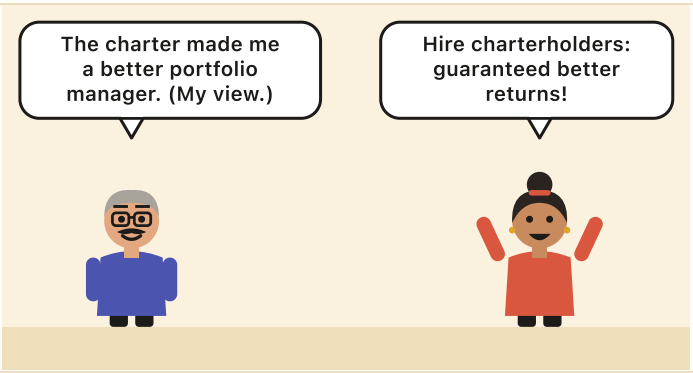
CFA Institute's trademark guide says the mark is an **adjective**, never a noun: "a CFA charterholder", not "a CFA". The quick test: drop "CFA" and the sentence should still make sense.

Write **"Ravi Iyer, CFA"** with a comma, and do not put the registered mark symbol after a person's name.

The mark must not be used in a **company name, logo, product or website name** such as "CFA Wealth". And never attach "CFA" to a pseudonym: "Expert, CFA" on an anonymous blog comment is a VII(B) violation.

CFA Institute trademark usage guide

So: CFA is an adjective (CFA charterholder), never a noun, a firm name or a tag on a pseudonym.

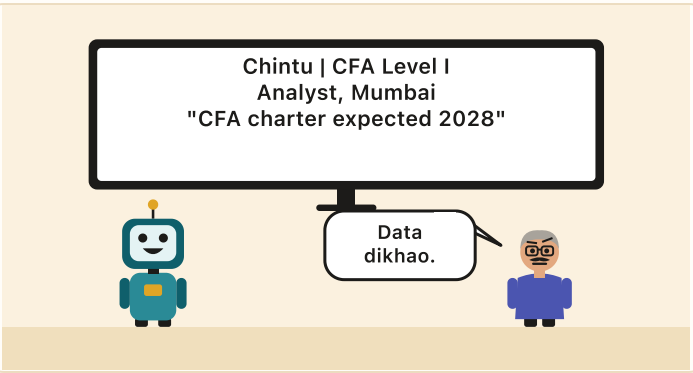


VII(B), GUIDANCE 4

Facts and opinions yes, performance promises no

Proper	Improper
The charter improved my skills (opinion)	Charterholders achieve better returns
I passed all three levels on my first attempts (fact)	...so I am among the elite
The designation is globally recognised and the exams are rigorous	As a charterholder I am the most qualified to manage your money
Charterholders commit to a code of ethics	Enrolling guarantees you will value bonds better

So: Facts and labelled opinions are fine; any link between the charter and superior results is not.



CASE: VII(B)

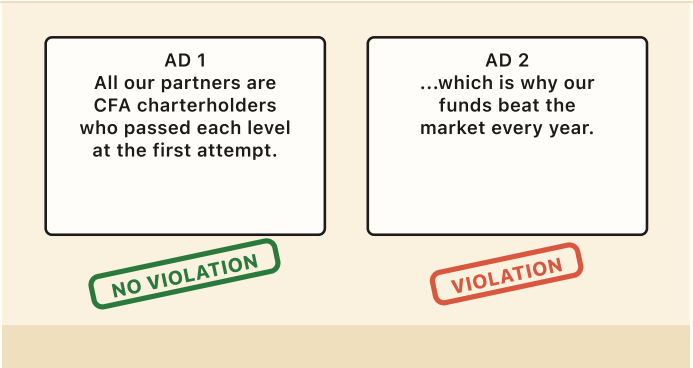
Chintu's LinkedIn headline

Chintu passes Level I and is enrolled for Level II. He changes his LinkedIn headline to "Chintu | CFA Level I" and adds "CFA charter expected 2028".

▼ **Verdict** (tap)

Violation of VII(B), twice. "CFA Level I" implies a partial designation, which does not exist. An expected charter date is not allowed because the award depends on passing Level III, work experience and Board approval. Correct: "Passed Level I of the CFA Program" or "Level II candidate in the CFA Program".

So: No partial designations and no expected dates; state the level passed or the level you are a candidate for.



CASE: VII(B)

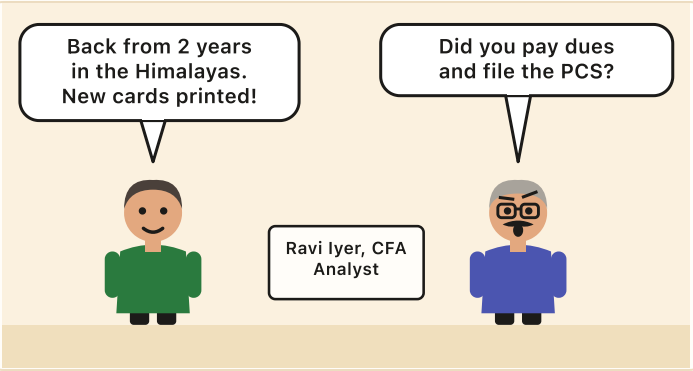
First attempt, three times

Sharma ji's firm drafts two ads. **Ad 1:** "All our partners are CFA charterholders who passed each level at the first attempt." (True.) **Ad 2** adds: "...which is why our funds beat the market every year."

▼ **Verdict** (tap)

Ad 1: no violation. Passing in consecutive attempts is a fact and may be stated. **Ad 2: violation of VII(B).** It links the charter and first-attempt passes to superior investment performance, implying charterholders achieve better results.

So: A true fact about passing is fine; tying it to returns is an exaggeration.



CASE: VII(B)

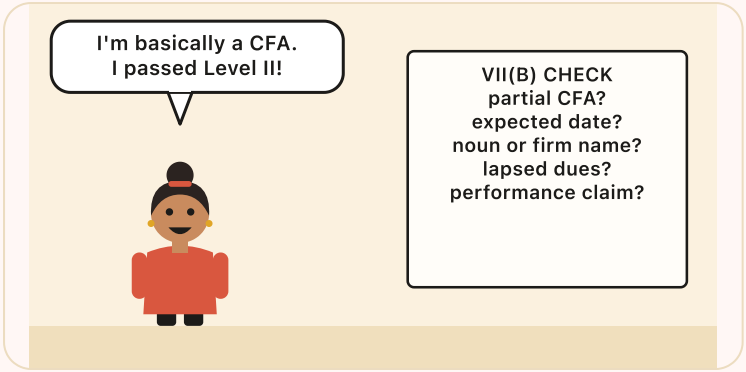
The lapsed charterholder's cards

Ravi earned his charter, then quit work for two years of travel. He stopped paying dues and stopped filing the Professional Conduct Statement, so his membership lapsed. Back home as a freelance analyst, he prints cards reading "Ravi Iyer, CFA" without reinstating his membership.

▼ **Verdict** (tap)

Violation of VII(B). Without active membership he has lost the right to use the designation, so the cards misrepresent his status. He may say he was a charterholder in the past, or reinstate his membership and then use it again.

So: A lapsed member may not use CFA after his name until membership is reinstated.

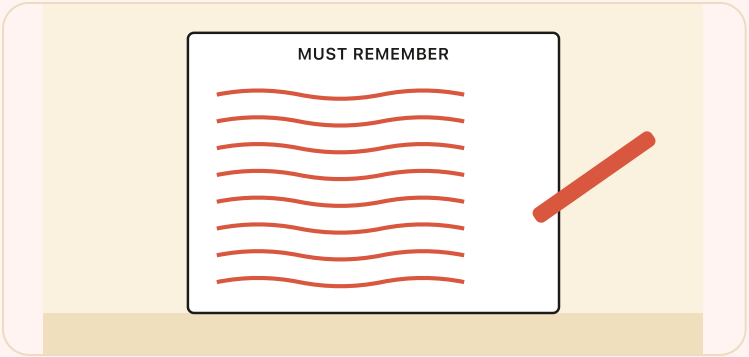


EXAM TRAP

VII(B) traps examiners love

- "**Passed in three consecutive attempts**" is a fact: allowed. Linking it to skill or returns is not.
- "**CFA, Level II**" or "**CFA candidate, expected 2028**": both violations.
- A charterholder who **stops paying dues or filing the PCS** loses the right to use CFA, even if retired, unless reclassified as retired.
- **Opinions** such as "the charter helped my career" are allowed when framed as opinion.
- Someone who passed but is **not enrolled** for the next exam is not a current candidate; say "passed Level I".

So: **Read every reference to CFA literally: is it true, current, and free of performance claims?**

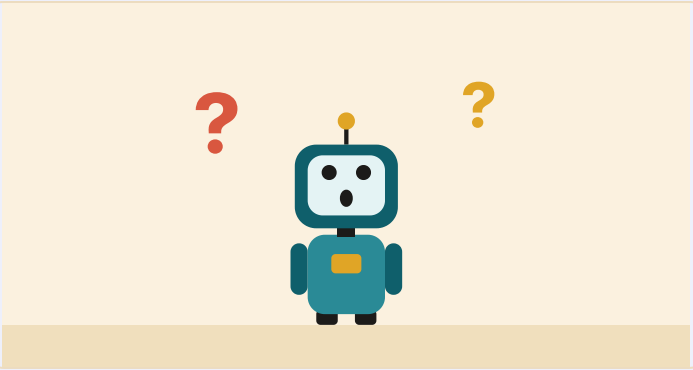


SHARMA JI'S RED PEN

8 things to remember

1. VI(A): avoid conflicts if reasonable; else disclose to employer, clients and prospects, prominently and plainly.
2. Family holdings count. Footnotes are not prominent.
3. VI(B): clients, then employer, then you. Front-running is the classic breach.
4. Family client accounts: equal treatment, not first, not last.
5. Hot IPOs: abstain or pre-clear. Blackouts and pre-clearance stop front-running.
6. VI(C): disclose referral benefits paid or received, before the deal, with nature and value.
7. VII(A): never reveal questions or topics tested or not tested; opinions are fine.
8. VII(B): no partial CFA, no expected date, no performance claims; dues and PCS yearly.

So: **Scribbled by Sharma ji on the chapter summary.**



EXAM QUESTION 1 OF 10

Kavya, a CFA charterholder, owns 5,000 shares of a company she rates a buy. Her report discloses the holding in a footnote in 6-point type on page 31. Kavya most likely:

A. complied with the Standards, because she disclosed the holding

B. violated Standard VI(A), because the disclosure was not prominent

C. violated Standard VI(B), because she owns a stock she recommends

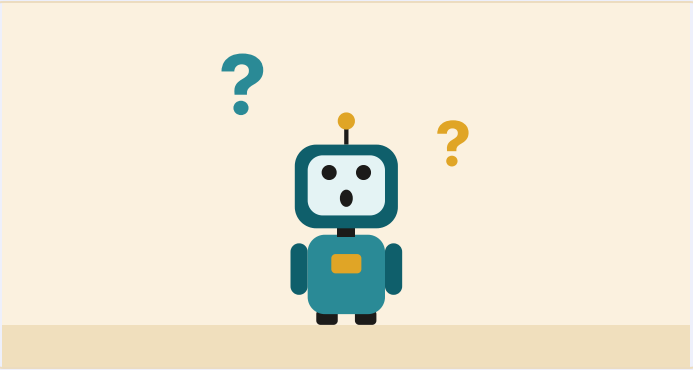
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Kavya, a CFA charterholder, owns 5,000 shares of a company she rates a buy. Her report discloses the holding in a footnote in 6-point type on page 31. Kavya most likely:

Answer: B. VI(A) requires disclosures to be prominent and in plain language, and a tiny footnote deep in the report is neither. A is wrong because disclosure that nobody can find does not count. C is wrong because owning a stock you recommend is not banned by VI(B); VI(B) is about trading ahead of clients.



EXAM QUESTION 2 OF 10

A portfolio manager who is a CFA charterholder manages her parents' fee-paying account at her firm. For hot IPOs she fills every other suitable client first and gives her parents whatever is left. She most likely:

A. violated Standard VI(B) by disadvantaging a client account

B. complied with the Standards, because clients come before family

C. violated only Standard VI(A), by not disclosing the family relationship

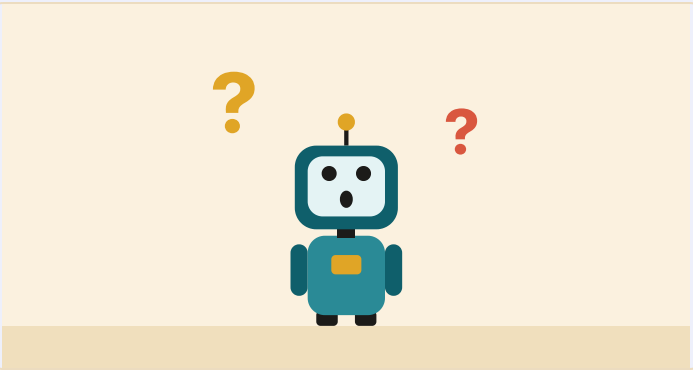
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

A portfolio manager who is a CFA charterholder manages her parents' fee-paying account at her firm. For hot IPOs she fills every other suitable client first and gives her parents whatever is left. She most likely:

Answer: A. Family accounts that are client accounts must be treated like any other client account, neither favoured nor disadvantaged, so putting them last breaches VI(B). B is wrong because her parents are clients too. C is wrong because the problem is unequal allocation, not a missing disclosure.



EXAM QUESTION 3 OF 10

Under Standard VI(C) Referral Fees, a member is least likely required to:

A. disclose the nature of the benefit received for a referral

B. disclose the estimated value of the benefit

C. obtain the client's written consent before paying a referral fee

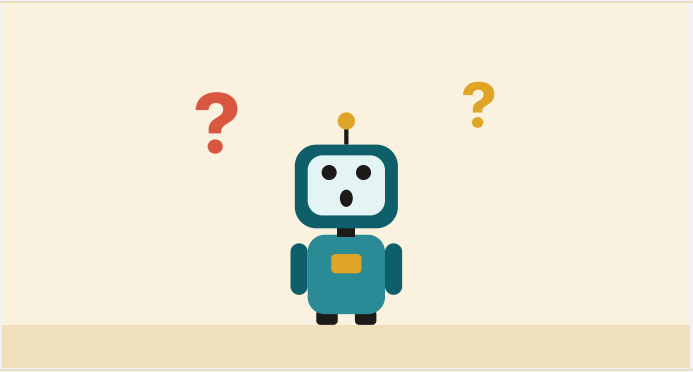
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Under Standard VI(C) Referral Fees, a member is least likely required to:

Answer: C. VI(C) requires disclosure, before any formal agreement, of the nature and estimated value of referral benefits. It does not require the client's written consent. A and B are both required parts of the disclosure, so they are not the least likely.



EXAM QUESTION 4 OF 10

Rohit passed Level I and is not enrolled for any upcoming CFA exam. Which LinkedIn description is most appropriate?

A. Rohit Rao, CFA (Level I)

B. Rohit Rao, Level II candidate, charter expected 2028

C. Passed Level I of the CFA Program

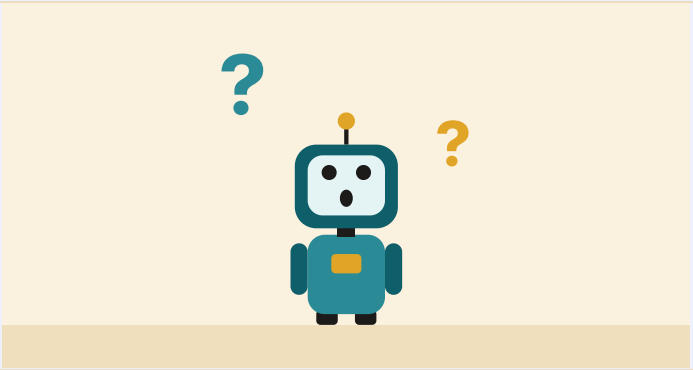
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Rohit passed Level I and is not enrolled for any upcoming CFA exam. Which LinkedIn description is most appropriate?

Answer: C. A factual statement of the level passed is allowed. A implies a partial designation, which does not exist. B is wrong twice: he is not enrolled, so he is not a current candidate, and no expected charter date may be cited.



EXAM QUESTION 5 OF 10

Which post by a candidate, made the evening after the Level I exam, most likely violates Standard VII(A)?

A. "Brutal exam. I think I passed, fingers crossed."

B. "Not a single question on Porter's five forces, so skip it."

C. "CFA Institute should cut its exam fees for students."

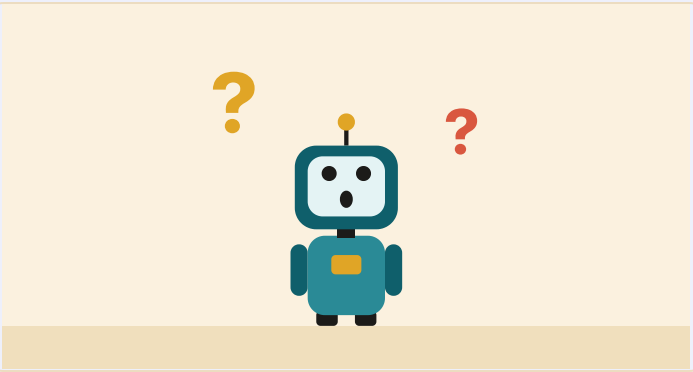
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which post by a candidate, made the evening after the Level I exam, most likely violates Standard VII(A)?

Answer: B. Revealing a topic that was not tested is confidential exam information and violates VII(A). A only describes feelings and expected results, which is allowed. C is an opinion about CFA Institute, which VII(A) does not restrict.



EXAM QUESTION 6 OF 10

Pinky, a trader who is neither a CFA Institute member nor a candidate, buys shares for herself just before executing a large client buy order in the same stock. Has Pinky violated the CFA Institute Standards?

A. Yes, Standard VI(B) Priority of Transactions

B. Yes, Standard VI(A) Avoid or Disclose Conflicts

C. No, because the Standards apply only to members and candidates

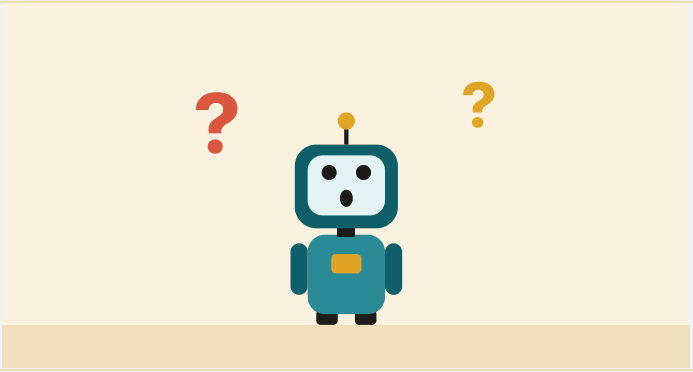
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Pinky, a trader who is neither a CFA Institute member nor a candidate, buys shares for herself just before executing a large client buy order in the same stock. Has Pinky violated the CFA Institute Standards?

Answer: C. The Code and Standards bind CFA Institute members and candidates only. Pinky's front-running may break the law and firm policy, but she cannot violate the Standards. A and B would be correct analyses only if she were a member or candidate.



EXAM QUESTION 7 OF 10

Ravi, a charterholder, retired five years ago. He stopped paying dues and filing the Professional Conduct Statement and did not apply for retired status. His new personal cards read "Ravi Iyer, CFA". Ravi most likely:

A. has not violated the Standards, because a charter once earned is kept for life

B. has violated Standard VII(B)

C. has violated Standard VII(A) only

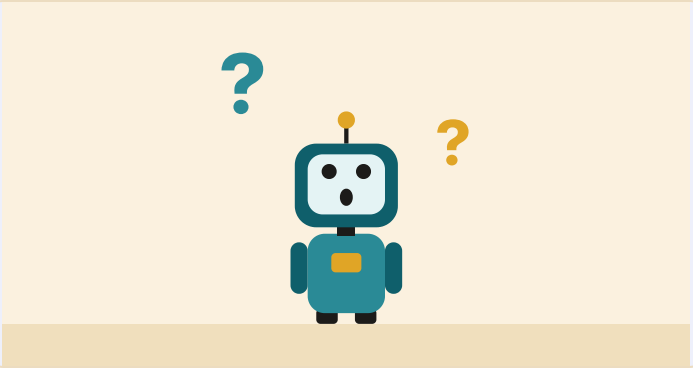
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

Ravi, a charterholder, retired five years ago. He stopped paying dues and filing the Professional Conduct Statement and did not apply for retired status. His new personal cards read "Ravi Iyer, CFA". Ravi most likely:

Answer: B. The right to use the designation depends on annual membership requirements, so using CFA after a lapse misrepresents his status under VII(B). A is wrong because the right is not permanent. C is wrong because the issue is how he references the designation, which is VII(B), not exam or program conduct.



EXAM QUESTION 8 OF 10

A portfolio manager's firm switches her bonus from annual to quarterly relative performance. She buys high-beta stocks for long-term pension clients, contrary to their IPS, and does not tell clients about the new bonus. Which Standard is most directly violated?

A. VI(A) Avoid or Disclose Conflicts

B. VI(C) Referral Fees

C. VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program

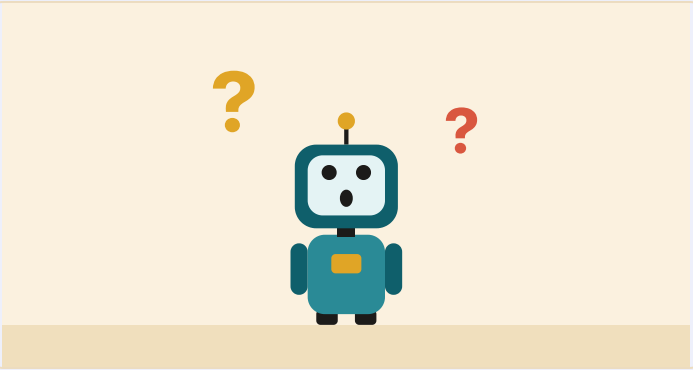
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

A portfolio manager's firm switches her bonus from annual to quarterly relative performance. She buys high-beta stocks for long-term pension clients, contrary to their IPS, and does not tell clients about the new bonus. Which Standard is most directly violated?

Answer: A. A pay structure that conflicts with client objectives must be disclosed under VI(A). B is wrong because no one is paid for referring clients or products. C is wrong because nothing is said about the charter or CFA Institute.



EXAM QUESTION 9 OF 10

Minutes after an analyst tells the firm's branches internally that an insurer is a sell, the head of trading, a CFA charterholder, buys puts for the firm's account. Clients receive the report the next day. The head of trading most likely violated:

A. Standard VI(B) Priority of Transactions

B. Standard VI(C) Referral Fees

C. no Standard, because he traded for the firm and not for himself

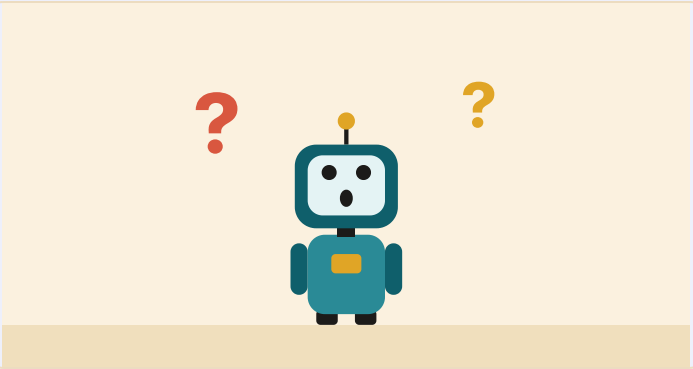
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Minutes after an analyst tells the firm's branches internally that an insurer is a sell, the head of trading, a CFA charterholder, buys puts for the firm's account. Clients receive the report the next day. The head of trading most likely violated:

Answer: A. VI(B) puts clients ahead of the employer as well as ahead of the member, so the firm's account must wait until clients can act. B is wrong because no referral benefit exists. C is wrong because firm trades also come after client trades.



EXAM QUESTION 10 OF 10

Which statement by a CFA charterholder is most likely consistent with Standard VII(B)?

A. "CFA charterholders achieve better investment results."

B. "As a CFA charterholder, I am the best qualified to manage your portfolio."

C. "Earning the charter improved my investment skills."

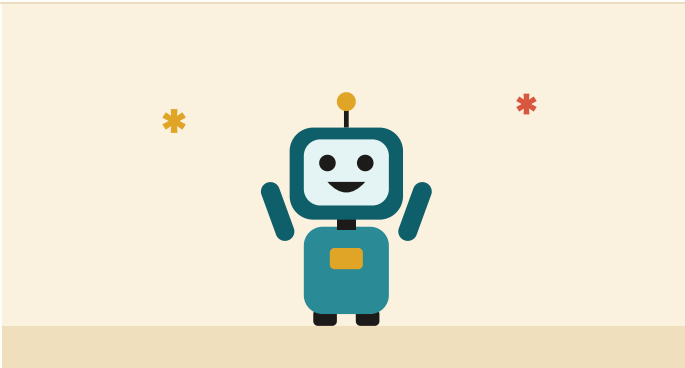
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which statement by a CFA charterholder is most likely consistent with Standard VII(B)?

Answer: C. A personal opinion about one's own development is allowed. A claims superior performance for charterholders in general, and B claims superior competence because of the charter: both exaggerate what the designation means.



CHAPTER 7 DONE

Conflicts and the CFA name: done

You can now spot an undisclosed conflict, put trades in the right order, check a referral fee disclosure, tell an innocent exam post from a leak, and fix a business card. Next time someone writes "CFA Level I" on LinkedIn, you will know exactly what to say.

So: Swipe on, or jump to another chapter from the Menu.



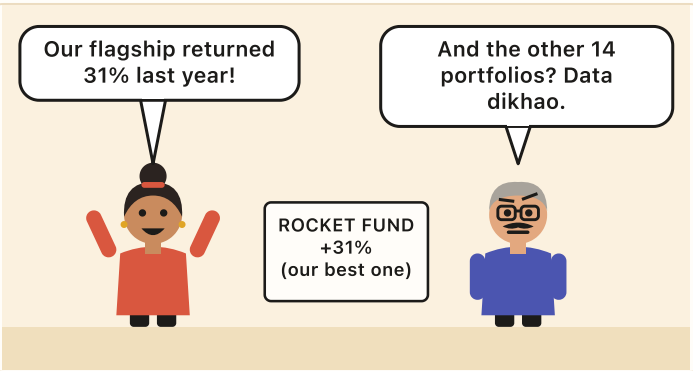
BEFORE YOU START

The cast, and words this chapter uses

A Mumbai investment firm. Sharma ji trusts nothing without data ("Data dikhao"); Pinky is sure of everything, especially when wrong.

- **CFA Institute:** runs the CFA Program and owns and administers the GIPS standards.
- **Portfolio:** investments managed for one client, or for many investors together in a fund.
- **Prospective client:** someone the firm is trying to win as a client.
- **Benchmark:** an index a manager is compared with, such as the Nifty 50.
- **Gross / net of fees:** return before / after the manager's fee.

So: **You can start this chapter cold. Everything it needs is on this card.**



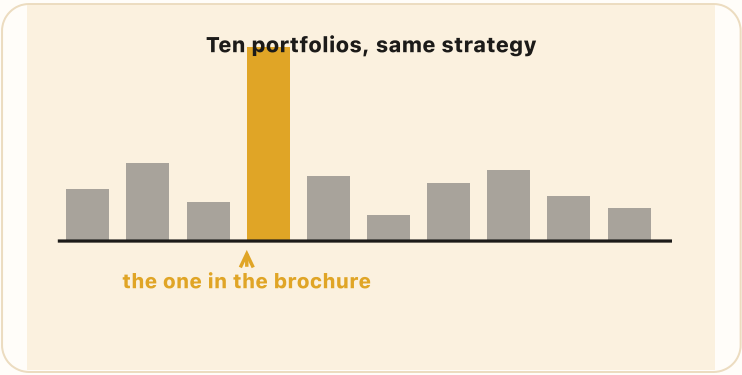
STORY

The brochure with one fund in it

A pension trust in Pune is choosing a manager. Pinky's firm sends a glossy brochure: one fund, one year, +31%. It does not mention the firm's 14 other portfolios, the two it closed after bad years, or that the 31% is before fees.

Every number in the brochure may be true and the picture is still false. The **Global Investment Performance Standards (GIPS)** exist to stop this: they are **ethical standards for calculating and presenting investment performance**, built on **fair representation** and **full disclosure**.

So: **True numbers chosen selectively still mislead; GIPS fixes how performance is calculated and shown.**



PROBLEM 1 OF 3

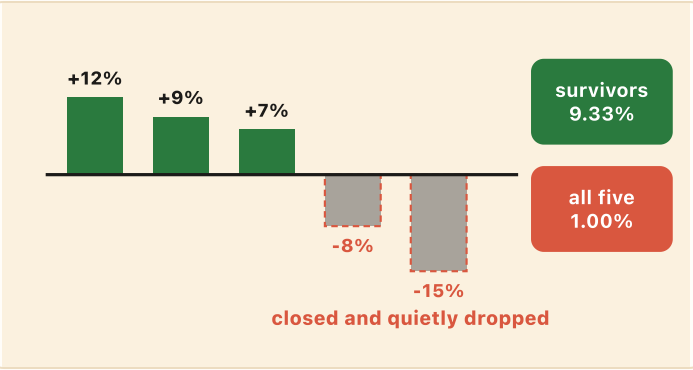
Cherry-picking: showing only the winners

Cherry-picking means presenting the best-performing portfolios, or the best time periods, as if they were typical.

- Showing one "representative" account that happens to be the best one.
- Choosing the start date that makes the record look best: since the March 2020 crash bottom, say.
- Showing a model or back-tested portfolio instead of real client money.

GIPS answers with **composites**: every actual, fee-paying, discretionary portfolio must sit in at least one composite, so the losers are counted too.

So: Cherry-picking hides the typical client's experience; composites force every eligible portfolio into the record.



PROBLEM 2 OF 3

Survivorship bias: the graveyard nobody shows

Survivorship bias appears when portfolios or funds that were closed, usually after bad results, vanish from the record. Only the survivors are left, so the average looks better than what clients really got.

In the chart, the three survivors average **9.33%**. Add back the two closed portfolios and the true average is **1.00%**.

GIPS requires **terminated portfolios** to stay in a composite's history up to the last full period the firm managed them.

So: Dropping dead portfolios inflates returns; GIPS keeps terminated portfolios in the historical record.



PROBLEM 3 OF 3

Inconsistent methods: apples versus mangoes

Choice	How firms differ without a standard
Return method	Some let client deposits inflate returns; some adjust for them
Fees	Gross versus net, often unlabelled
Period	Any start date, any length
Valuation	Stale or generous prices for hard-to-value assets
Which accounts	Hand-picked versus all

Without one method, a 14% and an 11% cannot be compared. GIPS sets common calculation rules and required disclosures so the numbers line up.

So: GIPS makes performance comparable by fixing the method, the accounts included and the disclosures.



WHAT GIPS ARE

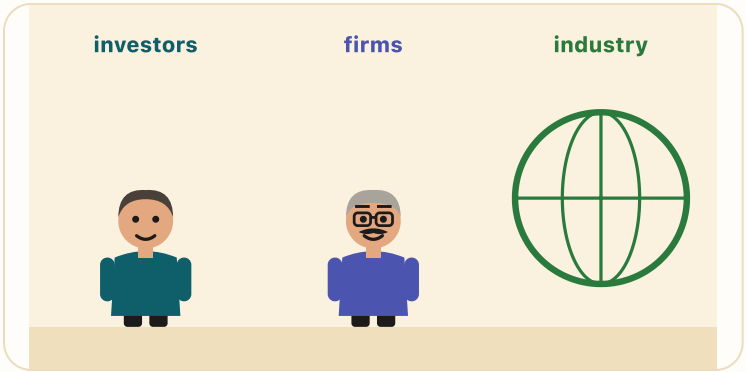
Ethical standards for performance, not a rulebook for returns

The GIPS standards are **voluntary, ethical standards** for calculating and presenting investment performance, based on **fair representation and full disclosure**.

Stated objectives include: promote investor interests and confidence; ensure accurate and consistent data; win worldwide acceptance of a single standard; promote fair global competition among firms; and promote industry **self-regulation**.

They do not say what return is "good". They make sure the return you see is honestly built. 2020 GIPS Standards for Firms

So: GIPS are about honest, comparable presentation of performance, not about achieving any level of return.

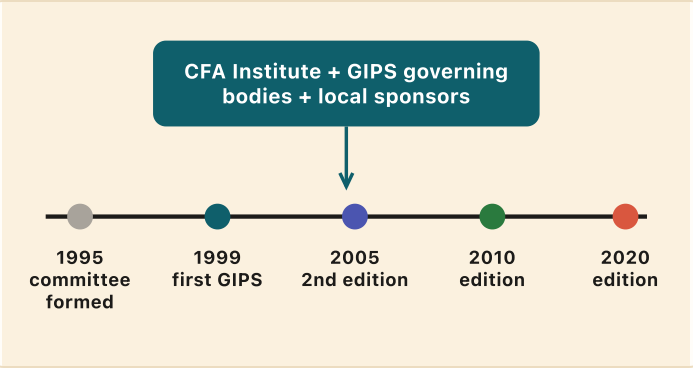


WHO BENEFITS

Investors, firms and the industry

Who	Benefit
Investors and prospects	Complete, fairly presented records; firms compared like for like; more confidence
Firms	A "global passport": a small Mumbai firm competes for a London mandate on equal terms; credibility; tighter internal controls
Asset owners	Show their oversight boards they follow global best practice
Industry	Self-regulation, fewer misleading claims, fair global competition

So: Investors gain comparability and trust; firms gain a global passport; the industry gains self-regulation.



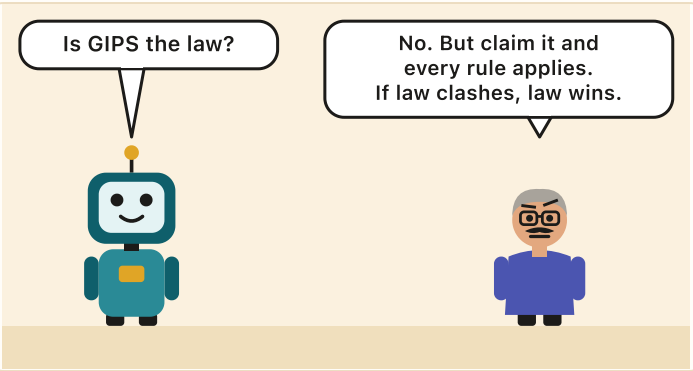
WHO RUNS GIPS

CFA Institute owns them, the world helps

CFA Institute owns the GIPS standards (GIPS is its registered trademark) and creates and administers them together with the **GIPS standards governing bodies**. Local **GIPS Standards Sponsors**, such as CFA Society India, promote them in their markets.

History: in 1995 CFA Institute (then AIMR) funded a committee to build a global standard from the AIMR Performance Presentation Standards. The first GIPS appeared in 1999. The current edition is the **2020 edition**, effective 1 January 2020. 2020 GIPS Standards for Firms

So: CFA Institute sponsors and administers GIPS; the current edition is the 2020 GIPS standards.



VOLUNTARY, THEN BINDING

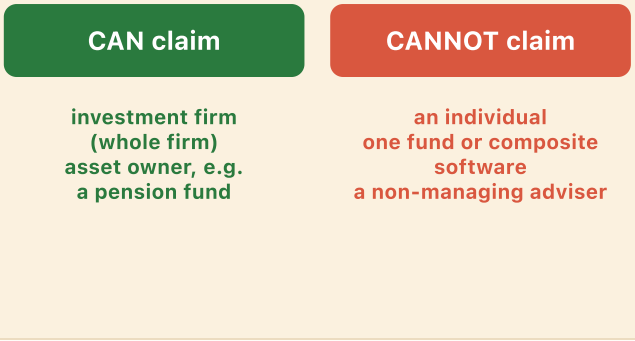
Nobody forces you; once you claim, you comply fully

Compliance is voluntary. GIPS are an industry standard, not a law, and firms choose to adopt them. The push usually comes from clients, consultants and competition for mandates.

But once a firm **claims** compliance, it must meet **all applicable requirements**, including CFA Institute's Guidance Statements, interpretations and Q&As, and notify CFA Institute when it first claims and every year after.

If a **law conflicts** with GIPS, the firm follows the law and discloses the conflict. Regulators are encouraged to act against **false claims** of compliance.

So: GIPS compliance is voluntary; a claim of compliance is a promise to meet every applicable requirement.



WHO CAN CLAIM

Firms and asset owners, never people or products

Only an organisation that **manages assets** can claim GIPS compliance:

- **Investment firms** that manage money for clients follow the GIPS Standards for Firms.
- **Asset owners** (pension funds, endowments, foundations) can also claim, under their own GIPS provisions.

A **person** cannot be "GIPS compliant", nor can a single **fund, composite or product**. Software and consultants who do not manage the assets cannot claim compliance either; they can only help a firm comply or ask managers to comply.

So: Claims of compliance belong to firms (and asset owners), never to individuals or single products.



FIRM-WIDE

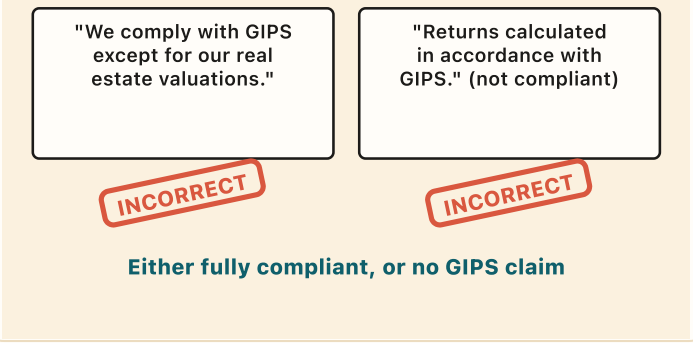
Compliance is all or nothing, firm-wide

GIPS must be applied on a **firm-wide basis**. Compliance cannot be met for one composite, one pooled fund or one portfolio.

The **firm** must be defined as an investment firm, subsidiary or division **held out to the public as a distinct business entity**. Signs of a distinct business entity: it is a separate legal entity, it serves a distinct market or client type, or it uses its own investment process.

The firm definition sets the boundary for **total firm assets** and for what must comply. It must be disclosed in every GIPS Report.

So: Define the firm first; then everything inside that boundary must comply.



NO PARTIAL CLAIMS

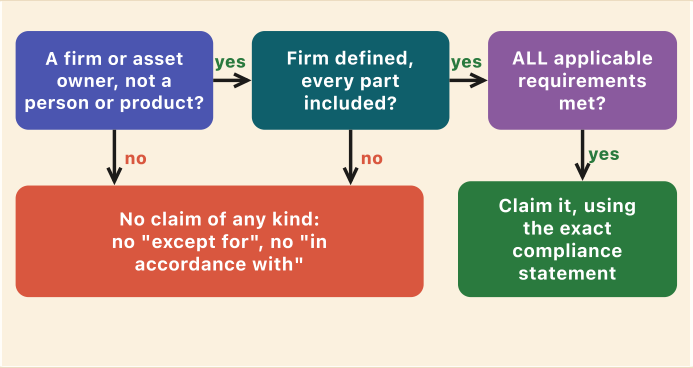
No "except for", no "calculated in accordance with"

A firm that does not meet **all** applicable requirements must not say it complies "**except for**...", or make any statement that suggests compliance or **partial compliance**.

Statements that a **calculation method** is "in accordance with", "in compliance with" or "consistent with" GIPS are also prohibited.

To make a first claim, the firm needs at least **5 years** of compliant history (or since inception if younger), then adds a year at a time until it shows at least **10 years**.

So: There is no half-compliant firm: meet every applicable requirement or make no GIPS claim.



DECISION PATH

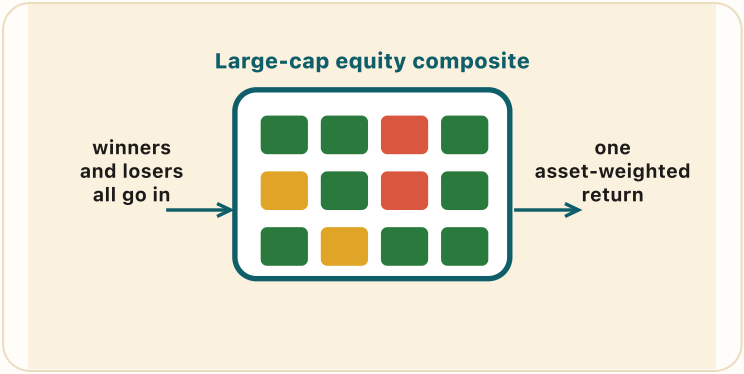
May this organisation claim GIPS compliance?

Three gates, in order:

1. Is the claimant an organisation that manages assets (a firm or an asset owner), not a person, a product or software?
2. Is the firm defined, and is **every** part of it inside the compliance programme?
3. Are **all** applicable requirements met, including guidance statements and Q&As?

Three yeses: claim compliance with the required wording. Any no: make no claim and no hint of one.

So: A claim needs the right claimant, firm-wide coverage and every requirement met.



FUNDAMENTALS 1

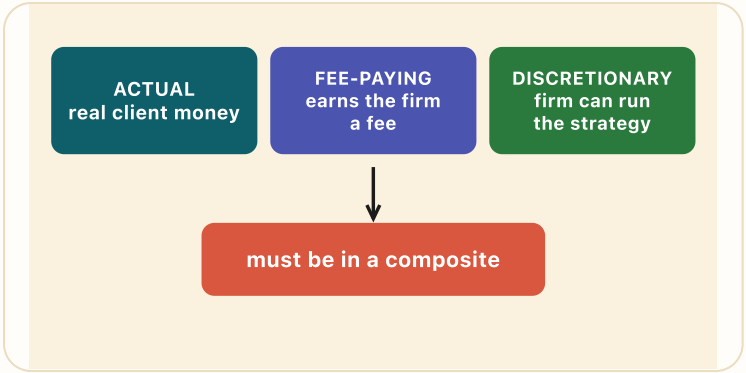
Composites: the anti-cherry-picking box

A **composite** is a group of one or more portfolios managed to a similar **investment mandate, objective or strategy**. Its return is the **asset-weighted average** of its portfolios' returns.

The core rule: **every actual, fee-paying, discretionary portfolio must be included in at least one composite**. (The 2020 text says this of segregated accounts; pooled funds join any composite whose definition they meet.)

Firms must create composites for every strategy they offer as a segregated account. Terminated portfolios stay in the history. Portfolios cannot be shifted between composites to flatter results.

So: **Every actual, fee-paying, discretionary portfolio goes into at least one composite, so the record shows what clients really got.**



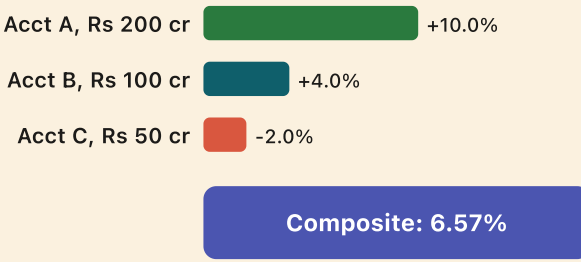
FUNDAMENTALS 2

Actual, fee-paying, discretionary: three filters

Filter	Meaning	Fails if
Actual	Real money	Model, simulated or back-tested
Fee-paying	The firm earns a fee	Free account (may be included, not required)
Discretionary	Firm can follow its strategy	Client limits block the strategy

The firm writes its own **definition of discretion** and applies it consistently. A client who bans all bank stocks from a banking-heavy strategy may make the account non-discretionary. **Non-discretionary portfolios must not be included** in composites.

So: All three filters passed means the portfolio must be in a composite; non-discretionary ones are kept out.



WORKED EXAMPLE

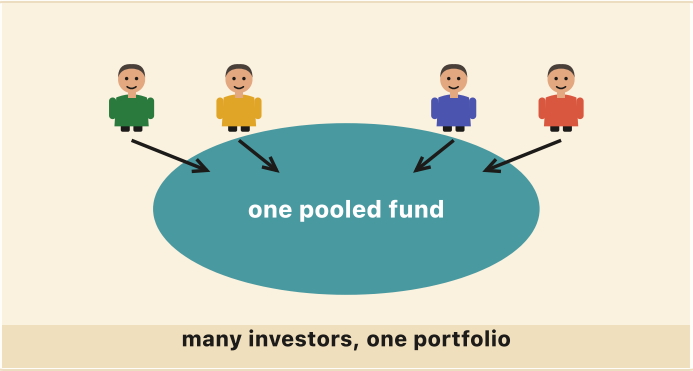
Composite return versus the brochure

Ganga Asset Managers runs three discretionary, fee-paying large-cap accounts all year: A (Rs 200 crore, +10%), B (Rs 100 crore, +4%), C (Rs 50 crore, -2%). The marketing team wants to show only A. What is the composite return (beginning-of-year asset weights)?

1. Total assets = 200 + 100 + 50 = Rs 350 crore
2. Weighted sum = 200 x 10 + 100 x 4 + 50 x (-2) = 2,000 + 400 - 100 = 2,300
3. Composite return = 2,300 / 350 = 6.57%

Composite return = 6.57%, not the 10% of account A. All three accounts must be in the composite.

So: **The composite return is asset-weighted across all qualifying portfolios, which is why cherry-picked figures look better.**



FUNDAMENTALS 3

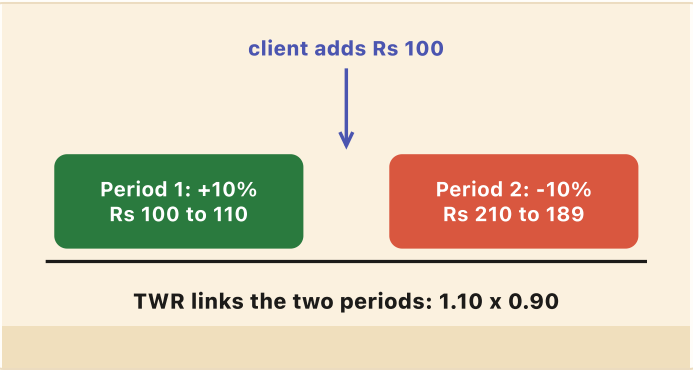
Pooled funds

A **pooled fund** is a fund whose ownership interests may be held by **more than one investor**: mutual funds, hedge funds, private equity funds. A **segregated account** is owned by a single client.

Under the 2020 edition:

- A pooled fund must be included in any composite whose definition it meets.
- Firms must make every reasonable effort to give a **GIPS Pooled Fund Report** to prospective investors in **limited distribution** pooled funds (funds not sold to the general public).

So: Pooled funds have many owners; they join matching composites and get their own GIPS Pooled Fund Reports.



FUNDAMENTALS 4

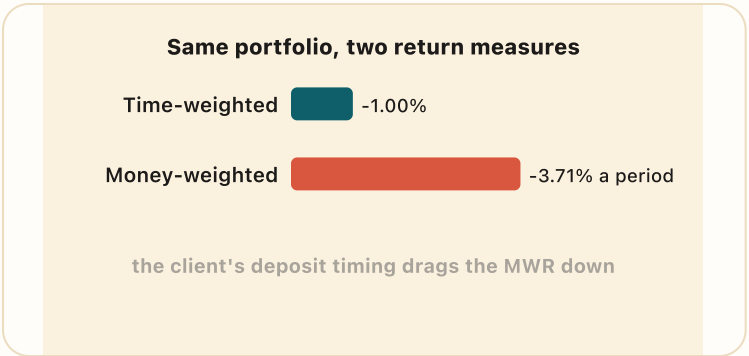
Time-weighted return: judge the manager, not the client

Clients, not managers, decide when money comes in or goes out. A return that rises because a client happened to deposit before a rally says nothing about skill.

The **time-weighted return (TWR)** removes the effect of these **external cash flows**: measure the return between cash flows, then **link** the sub-period returns geometrically.

GIPS requires TWR in most cases, with portfolios valued at least **monthly** and on the date of every **large cash flow**. A **money-weighted return** is allowed only when the firm controls the cash flows and the fund is, for example, closed-end, fixed-life or illiquid (typical of private equity).

So: **TWR strips out client cash flows so the return reflects the manager's decisions.**



WORKED EXAMPLE

TWR versus money-weighted, one bad deposit

A client puts Rs 100 lakh in. Period 1: it grows to 110 (+10%). The client then adds Rs 100 lakh, so 210 is invested. Period 2: it falls to 189 (-10%). What is the time-weighted return over both periods?

1. Sub-period returns: R1 = 110/100 - 1 = +10%; R2 = 189/210 - 1 = -10%
2. TWR = (1 + 0.10) x (1 - 0.10) - 1 = 1.10 x 0.90 - 1 = -1.00%
3. For contrast, the money-weighted return (IRR of -100, -100, +189) is about -3.71% per period: more money was invested in the bad period

TWR = -1.00% over the two periods. The manager is judged on this, not on the client's unlucky timing.

So: TWR ignores how much money was invested when; the money-weighted return does not, which is why GIPS usually requires TWR.

GIPS Composite Report: Large-cap equity

Year	Gross	Net	Index	Portfolios
2021	14.2	13.1	12.8	9
2022	3.5	2.5	4.1	11
2023	21.0	19.8	19.5	12
2024	9.6	8.6	8.2	14
2025	6.6	5.6	7.0	15

+ compliance statement, firm definition, disclosures

FUNDAMENTALS 5

GIPS Reports: what prospects receive

A **GIPS Report** is either a **GIPS Composite Report** or a **GIPS Pooled Fund Report**.

- The firm must make every reasonable effort to give a GIPS Composite Report to **all** prospective clients when they first become prospects. It may not pick and choose who gets one.
- Prospects who are still prospects get an **updated report at least every 12 months**.
- Reports show at least 5 years of annual returns (building to 10), a benchmark, and required disclosures such as the firm definition and the compliance statement.

So: Every prospect gets the GIPS Report for the relevant composite, with returns, benchmark and disclosures, updated yearly.

"[Firm] claims compliance with the Global Investment Performance Standards (GIPS®) and has prepared and presented this report in compliance with the GIPS standards. [Firm] has not been independently verified."

Verified firms use a longer, two-paragraph version

FUNDAMENTALS 6

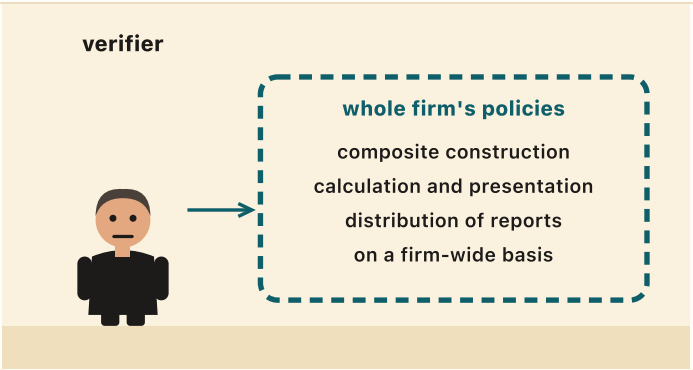
The compliance statement: exact words only

Once a firm meets all requirements, it must disclose its compliance using the **prescribed compliance statement**. It begins: "[Firm] claims compliance with the Global Investment Performance Standards (GIPS®) and has prepared and presented this report in compliance with the GIPS standards."

- **Not verified:** it adds that the firm has not been independently verified.
- **Verified:** it names the verified periods and adds a paragraph explaining what verification covers.

No part may be left out; changes may only **add** words. A separate line says GIPS is a CFA Institute trademark and CFA Institute does not endorse the firm. 2020 GIPS Standards for Firms

So: Use the exact compliance statement for the firm's verification status; never trim it.



VERIFICATION

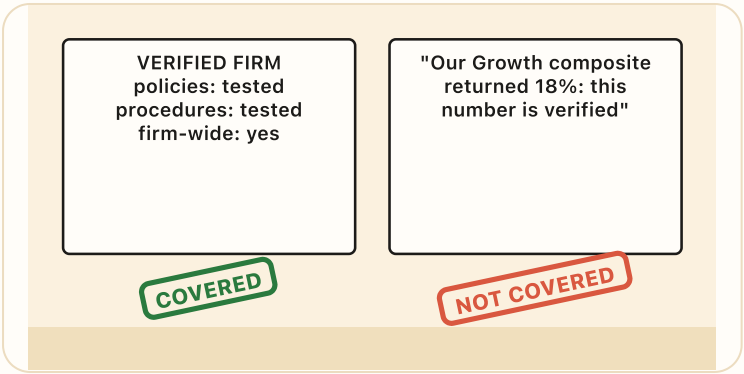
Verification: an outside check of the whole firm

Verification is a process in which an **independent third-party verifier** tests a firm on a **firm-wide** basis.

It gives assurance on whether the firm's policies and procedures for composite and pooled fund maintenance, and for the calculation, presentation and distribution of performance, have been **designed** in compliance with GIPS and **implemented firm-wide**.

It is **optional** but **strongly recommended** and considered best practice. A firm can claim compliance without it, as long as its statement says it has not been verified.

So: Verification is optional, independent and firm-wide; it tests policies and procedures, not one track record.



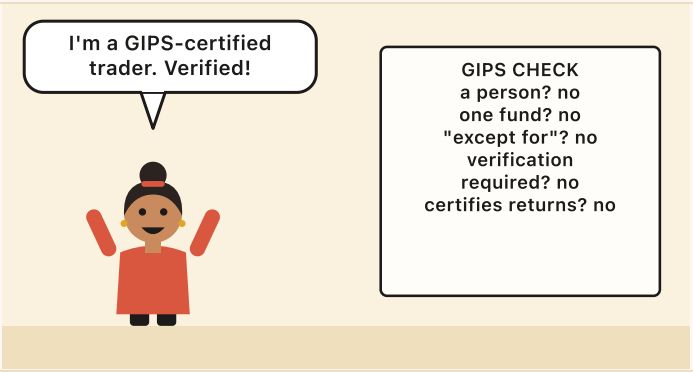
VERIFICATION LIMITS

What verification does not do

	Verification	Performance examination
Scope	Whole firm	One composite or pooled fund
Tests	Policies and procedures	That fund or composite's performance
Required?	No, strongly recommended	No, optional extra
Certifies a return?	No	Gives extra assurance on that report

The verified-firm statement itself says verification does **not** give assurance on the accuracy of any specific performance report.

So: Verification does not certify a composite's numbers; a separate performance examination is needed for that.

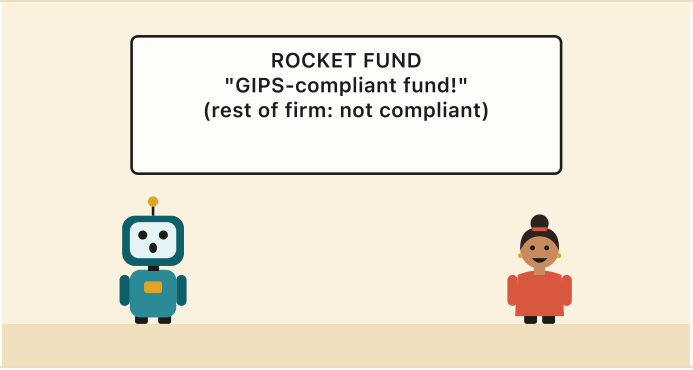


EXAM TRAP

GIPS traps examiners love

- **Voluntary**: GIPS are an industry standard that firms choose to adopt, not a law.
- Only **firms** (and asset owners) claim compliance, **firm-wide**. Not people, not one composite, not software.
- **No partial compliance**, no "except for", no "calculated in accordance with GIPS".
- **Verification is optional**, done by an independent third party, and covers the **whole firm**.
- Verification does **not** certify any composite's returns.
- **Every** actual, fee-paying, discretionary portfolio must be in at least one composite.

So: Firm-wide, all-or-nothing, voluntary, verification optional: four phrases that answer most GIPS questions.



CASE: CLAIM OF COMPLIANCE

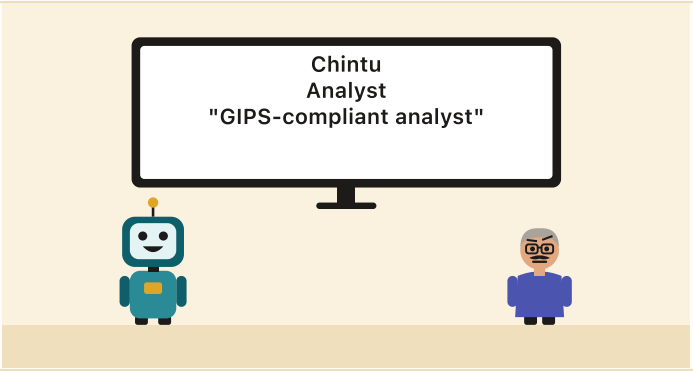
"Our flagship fund is GIPS compliant"

Pinky's firm brings its Rocket Fund up to GIPS rules for calculation and presentation. The rest of the firm's portfolios are not. Its new ad says: "Rocket Fund: a GIPS-compliant fund."

▼ **Verdict** (tap)

Incorrect claim. Compliance can only be claimed by a firm, on a firm-wide basis. It cannot be met for a single pooled fund, composite or portfolio, so a "GIPS-compliant fund" claim is not allowed.

So: A single product can never be GIPS compliant on its own.



CASE: CLAIM OF COMPLIANCE

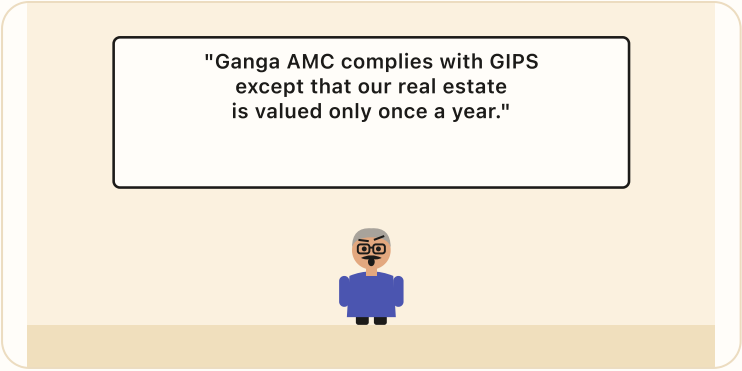
Chintu's CV line

Chintu helped his firm build its composites and now calls himself a "GIPS-compliant analyst" on his CV and LinkedIn. His firm does claim GIPS compliance and has been verified.

▼ **Verdict** (tap)

Incorrect claim. Individuals cannot be GIPS compliant; only firms (and asset owners) can claim compliance. Chintu may factually say that he worked on his firm's GIPS compliance, for example "helped maintain composites for a GIPS-compliant firm".

So: People do GIPS work; only firms claim GIPS compliance.



CASE: CLAIM OF COMPLIANCE

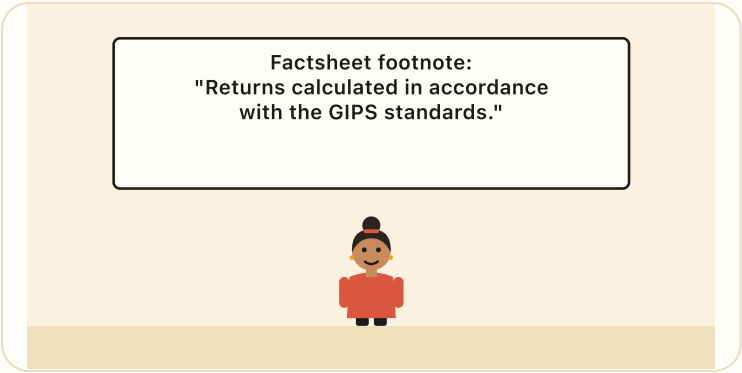
Compliant, except for one thing

Ganga Asset Managers meets every GIPS requirement except the valuation frequency for its real estate portfolios. Its pitch book says: "We comply with the GIPS standards except for the valuation of our real estate portfolios."

▼ **Verdict** (tap)

Incorrect claim. A firm that does not meet all applicable requirements may not claim compliance "except for" anything, or say anything that implies partial compliance. It must fix the gap first, then claim compliance in full.

So: **"Except for" is not allowed in a GIPS claim.**



CASE: CLAIM OF COMPLIANCE

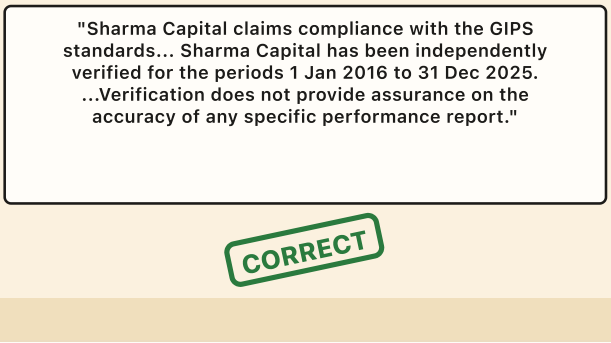
Returns "calculated per GIPS"

Pinky's firm does not claim GIPS compliance, but it does use time-weighted returns. Its factsheet footnote says: "Returns calculated in accordance with the GIPS standards."

▼ **Verdict** (tap)

Incorrect claim. Statements that a calculation method is "in accordance with", "in compliance with" or "consistent with" GIPS are prohibited. A non-compliant firm may describe its method in plain words, such as "time-weighted returns, net of fees", without mentioning GIPS.

So: Using a GIPS-style method does not let a firm borrow the GIPS name.



CASE: CLAIM OF COMPLIANCE

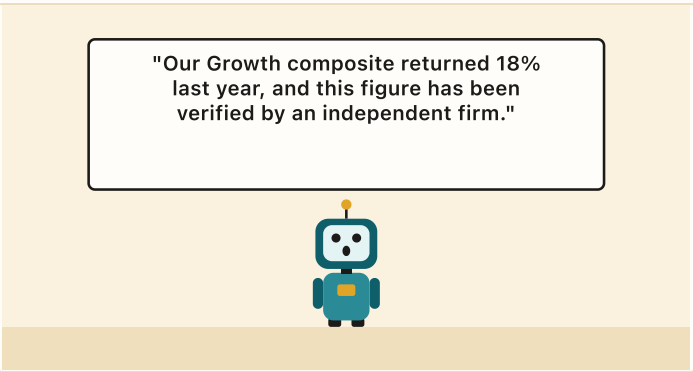
The verified firm, done right

Sharma Capital defines itself as the whole asset management company, puts every actual, fee-paying, discretionary portfolio into composites, meets all requirements and has a verifier test the whole firm. Its GIPS Composite Reports carry the full two-paragraph verified-firm compliance statement and go to every prospective client.

▼ **Verdict** (tap)

Correct claim. It is a firm, compliance is firm-wide, all requirements are met, the exact statement is used without omissions, and reports go to all prospects. Verification was optional, and the firm chose it.

So: Right claimant, firm-wide, every requirement, exact statement: that is a valid claim.



CASE: CLAIM OF COMPLIANCE

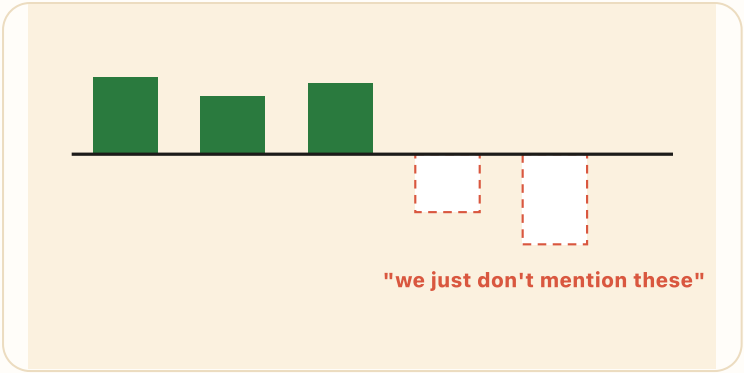
"Our 18% has been verified"

A firm has a firm-wide GIPS verification but no performance examination. Its ad says: "Our Growth composite returned 18% last year, and this figure has been verified by an independent firm."

▼ **Verdict** (tap)

Incorrect claim. Verification tests firm-wide policies and procedures; it does not provide assurance on any specific composite's performance. Only a separate **performance examination** of that composite would add assurance on its numbers.

So: Verification is about the firm's processes, not a stamp on one composite's return.



CASE: CLAIM OF COMPLIANCE

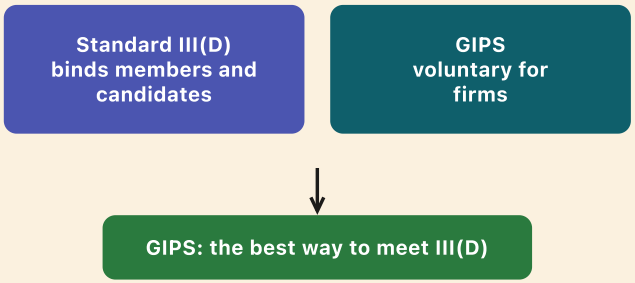
The two portfolios that vanished

Two clients left Pinky's firm in 2025 after heavy losses. Her firm claims GIPS compliance, but when it updates its composite history it removes both accounts' past returns, "because they are not clients any more".

▼ **Verdict** (tap)

Incorrect. Terminated portfolios must stay in the composite's historical performance up to the last full period the firm managed them. Removing them creates survivorship bias, so the firm's claim of compliance would be false.

So: Closed portfolios stay in composite history; deleting them breaks GIPS.



EXAM TRAP

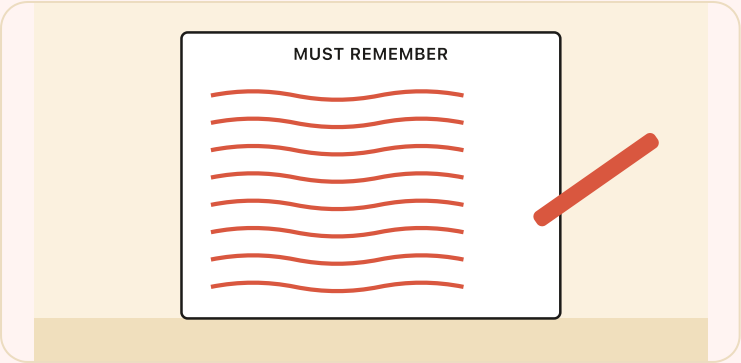
III(D) and GIPS are not the same thing

Standard III(D) Performance Presentation binds every CFA Institute member and candidate: performance they present must be fair, accurate and complete.

GIPS is **voluntary** and applies to **firms**. A member whose firm is not GIPS compliant does not violate III(D) for that reason alone, but must still present performance fairly.

For members showing the record of assets they manage, the Standards of Practice Handbook calls GIPS compliance the **best method** to meet III(D), and members should encourage their firms to comply.

So: Not complying with GIPS is not itself a violation; misleading performance presentation is.

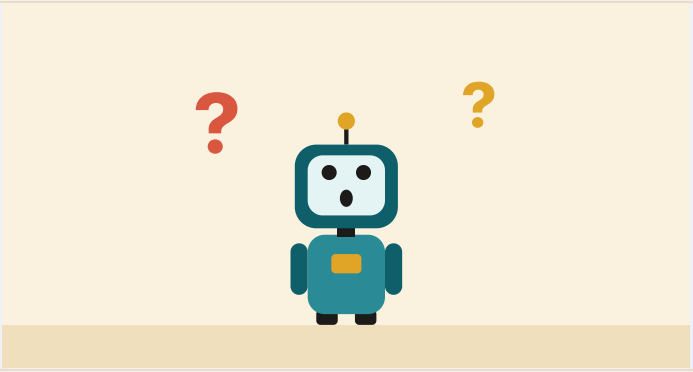


SHARMA JI'S RED PEN

8 things to remember

1. GIPS: voluntary ethical standards for presenting performance; fair representation, full disclosure.
2. They fight cherry-picking, survivorship bias and inconsistent methods.
3. CFA Institute owns and administers GIPS; current edition: 2020.
4. Only firms (and asset owners) claim compliance, firm-wide. Never a person, fund or software.
5. No partial claims: no "except for", no "calculated in accordance with GIPS".
6. Every actual, fee-paying, discretionary portfolio is in a composite; terminated ones stay in history.
7. TWR removes client cash flows. Prospects get a GIPS Report with the exact compliance statement.
8. Verification: optional, independent, firm-wide; it does not certify any composite's return.

So: **Scribbled by Sharma ji on the chapter summary.**



EXAM QUESTION 1 OF 10

Which of the following is most likely a problem the GIPS standards were created to address?

A. Firms presenting only their best-performing portfolios as representative

B. Firms charging fees that are too high for retail clients

C. Firms taking too much risk relative to their benchmarks

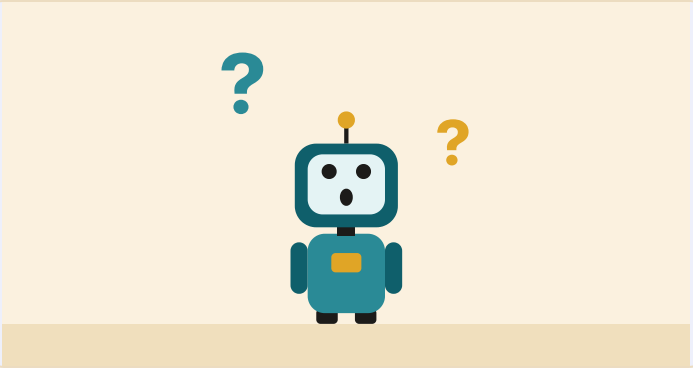
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which of the following is most likely a problem the GIPS standards were created to address?

Answer: A. GIPS target how performance is calculated and presented; composites stop cherry-picking. B is wrong because GIPS do not set fee levels, only require fees to be disclosed and returns labelled gross or net. C is wrong because GIPS do not limit risk taking.



EXAM QUESTION 2 OF 10

Compliance with the GIPS standards is best described as:

A. mandatory for all CFA charterholders' employers

B. voluntary, but once claimed all applicable requirements must be met

C. voluntary, and a firm may choose which requirements to follow

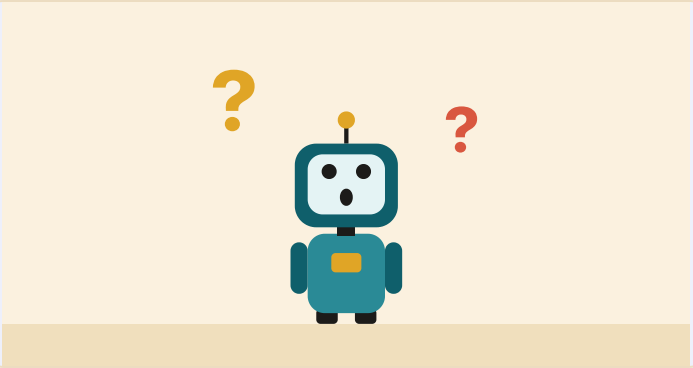
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Compliance with the GIPS standards is best described as:

Answer: B. Compliance is voluntary, but a firm that claims it must meet all applicable requirements. A is wrong because no CFA Institute rule forces an employer to comply. C is wrong because partial compliance is not allowed.



EXAM QUESTION 3 OF 10

Which entity can most likely claim compliance with the GIPS standards?

A. A portfolio manager who calculates her own track record using GIPS methods

B. A mutual fund whose returns are calculated using GIPS methods

C. An investment management firm that applies the standards firm-wide

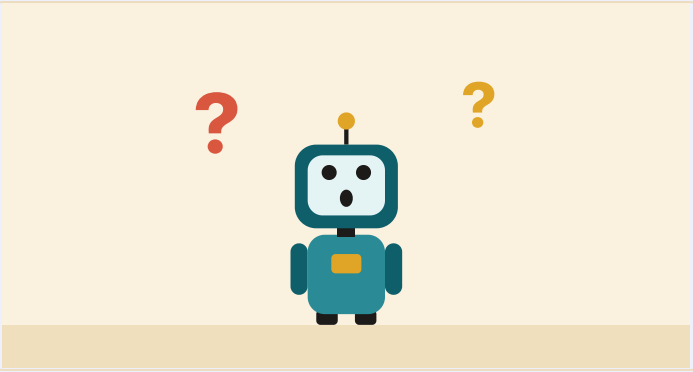
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which entity can most likely claim compliance with the GIPS standards?

Answer: C. Only firms (and asset owners) can claim compliance, and only on a firm-wide basis. A is wrong because individuals cannot claim compliance. B is wrong because compliance cannot be met for a single pooled fund or composite.



EXAM QUESTION 4 OF 10

A firm meets every GIPS requirement except one disclosure. Which statement may it make?

A. "We comply with GIPS except for one disclosure."

B. No statement claiming or implying compliance with GIPS

C. "Our returns are calculated in accordance with GIPS."

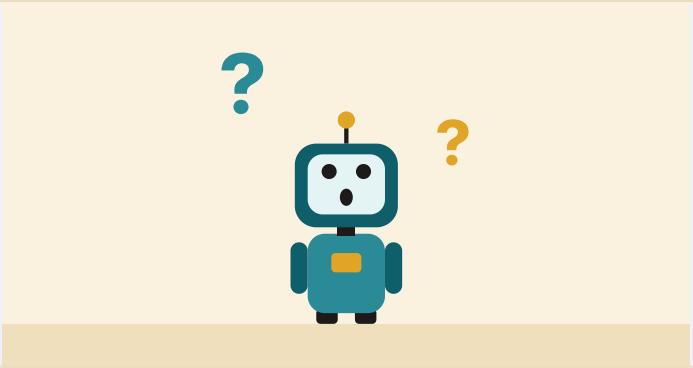
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

A firm meets every GIPS requirement except one disclosure. Which statement may it make?

Answer: B. A firm that does not meet all requirements must not claim compliance or imply partial compliance. A is a prohibited "except for" claim. C is prohibited because statements that calculations are "in accordance with" GIPS are not allowed.



EXAM QUESTION 5 OF 10

Under GIPS, which portfolios must be included in at least one composite?

A. All actual, fee-paying, discretionary portfolios

B. Only portfolios that have outperformed their benchmark

C. All portfolios, including non-discretionary and model portfolios

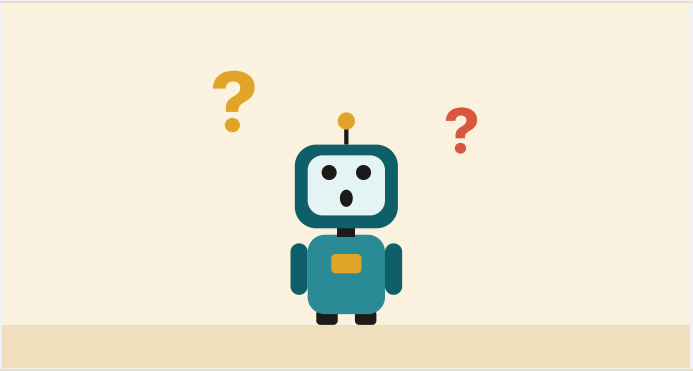
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Under GIPS, which portfolios must be included in at least one composite?

Answer: A. Every actual, fee-paying, discretionary portfolio must be in at least one composite. B is wrong because selecting winners is the cherry-picking GIPS forbids. C is wrong because non-discretionary portfolios must not be included and model portfolios are not actual.



EXAM QUESTION 6 OF 10

A firm's composite contains three portfolios at the start of the year: Rs 300 crore returning 8%, Rs 100 crore returning 2% and Rs 100 crore returning -4%. Using beginning asset weights, the composite return is closest to:

A. 2.0%

B. 4.4%

C. 8.0%

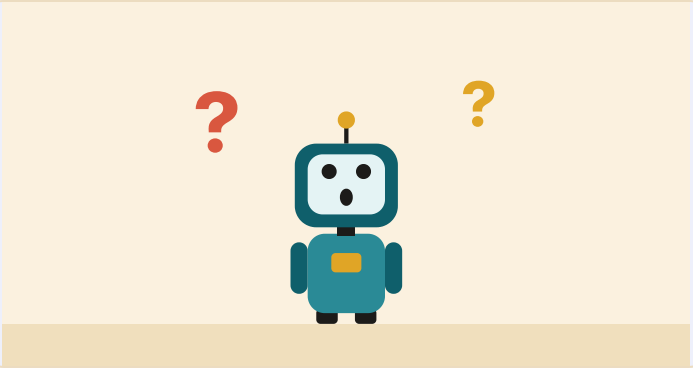
Answer on the next page.

So: Pick an answer, then turn the page.

ANSWER

A firm's composite contains three portfolios at the start of the year: Rs 300 crore returning 8%, Rs 100 crore returning 2% and Rs 100 crore returning -4%. Using beginning asset weights, the composite return is closest to:

Answer: B. Asset-weighted: (300 x 8 + 100 x 2 + 100 x (-4)) / 500 = (2,400 + 200 - 400) / 500 = 2,200 / 500 = 4.4%. A is the simple equal-weighted average of the three returns, which ignores asset size. C is the best portfolio alone: cherry-picking.



EXAM QUESTION 7 OF 10

GIPS generally require time-weighted returns because they:

A. remove the effect of external cash flows controlled by the client

B. always produce higher returns than money-weighted returns

C. include the effect of the timing of client deposits

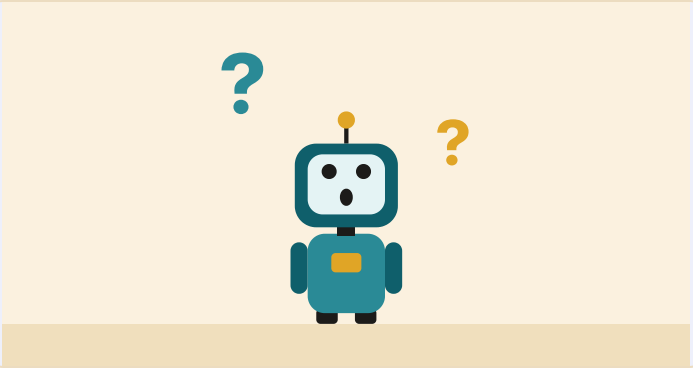
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

GIPS generally require time-weighted returns because they:

Answer: A. TWR strips out client-driven cash flows so the return reflects the manager's decisions. B is wrong because TWR can be higher or lower than a money-weighted return. C describes a money-weighted return, not a TWR.



EXAM QUESTION 8 OF 10

Which statement about GIPS verification is most accurate?

A. It is required before a firm may claim compliance

B. It certifies the accuracy of each composite's performance

C. It tests, firm-wide, whether policies and procedures comply with GIPS

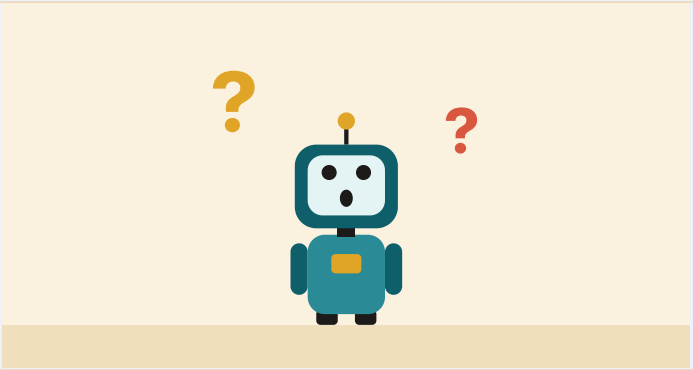
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which statement about GIPS verification is most accurate?

Answer: C. Verification is an independent, firm-wide test of whether the firm's policies and procedures are designed in compliance and implemented firm-wide. A is wrong because verification is optional (strongly recommended). B is wrong because verification does not provide assurance on any specific performance report; a performance examination adds that for one composite.



EXAM QUESTION 9 OF 10

A GIPS-compliant firm removes a portfolio that was terminated after large losses from its composite's past returns. The firm's action is:

A. acceptable, because only current clients belong in composites

B. not consistent with GIPS, because terminated portfolios stay in historical composite performance

C. acceptable if the firm has been verified

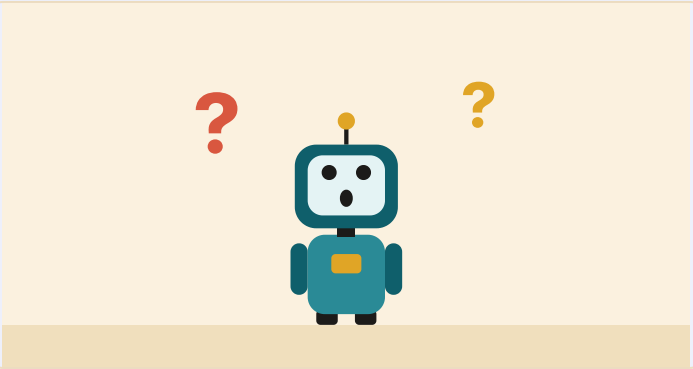
Answer on the next page.

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ANSWER

A GIPS-compliant firm removes a portfolio that was terminated after large losses from its composite's past returns. The firm's action is:

Answer: B. Terminated portfolios must remain in the composite's history up to the last full period they were managed; removing them creates survivorship bias. A is wrong because composites include past portfolios for the periods they were managed. C is wrong because verification does not permit breaking a requirement.



EXAM QUESTION 10 OF 10

Which party is least likely to benefit directly from the GIPS standards?

A. A prospective client comparing two managers

B. A firm competing for mandates in another country

C. A firm that wants to show only its best accounts to prospects

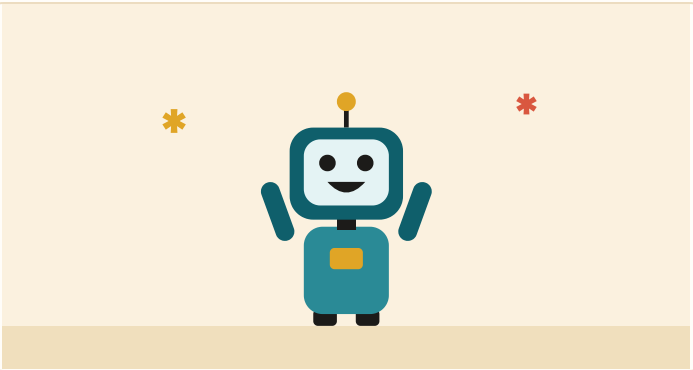
Answer on the next page.

So: **Pick an answer, then turn the page.**

ANSWER

Which party is least likely to benefit directly from the GIPS standards?

Answer: C. GIPS stop selective presentation, so a firm that wants to show only its best accounts is the party whose practice they block. A benefits from comparable, complete records. B benefits from GIPS acting as a global passport.



CHAPTER 8 DONE

GIPS: done

You can now explain why GIPS exist, who runs them, who can and cannot claim compliance, what composites and time-weighted returns do, what a compliance statement must say, and what verification does and does not cover. Next time a brochure shows one shiny fund, ask for the composite.

So: Swipe on, or jump to another chapter from the Menu.